



SUPREME COURT REPORTS

The Official Law Report
Fortnightly

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Contents

1.	Motilal Oswal Financial Services Limited v. Santosh Cordeiro and Another	1
2.	Dharmendra Sharma v. M. Arunmozhi & Anr.	24
3.	Bhadra International (India) Pvt. Ltd. & Ors. v. Airports Authority of India	30
4.	Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.....	91
5.	Arvind Dham v. Directorate of Enforcement	119
6.	UV Asset Reconstruction Company Limited v. Electrosteel Castings Limited	130
7.	Union of India v. G. Kiran & Ors.	141
8.	The State (NCT) of Delhi v. Khimji Bhai Jadeja.	167
9.	S. Nagesh v. Shobha S. Aradhya	183
10.	The Karnataka Lokayuktha Bagalkote District, Bagalkot v. Chandrashekar & Anr.	191
11.	Regenta Hotels Private Limited v. M/s Hotel Grand Centre Point and Others	206
12.	The Property Company (P) Ltd. v. Rohinten Daddy Mazda	227

Motilal Oswal Financial Services Limited

v.

Santosh Cordeiro and Another

(Civil Appeal No. 36 of 2026)

05 January 2026

[J.B. Pardiwala and K.V. Viswanathan,* JJ.]

Issue for Consideration

Whether the High Court has rightly allowed the application filed by the respondent u/s.11, Arbitration & Conciliation Act, 1996.

Headnotes[†]

Arbitration & Conciliation Act, 1996 – s.11(6A) – Presidency Small Cause Courts Act, 1882 – s.41 – Single Judge allowed the s.11, A&C Act application filed by the respondent seeking appointment of a sole arbitrator in accordance with clause 33 of the arbitration agreement of the Leave and License Agreement, and appointed an arbitrator to adjudicate the dispute between the parties – Appellant took objection that the dispute is non-arbitrable in view of s.41, 1882 Act – Raised the ground of non-arbitrability u/s.41,1882 Act before the arbitrator and filed a s.16 application under the A&C Act before the arbitrator – Dismissed by arbitrator – Whether the High Court had rightly allowed the application filed by the respondent u/s.11, A&C Act:

Held: Leave and License agreement in Clause 33 contained an Arbitration clause – Paragraph 40 of the Full Bench judgment of the Bombay High Court in *Central Warehousing* relied on by the appellant cannot be understood on the facts of the present case to mean that Clause 33 of the Leave and License Agreement containing the arbitration clause has ceased to exist – An examination u/s.11(6-A) indicates that there exists an arbitration agreement between the parties – Furthermore, s.41 is a provision conferring jurisdiction on the Small Causes Court for certain types of disputes and cannot be interpreted to mean that *ex proprio vigore* (by its own force), it neutralizes arbitration clauses in agreements – Conferment of jurisdiction on a specific court or creation of a public

* Author

Supreme Court Reports

forum, may not be the decisive test to answer and decide whether arbitrability is impliedly barred – Since, the Arbitrator has taken a decision on the s.16 application thus, parties have to work out their remedies in accordance with law – As and when such remedies are resorted to, they will be decided uninfluenced by any of the observations made herein – All questions between the parties other than the one answered herein based on s.11(6-A), A&C Act are left open. [Paras 14, 17, 21, 23, 27]

Arbitration & Conciliation Act, 1996 – s.11(6A) – Presidency Small Cause Courts Act, 1882 – Appellant relied on the Full Bench judgment of the Bombay High Court in *Central Warehousing* which *inter alia* held that the Arbitration Agreement in the situation referred therein would be invalid and inoperative on the principle that it would be against public policy to allow the parties to contract out of the exclusive jurisdiction of Small Causes Court by virtue of s.41 of the Act of 1882 – Appellant submitted that in view of this holding, even while examining within the contours of s.11(6-A) this Court will be obliged to conclude that no arbitration agreement existed:

Held: Submission not countenanced, reasons stated – Paragraph 40 of *Central Warehousing* cannot be understood on the facts of the present case to mean that Clause 33 of the Leave and License Agreement has ceased to exist – The judgement in *Central Warehousing* is dealt with only to decipher whether on account of the said judgement, Clause 33 of the Leave and License Agreement in the present case, containing the arbitration clause is non-existent – It is not – An examination u/s.11(6-A) indicates that there exists an arbitration agreement between the parties – An appeal is pending in this Court against the judgement in *Central Warehousing* – That appeal may be decided on its own merits – This Court is not to be taken to have pronounced on the correctness of *Central Warehousing* one way or the other. [Paras 21, 23]

Arbitration & Conciliation Act, 1996 – s.11(6-A) – Presidency Small Cause Courts Act, 1882 – s.41:

Held: Leave and License agreement in Clause 33 contained an Arbitration clause – In a proceeding u/s.11, A&C Act, the Court is to confine the examination to the existence of an Arbitration Agreement – s.11(6-A) which was brought into force w.e.f 23.10.2015, though omitted by Act 33 of 2019, the omission has

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

not yet been notified – Hence, the jurisdiction of this Court is only to inspect or scrutinize the dealings between the parties for determination about the existence of an Arbitration Agreement. [Paras 14, 17]

Arbitration – Issue of arbitrability or otherwise of a dispute – Conferment of jurisdiction on a specific court or creation of a public forum not the decisive test to answer and decide whether arbitrability is impliedly barred:

Held: Creation of a specific forum as a substitute for Civil Court or specifying the Civil Court may not be enough to accept the inference of implicit non-arbitrability – Conferment of jurisdiction on a specific court or creation of a public forum though eminently significant, may not be the decisive test to answer and decide whether arbitrability is impliedly barred. [Para 21]

Case Law Cited

Natraj Studios Private Limited. v. Navrang Studios and Another [1981] 2 SCR 466 : (1981) 1 SCC 523; *Booz Allen and Hamilton Inc v. SBI Home Finance Limited and Others* [2011] 7 SCR 310 : (2011) 5 SCC 532; *Vidya Drolia and Others v. Durga Trading Corporation* [2020] 11 SCR 1001 : (2021) 2 SCC 1; *In re Interplay Between Arbitration Agreements under Arbitration and Conciliation Act, 1996 & Stamp Act, 1899* [2023] 15 SCR 1081 : (2024) 6 SCC 1; *Vidya Drolia and Others v. Durga Trading* [2017] 10 SCR 139 : (2017) 10 SCC 706 – referred to.

Central Warehousing Corporation, Mumbai v. Fortpoint Automotive Pvt. Ltd., Mumbai, 2009 SCC OnLine Bom 2023; *Globsport India Pvt. Ltd. v. Mayfair Housing Pvt. Ltd.* (2015) OnLine Bom 4176 – referred to.

List of Acts

Arbitration & Conciliation Act, 1996; Presidency Small Cause Courts Act, 1882; Contract Act, 1872.

List of Keywords

Section 11(6A), Arbitration & Conciliation Act, 1996; Section 41, Presidency Small Cause Courts Act, 1882; Dispute non-arbitrable; Non-arbitrability under Section 41, Presidency Small Cause

Supreme Court Reports

Courts Act, 1882; Arbitration agreement of the Leave and License Agreement; Leave and License agreement contained Arbitration clause; Section 16, Arbitration & Conciliation Act, 1996; There exists an arbitration agreement between the parties; Small Causes Court; *ex proprio vigore* (by its own force).

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 36 of 2026

From the Judgment and Order dated 02.05.2024 of the High Court of Judicature at Bombay in CAA No. 9 of 2024

Appearances for Parties

Advs. for the Appellant(s):

Chirag M. Shah, Ms. Sanjana Saddy.

Advs. for the Respondent(s):

Rishabh Shah, Dhaval Mehrotra, Ms. Shivani Bansal, Ms. Aditi Desai, For M/s. ADS Legal.

Judgment / Order of the Supreme Court

Judgment

K.V. Viswanathan, J.

1. Leave granted.
2. The present appeal calls in question the correctness of the order dated 02.05.2024 passed by the Single Judge of the High Court of Judicature at Bombay in Commercial Arbitration Application No.9 of 2024. By the said order, the learned Single Judge allowed the Section 11 Application filed by the respondent under the Arbitration & Conciliation Act, 1996 (for short “the A&C Act”) and appointed an arbitrator to adjudicate the dispute between the parties. The only objection taken by the appellant herein was that the dispute is non-arbitrable in view of Section 41 of the Presidency Small Cause Courts Act, 1882 (for short “the 1882 Act”). The learned Single Judge made a short shrift of the said objection by holding that the place where the property in question, which was the subject matter of the dispute, was situated, i.e. Malad, was outside the jurisdiction of the Small Causes Court. This finding has now turned out to be

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

a damp squib, since parties before us are *ad idem* that Malad area is covered under the jurisdiction of the Small Causes Court. We could have rest content by remanding the matter to the High Court for fresh consideration. However, that will only prolong the dispute and, hence, we have decided to answer the issues arising in the case ourselves.

BRIEF FACTS OF THE CASE: -

3. With regard to the premises situated at Unit No.718, admeasuring 2925 sq. ft., 7th Floor, Palm Spring Centre, Link Road, Malad (West), Mumbai, the appellant entered into a Leave and License Agreement on 06.10.2017 with the respondent. The period of the Leave and License was 60 months from 01.10.2017 to 30.10.2022. Though the appellant terminated the said agreement on 31.12.2019, after exchange of correspondence between the parties, the said termination was reversed and an Addendum dated 13.03.2020 was entered into extending the Leave and License period from 60 months to 96 months with a lock-in period of 72 months.
4. According to the appellant, due to COVID-19 pandemic, they were unable to continue the arrangement and citing the force majeure clause in the agreement, they handed over the keys and vacant peaceful possession of the premises to the respondent on 09.09.2020. According to the appellant, they intimated the respondents about the same on 10.10.2020 by writing an email. The appellant also sought refund of the security deposit.
5. On 28.06.2023, the respondent No.1 called upon the appellant to pay a sum of Rs.94,40,152/- along with interest @ 24% towards the alleged arrears of license fees for the balance lock-in period i.e. from 01.09.2020 to 14.06.2023. The appellants wrote back on 17.07.2023 denying any liability and seeking refund of security deposit of Rs. 10 lakhs.
6. The appellant on 17.07.2023 received a notice dated 15.07.2023 issued by the respondent under Section 21 of the A&C Act invoking Clause 33 of the arbitration agreement of the Leave and License Agreement dated 06.10.2017 and Addendum dated 13.03.2020. Clause 33 of the Leave and License Agreement dated 06.10.2017 reads as under: -

Supreme Court Reports

“In the event of the any dispute or difference arising between the Licensors and the Licensee hereto concerning or relating to the interpretation of these presents or the interpretation or effect of any provisions thereof or relating to the liability or obligation on the part of any of the parties hereto, the same shall be referred to arbitration and Sole Arbitrator shall be appointed by the mutual consent of the Parties. The award passed by the sole arbitrator shall be binding on both the parties. The arbitration shall be in Mumbai and in accordance with and subject to the provisions of the Arbitration and Conciliation Act, 1996 or any statutory modification or re-enhancements thereof for the time being in force.”

This was followed by an application under Section 11 of the A&C Act filed on 13.08.2023 by the respondent seeking appointment of a sole arbitrator in accordance with clause 33 set out above.

7. On 01.11.2023, the appellant filed its reply objecting to the appointment of the arbitrator and specifically relied on Section 41 of the 1882 Act and contended that only the Small Causes Court would have exclusive jurisdiction to entertain and try any suit or proceeding arising from the relationship between a licensor and licensee and that since the said statute is a special remedy, the dispute is not arbitrable. The High Court, by its order dated 02.05.2024, allowed the application and appointed the arbitrator.
8. Section 41 of the 1882 Act reads as under:-

“41. Suits or Proceedings between licensors and licensees or landlords and tenants for recovery of possession of immovable property and license fees or rent, except to those to which other Acts apply to lie in Small Cause Court.- (1) Notwithstanding anything contained elsewhere in this Act but subject to the provisions of sub-section (2), the Court of Small Cause shall have jurisdiction to entertain and try all suits and proceedings between a licensor and licensee, or a landlord and tenant, relating to the recovery of possession of any immovable property situated in Greater Bombay, or relating to the recovery of the licence fee or charges or rent therefor, irrespective of the value of the subject-matter of such suits or proceedings.

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

(2) Nothing contained in sub-section (1) shall apply to suits or proceedings for the recovery of possession of any immovable property, or of licence fee for charges of rent thereof, to which the provisions of the Bombay Rents, Hotel and Lodging House Rates Control Act, 1947, the Bombay Government Premises (Eviction) Act, 1955, the Bombay Municipal Corporation Act, the Maharashtra Housing and Area Development Act, 1976 or any other law for the time being in force, apply.”

9. Proceedings before the arbitrator were carried on. On 03.06.2024, the appellant raised the ground of non-arbitrability under Section 41 of the 1882 Act and filed a Section 16 application under the A&C Act before the arbitrator. On 11.10.2024, the arbitrator dismissed the Section 16 application by holding that the amount sought to be recovered partakes the character of a ‘debt’ and is not a claim for license fee for use and occupation. On 28.01.2025, the Special Leave Petition was filed before this Court and this Court, on 21.02.2025, stayed the impugned order. That is how the matter presents itself before us.
10. We have heard Mr. Chirag M. Shah, learned advocate, for the appellant and Mr. Rishabh Shah, learned advocate for the respondents. We have perused the records as well as written submissions filed by the respective parties.

CONTENTIONS OF THE APPELLANT: -

11. The learned counsel for the appellant contends that in the Section 11 application filed by the respondents, a clear case for recovery of license fee was sought, and expressly it was stated that the amount claimed did not partake the character of damages; that the reliance on the judgment of the Division Bench of the Bombay High Court in **Globsport India Pvt. Ltd. vs. Mayfair Housing Pvt. Ltd.**¹ was untenable in view of the Full Bench judgment of the Bombay High Court in **Central Warehousing Corporation, Mumbai v. Fortpoint Automotive Pvt. Ltd., Mumbai**²; that **Central Warehousing** (*supra*) clearly holds that exclusive jurisdiction is conferred on the Court

1 (2015) OnLine Bom 4176

2 2009 SCC OnLine Bom 2023

Supreme Court Reports

of Small Causes to entertain and decide all suits and proceedings between a licensor and licensee or a landlord and tenant relating to recovery of possession or recovery of license fee/rent in respect of premises situated in Greater Bombay; that this Court in **Natraj Studios Private Limited. v. Navrang Studios and Another**³, while interpreting a *pari materia* provision held that the parties could not contract out of a special legislation that conferred exclusive jurisdiction over landlord-tenant disputes to the Small Causes Court; that as long as the suit was between a licensor and licensee or a landlord and tenant, concerning immovable property, relating to recovery of possession or recovery of license fee, charges or rent, it will lie only before the Small Causes Court and the jurisdiction of all other courts is ousted; that the 1882 Act is a special legislation with a special purpose and grants exclusive jurisdiction on special courts which have been set up under such legislation and that in **Booz Allen and Hamilton Inc vs. SBI Home Finance Limited And Others**⁴, this Court held that tenancy/licensor/licensee disputes governed by special statutes are not arbitrable.

CONTENTIONS OF THE RESPONDENT: -

12. The learned counsel for the respondent submitted the only exclusion in Clause 35⁵ of the agreement was that the arbitrator was not to have power to interfere or arbitrate on issue of vacating the premises on expiry of license period and there was no bar to arbitrate on the obligation on the parties to pay the license fee/rent/use and occupation charges; that the dispute was only for payment of compensation for the “balance lock-in period”; that the claim of the respondents is neither for recovery of possession nor license fee; that the respondents’ case is supported by the judgment in **Globsport (supra)**; that the judgment in **Vidya Drolia And Others vs. Durga Trading Corporation**⁶, (hereinafter called Vidya Drolia - II), makes it clear that mere conferral of jurisdiction on a specific court or creation of a public fora would not be decisive to answer the issue of arbitrability

3 (1981) 1 SCC 523

4 (2011) 5 SCC 532

5 The reference to arbitration will in no way affect the obligation of the Licensee to vacate the licensed premises on the expiry or earlier determination of the License period and the arbitrators shall have no power to interfere with or arbitrate on issue of vacating the licensed premises on expiry of the licensed period.

6 (2021) 2 SCC 1

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

or otherwise of a dispute; and that no statutory protection under the Maharashtra Rent Control Act was denied to the appellant.

QUESTION FOR CONSIDERATION: -

13. In the above background, the question for consideration is whether the High Court has rightly allowed the application filed by the respondent under Section 11 of the A&C Act?

ANALYSIS AND DISCUSSION: -

14. There is no dispute that the Leave and License agreement of 06.10.2017, in Clause 33, contained an Arbitration clause. In a proceeding under Section 11 of the A&C Act, the Court is to confine the examination to the existence of an Arbitration Agreement. Section 11 (6-A) which was brought into force with effect from 23.10.2015, though omitted by Act 33 of 2019, the omission has not yet been notified.

15. Section 11(6A) of the A&C Act is reproduced hereunder:-

“11. Appointment of arbitrators.—(1) xxx xxx .

(2) xxx xxx

(3) xxx xxx

(4) xxx xxx

(5) xxx xxx

(6) xxx xxx

(6A) The Supreme Court or, as the case may be, the High Court, while considering any application under sub-section (4) or sub-section (5) or sub-section (6), shall, notwithstanding any judgment, decree or order of any Court, confine to the examination of the existence of an arbitration agreement.”

16. A Seven Judge Bench of this Court in **In re Interplay Between Arbitration Agreements under Arbitration and Conciliation Act, 1996 & Stamp Act, 1899**⁷, (hereinafter called as ‘In re-Interplay’)

Supreme Court Reports

while dealing with the aspect of how ***Vidya Drolia (Supra)*** proceeded on the assumption that Section 11(6-A) has been omitted, clarified the position thus:-

“**62.** A plain reading of Section 11(6-A) makes it evident that it is referring to an arbitration *agreement*. Section 11(6-A) provides that courts must *confine* themselves to an examination of the existence of the arbitration agreement. The word “confine” indicates the intention of the legislature to limit the jurisdiction of the Courts at the stage of the appointment of an arbitrator.

63. In *Vidya Drolia* [*Vidya Drolia v. Durga Trading Corpn.*, (2021) 2 SCC 1], this Court held : (SCC p. 49, para 21)

“21. The term “agreement” is not defined in the Arbitration Act, albeit it is defined in Section 10 of the Contract Act, 1872 (for short “the Contract Act”), ... as contracts made by free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not thereby expressly declared to be void. Section 10 of the Contract Act also stipulates that aforesaid requirements shall not affect any law in force in India (and not expressly repealed) by which a contract is required to be made in writing, in presence of witnesses or any law relating to registration of documents. Thus, an arbitration agreement should satisfy the mandate of Section 10 of the Contract Act, in addition to satisfying other requirements stipulated in Section 7 of the Arbitration Act.”

64. The above observations are correct insofar as the arbitration agreement must satisfy the requirements of the Contract Act. However, the authority empowered to adjudicate whether the requirements of the Contract Act are satisfied is the Arbitral Tribunal, under Section 16 of the Arbitration Act. This is addressed in greater detail in the following segments.

163. We are of the opinion that the above premise of the Court in *Vidya Drolia* [*Vidya Drolia v. Durga Trading Corpn.*, [(2021) 2 SCC 1] is erroneous because the omission of Section 11(6-A) has not been notified and, therefore, the

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

said provision continues to remain in full force. Since Section 11(6-A) continues to remain in force, pending the notification of the Central Government, it is incumbent upon this Court to give true effect to the legislative intent.

164. The 2015 Amendment Act has laid down different parameters for judicial review under Section 8 and Section 11. Where Section 8 requires the Referral Court to look into the prima facie existence of a valid arbitration agreement, Section 11 confines the Court’s jurisdiction to the examination of the existence of an arbitration agreement. Although the object and purpose behind both Sections 8 and 11 is to compel parties to abide by their contractual understanding, the scope of power of the Referral Courts under the said provisions is intended to be different. The same is also evident from the fact that Section 37 of the Arbitration Act allows an appeal from the order of an Arbitral Tribunal refusing to refer the parties to arbitration under Section 8, but not from Section 11. Thus, the 2015 Amendment Act has legislatively overruled the dictum of Patel Engg. [SBP & Co. v. Patel Engg. Ltd., (2005) 8 SCC 618] where it was held that Section 8 and Section 11 are complementary in nature. Accordingly, the two provisions cannot be read as laying down a similar standard.

165. The legislature confined the scope of reference under Section 11(6-A) to the examination of the existence of an arbitration agreement. The use of the term “examination” in itself connotes that the scope of the power is limited to a prima facie determination. Since the Arbitration Act is a self-contained code, the requirement of “existence” of an arbitration agreement draws effect from Section 7 of the Arbitration Act. In Duro Felguera [Duro Felguera, S.A. v. Gangavaram Port Ltd., (2017) 9 SCC 729, this Court held that the Referral Courts only need to consider one aspect to determine the existence of an arbitration agreement — whether the underlying contract contains an arbitration agreement which provides for arbitration pertaining to

Supreme Court Reports

the disputes which have arisen between the parties to the agreement. Therefore, the scope of examination under Section 11(6-A) should be confined to the existence of an arbitration agreement on the basis of Section 7. Similarly, the validity of an arbitration agreement, in view of Section 7, should be restricted to the requirement of formal validity such as the requirement that the agreement be in writing. This interpretation also gives true effect to the doctrine of competence-competence by leaving the issue of substantive existence and validity of an arbitration agreement to be decided by Arbitral Tribunal under Section 16. We accordingly clarify the position of law laid down in *Vidya Drolia* [*Vidya Drolia v. Durga Trading Corpn.*, (2021) 2 SCC 1 in the context of Section 8 and Section 11 of the Arbitration Act.

166. The burden of proving the existence of arbitration agreement generally lies on the party seeking to rely on such agreement. In jurisdictions such as India, which accept the doctrine of competence-competence, only prima facie proof of the existence of an arbitration agreement must be adduced before the Referral Court. The Referral Court is not the appropriate forum to conduct a mini-trial by allowing the parties to adduce the evidence in regard to the existence or validity of an arbitration agreement. The determination of the existence and validity of an arbitration agreement on the basis of evidence ought to be left to the Arbitral Tribunal. This position of law can also be gauged from the plain language of the statute.

167. Section 11(6-A) uses the expression “examination of the existence of an arbitration agreement”. The purport of using the word “examination” connotes that the legislature intends that the Referral Court has to inspect or scrutinise the dealings between the parties for the existence of an arbitration agreement. Moreover, the expression “examination” does not connote or imply a laborious or contested inquiry. [*P. Ramanatha Aiyar, The Law Lexicon* (2nd Edn., 1997) 666.] On the other hand, Section 16 provides that the

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

Arbitral Tribunal can “rule” on its jurisdiction, including the existence and validity of an arbitration agreement. A “ruling” connotes adjudication of disputes after admitting evidence from the parties. Therefore, it is evident that the Referral Court is only required to examine the existence of arbitration agreements, whereas the Arbitral Tribunal ought to rule on its jurisdiction, including the issues pertaining to the existence and validity of an arbitration agreement. A similar view was adopted by this Court in *Shin-Etsu Chemical Co. Ltd. v. Aksh Optifibre Ltd.*, (2005) 7 SCC 234].

169. When the Referral Court renders a prima facie opinion, neither the Arbitral Tribunal, nor the Court enforcing the arbitral award will be bound by such a prima facie view. If a prima facie view as to the existence of an arbitration agreement is taken by the Referral Court, it still allows the Arbitral Tribunal to examine the issue in depth. Such a legal approach will help the Referral Court in weeding out prima facie non-existent arbitration agreements. It will also protect the jurisdictional competence of the Arbitral Tribunals to decide on issues pertaining to the existence and validity of an arbitration agreement.”

[Emphasis supplied]

17. Hence, it is very clear that our jurisdiction is only to inspect or scrutinize the dealings between the parties for determination about the existence of an Arbitration Agreement. We are not to launch a laborious or a contested inquiry.
18. Our task would have been much simpler but for the reliance placed by the learned counsel for the appellant on the Full Bench judgment of the Bombay High Court in ***Central Warehousing*** (*supra*). ***Central Warehousing*** (*supra*) examined the question whether in view of Section 5⁸ of the A&C Act, if in any agreement between licensor

⁸ **Extent of judicial intervention.**- Notwithstanding anything contained in any other law for the time being in force, in matters governed by this Part, no judicial authority shall intervene except where so provided in this Part.

Supreme Court Reports

and licensee an arbitration clause exists, the jurisdiction of the Small Causes Court under the Presidency Small Causes Court Act, 1882, would be ousted.

19. While answering the said question, the Full Bench traced the legislative history of Section 41(2) of the Act of 1882. It found that the object of introducing Section 41 in the amended form, was to avoid multiplicity of proceedings in different Courts and consequent waste of public time and money and to avoid unnecessary delay and hardship to the suitors. The Full Bench found that the objective was to have uniformity of the procedure so that all suits and proceedings between a landlord and tenant or a licensor and licensee for recovery of possession of premises or for recovery of rent or license fee, irrespective of the value of the subject matter, should go to and be disposed of by Small Causes Court. The Full Bench found that the provision vested exclusive jurisdiction of the Court of Small Causes to entertain such suits. Ultimately, for the purpose of our case we only need to deal with the operative portion set out in Para 40 of the said judgment which reads as under: -

“40. In summation, we would hold that section 41(1) of the Act of 1882 is a special law which in turn has constituted special Courts for adjudication of disputes specified therein between the licensor and licensee or a landlord and tenant. The effect of section 41(2) of the Act of 1882 is only the suits or proceedings for recovery of possession of immovable property or of licence fee thereof, to which, the provisions of specified Acts or any other law for the time being in force apply, have been excepted from the application of non-obstante clause contained in section 41(1) of the Act. The expression “or any other law for the time being in force” appearing in section 41(2) will have to be construed to mean that such law should provide for resolution of disputes between licensor and licensee or a landlord and tenant in relation to immovable property or licence fee thereof, to which immovable property, the provisions of that Act are applicable. The Act of 1996 is not covered within the ambit of section 41(2) in particular the expression “or any other law for the time being in force” contained therein. The question whether the exclusive jurisdiction of the Small Causes Court vested in terms of

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

section 41 of the Act of 1882 is ousted, if an agreement between the licensor and licensee contains a clause for arbitration, the same will have to be answered in the negative. For, section 5 of the Act of 1996 in that sense is not an absolute non-obstante clause. Section 5 of the Act of 1996 cannot affect the laws for the time being in force by virtue of which certain disputes may not be submitted to arbitration, as stipulated in section 2(3) of the Act of 1996. **We hold that section 41 of the Act of 1882 falls within the ambit of section 2(3) of the Act of 1996. As a result of which, even if the Licence Agreement contains Arbitration Agreement, the exclusive jurisdiction of the Courts of Small Causes under section 41 of the Act of 1882 is not affected in any manner. Whereas, Arbitration Agreement in such cases would be invalid and inoperative on the principle that it would be against public policy to allow the parties to contract out of the exclusive jurisdiction of the Small Causes Courts by virtue of section 41 of the Act of 1882.”**

[Emphasis supplied]

20. The appellant relies on the above paragraph which holds that the Arbitration Agreement in the situation referred to in the paragraph would be invalid and inoperative on the principle that it would be against public policy to allow the parties to contract out of the exclusive jurisdiction of Small Causes Court by virtue of Section 41 of the Act of 1882.
21. The learned counsel for the appellant submits that in view of this holding, even while examining within the contours of Section 11(6-A) this Court will be obliged to conclude that no arbitration agreement existed. We are not able to countenance the submission of the learned counsel for the appellant for the following reasons: -
 - I. **(a).** Firstly, ***Central Warehousing*** (*supra*) has to be understood in the context in which it came to be decided. The said context does not obtain here. In ***Central Warehousing*** (*supra*), the petitioner therein, issued termination notices terminating the storage warehouse facilities of the respondent therein – FAP Limited. In response thereto, the respondent therein FAP Limited invoked the arbitration clause. Respondent-FAP Limited

Supreme Court Reports

thereafter, filed a suit under Section 41 of the Act of 1882 for a declaration that the agreement providing storage facility was subsisting and obtained interim orders restraining the petitioner therein from giving effect to the termination notices. The petitioner therein - Central Warehousing raised an objection based on the provisions of Section 8 of the A&C Act. The preliminary objection was overruled. Aggrieved, Central Warehousing approached the High Court under Article 227 of the Constitution of India. What is significant to notice is that the respondent therein FAP Limited was in possession of the premises.

(b). In the present case, it is undisputed by both parties that possession had been handed over by the appellant to the respondents in September 2020. The dispute between the parties is with regard to a monetary claim with the appellant asserting that the security deposit should be repaid by the respondents and the respondents claiming sums of money towards alleged arrears of amounts payable for the balance lock-in period. This aspect is set out only for explaining the context of the present case and contrasting with the context in ***Central Warehousing*** (*supra*).

- II. **(a).** Secondly, pursuant to a reference made to a three-Judge Bench in ***Vidya Drolia and Others v. Durga Trading Corporation***⁹, (hereinafter called *Vidya Drolia-I*), this Court pronounced the judgment in ***Vidya Drolia-II*** (*supra*). Though the judgment in ***re - Interplay*** (*supra*) corrected ***Vidya Drolia-II*** on the aspect of the continuance of Section 11(6-A) in the statute and the interpretation of the said sub-section, the other aspects in ***Vidya Drolia-II*** have not been diluted in ***re - Interplay*** (*supra*).

(b). ***Vidya Drolia-II*** was actually occasioned due to another judgment of this Court in ***Himangni Enterprises v. Kamaljeet Singh Ahluwalia***¹⁰, which had treated cases of ejectment under the Transfer of Property Act similar to cases of eviction under the Rent Control Act of the State. The Bench in ***Vidya Drolia-I*** doubted the said judgment and in a detailed referral order distinguished the applicability of the prior judgments of

9 (2019) 20 SCC 406

10 (2017) 10 SCC 706

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

this Court in **Natraj Studios** (*supra*) and **Booz Allen** (*supra*) to ejectment suits under the Transfer of Property Act.

(c). While dealing with the aspect of implied bars on arbitrability, **Vidya Drolia-II** made the following pertinent observations: -

“**53.***Dhulabhai case* [*Dhulabhai v. State of M.P.*, (1968) 3 SCR 662 : AIR 1969 SC 78] is not directly applicable as it relates to exclusion of jurisdiction of civil courts, albeit we respectfully agree with the order of reference [*Vidya Drolia v. Durga Trading Corpn.*, (2019) 20 SCC 406] that Condition 2 is apposite while examining the question of non-arbitrability. Implied legislative intention to exclude arbitration can be seen if it appears that the statute creates a special right or a liability and provides for determination of the right and liability to be dealt with by the specified courts or the tribunals specially constituted in that behalf and further lays down that all questions about the said right and liability shall be determined by the court or tribunals so empowered and vested with exclusive jurisdiction. **Therefore, mere creation of a specific forum as a substitute for civil court or specifying the civil court, may not be enough to accept the inference of implicit non-arbitrability. Conferment of jurisdiction on a specific court or creation of a public forum though eminently significant, may not be the decisive test to answer and decide whether arbitrability is impliedly barred.**”

[Emphasis supplied]

What is crucial to notice is that this Court clearly emphasized that creation of a specific forum as a substitute for Civil Court or specifying the Civil Court may not be enough to accept the inference of implicit non-arbitrability. Conferment of jurisdiction on a specific court or creation of a public forum though eminently significant, may not be the decisive test to answer and decide whether arbitrability is impliedly barred.

(d). Further for the completion of record, it is also mentioned herein that **Vidya Drolia-II** expressly overruled **Himangni** (*supra*) and held as under: -

Supreme Court Reports

“79. Landlord-tenant disputes governed by the Transfer of Property Act are arbitrable as they are not actions in rem but pertain to subordinate rights in personam that arise from rights in rem. Such actions normally [Ed. : Certainly in those cases where the dispute only affects the parties to the arbitration clause, third-party rights would not be affected, as in the facts of the present case. It is in such cases that “such actions under the TPA normally would not affect third-party rights or have erga omnes effect”. However, one may consider cases for instance, where a sub-tenancy exists or where the head lessee has taken a mortgage on the lease, and the landlord invokes the arbitration clause against the head lessee seeking to terminate the head lease, can the sub-tenant or mortgagee of the head lessee seek to be impleaded in the arbitration proceedings? For termination of the head lease would also extinguish the rights of the sub-tenant and the mortgagee of the head lessee. The situations posited are relatively simple ones. Often there are numerous prior and subsequent transferees who might be affected by the result of a dispute between a landlord and tenant, or even between other transferees. In such complex situations involving prior and subsequent transfers, it would appear that the matter would be non-arbitrable as it would appear to satisfy the first two tests of non-arbitrability laid down herein—see Shortnotes B and C. In a case where the mortgagee is covered by the RDB Act and the Sarfaesi Act, it might be rendered non-arbitrable by virtue of the fourth test as well—see Shortnotes E and G.] would not affect third-party rights or have erga omnes effect or require centralised adjudication. An award passed deciding landlord-tenant disputes can be executed and enforced like a decree of the civil court. Landlord-tenant disputes do not relate to inalienable and sovereign functions of the State. The provisions of the Transfer of Property Act do not expressly or by necessary implication bar arbitration.

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

The Transfer of Property Act, like all other Acts, has a public purpose, that is, to regulate landlord-tenant relationships and the arbitrator would be bound by the provisions, including provisions which enure and protect the tenants.

80. In view of the aforesaid, we overrule the ratio laid down in Himangni Enterprises [Himangni Enterprises v. Kamaljeet Singh Ahluwalia, (2017) 10 SCC 706 : (2018) 1 SCC (Civ) 82] and hold that landlord-tenant disputes are arbitrable as the Transfer of Property Act does not forbid or foreclose arbitration. However, landlord-tenant disputes covered and governed by rent control legislation would not be arbitrable when specific court or forum has been given exclusive jurisdiction to apply and decide special rights and obligations. Such rights and obligations can only be adjudicated and enforced by the specified court/forum, and not through arbitration.”

- III. Thirdly, if in this context, Section 41 is appreciated, it will be clear that Section 41 is a provision conferring jurisdiction on the Small Causes Court for certain types of disputes and cannot be interpreted to mean that *ex proprio vigore* (by its own force), it neutralizes arbitration clauses in agreements.
- IV. Fourthly, Arbitration clauses have their roots in Section 28 of the Contract Act, 1872, a provision completely missed in ***Central Warehousing (Supra)***. Section 28 which speaks of agreements in restraint of legal proceeding being void, has two important exceptions. Relevant part of Section 28 and exceptions are extracted hereinbelow.

“28. Agreements in restraint of legal proceedings, void.— Every agreement,— (a) by which any party thereto is restricted absolutely from enforcing his rights under or in respect of any contract, by the usual legal proceedings in the ordinary tribunals, or which limits the time within which he may thus enforce his rights; or (b) which extinguishes the rights of any party thereto, or discharges any party thereto, from any liability, under or in respect of any contract on

Supreme Court Reports

the expiry of a specified period so as to restrict any party from enforcing his rights, is void to the extent.”

Exception 1.—Saving of contract to refer to arbitration dispute that may arise.—This section shall not render illegal a contract, by which two or more persons agree that any dispute which may arise between them in respect of any subject or class of subjects shall be referred to arbitration, and that only the amount awarded in such arbitration shall be recoverable in respect of the dispute so referred.

Exception 2.- Saving of contract to refer questions that have already arisen.- Nor shall this section render illegal any contract in writing, by which two or more persons agree to refer to arbitration any question between them which has already arisen, or affect any provision of any law in force for the time being as to references to arbitration.”

It will be clear that when two or more persons agree to refer a matter to arbitration, Section 28 will not render that agreement invalid.

22. Considerable arguments were advanced both in the oral submissions and in the written note about whether the nature of the claim is in the form of debt or whether it pertains to a matter covered by the ambit of Section 41(1). Arguments were also advanced on the issue as to how the dispute between the parties is a dispute in personam (as contended by the respondent) pertaining only to the recovery of a debt as opposed to the appellant contending that it is a dispute relating to the recovery of the license fee or charges or rent, covered under Section 41(1) of the 1882 Act. Reliance was placed on **Natraj Studios** (*supra*) and **Booz Allen** (*supra*) by the appellant and **Globsport** (*supra*) by the respondents.
23. In exercise of our jurisdiction under Section 11, we are not concerned with the said dispute. That will be for the arbitrator to decide. We have been told that the Arbitrator has taken a decision on the Section 16 application. If that be so, parties have to work out their remedies in accordance with law. As and when such remedies are resorted to, they will be decided uninfluenced by any of the observations made herein. All questions between the parties other than the one answered herein based on Section 11(6-A) of the A&C Act are left open.

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

24. Section 16 of the A&C Act reads as under: -

“16. Competence of arbitral tribunal to rule on its jurisdiction.—(1) The arbitral tribunal may rule on its own jurisdiction, including ruling on any objections with respect to the existence or validity of the arbitration agreement, and for that purpose,—

(a) an arbitration clause which forms part of a contract shall be treated as an agreement independent of the other terms of the contract; and

(b) a decision by the arbitral tribunal that the contract is null and void shall not entail ipso jure the invalidity of the arbitration clause.

(2) A plea that the arbitral tribunal does not have jurisdiction shall be raised not later than the submission of the statement of defence; however, a party shall not be precluded from raising such a plea merely because that he has appointed, or participated in the appointment of, an arbitrator.

(3) A plea that the arbitral tribunal is exceeding the scope of its authority shall be raised as soon as the matter alleged to be beyond the scope of its authority is raised during the arbitral proceedings.

(4) The arbitral tribunal may, in either of the cases referred to in sub-section (2) or sub-section (3), admit a later plea if it considers the delay justified.

(5) The arbitral tribunal shall decide on a plea referred to in sub-section (2) or sub-section (3) and, where the arbitral tribunal takes a decision rejecting the plea, continue with the arbitral proceedings and make an arbitral award.

(6) A party aggrieved by such an arbitral award may make an application for setting aside such an arbitral award in accordance with section 34.”

25. In *re Interplay* (supra), this Court held as follows: -

“123. The doctrine of kompetenz-kompetenz (also known as competence-competence), as originally developed

Supreme Court Reports

in Germany, was traditionally understood to imply that arbitrators are empowered to make a final ruling on their own jurisdiction, with no subsequent judicial review of the decision by any court. [Fouchard, Gaillard, *Goldman on International Commercial Arbitration*, Emmanuel Gaillard and John Savage (Eds.), (1999) 396.] However, many jurisdictions allow an Arbitral Tribunal to render a decision on its jurisdiction, subject to substantive judicial review. [Gary Born, *International Arbitration Law and Practice* (3rd Edn., 2021) 1143.]

124. It is a well-recognised principle of public international law that a legal authority possessing adjudicatory powers has the right to decide its own jurisdiction. [*Interpretation of the Greco-Turkish Agreement of December 1st, 1926, In re*, 1928 SCC OnLine PCIJ 5] Similarly, it is a general rule of international arbitration law that an Arbitral Tribunal has the power to determine its own jurisdiction. The ability of an Arbitral Tribunal to determine its own jurisdiction is an important facet of arbitration jurisprudence because it gives effect to the separability presumption. The separability presumption insulates the arbitration agreement from the defects of the underlying contract, and thereby ensures the sustenance of the tribunal's jurisdiction over the substantive rights and obligations of the parties under the underlying contract even after such a contract is put to an end. The doctrine of competence-competence allows the tribunal to decide on all substantive issues arising out of the underlying contract, including the existence and validity of the arbitration agreement.”

26. For the reasons set out hereinabove, paragraph 40 of ***Central Warehousing (Supra)*** cannot be understood on the facts of the present case to mean that Clause 33 of the Leave and License Agreement has ceased to exist.
27. We have been constrained to deal with the judgement in ***Central Warehousing (supra)*** only to decipher whether on account of the said judgement, Clause 33 of the Leave and License Agreement dated 06.10.2017, in the present case, containing the arbitration clause is non-existent. We hold that it is not and that an examination under Section 11(6-A) indicates that there exists an arbitration agreement

**Motilal Oswal Financial Services Limited v.
Santosh Cordeiro and Another**

between the parties. We are conscious that an appeal is pending in this Court against the judgement in **Central Warehousing** (*supra*). That appeal may be decided on its own merits and we are not to be taken to have pronounced on the correctness of **Central Warehousing** (*supra*) one way or the other.

28. The appeal is dismissed for the reasons stated above. No order as to costs. The Arbitrator shall proceed with the adjudication of the disputes and conclude the proceedings within 6 months from today.

Result of the case: Appeal dismissed.

[†]Headnotes prepared by: Divya Pandey

Dharmendra Sharma

v.

M. Arunmozhi & Anr.

(Contempt Petition (C) No(s). 703-704 of 2025

In

Civil Appeal No(s). 2809-2810 of 2024)

05 January 2026

[Vikram Nath* and Sandeep Mehta, JJ.]

Issue for Consideration

Matter pertains to contempt petitions by the appellant-petitioner, alleging, *inter alia*, that respondent no. 1 willfully failed to comply with the directions issued by this Court in the case of *Dharmendra Sharma v. Agra Development Authority*, (2025) 1 SCC 422, whereby the respondent was called to refund an amount of Rs. 3,99,100/- , being the cost of the non-judicial stamp papers purchased by the petitioner.

Headnotes[†]

Contempt of court – Contempt petitions – Contempt petitions by the appellant-petitioner alleging, that respondent no. 1 willfully failed to refund an amount of Rs. 3,99,100/- , being the cost of the non-judicial stamp papers purchased by the petitioner, as directed by this Court in *Dharmendra Sharma v. Agra Development Authority* (2025) 1 SCC 422:

Held: Respondent no. 2-State, conceded that the rejection of the petitioner's application for refund was founded on r.218 of the U.P. Stamp Rules, 1942 (as amended), which proscribes refund of physical non-judicial stamp papers after the expiry of a period of eight years, was taken on a *bona fide* interpretation of the said provision, and tendered an unconditional apology, and stated that respondent no. 2 remains duty-bound to implement the directions issued by this Court in the interest of justice – Thus, issuance of direction simpliciter to respondent no. 2 to refund a sum of Rs. 3,99,100/- to the petitioner, upon return of the non-judicial stamp papers received by him from respondent no. 1, within the stipulated period – U.P. Stamp Rules, 1942. [Paras 7, 8]

* Author

Dharmendra Sharma v. M. Arunmozhi & Anr.**Case Law Cited**

Dharmendra Sharma v. Agra Development Authority [2024] 9 SCR 97 : (2025) 1 SCC 422 – referred to.

List of Acts

U.P. Stamp Rules, 1942.

List of Keywords

Contempt petitions; Willful non-compliance; Refund of the cost of non-judicial stamp papers.

Case Arising From

INHERENT JURISDICTION: Contempt Petition (C) No(s). 703-704 of 2025

In

Civil Appeal No(s). 2809-2810 of 2024

From the Judgment and Order dated 06.09.2024 of the Supreme Court of India at Delhi in AC Nos. 2810 and 2809 of 2024

Appearances for Parties

Advs. for the Petitioner(s):

Vipin Sanghi, Sr. Adv., Om Prakash, Vikas Singh Jangra.

Advs. for the Respondent(s):

Sudhir Kulshreshtha, Shaurya Sahay, Aman Jaiswal, Ms. Palak Mathur.

Judgment / Order of the Supreme Court**Judgment**

Vikram Nath, J.

1. Heard Shri Vipin Sanghi, learned senior counsel for the petitioner and learned counsel appearing for the respondents.
2. The present contempt petitions have been instituted by the appellant in the civil appeals already disposed of, alleging, *inter alia*, that respondent no. 1 has willfully failed to comply with the directions

Supreme Court Reports

issued by this Court in its judgment dated 6th September, 2024, rendered in ***Dharmendra Sharma v. Agra Development Authority***, reported in (2025) 1 SCC 422. The relevant portion of the judgment germane to the controversy at hand is reproduced hereinbelow: -

“34. In light of the aforementioned observations and taking into account the shortcomings on the part of both the appellant and ADA, this Court deems it appropriate to provide a compensation of Rs 15,00,000 (Rupees fifteen lakhs only) apart from what was awarded by NCDRC. Therefore, apart from the refund of the entire amount deposited by the appellant @ 9% interest per annum from 11-7-2020 till the date of refund, ADA is directed to pay an additional amount of Rs 15,00,000 (Rupees fifteen lakhs only) to the appellant. The entire amount should be rendered to the appellant within three months of this order. We also order ADA to return the non-judicial stamp worth Rs 3,99,100 back to the appellant.

. . .

35. Furthermore, we refrain from imposing any exemplary costs on either party, recognising that both have contributed to the situation at hand. It is also to be noted that ADA, being a civic body tasked with serving the public and operating on a non-profit basis, should not be unduly penalised in a manner that could impede its functioning.

36. Civil Appeals Nos. 2809-10 of 2024 are disposed of accordingly.”

3. The petitioner submits that although respondent no. 1 has complied with the remaining directions issued by this Court, namely, refunding the entire amount deposited by the petitioner along with interest at the rate of 9% per annum, and paying an additional sum of Rs. 15,00,000/- (Rupees Fifteen Lakhs only), however the respondent has failed to refund an amount of Rs. 3,99,100/- (Rupees Three Lakhs Ninety-Nine Thousand One Hundred only), being the cost of the non-judicial stamp papers purchased by the petitioner. It is further averred that, instead of refunding the said amount, respondent no. 1, on 7th December, 2024, returned the twenty-two original stamp papers, which had in the meanwhile expired, through postal communication.

Dharmendra Sharma v. M. Arunmozhi & Anr.

4. According to the petitioner, he addressed representations to the Assistant Commissioner of Stamps, Agra, seeking refund of the amount paid towards the unused twenty-two original stamp papers. However, the Assistant Inspector General of Registration, Agra, by order dated 21st July, 2025, rejected the petitioner's request for refund of the stamp value, informing him that the same was not refundable. The relevant extract of the said order reads as under: -

“Regarding the refund of physical non-judicial stamp papers, it is regretfully informed that physical non-judicial stamp papers can be refunded within a maximum period of eight years from their date of purchase.

. . .

As it evident from the above, the concerned notification came into effect in the state from 20th December 2017, and it is clarified in the notification that no application for stamp refund will be accepted one year after the date of the amendment in cases where the decision for the stamp refund is required to be taken by the state government.

You first submitted the application for the refund of the stamp value to this office on 20.12.2024. By that date, approximately 10 years had elapsed since you purchased the stamps. Therefore, following the notification passed by the state government in 2017, the prescribed eight-year period for stamp value refund had already expired and additionally, the final date for applying for the refund of old stamps which was 20th December 2018, had also passed. Thus, your right to a refund of the stamp value had become barred by limitation.

You have also mentioned in your letter dated 26.06.2025 that in paragraph 23 of the judgment dated 06.09.2024 passed by the Hon'ble Supreme Court, directions have been given to the Registration Department for the refund of the stamp value. In this context, the copy of the Hon'ble Supreme Court's judgment dated 06.09.2024, attached with the application, was perused. A perusal of paragraph 23 makes it clear that the Hon'ble Court has only ordered the Agra Development Authority to physically return the

Supreme Court Reports

stamp papers worth Rs.3,99,100 in its possession to the petitioner and there is no direction to the Registration Department for the refund of the stamp value. The Uttar Pradesh Stamp and Registration Department was not even included as a party in this civil appeal. Therefore, the order passed by the Hon'ble Court was applicable only to the Development Authority. The Stamp and Registration Department has no connection with it.

Therefore, in view of the above legal circumstances, all applications submitted by you for the refund of the stamp value are rejected after consideration and it is also informed that the stamp value cannot be refunded to you under the rules by the state government.

. . . ”

5. Aggrieved by the communication dated 21st July, 2025, the petitioner has instituted the present contempt petitions.
6. When the matter was taken up for hearing for the first time, having regard to the peculiar factual situation obtaining in the case, the petitioner sought leave to implead the State of Uttar Pradesh through the Collector, Agra, as a party to the proceedings. *Vide* order dated 14th October, 2025, such permission was granted and notice was issued in the contempt petitions. Consequently, the State of Uttar Pradesh has been impleaded as respondent no. 2 herein.
7. In the affidavit filed on behalf of respondent no. 2, it has been fairly submitted that the rejection of the petitioner's application for refund was founded on Rule 218 of the U.P. Stamp Rules, 1942 (as amended), which proscribes refund of physical non-judicial stamp papers after the expiry of a period of eight years. At the same time, respondent no. 2 has candidly conceded that the said action was taken on a bona fide interpretation of the aforesaid provision, has tendered an unconditional apology, and has further stated that respondent no. 2 remains duty-bound to implement the directions issued by this Court in the interest of justice.
8. Therefore, without entering into the merits of the issues that have subsequently arisen after the disposal of the original civil appeals, we are inclined to dispose of the present contempt petitions by issuing a direction *simpliciter* to respondent no. 2 to refund a sum

Dharmendra Sharma v. M. Arunmozhi & Anr.

of Rs. 3,99,100/- (Rupees Three Lakhs Ninety-Nine Thousand One Hundred only) to the petitioner, upon return of the non-judicial stamp papers received by him from respondent no. 1, within a period of two months from today.

9. The contempt petitions *qua* respondent no. 1 shall stand closed.
10. Pending application(s), if any, shall stand disposed of.

Result of the case: Contempt petitions disposed of.

†Headnotes prepared by: Nidhi Jain

**Bhadra International (India) Pvt. Ltd. & Ors.
v.**

Airports Authority of India

(Civil Appeal No(s). 37-38 of 2026)

05 January 2026

[J.B. Pardiwala* and K.V. Viswanathan, JJ.]

Issue for Consideration

i) Whether the sole arbitrator could be said to have become “ineligible to be appointed as an arbitrator” by virtue of sub-section (5) of s.12 of the Arbitration and Conciliation Act, 1996; ii) whether the parties could be said to have waived the applicability of sub-section (5) of s.12 of the Act, 1996, by way of their conduct, either expressed or implied; iii) whether the appellants could have raised an objection to the appointment of the sole arbitrator for the first time in an application u/s.34 of the Act, 1996.

Headnotes[†]

Arbitration and Conciliation Act, 1996 – s.12 and s.18 – Position of law as regards s.12 of the Act, 1996 – Application of principle of equal treatment of parties provided in s.18:

Held: The principle of equal treatment of parties provided in s.18 of the Act, 1996, applies not only to the arbitral proceedings but also to the procedure for appointment of arbitrators – Equal treatment of the parties entails that the parties must have an equal say in the constitution of the arbitral tribunal. [Para 123(i)]

Arbitration and Conciliation Act, 1996 – Sub-section (5) of s.12 and Seventh Schedule – When relationship falls within any of the categories specified in the Seventh Schedule:

Held: Sub-section (5) of s.12 provides that any person whose relationship with the parties or counsel, or the dispute, whether direct or indirect, falls within any of the categories specified in the Seventh Schedule would be ineligible to be appointed as an arbitrator – Since, the ineligibility stems from the operation of law, not only is a person having an interest in the dispute or its outcome

* Author

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

ineligible to act as an arbitrator, but appointment by such a person would be *ex facie* invalid. [Para 123(ii)]

Arbitration and Conciliation Act, 1996 – Proviso to s.12(5) – The words “an express agreement in writing” in the proviso to s.12(5):

Held: The words “an express agreement in writing” in the proviso to s.12(5) means that the right to object to the appointment of an ineligible arbitrator cannot be taken away by mere implication – The agreement referred to in the proviso must be a clear, unequivocal written agreement. [Para 123(iii)]

Arbitration and Conciliation Act, 1996 – s.12(5) – When an arbitrator is found to be ineligible by virtue of s.12(5) r/w. the Seventh Schedule:

Held: When an arbitrator is found to be ineligible by virtue of s.12(5) r/w. the Seventh Schedule, his mandate is automatically terminated – In such circumstance, an aggrieved party may approach the court u/s. 14 r/w. s.15 for appointment of a substitute arbitrator – Whereas, when an award has been passed by such an arbitrator, an aggrieved party may approach the court u/s. 34 for setting aside the award. [Para 123(iv)]

Arbitration and Conciliation Act, 1996 – s.12 – Parties vest jurisdiction in the tribunal:

Held: In arbitration, the parties vest jurisdiction in the tribunal by exercising their consent in furtherance of a valid arbitration agreement – An arbitrator who lacks jurisdiction cannot make an award on the merits – Hence, an objection to the inherent lack of jurisdiction can be taken at any stage of the proceedings. [Para 123(v)]

Arbitration and Conciliation Act, 1996 – sub-section (5) of s.12 and Seventh Schedule – Objective of s.12:

Held: There is a conspectus of decisions of this Court which lay down that, s.12 was amended with the objective of ensuring independence and impartiality of arbitrators – By virtue of sub-section (5) of s.12, any person whose relationship with the parties or counsel, or the dispute, whether direct or indirect, falls within any

Supreme Court Reports

of the categories specified in the Seventh Schedule is rendered ineligible to be appointed as an arbitrator. [Para 51]

Arbitration and Conciliation Act, 1996 – sub-section (5) of s.12 – When an arbitration agreement is in violation of sub-section (5) of s.12:

Held: When an arbitration agreement is in violation of sub-section (5) of s.12 of the Act, 1996, the parties can neither insist on appointment of an arbitrator in terms of the agreement nor would any appointment so made be valid in the eyes of law. [Para 57]

Arbitration and Conciliation Act, 1996 – Unilateral appointments:

Held: Unilateral appointments are not consistent with the basic tenet of arbitration, *i.e.*, mutual confidence in the arbitrator – It would not be unreasonable for a party to apprehend that an arbitrator unilaterally appointed by the opposite party may not act with complete impartiality. [Para 58]

Arbitration and Conciliation Act, 1996 – s.12(5) – s.12(5) and unilateral appointment of an arbitrator:

Held: It is apposite to understand that s.12(5) does not prohibit unilateral appointment of an arbitrator – It provides that whenever an appointment of an arbitrator is hit by the bar u/s.12(5), the arbitrator would be ineligible to act, irrespective of whether the appointment was unilateral or with consent of both parties – In such circumstances, the parties may, in the manner provided under the proviso, waive the ineligibility. [Para 60]

Arbitration and Conciliation Act, 1996 – s.12(5) – Unilateral appointment of a sole arbitrator is *void ab initio*:

Held: The unilateral appointment of a sole arbitrator is *void ab initio*, and the sole arbitrator so appointed is *de jure* ineligible to act as an arbitrator in terms of s.12(5) r/w. the Seventh Schedule of the Act, 1996. [Para 68]

Arbitration and Conciliation Act, 1996 – s.21 – Clarification regarding notice u/s.21 of the Act, 1996:

Held: A notice u/s.21 of the Act, 1996, is an expression to set the arbitration agreement into motion upon arising of disputes between the parties – The section states that the date of commencement of

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

arbitration would be the date on which the recipient receives the notice from the claimant that the dispute be referred to arbitration – The notice acts as a communication that the sender is aggrieved and seeks to invoke the arbitration agreement – It does not, by itself, operate as consent to any appointment to be made in the future. [Para 70]

Arbitration and Conciliation Act, 1996 – Proviso to s.12 (5) – Essentials of the proviso to s.12(5):

Held: i) The parties can waive their right to object under sub-section (5) of s.12; ii) The right to object under the sub-section can be waived only subsequent to a dispute having arisen between the parties; iii) The waiver must be in the form of an express agreement in writing – The proviso to sub-section (5) of s.12 stipulates that parties, after disputes have arisen, must expressly agree in writing to waive the ineligibility of the proposed arbitrator – This impliedly means that the parties are waiving their right to object to the arbitrator's ineligibility in terms of s.12(5) of the Act, 1996. [Paras 75, 76]

Arbitration and Conciliation Act, 1996 – sub-section (5) of s.12 – An express agreement in writing, waiving the bar under sub-section (5) of s.12:

Held: It is only through an express agreement in writing, waiving the bar under sub-section (5) of s.12, that the other party can be said to have voluntarily consented to the unilateral appointment of such an arbitrator – The proviso conveys that the arbitrator, although ineligible to be appointed, yet can continue to perform his functions, as it is oriented towards facilitating party autonomy – Thus, the proviso reinforces party autonomy and equal treatment of parties in arbitration – In other words, even though the appointment had been made by one of the parties, by the act of entering into an agreement in writing, the other party expresses its consent – The manner of the agreement prescribed by the statute demonstrates voluntariness by the parties – The ineligibility of an arbitrator can be waived only by an express agreement in writing – In the present case, there is no agreement in writing, after the disputes arose, waiving the ineligibility of the sole arbitrator or the right to object u/s.12(5) of the Act, 1996. [Paras 81, 82, 89]

Supreme Court Reports

Arbitration and Conciliation Act, 1996 – sub-section (5) of s.12, s.21, s.33 – What cannot be countenanced to mean “an express agreement in writing” within the meaning of the proviso to sub-section (5) of s.12 of the Act, 1996:

Held: A notice invoking the arbitration clause u/s.21 of the Act, 1996, a procedural order, submission of statement of claim by the appellants, the filing an application seeking interim relief, or a reply to an application u/s.33 of the Act, 1996, cannot be countenanced to mean “an express agreement in writing” within the meaning of the proviso to sub-section (5) of s.12 of the Act, 1996. [Para 96]

Arbitration and Conciliation Act, 1996 – s.12(5), s.14 – Where a party is aggrieved by the ineligibility of an arbitrator:

Held: Where a party is aggrieved by the ineligibility of an arbitrator u/s.12(5), it may directly approach the court u/s.14 of the Act, 1996 – There is no doubt that when an arbitrator is ineligible u/s. 12(5), *i.e.*, he lacks inherent jurisdiction to hold the position, his mandate stands automatically terminated, and it is not necessary for the parties to challenge his appointment u/s.12 r/w. s.13 – When such a challenge is made, the court is required to determine whether the arbitrator suffers from *de jure* inability u/s.14(1)(a) of the Act, 1996. [Para 102]

Arbitration and Conciliation Act, 1996 – s.14 and s.15(2) – Terminating mandate of arbitrator and substituting arbitrator:

Held: An application u/s. 14 is made for the purpose of terminating the mandate of the arbitrator, and, consequently, a substitute arbitrator is appointed in terms of s.15(2) – As regards where the mandate of the arbitrator has been terminated with the consent of both the parties u/s. 15(1)(b), it is not required for the parties to approach the court to seek termination of the mandate of the arbitrator, because it has been terminated by the parties themselves – The substitution of the arbitrator is sought because the termination of mandate of the arbitrator does not result in the termination of arbitral proceedings – The proceedings remain intact, only the composition of the arbitral tribunal changes. [Paras 103, 104]

Arbitration and Conciliation Act, 1996 – s.34 – Challenge to the ineligibility of the arbitrator after arbitral award has been passed:

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

Held: When an award has been passed, the proceedings before the arbitral tribunal conclude, leaving no possibility of substituting the arbitrator at this stage – In other words, once an award is passed, the mandate of the arbitral tribunal also arrives at a conclusion – In such circumstances, a party aggrieved by the arbitrator's ineligibility may challenge the award by filing an application u/s.34 of the 1996 Act, as an award passed by an ineligible arbitrator is nullity, *non-est*, or *void ab initio*, and against the public policy of India. [Para 109]

Arbitration and Conciliation Act, 1996 – Challenge to the ineligibility of the arbitrator at any stage of the proceedings:

Held: A challenge to an arbitrator's ineligibility could be raised at any stage because an award passed in such circumstance is *non-est*, i.e., it carries no enforceability or recognition in law. [Para 113]

Arbitration and Conciliation Act, 1996 – s.12(5) – Obligation upon the arbitrator:

Held: An arbitrator is better equipped with the position of law on appointments, more particularly, unilateral appointments – Therefore, it becomes incumbent upon the arbitrator that upon entering reference and at the very first hearing, to ensure from the parties that they are willing to participate in the proceedings and to insist upon a written agreement waiving the requirement of s.12(5) of the Act, 1996. [Para 121]

Arbitration and Conciliation Act, 1996 – When party does not appear despite receipt of notice:

Held: If any party does not appear despite receipt of notice, the arbitrator shall not proceed further and shall immediately withdraw from the arbitral proceedings – The arbitrator must, along with the waiver agreement, record the minutes even when the parties are cooperating – This would certainly save time and avoid multiplicity of proceedings. [Para 122]

Case Law Cited

Dharma Prathishthanam v. Madhok Construction (P) Ltd. [2004] Supp. 5 SCR 866 : (2005) 9 SCC 686; *TRF Ltd. v. Energo Engineering Projects Ltd.* [2017] 7 SCR 409 : (2017) 8 SCC 377; *Bharat Broadband Network Ltd. v. United Telecoms Ltd.* [2019] 6 SCR 97 : (2019) 5 SCC 755; *Perkins Eastman Architects DPC*

Supreme Court Reports

& Anr. v. HSCC (India) Ltd. [2019] 17 SCR 275 : (2020) 20 SCC 760; *Lombardi Engg. Ltd. v. Uttarakhand Jal Vidyut Nigam Ltd.* [2023] 12 SCR 943 : (2024) 4 SCC 341; *Central Organization for Railway Electrification v. ECI SPIR SMO MCML (JV) A Joint Venture Company* [2024] 11 SCR 2173 : (2025) 4 SCC 641 (CORE II); *HRD Corpn v. GAIL (India) Ltd.* [2017] 11 SCR 857 : (2018) 12 SCC 471 – relied on.

Lion Engineering Consultants v. State of Madhya Pradesh [2018] 6 SCR 683 : (2018) 16 SCC 758; *Hindustan Zinc Ltd. v. Ajmer Vidyut Vitran Nigam Ltd.* [2019] 15 SCR 113 : (2019) 17 SCC 82; *Board of Control for Cricket in India v. Kochi Cricket Pvt. Ltd. & Ors.* [2018] 2 SCR 829 : (2018) 6 SCC 287; *State of Punjab v. Davinder Pal Singh Bhullar* [2011] 15 SCR 540 : (2011) 14 SCC 770; *Hindustan Construction Co. Ltd. v. Bihar Rajya Pul Nirman Nigam Ltd.*, 2025 SCC OnLine SC 2578; *Chennai Metro Rail Ltd. v. Transtonnelstroy Afcons (JV)* [2023] 14 SCR 995 : (2024) 6 SCC 211; *Hira Lal Patni v. Kali Nath* [1962] 2 SCR 747 : 1961 SCC OnLine SC 42; *Hindustan Zinc Ltd. v. Ajmer Vidyut Vitran Nigam Ltd.* [2019] 15 SCR 113 : (2019) 17 SCC 82 – referred to.

Kotak Mahindra Bank Ltd. v. Narendra Kumar Prajapat, 2023 SCC OnLine Del 3148; *McLeod Russel India Ltd. & Ors. v. Aditya Birla Finance Ltd. & Ors.*, 2023 SCC OnLine Cal 330; *Anuj Kumar v. Franchise India Brands Ltd.*, 2023 SCC OnLine Del 2560; *Lite Bite Foods Pvt. Ltd. v. AAI*, 2019 SCC OnLine Bom 5163; *Clarke Energy India Pvt. Ltd. v. SAS EPC Solution Pvt. Ltd. & Anr.*, 2021 SCC OnLine Mad 6121; *Man Industries (India) Ltd. v. Indian Oil Corporation Ltd.*, 2023 SCC OnLine Del 3537; *Govind Singh v. Satya Group Pvt. Ltd.*, 2023 SCC OnLine Del 37; *Alpro Industries v. Ambience (P) Ltd.*, 2025 SCC OnLine Del 8373; *Bhim Bahadur v. Vikram Singh*, 2015 SCC OnLine Utt 1563 – referred to.

List of Acts

Arbitration and Conciliation Act, 1996.

List of Keywords

Section 12(5) of Arbitration and Conciliation Act, 1996; Seventh Schedule of the Arbitration and Conciliation Act, 1996; Proviso to Section 12(5) of Arbitration and Conciliation Act, 1996; Section 14 of Arbitration and Conciliation Act, 1996; Section 34 of Arbitration and Conciliation Act, 1996; Unilateral Appointment; *De Jure* Ineligibility;

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

Doctrine of Inherent Lack of Jurisdiction; Waiver; Equal Treatment of Parties; Neutrality; Impartiality; Arbitrator; Notice; Agreement in writing; Arbitration agreement; Sole arbitrator; Arbitral Tribunal.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 37-38 of 2026

From the Judgment and Order dated 11.02.2025 of the High Court of Delhi at New Delhi in FAO(OS) (COMM) Nos. 23 and 24 of 2025

Appearances for Parties

Advs. for the Appellant(s):

Navin Pahwa, Ashish Mohan, Sr. Advs., Akshit Mago, Akshit Pradhan.

Advs. for the Respondent(s):

Parag Tripathi, Sr. Adv., Sonal K Singh, Ayan De, Shivang Singh, Anmol Adhrit, Ms. Sukanya Lal.

Judgment / Order of the Supreme Court

Judgment

J.B. Pardiwala, J.

For the convenience of exposition, this judgment is divided into the following parts:-

INDEX*

I.	FACTUAL MATRIX	3
II.	JUDGMENT OF THE SINGLE JUDGE ON APPLICATION UNDER SECTION 34 OF THE ACT, 1996	8
III.	IMPUGNED JUDGMENT	9
IV.	SUBMISSIONS ON BEHALF OF THE APPELLANTS	11
V.	SUBMISSIONS ON BEHALF OF THE RESPONDENT	14

* Ed. Note: Pagination as per the original Judgment.

Supreme Court Reports

VI. ISSUES FOR CONSIDERATION	16
VII. ANALYSIS	17
i. Whether the sole arbitrator could be said to have become “ineligible to be appointed as an arbitrator” by virtue of sub-section (5) of Section 12 of the Act, 1996?	17
a. Interplay between Equal Treatment of Parties and Party Autonomy	17
b. Scope and Application of sub-section (5) of Section 12 of the Act, 1996	21
c. Appointment of the sole arbitrator in light of sub-section (5) of Section 12 of the Act, 1996	26
d. De Jure inability of the arbitrator to perform his functions	35
ii. Whether the parties could be said to have waived the applicability of sub-section (5) of Section 12 of the Act, 1996, by way of their conduct, either expressed or implied?	40
a. Meaning and Import of the expression “express agreement in writing” used in proviso to sub-section (5) of Section 12 of the Act, 1996	41
b. “Statement of Claim” as a parameter of waiver	49
c. “Extension of Time” under Section 29A of the Act, 1996 as a parameter of waiver	50
d. “Continued Participation” as a parameter of waiver	52
iii. Whether the appellants could have raised an objection to the appointment of the sole arbitrator for the first time in an application under Section 34 of the Act, 1996?	54
a. Challenge to the ineligibility of the arbitrator during the proceedings	55
b. Challenge to the ineligibility of the arbitrator after arbitral award has been passed	60
c. Challenge to the ineligibility of the arbitrator at any stage of the proceedings	64
VIII. CONCLUSION	70

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

1. Leave granted.
2. Since the issues raised in both the captioned appeals are the same, the parties are same, and the challenge is also to the self-same judgment and order passed by the High Court, those were taken up for hearing analogously and are being disposed of by this common judgment and order.
3. These appeals arise from the common judgment and order dated 11.02.2025 passed by a Division Bench of the High Court of Delhi in FAO(OS) (COMM) Nos. 23 and 24 of 2025 respectively (hereinafter, the “**Impugned Judgment**”), by which the appeals filed by the appellants herein under Section 37 of the Arbitration and Conciliation Act, 1996 (for short, the “**Act, 1996**”) came to be dismissed thereby affirming the order dated 19.02.2022 passed by a learned Single Judge of the High Court in OMP (COMM) Nos. 414 and 415 of 2018 respectively under Section 34 of the Act, 1996 (hereinafter, the “**Single Judge**”) dismissing the preliminary objection raised by the appellants as regards unilateral appointment of a sole arbitrator by the respondent.

I. FACTUAL MATRIX

4. The facts giving rise to the appeals may be summarized as under:-
 - i. The appellant no. 1 and appellant no. 2, viz. Bhadra International (India) Pvt. Ltd., and Novia International Consulting Aps, respectively executed an agreement to form a joint consortium namely Bhadra International (India) Pvt. Ltd. and Novia International Consulting Aps, for the purposes of undertaking ground handling services at various airports in India. The consortium is the appellant no. 3 before us.
 - ii. The respondent (Airports Authority of India) floated two tender notices inviting tenders for appointment of an agency for ground handling services at some airports. In response to these notices, the appellant no. 3 emerged as the successful bidder. Pursuant to the two notices, the parties executed two License Agreement dated 29.11.2010 (“**License Agreement**”). As per the License Agreement, the appellant no. 3 was permitted to provide ground handling services at the specified airports.

Supreme Court Reports

- iii. The aforesaid License Agreement, more particularly, Clause 78 provided that in the event of any dispute or difference arising out of the said license agreement the same would have to be resolved through arbitration. The said clause read as under:-

“78. All disputes and differences, arising out of or, in any way, touching or concerning this Agreement, (except those the decision whereof is otherwise hereinbefore expressly provided for or to which the Public Premises (Eviction of Unauthorised Occupants) Act, 1971 and the rules framed hereunder which are now in force or which may hereafter come in to force, are applicable) shall be referred to the sole arbitration of a person, to be appointed by the Chairman of the Authority or, in case the designation of Chairman is changed or his office is abolished, by the person, for the time being entrusted, whether or not, in addition to other functions, with the functions of the Chairman, Airports Authority of India, by whatever designation such person may be called, and, if the Arbitrator, so appointed, is unable or unwilling to act, to the sole arbitrations or some other person to be similarly appointed. It will be no objection to such appointment that the Arbitrator so appointment is a servant of the Authority, that he had to deal with the matters to which this Agreement relates and that in the course of his duties, as such servant of the Authority, he had expressed views on all or any of the matters in dispute or differences. The award of the arbitrator, so appointment, shall be final and binding on the Parties. The Arbitrator may, with the consent of the parties, enlarge, from time to time, the time for making and publishing the award. The venue of the arbitration shall be at New Delhi.”

(Emphasis is ours)

- iv. On 23.10.2015, the Arbitration and Conciliation (Amendment) Act, 2015 came into effect (for short, “**the Amendment Act, 2015**”), by which sub-section (5) was inserted into Section 12. The provision reads thus:-

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

"[(5) Notwithstanding any prior agreement to the contrary, any person whose relationship, with the parties or counsel or the subject-matter of the dispute, falls under any of the categories specified in the Seventh Schedule shall be ineligible to be appointed as an arbitrator:

Provided that parties may, subsequent to disputes having arisen between them, waive the applicability of this sub-section by an express agreement in writing.]"

- v. Sometime, in the year 2015, various disputes cropped up between the appellants and the respondent herein. Accordingly, the appellants vide notice dated 27.11.2015 invoked the arbitration clause and requested the respondent to appoint an arbitrator in terms of Clause 78 of the aforesaid License Agreement. The relevant part of the notice reads thus:-

"We also like to bring out most humbly that it is incumbent upon the Chairman AAI to appoint the Sole Arbitrator within a reasonable time, least we might not be left with no recourse, but to seek a relief under Section 11, Sub Section 6, Chapter III of the Arbitration & Reconciliation Act 1996."

- vi. On 22.03.2016, the sole arbitrator passed the first procedural order recording that none of the parties had any objection to his appointment. The procedural order reads thus:-

"PROCEDURAL ORDER NO. 1

With

*Minutes of, and the Directions made at, the
hearing on 22.03.2016 at 1:00 pm*

*[AT D-247 (Basement), Defence Colony, New
Delhi-110024]*

This preliminary meeting of the Tribunal was held D-247 (Basement), Defence Colony, New Delhi-110024 on 22nd March, 2016 at 1:00 PM. None of the parties have any objection to my appointment as the Sole Arbitrator. I declare that I have no interest

Supreme Court Reports

in any of the Parties, or in the disputes referred to the Sole Arbitrator.[...]

(Emphasis supplied)

- vii. At the joint request of the parties, two applications were filed under Section 29A of the Act, 1966, seeking extension of time for the completion of the proceedings. On both the occasions, the applications were allowed by the High Court.
- viii. Ultimately, the sole arbitrator passed the arbitral awards dated 30.07.2018 whereby the claims and counter-claims of the respective parties were rejected. In effect, the arbitrator passed a 'Nil' award.
- ix. Aggrieved by the dismissal of its claim, the appellants challenged the award by filing applications under Section 34 of the Act, 1996, bearing O.M.P. (COMM) Nos. 414 and 415 of 2018 respectively, before the Single Judge of the High Court.
- x. Thereafter, by way of applications bearing I.A. Nos. 1834 and 1842 of 2022 respectively, the appellants sought to amend the aforesaid applications to contend that since the arbitrator was appointed unilaterally, the award was liable to be set aside (**"Amendment Application"**).
- xi. The aforesaid applications filed by the appellants came to be rejected by the Single Judge *vide* order dated 24.12.2024.
- xii. Being aggrieved by the aforesaid, the appellants preferred appeals under Section 37 of the Act, 1996, bearing FAO(OS) (COMM) Nos. 23 and 24 of 2025 respectively, seeking to challenge the judgment and order passed by a learned Single Judge. The said appeals came to be dismissed *vide* the impugned judgment.
- xiii. In such circumstances referred to above, the appellants are here before this Court with the present appeals.

II. JUDGMENT OF THE SINGLE JUDGE ON APPLICATION UNDER SECTION 34 OF THE ACT, 1996

- 5. Aggrieved by the awards passed by the sole arbitrator, the appellants filed applications under Section 34 of the Act, 1996, raising the

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

preliminary objection that since the appointment of the sole arbitrator was made unilaterally by the respondent, the award was liable to be set aside.

6. The learned Single Judge held that the appointment of the arbitrator was in accordance with the procedure agreed upon by the parties under Clause 78 of the License Agreement. Consequently, it rejected the challenge to the appointment of the sole arbitrator on the following grounds:-
 - i. *First*, it observed that the sole arbitrator appointed by the respondent did not suffer from any disqualification under the Fifth or Seventh Schedule read with Section 12(5) of the Act, 1996. The parties themselves had agreed to the procedure of appointment. Moreover, the appellants did not raise any objection regarding the independence and impartiality of the arbitrator. Accordingly, the appointment of the arbitrator could not have been belatedly called into question.
 - ii. *Secondly*, on the issue of waiver, the learned Single Judge observed that the *proviso* to Section 12(5) of the Act, 1996, stipulates the requirement of clear and positive manifestation of waiver in writing. It observed that mere participation in the arbitral proceedings without raising any objection would not constitute an express waiver in writing as per the requirement of the *proviso*. However, it arrived at the conclusion that the first procedural order passed by the sole arbitrator explicitly recorded that parties had no objection to his appointment.
 - iii. Thus, according to the learned Single Judge, the appellants could be said to have waived the applicability of Section 12(5) by not raising an objection before the sole arbitrator in the first procedural order.

III. IMPUGNED JUDGMENT

7. Feeling aggrieved and dissatisfied with the order passed by the learned Single Judge dismissing the preliminary objection in so far as the appointment of the sole arbitrator, the appellants preferred appeals under Section 37 of the Act, 1996.
8. The High Court, in its impugned judgment, held that the appointment of the sole arbitrator was not unilateral, as the respondent had proceeded

Supreme Court Reports

to appoint arbitrator only pursuant to the written request made by the appellants. Therefore, it could not be said that the appellants had not consented to the appointment. The High Court further noted that the sole arbitrator had expressly obtained the consent of the parties, and at no point of time the appellants asserted that their consent was incorrectly recorded or that they had not consented.

9. The High Court observed that the appellants continued to participate in the arbitral proceedings without raising any objection. It also observed that the challenge to the jurisdiction of the arbitrator was not raised in the first instance but rather made belatedly through the Amendment Application.
10. The appellants had argued before the High Court that prior to the insertion of sub-section (5) they had no occasion to challenge the appointment of the sole arbitrator. Such a challenge, according to them, could have been raised only after the introduction of sub-section (5) of Section 12. However, the High Court held that it was immaterial as to when the amendment was introduced. The High Court took the view that, the appellants by their conduct could be said to have submitted to the jurisdiction of the sole arbitrator.
11. In the aforesaid context, the High Court observed the fact that the appellants had called upon the respondent to appoint an arbitrator, the sole arbitrator was accordingly appointed, and having unequivocally consented to the arbitral proceedings had no bearing on the insertion of the provision through an amendment. It was further observed that even after the introduction of sub-section (5), the arbitral proceedings continued for more than two years, still the appellants did not, at any stage, raise an objection.
12. Lastly, the High Court observed that the case of the appellants cannot be equated with cases in which an objection to the appointment of the arbitrator have been raised throughout the proceedings, or at every stage.

IV. SUBMISSIONS ON BEHALF OF THE APPELLANTS

13. Mr. Navin Pahwa, the learned Senior Counsel appearing for the appellants would argue that the sole arbitrator was ineligible to act as an arbitrator as he was unilaterally appointed by the Chairman of the respondent. Such an appointment was *void ab initio* and *non-est* in law, and therefore, the arbitral awards would be a nullity. He relied

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

on the decision of this Court in **Bharat Broadband Network Ltd. v. United Telecoms Ltd.**, reported in (2019) 5 SCC 755, to submit that an appointment made by an ineligible person is *void ab initio*.

14. In the same breath, Mr. Pahwa submitted that since the appointment of the arbitrator was *void*, the proceedings conducted pursuant to such appointment would also be a nullity. As a result, the awards passed by the sole arbitrator would also be contrary to the public policy of India, and thus, liable to be set aside.
15. He further submitted that where the right to appoint a sole arbitrator rests solely with one party, that party's choice would inevitably carry an element of exclusivity in determining the course of the arbitration. To fortify his submission, he relied on the decision of this Court in **TRF Ltd. v. Energo Engineering Projects Ltd.**, reported in (2017) 8 SCC 377. He submitted that a Managing Director, ineligible to act as an arbitrator under Section 12(5) read with Seventh Schedule of the Act, 1996, could not have appointed an arbitrator or nominate any other person to be an arbitrator.
16. He highlighted that this Court has affirmed the decision in **TRF (supra)** in **Perkins Eastman Architects DPC & Anr. v. HSCC (India) Ltd.**, reported in (2020) 20 SCC 760. In the present case, the Chairman of the respondent was ineligible to act as an arbitrator by virtue of Items 1, 5, and 12 of the Seventh Schedule respectively. Consequently, any arbitrator appointed by such an ineligible person would be, by operation of law, equally ineligible to act as an arbitrator.
17. It was further submitted that an objection to the unilateral appointment may be raised at any stage, including for the first time in Section 34 proceedings. He added that the appellants by participating in the proceedings did not waive their right to raise an objection in terms of the *proviso* to Section 12(5) of the Act, 1996. To fortify his submission, he relied on the decision in **Lion Engineering Consultants v. State of Madhya Pradesh**, reported in (2018) 16 SCC 758, **Hindustan Zinc Ltd. v. Ajmer Vidyut Vitran Nigam Ltd.**, reported in (2019) 17 SCC 82, **Kotak Mahindra Bank Ltd. v. Narendra Kumar Prajapat**, reported in 2023 SCC OnLine Del 3148 respectively.
18. Mr. Pahwa further submitted that the *proviso* to Section 12(5) makes it limpid that ineligibility of an arbitrator could only be waived by an "*express agreement in writing*" between the parties, and such an agreement must be entered into after disputes have arisen. To

Supreme Court Reports

make good his case, Mr. Pahwa placed reliance on the decisions of this Court in **Bharat Broadband** (*supra*) and **Central Organization for Railway Electrification v. ECI SPIR SMO MCML (JV) A Joint Venture Company**, reported in (2025) 4 SCC 641 (“**CORE II**”).

19. He would submit that the law requires a conscious waiver, reduced into writing and signed by both parties. In this regard, he submitted that mere participation in proceedings, filing of statement of claim, silence, or not objecting to the appointment is insufficient to constitute a waiver. In the present case, the notice of invocation of arbitration, or not objecting in the first procedural order, or participating in the proceedings, or filing application under Sections 17 or 29A respectively would not amount to an “*express agreement in writing*”.
20. In such circumstances referred to above, the learned Senior Counsel appearing for the appellants-claimants would submit that there being merit in his appeals, the same may be allowed and the impugned judgment passed by the High Court may be set aside.

V. SUBMISSIONS ON BEHALF OF THE RESPONDENT

21. Mr. Parag Tripathi, the learned Senior Counsel appearing for the respondent would submit that no error, not to speak of any error of law, could be said to have been committed by the High Court in passing the impugned judgment.
22. Mr. Tripathi submitted that the limited question that falls for the consideration of this Court is whether the present case falls within the *proviso* to Section 12(5) of the Act, 1996. In other words, whether there was a waiver by an “*express agreement in writing*”.
23. He submitted that the first procedural order recording the consent of the appellants would constitute an “*express agreement in writing*” as per the *proviso* as it was subsequent to the dispute arising between the parties. Mr. Tripathi emphasized that the provision does not provide a format for an “*express agreement*”. He added that in so far as proposal or acceptance of any promise is made in words, the promise is said to be express. To make good this submission, he relied on the decision in the case of **Bharat Broadband** (*supra*).
24. It was further submitted that no objection/consent of the appellants recorded in the first procedural order acts as an acknowledgment in writing with respect to the qualifications as well as the appointment

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

of the sole arbitrator. The appellants had also filed their statement of claim before the sole arbitrator. This is suggestive of the fact that the appellants in explicit terms had submitted to the jurisdiction of the sole arbitrator, and agreed to get the dispute resolved by the sole arbitrator.

25. Mr. Tripathi relied on **McLeod Russel India Ltd. & Ors. v. Aditya Birla Finance Ltd. & Ors.**, reported in **2023 SCC OnLine Cal 330**, and **Anuj Kumar v. Franchise India Brands Ltd.**, reported in **2023 SCC OnLine Del 2560**, to submit that the contents of pleadings or communication constitute an express agreement in writing, and the decision in **Anuj Kumar** (*supra*) is not in conflict with the decision of this Court in **Bharat Broadband** (*supra*).
26. Mr. Tripathi further submitted that although sub-section (5) of Section 12 read with Seventh Schedule of the Act, 1996 was introduced during the pendency of the arbitral proceedings, yet the appellants chose not to raise an objection to the appointment of the sole arbitrator. Accordingly, he submitted that the appellants did not raise any objection as to the constitution, appointment, jurisdiction, independence or impartiality of the sole arbitrator under Sections 13, 14, or 16 of the Act, 1996, respectively throughout the proceedings.
27. He added that the appellants raised the objection to the appointment of the sole arbitration only by way of an amendment to the Section 34 application. The appellants did so as an afterthought, more than three years after filing the said application.
28. In such circumstances referred to above, the learned Senior Counsel prayed that there being no merit in the appeals, the same may be dismissed.

VI. ISSUES FOR CONSIDERATION

29. Having heard the learned counsel appearing for the parties and having gone through the materials on record, the following questions fall for our consideration:-
 - i. Whether the sole arbitrator could be said to have become “*ineligible to be appointed as an arbitrator*” by virtue of sub-section (5) of Section 12 of the Act, 1996?
 - ii. Whether the parties could be said to have waived the applicability of sub-section (5) of Section 12 of the Act, 1996, by way of their conduct, either expressed or implied?

Supreme Court Reports

- iii. Whether the appellants could have raised an objection to the appointment of the sole arbitrator for the first time in an application under Section 34 of the Act, 1996?

VII. ANALYSIS

i. **Whether the sole arbitrator could be said to have become “*ineligible to be appointed as an arbitrator*” by virtue of sub-section (5) of Section 12 of the Act, 1996?**

- 30. It was submitted on behalf of the appellants herein that the sole arbitrator appointed by the Chairman of the respondent was ineligible to act as an arbitrator as he was appointed unilaterally. Further, such an appointment was *void ab initio* and *non-est* in law.
- 31. On the aforesaid issue, the High Court, in its impugned judgment, held that the appointment of the sole arbitrator was not unilateral, as the respondents had proceeded to appoint the arbitrator only pursuant to the written request of the appellants. Therefore, the notice invoking arbitration operated as the appellants’ consent to the appointment of the arbitrator.

a. **Interplay between Equal Treatment of Parties and Party Autonomy**

- 32. In order to address this issue, we shall first look into Section 18 of the Act, 1996. It reads thus:-

“18. Equal treatment of parties.—The parties shall be treated with equality and each party shall be given a full opportunity to present this case.”

- 33. Section 18 outlines two principles: *first*, equal treatment of parties; and *secondly*, right to a fair hearing. The principle of equal treatment of parties applies not only to the arbitral proceedings, but also to the procedure for appointment of arbitrators. The section casts a responsibility on the arbitrator to act impartially, objectively, and without bias, and also on the parties to adhere to standards of fairness. The principle of ‘equal treatment of the parties’ means that the parties must have the possibility of participating in the constitution of the arbitral tribunal on equal terms.
- 34. Equal participation of the parties in the process of appointment of arbitrators entails that the contracting parties have an equal say in the

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

constitution of the arbitral tribunal. Such participation eliminates the likelihood of challenges to the arbitrator at a later stage. It is needless to say that independence and impartiality in arbitral proceedings would be served only when the parties participate equally at all stages.

35. It would be apposite to refer to the following observations of P.S. Narasimha, J., in **CORE II** (*supra*):-

“Distinct duties of arbitrators and arbitrating parties

231. There are two distinct obligations. The first is the obligation of the parties to the agreement, and the second is the neutrality and objectivity that an arbitrator must maintain. The obligations on the parties to the arbitration agreement to constitute an independent and impartial Arbitral Tribunal is distinct from the objectivity and impartiality that an arbitrator(s) must himself maintain. The foundation of the former is within the statutory framework, coupled with certain public policy considerations. The latter is simply the duty to act judicially, it is not superimposed by any statute or public policy, but arises because of the very nature of the calling i.e. to judge what is right and what is wrong.[...]”

(Emphasis supplied)

36. The principle of equal treatment of parties is not new to the arbitration regime in India. It has long been recognised that equal participation in the constitution of the arbitral tribunal is integral in ensuring impartiality and preserving fairness of the arbitral process. Even prior to the Amendment Act, 2015, this Court in **Dharma Prathishthanam v. Madhok Construction (P) Ltd.**, reported in (2005) 9 SCC 686, held that a unilateral appointment, without the consent of the other party is illegal and alien to law. The relevant observations read thus:-

“12. On a plain reading of the several provisions referred to hereinabove, we are clearly of the opinion that the procedure followed and the methodology adopted by the respondent is wholly unknown to law and the appointment of the sole arbitrator Shri Swami Dayal, the reference of disputes to such arbitrator and the ex parte proceedings and award given by the arbitrator are all void ab initio and

Supreme Court Reports

hence nullity, liable to be ignored. In case of arbitration without the intervention of the court, the parties must rigorously stick to the agreement entered into between the two. If the arbitration clause names an arbitrator as the one already agreed upon, the appointment of an arbitrator poses no difficulty. If the arbitration clause does not name an arbitrator but provides for the manner in which the arbitrator is to be chosen and appointed, then the parties are bound to act accordingly. If the parties do not agree then arises the complication which has to be resolved by reference to the provisions of the Act. One party cannot usurp the jurisdiction of the court and proceed to act unilaterally. A unilateral appointment and a unilateral reference — both will be illegal. It may make a difference if in respect of a unilateral appointment and reference the other party submits to the jurisdiction of the arbitrator and waives its rights which it has under the agreement, then the arbitrator may proceed with the reference and the party submitting to his jurisdiction and participating in the proceedings before him may later on be precluded and estopped from raising any objection in that regard.[...]

(Emphasis supplied)

37. What flows from the aforesaid is that the principle of equal treatment of parties which has always formed part of the Act, 1996, has been articulated with greater clarity and precision by the legislature through the Amendment Act, 2015. The Amendment Act, 2015, just crystallizes what was previously implicit. It makes the statutory guarantee of equal treatment in the process of appointment of the arbitrator explicit.
38. One another good reason to hold the aforesaid is that, although Section 11(2) of the Act, 1996, stipulates that the parties are free to agree on a procedure for appointing the arbitrator or arbitrators, yet this freedom is not unbridled. The exercise of party autonomy must operate within the framework of the Act, 1996. In case of conflict, mandatory provisions of the Act, 1996, prevail over the arbitration agreement.
39. The principle of party autonomy does not obliterate the principle of equal treatment of the parties, either in the procedure for appointment

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

of arbitrators or in the arbitral proceedings. The exercise of party autonomy has to be in consonance with the principles of equal treatment of parties, which impliedly include the independence and impartiality of arbitrators.

b. Scope and Application of sub-section (5) of Section 12 of the Act, 1996

40. The Amendment Act, 2015, was introduced with the objective of ensuring neutrality of an arbitrator when he is approached in connection with a possible appointment. Therefore, with a view to inculcate the principles of independence and impartiality, the Amendment Act, 2015, brought amendments, *inter alia*, to Section 12 of the Act, 1996. The amended section reads thus:-

“12. Grounds for challenge.—4 [(1) When a person is approached in connection with his possible appointment as an arbitrator, he shall disclose in writing any circumstances,—

(a) such as the existence either direct or indirect, of any past or present relationship with or interest in any of the parties or in relation to the subject-matter in dispute, whether financial, business, professional or other kind, which is likely to give rise to justifiable doubts as to his independence or impartiality; and

(b) which are likely to affect his ability to devote sufficient time to the arbitration and in particular his ability to complete the entire arbitration within a period of twelve months.

Explanation1.—The grounds stated in the Fifth Schedule shall guide in determining whether circumstances exist which give rise to justifiable doubts as to the independence or impartiality of an arbitrator.

Explanation 2.—The disclosure shall be made by such person in the form specified in the Sixth Schedule.]

(2) An arbitrator, from the time of his appointment and throughout the arbitral proceedings, shall, without delay, disclose to the parties in writing any circumstances referred to in sub-section (1) unless they have already been informed of them by him.

Supreme Court Reports

(3) An arbitrator may be challenged only if—

(a) circumstances exist that give rise to justifiable doubts as to his independence or impartiality, or

(b) he does not possess the qualifications agreed to by the parties.

(4) A party may challenge an arbitrator appointed by him, or in whose appointment he has participated, only for reasons of which he becomes aware after the appointment has been made.

[(5) Notwithstanding any prior agreement to the contrary, any person whose relationship, with the parties or counsel or the subject-matter of the dispute, falls under any of the categories specified in the Seventh Schedule shall be ineligible to be appointed as an arbitrator:

Provided that parties may, subsequent to disputes having arisen between them, waive the applicability of this sub-section by an express agreement in writing.]

41. Sub-section (1) of Section 12 stipulates that when a person is approached to be an arbitrator, he must disclose in writing any circumstance which may fall under clauses (a) and (b) of sub-section (1) respectively. Clause (a) relates to circumstances that may give rise to justifiable doubts as to his independence or impartiality. Whereas, clause (b) relates to disclosures about the person's ability to devote sufficient time to the arbitration and to complete the proceedings within the prescribed time period.
42. For disclosure under clause (a), the Fifth Schedule, consisting of 34 items, is of aid. The items enumerated in the Fifth Schedule provides for the circumstances that may give rise to justifiable doubts about an arbitrator's independence or impartiality after appointment.
43. While the information required to be disclosed under clause (b) is personal to the individual and could be disclosed only by him. The disclosure has to be made in the form specified in the Sixth Schedule, and has to be made by all proposed arbitrators. It is noteworthy to mention that sub-section (1) comes into application prior to the appointment of a person as an arbitrator.

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

44. Sub-section (2) of Section 12 states that from the appointment of the arbitrator and throughout the arbitral proceedings, the arbitrator must, without delay, disclose in writing any circumstance referred to in sub-section (1) that arises after his appointment. However, if the arbitrator has already informed the parties of the said circumstance earlier, he is not required to make a disclosure again.
45. Sub-section (3) of Section 12 lays down two grounds for challenge to appointment of an arbitrator: *first*, if any circumstances exist that give rise to justifiable doubts about an arbitrator's independence or impartiality. *Secondly*, if the arbitrator does not possess the qualifications agreed to by the parties. Sub-section (4) prescribes a caution. It states that a challenge to the appointment of an arbitrator could be maintained only on the grounds that were not disclosed during or after the appointment.
46. Sub-section (5) of Section 12 states that any person whose relationship with the parties or counsel, or the subject-matter of the dispute, falls under any of the grounds mentioned in the Seventh Schedule would be ineligible to be appointed as an arbitrator. It invalidates any prior agreement to the contrary, i.e., an agreement providing for appointment of an arbitrator who would become ineligible on the application of sub-section (5). The *proviso* to the sub-section provides that after dispute arises between the parties, they may waive the applicability of this provision by entering into an express agreement in writing.
47. The Seventh Schedule lists 19 items, which also form part of the 34 items of the Fifth Schedule. In other words, the Seventh Schedule is a subset of the Fifth Schedule. It is the duty of an arbitrator to keep in mind the items enlisted in the Fifth Schedule and make a disclosure in accordance with the Sixth Schedule. Out of the said 34 items, the legislature has placed 19 items in the Seventh Schedule which make an arbitrator ineligible for appointment. We clarify with a view to obviate any confusion that the Seventh Schedule applies irrespective of whether the appointment has been made unilaterally.
48. If any entry in the Seventh Schedule is attracted, the consequences under Section 12(5) follow. In such circumstances, the disclosure made by the arbitrator does not save the mandate of the arbitrator, and an agreement referred to in the *proviso* assumes importance.

Supreme Court Reports

We shall discuss the scope and application of the sub-section (5), as well as its *proviso*, in more detail in the latter part of this judgment.

49. We may now proceed to address the aforesaid issue. There have been submissions by the parties on the applicability of the Amendment Act, 2015, to the present case as the parties executed the License Agreement in 2010. Section 26 of the Amendment Act, 2015, makes it limpid that the Amendment Act, 2015, would apply to arbitral proceedings commenced on or after 23.10.2015. It is a well settled position of law that in the absence of any contrary stipulation in the agreement, arbitral proceedings commence when a notice invoking arbitration is received by the respondent. [See: ***Board of Control for Cricket in India v. Kochi Cricket Pvt. Ltd. & Ors.*, (2018) 6 SCC 287**]
50. In the present case, the parties have not agreed to a different commencement date. As a *sequitur*, the date of commencement of the arbitral proceedings was 27.11.2015, i.e., when the notice invoking arbitration was received by the respondent. Thus, the Amendment Act, 2015, more particularly, sub-section (5) of Section 12 of the Act, 1996, would apply to the matter at hand.

c. Appointment of the sole arbitrator in light of sub-section (5) of Section 12 of the Act, 1996

51. There is a conspectus of decisions of this Court which lay down that, Section 12 was amended with the objective of ensuring independence and impartiality of arbitrators. By virtue of sub-section (5) of Section 12, any person whose relationship with the parties or counsel, or the dispute, whether direct or indirect, falls within any of the categories specified in the Seventh Schedule is rendered ineligible to be appointed as an arbitrator. We need not discuss all the decisions, but rather intend to refer and rely upon only a few of them.
52. In ***TRF*** (*supra*), the arbitration agreement stated that any dispute or difference between the parties in connection with the agreement shall be referred to the sole arbitration of the Managing Director or his nominee. The issue before this Court was whether the Managing Director, after becoming ineligible by operation of law, is still eligible to *nominate* an arbitrator.

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

In this context, a three Judge Bench of this Court categorically held that if any person falls under any of the categories mentioned in the Seventh Schedule, he would be ineligible to be appointed as an arbitrator. In the facts of the case, it was held that the Managing Director, by virtue of sub-section (5) of Section 12, acquired the disqualification under the Seventh Schedule. Thus, as he became ineligible by operation of law to act as an arbitrator, he could not have nominated another person as an arbitrator. The relevant observations read thus:-

“54. In such a context, the fulcrum of the controversy would be, can an ineligible arbitrator, like the Managing Director, nominate an arbitrator, who may be otherwise eligible and a respectable person. As stated earlier, we are neither concerned with the objectivity nor the individual respectability. We are only concerned with the authority or the power of the Managing Director. By our analysis, we are obligated to arrive at the conclusion that once the arbitrator has become ineligible by operation of law, he cannot nominate another as an arbitrator. The arbitrator becomes ineligible as per prescription contained in Section 12(5) of the Act. It is inconceivable in law that person who is statutorily ineligible can nominate a person. Needless to say, once the infrastructure collapses, the superstructure is bound to collapse. One cannot have a building without the plinth. Or to put it differently, once the identity of the Managing Director as the sole arbitrator is lost, the power to nominate someone else as an arbitrator is obliterated. Therefore, the view expressed by the High Court is not sustainable and we say so.”

(Emphasis supplied)

53. In a similar fact situation wherein the arbitration agreement empowered the Chairman and Managing Director of the respondent to *appoint* a sole arbitrator, the issue before this Court in **Bharat Broadband** (*supra*) was whether the CMD, after becoming ineligible by operation of law, is still eligible to appoint an arbitrator.

The Court held that where a person falls within any of the categories set out in the Seventh Schedule, which could be by virtue of a

Supreme Court Reports

relationship with the parties, or their counsel, or the subject-matter of the dispute, such a person becomes ineligible to be appointed as an arbitrator. The ineligibility could be removed after dispute has arisen, and only if the parties waive the applicability of the provision by an “*express agreement in writing*”. The arbitrator becomes *de jure* unable to perform his function as he falls within the categories mentioned in the Seventh Schedule. The relevant observations read thus:-

“15. Section 12(5), on the other hand, is a new provision which relates to the de jure inability of an arbitrator to act as such. Under this provision, any prior agreement to the contrary is wiped out by the non obstante clause in Section 12(5) the moment any person whose relationship with the parties or the counsel or the subject-matter of the dispute falls under the Seventh Schedule. The sub-section then declares that such person shall be “ineligible” to be appointed as arbitrator. The only way in which this ineligibility can be removed is by the proviso, which again is a special provision which states that parties may, subsequent to disputes having arisen between them, waive the applicability of Section 12(5) by an express agreement in writing. What is clear, therefore, is that where, under any agreement between the parties, a person falls within any of the categories set out in the Seventh Schedule, he is, as a matter of law, ineligible to be appointed as an arbitrator. The only way in which this ineligibility can be removed, again, in law, is that parties may after disputes have arisen between them, waive the applicability of this sub-section by an “express agreement in writing”. Obviously, the “express agreement in writing” has reference to a person who is interdicted by the Seventh Schedule, but who is stated by parties (after the disputes have arisen between them) to be a person in whom they have faith notwithstanding the fact that such person is interdicted by the Seventh Schedule.”

(Emphasis supplied)

54. We may also look into the decision of this Court in **Perkins Eastman** (*supra*), where the arbitration clause empowered the Chairman and Managing Director of the respondent to *appoint* a sole arbitrator.

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

Following **TRF** (*supra*), this Court held that the Managing Director was incompetent to *appoint* the sole arbitrator because he would be deemed to have an interest in the outcome of the dispute. Since, the ineligibility stems from the operation of law, not only is a person having an interest in the dispute or its outcome ineligible to act as an arbitrator, but appointment by such a person would be *ex facie* invalid. The relevant observations read thus:-

“20. We thus have two categories of cases. The first, similar to the one dealt with in TRF Ltd. [TRF Ltd. v. Energo Engg. Projects Ltd., (2017) 8 SCC 377 : (2017) 4 SCC (Civ) 72] where the Managing Director himself is named as an arbitrator with an additional power to appoint any other person as an arbitrator. In the second category, the Managing Director is not to act as an arbitrator himself but is empowered or authorised to appoint any other person of his choice or discretion as an arbitrator. If, in the first category of cases, the Managing Director was found incompetent, it was because of the interest that he would be said to be having in the outcome or result of the dispute. The element of invalidity would thus be directly relatable to and arise from the interest that he would be having in such outcome or decision. If that be the test, similar invalidity would always arise and spring even in the second category of cases. If the interest that he has in the outcome of the dispute, is taken to be the basis for the possibility of bias, it will always be present irrespective of whether the matter stands under the first or second category of cases. We are conscious that if such deduction is drawn from the decision of this Court in TRF Ltd. [TRF Ltd. v. Energo Engg. Projects Ltd., (2017) 8 SCC 377 : (2017) 4 SCC (Civ) 72], all cases having clauses similar to that with which we are presently concerned, a party to the agreement would be disentitled to make any appointment of an arbitrator on its own and it would always be available to argue that a party or an official or an authority having interest in the dispute would be disentitled to make appointment of an arbitrator.

21. But, in our view that has to be the logical deduction from TRF Ltd. [TRF Ltd. v. Energo Engg. Projects Ltd.,

Supreme Court Reports

(2017) 8 SCC 377 : (2017) 4 SCC (Civ) 72] Para 50 of the decision shows that this Court was concerned with the issue, “whether the Managing Director, after becoming ineligible by operation of law, is he still eligible to nominate an arbitrator” The ineligibility referred to therein, was as a result of operation of law, in that a person having an interest in the dispute or in the outcome or decision thereof, must not only be ineligible to act as an arbitrator but must also not be eligible to appoint anyone else as an arbitrator and that such person cannot and should not have any role in charting out any course to the dispute resolution by having the power to appoint an arbitrator. The next sentences in the paragraph, further show that cases where both the parties could nominate respective arbitrators of their choice were found to be completely a different situation. The reason is clear that whatever advantage a party may derive by nominating an arbitrator of its choice would get counter-balanced by equal power with the other party. But, in a case where only one party has a right to appoint a sole arbitrator, its choice will always have an element of exclusivity in determining or charting the course for dispute resolution. Naturally, the person who has an interest in the outcome or decision of the dispute must not have the power to appoint a sole arbitrator. That has to be taken as the essence of the amendments brought in by the Arbitration and Conciliation (Amendment) Act, 2015 (3 of 2016) and recognised by the decision of this Court in TRF Ltd. [TRF Ltd. v. Energo Engg. Projects Ltd., (2017) 8 SCC 377 : (2017) 4 SCC (Civ) 72]

(Emphasis supplied)

55. The Bombay High Court, in ***Lite Bite Foods Pvt. Ltd. v. AAI***, reported in **2019 SCC OnLine Bom 5163**, dealt with a submission similar to the one arising from Clause 75 of the License Agreement before us. It was contended that only when an employee of the respondent is the named arbitrator does such person become ineligible to act, and equally ineligible to nominate another arbitrator.

The Court held that the embargo under sub-section (5) of Section 12 is against granting any single party a unilateral or one-sided authority

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

in constituting the arbitral tribunal. We are in complete agreement with the observations of G. S. Patel, J., that, “*The guiding principle is neutrality, independence, fairness and transparency even in the arbitral-forum selection process*”. The relevant observations read thus:-

“23. The present case may not be within the confines of TRF Ltd., i.e. the tender approving authority is not both arbitrator and, if disqualified, the sole repository of arbitrator-appointing power. He is only the latter. But that now matters at all. Perkins Eastman clearly holds the field and it covers a situation precisely such as the present one where AAI — and only AAI — has the exclusive right of appointed (not merely nominating) an arbitrator. The question is not, as Ms. Munim would have it, the perceived bias or impartiality of the arbitrator. He may well be an unknown entity. The question is of one-sidedness in the arbitral tribunal appointment procedure itself. This is the destination to which Perkins Eastman takes us for it requires that there be neutrality in the dispute resolution process throughout. If I might be permitted a license, in my reading of it, what Perkins Eastman says is this : that you cannot have an impartial arbitration free from all justifiable doubt if the manner in which the arbitral tribunal is constituted itself is beset by justifiable doubt.”

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25. Ms. Munim’s last submission is that the only prohibition is against a named person being the arbitrator or empowered to appoint an arbitrator. This is clearly incorrect. The interdiction runs against any one party being given unilateral or one-sided power in the matter of constitution of the arbitral tribunal.”

(Emphasis supplied)

56. The phrase “*operation of law*” mentioned in the aforesaid decisions covers the Act, 1996, as well as the Constitution of India and any other Central or State law. In **Lombardi Engg. Ltd. v. Uttarakhand Jal Vidyut Nigam Ltd.**, reported in (2024) 4 SCC 341, where one of us, J.B. Pardiwala, J., speaking for the Bench held that an arbitration agreement has to comply with the requirements of (i) Section 7 of

Supreme Court Reports

the Act, 1996; (ii) any other provisions of the Act, 1996, and Central/ State law; (iii) Constitution of India. We may refer to the following observations for the benefit of exposition:-

“79.5. In State of A.P. v. P. Laxmi Devi [State of A.P. v. P. Laxmi Devi, (2008) 4 SCC 720] , this Court observed : (SCC p. 737, paras 33-34)

“33. According to Kelson, in every country there is a hierarchy of legal norms, headed by what he calls as the “grundnorm”. If a legal norm in a higher layer of this hierarchy conflicts with a legal norm in a lower layer the former will prevail...

34. In India the grundnorm is the Indian Constitution,...”

80. Thus, in the context of the arbitration agreement, the layers of the Grundnorm as per Kelsen’s theory would be in the following hierarchy:

(i) Constitution of India, 1950;

(ii) Arbitration and Conciliation Act, 1996 & any other Central/State law;

(iii) Arbitration agreement entered into by the parties in light of Section 7 of the Arbitration and Conciliation Act, 1996.

81. Thus, the arbitration agreement, has to comply with the requirements of the following and cannot fall foul of:

(i) Section 7 of the Arbitration and Conciliation Act;

(ii) any other provisions of the Arbitration and Conciliation Act, 1996 & Central/State Law;

(iii) Constitution of India, 1950.”

(Emphasis supplied)

57. When an arbitration agreement is in violation of sub-section (5) of Section 12 of the Act, 1996, the parties can neither insist on appointment of an arbitrator in terms of the agreement nor would any appointment so made be valid in the eyes of law.
58. Unilateral appointments are not consistent with the basic tenet of arbitration, i.e., mutual confidence in the arbitrator. It would not be

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

unreasonable for a party to apprehend that an arbitrator unilaterally appointed by the opposite party may not act with complete impartiality.

59. The test to determine bias is not actual proof of bias but reasonable apprehension of bias. The moment this apprehension takes birth in the mind of a party, the trust in the arbitral proceedings dies. A Constitution Bench of this Court in **CORE II** (*supra*), wherein one of us, J. B. Pardiwala, J., was a part of the Bench, laid down the test for real likelihood of bias. It reads thus:-

“(b) *Real likelihood of bias*

92. The nemo judex rule may be applicable where a Judge's conduct or circumstances give rise to an apprehension of bias. In such situations, the Judge does not have a financial or cause-based interest in the outcome of the dispute but provides benefit to a party by failing to be neutral and impartial. The determination of bias does not depend upon actual proof of bias but whether there is a real possibility of bias based on the facts and circumstances.

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(iv) *Indian approach to the bias test*

103. This Court has consistently adopted the real likelihood test to determine bias. [Rattan Lal Sharma v. Hari Ram (Co-Education) Higher Secondary School, (1993) 4 SCC 10, para 11 : 1993 SCC (L&S) 1106] In Manak Lal v. Prem Chand Singhvi [Manak Lal v. Prem Chand Singhvi, 1957 SCC OnLine SC 10, para 4] , P.B. Gajendragadkar, J. (as the learned Chief Justice then was) observed that the test to determine bias is whether a litigant could reasonably apprehend that a bias attributable to a member of the tribunal might have operated against him in the final decision. In S. Parthasarathi v. State of A.P. [S. Parthasarathi v. State of A.P., (1974) 3 SCC 459, para 14 : 1973 SCC (Cri) 580 : 1973 SCC (L&S) 580] , K.K. Mathew, J. observed that the test of likelihood of bias is based on the reasonable apprehension of a reasonable man fully cognizant of the facts. The learned Judge further observed that the question of whether the real likelihood

Supreme Court Reports

of bias exists is to be determined on the probabilities to be inferred from the objective circumstances by a court or based on impressions that might reasonably be left on the minds of the aggrieved party or the public at large. [S. Parthasarathi, (1974) 3 SCC 459, p. 465, para 16. It was observed: "16. The tests of "real likelihood" and "reasonable suspicion" are really inconsistent with each other. We think that the reviewing authority must make a determination on the basis of the whole evidence before it, whether a reasonable man would in the circumstances infer that there is real likelihood of bias.[...]."

(Emphasis supplied)

60. It is apposite to understand that Section 12(5) does not prohibit unilateral appointment of an arbitrator. It provides that whenever an appointment of an arbitrator is hit by the bar under Section 12(5), the arbitrator would be ineligible to act, irrespective of whether the appointment was unilateral or with consent of both parties. In such circumstances, the parties may, in the manner provided under the *proviso*, waive the ineligibility. We shall discuss the scope and application of the *proviso* in more detail in the latter part of this judgment.

d. *De Jure* inability of the arbitrator to perform his functions

61. In the aforesaid context, it would be apposite to briefly explain what constitutes as *de jure* ineligibility under Section 12(5). The expression *de jure* denotes a condition rooted in strict compliance with the requirements of law. *De jure* inability refers to a situation in which an arbitrator is *legally* incapable of performing his functions and is, by operation of law, barred from continuing in office. Such inability strikes at the very root of the arbitrator's authority to act, thereby affecting his inherent capacity to discharge his functions as an arbitrator. It is this legal incapacity, arising from statutory disqualifications, that results in the termination of the "*mandate of an arbitrator*" under Section 14(1)(a) of the Act, 1996.
62. *De jure* inability referred to under Section 14(1)(a) may arise from the provisions of the Act, 1996, or from any other existing law that renders an arbitrator legally incapable of performing his functions. As regards *de jure* ineligibility, it flows from sub-section (5) of Section 12

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

read with the Seventh Schedule, which disqualifies certain persons from being appointed or continuing as arbitrators.

63. In other words, the ineligibility under Section 12(5) precedes *de jure* inability under Section 14(1)(a). In other words, *de jure ineligibility* is the specie and *de jure inability* is the genus. To put this in context, *de jure* inability is determined when an aggrieved party is able to indicate that the circumstances under the Seventh Schedule have been met.
64. It would be worthwhile to refer to the observations made by this Court in **HRD Corpn v. GAIL (India) Ltd.**, reported in **(2018) 12 SCC 471**. It was observed thus:-

“12. After the 2016 Amendment Act, a dichotomy is made by the Act between persons who become “ineligible” to be appointed as arbitrators, and persons about whom justifiable doubts exist as to their independence or impartiality. Since ineligibility goes to the root of the appointment, Section 12(5) read with the Seventh Schedule makes it clear that if the arbitrator falls in any one of the categories specified in the Seventh Schedule, he becomes “ineligible” to act as arbitrator. Once he becomes ineligible, it is clear that, under Section 14(1)(a), he then becomes de jure unable to perform his functions inasmuch as, in law, he is regarded as “ineligible”.[...]”

(Emphasis supplied)

65. The Madras High Court in **Clarke Energy India Pvt. Ltd. v. SAS EPC Solution Pvt. Ltd. & Anr.**, reported in **2021 SCC OnLine Mad 6121**, observed thus:-

“22. Turning to de jure inability to perform functions, it should be noted at the threshold that the expression is not defined in the Arbitration Act. The word ‘de jure’ in Latin means “as a matter of law”. It has been defined in Black’s Law Dictionary, 11 Edition (2019), as “existing by right or according to law”. Thus, it appears that the expression de jure applies undoubtedly to legal disability. One illustration of legal disability would be if the arbitrator is ineligible in terms of the Seventh Schedule. This was expressly dealt with by the Hon’ble Supreme Court in HRD Corporation as

Supreme Court Reports

well as Bharat Broadband.[...] However, ineligibility is only one illustration of de jure inability to function. It is conceivable that an arbitrator may be afflicted by some form of cognitive impairment. If such cognitive impairment is serious enough to lead to an inference that such arbitrator is not of sound mind, whether on account of schizophrenia, Alzheimer's disease or the like, as understood in the Indian Contract Act, 1872, it would result in de jure inability to function even if the arbitrator concerned declines to withdraw. Less serious forms of cognitive impairment, such as bipolar disorder and the like, may, on the other hand, may pose greater challenges. Besides, an arbitrator may be adjudged insolvent after entering upon reference. By relying upon the applicable insolvency statute, it could be contended with a fair measure of justification that he is de jure unable to function."

(Emphasis supplied)

66. It would be apposite to refer to the relevant Items under the head "*Arbitrator's relationship with the parties or counsel*" in the Seventh Schedule of the Act, 1996, for the purpose of matter at hand. It reads thus:-

"THE SEVENTH SCHEDULE

[See section 12(5)]

Arbitrator's relationship with the parties or counsel

1. *The arbitrator is an employee, consultant, advisor or has any other past or present business relationship with a party.*
2. *The arbitrator currently represents or advises one of the parties or an affiliate of one of the parties.*

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5. *The arbitrator is a manager, director or part of the management, or has a similar controlling influence, in an affiliate of one of the parties if the affiliate is directly involved in the matters in dispute in the arbitration.*

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**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

12. The arbitrator is a manager, director or part of the management, or has a similar controlling influence in one of the parties.

13. The arbitrator has a significant financial interest in one of the parties or the outcome of the case. [...]"

67. From the above exposition of law, the Chairman of the respondent was wholly ineligible to appoint an arbitrator. The Items 1, 2, 5, 12, and 13 of the Seventh Schedule respectively, clearly attach to the Chairman of the respondent. Once the Chairman is rendered ineligible by operation of law, he cannot nominate or appoint another person as an arbitrator. To illustrate, one who cannot sit on a chair himself cannot authorise another to sit on it either.
68. We are in complete agreement that the present case is squarely covered by the decisions of this Court in **Perkins Eastman** (*supra*) and **Bharat Broadband** (*supra*) respectively. The unilateral appointment of a sole arbitrator is *void ab initio*, and the sole arbitrator so appointed is *de jure* ineligible to act as an arbitrator in terms of Section 12(5) read with the Seventh Schedule of the Act, 1996.
69. Thus, we have no hesitation in saying that its High Court, in the impugned judgment, committed an error in holding that the appointment was not unilateral merely because the respondent proceeded to appoint the sole arbitrator pursuant to notice invoking arbitration.
70. We would like to clarify that a notice under Section 21 of the Act, 1996, is an expression to set the arbitration agreement into motion upon arising of disputes between the parties. The section states that the date of commencement of arbitration would be the date on which the recipient receives the notice from the claimant that the dispute be *referred to arbitration*. The notice acts as a communication that the sender is aggrieved and seeks to invoke the arbitration agreement. It does not, by itself, operate as consent to any appointment to be made in the future.
- ii. **Whether the parties could be said to have waived the applicability of sub-section (5) of Section 12 of the Act, 1996, by way of their conduct, either expressed or implied?**
71. It was submitted on behalf of the appellants herein that the appellants never waived their right to object in terms of the *proviso* to Section

Supreme Court Reports

12(5) of the Act, 1996. The *proviso* to Section 12(5) requires that the ineligibility of an arbitrator could only be waived by an “*express agreement in writing*” between the parties, and such agreement must be entered into after the dispute has arisen. It was further canvassed by the appellants that no agreement was executed, signed, or even contemplated by the parties to this effect after the dispute arose.

72. In this regard, the respondent vociferously submitted that the present case falls within the *proviso* to Section 12(5). To indicate the same, instances like recording of “no objection” in the first procedural order, submission of statement of claim, the joint request to extend the mandate under Section 29A, and continued participation in the proceedings, were highlighted to submit that the appellants had waived their right to object. The procedural order constitutes an “*express agreement in writing*” and satisfies the requirement under the *proviso* to Section 12(5) of the Act, 1996. At the cost of repetition, the procedural order reads thus:-

“PROCEDURAL ORDER NO. 1

With

*Minutes of, and the Directions made at, the hearing on
22.03.2016 at 1:00 pm*

[AT D-247 (Basement), Defence Colony, New Delhi-110024]

This preliminary meeting of the Tribunal was held D-247 (Basement), Defence Colony, New Delhi-110024 on 22nd March, 2016 at 1:00 PM. None of the parties have any objection to my appointment as the Sole Arbitrator. I declare that I have no interest in any of the Parties, or in the disputes referred to the Sole Arbitrator.[...]

(Emphasis supplied)

73. On the aforesaid issue, the High Court, in its impugned judgment, observed that the sole arbitrator obtained the consent of the parties for the purpose of continuing to arbitrate in the form of the procedural order. What weighed with the High Court was that the appellants participated in the proceedings, which continued for over two years, and did not they invoke Section 12(5), or object against the jurisdiction of the arbitrator at any stage.

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

a. Meaning and Import of the expression “*express agreement in writing*” used in proviso to sub-section (5) of Section 12 of the Act, 1996

74. Sub-section (5) of Section 12 of the Act, 1996, reads thus:-

“(5) Notwithstanding any prior agreement to the contrary, any person whose relationship, with the parties or counsel or the subject-matter of the dispute, falls under any of the categories specified in the Seventh Schedule shall be ineligible to be appointed as an arbitrator:

Provided that parties may, subsequent to disputes having arisen between them, waive the applicability of this sub-section by an express agreement in writing.]”

75. The essentials of the *proviso* to Section 12(5) are:-

- i. The parties can waive their right to object under sub-section (5) of Section 12;
- ii. The right to object under the sub-section can be waived only subsequent to a dispute having arisen between the parties;
- iii. The waiver must be in the form of an express agreement in writing.

76. The *proviso* to sub-section (5) of Section 12 stipulates that parties, after disputes have arisen, must expressly agree in writing to waive the ineligibility of the proposed arbitrator. This impliedly means that the parties are waiving their right to object to the arbitrator's ineligibility in terms of Section 12(5) of the Act, 1996.

77. Waiver means the intentional giving up of a right. It involves a conscious decision to abandon an existing legal right, benefit, claim, or privilege that a party would otherwise have been entitled to. It amounts to an agreement not to enforce that right. A waiver can occur only when the person making it is fully aware of the right in question and, with complete knowledge, chooses to give it up. [See: ***State of Punjab v. Davinder Pal Singh Bhullar*, (2011) 14 SCC 770**]

78. What flows from the aforesaid is when a right exists, i.e., the right to object to the appointment of an ineligible arbitrator in terms of Section 12(5), such a right cannot be taken away by mere implication. For a party to be deprived of this right by way of waiver, there must be

Supreme Court Reports

a conscious and unequivocal expression of intent to relinquish it. Needless to say, for a waiver to be valid, it is necessary that the actor demonstrates the intention to act, and for an act to be intentional, the actor must understand the act and its consequences.

79. The expression “*express agreement in writing*” demonstrates a deliberate and informed act that although a party is fully aware of the arbitrator’s ineligibility, yet it chooses to forego the right to object against the appointment of such an arbitrator. The requirement of an express agreement in writing has been introduced as it reflects awareness and a conscious intention to waive the right to object under sub-section (5) of Section 12. A clear manifestation of the expression of waiver assumes greater importance in light of the fact that the parties are overcoming a restriction imposed by law.
80. It is in the same breath we say that appointment of an arbitrator with the consent of both parties is the general rule, while unilateral appointment is an exception. When one party appoints an arbitrator unilaterally, even if its own consent is implicit, the consent of the opposite party stands compromised, and the choice of the former is effectively imposed upon the latter.
81. It is **only** through an express agreement in writing, waiving the bar under sub-section (5) of Section 12, that the other party can be said to have voluntarily consented to the unilateral appointment of such an arbitrator. The *proviso* conveys that the arbitrator, although ineligible to be appointed, yet can continue to perform his functions, as it is oriented towards facilitating party autonomy. Thus, the *proviso* reinforces party autonomy and equal treatment of parties in arbitration.
82. In other words, even though the appointment had been made by one of the parties, by the act of entering into an agreement in writing, the other party expresses its consent. The manner of the agreement prescribed by the statute demonstrates voluntariness by the parties.
83. In a case of unilateral appointment, the waiver mentioned in the *proviso* is an indication of party autonomy in two ways: *first*, that the parties, by entering into an agreement, are waiving the bar under Section 12(5). *Secondly*, by the act of entering into an agreement, the parties, more particularly, the non-consenting party, are expressing their consent for appointment of the proposed arbitrator.

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

84. Undoubtedly, the statute does not prescribe a format for the agreement. However, the absence of a prescribed format cannot be construed to mean that the waiver may be inferred impliedly or through conduct. We say so because the legislature has consciously prefaced the term “*agreement*” with the word “*express*” and followed it with the phrase “*in writing*”. This semantics denote the intention of the legislature that the waiver under the *proviso* to Section 12(5) must be made only through an express and written manifestation of intention.
85. The conscious use of the prefatory expression also serves to differentiate such waiver from ‘deemed waiver’ as stipulated under Section 4 of the Act, 1996. We must be mindful of the fact that if the legislature intended that waiver under Section 12(5) could similarly arise by implication or conduct as mentioned under Section 4, it would have refrained from introducing a heightened and mandatory requirement, more particularly, in light of the rigours of the Seventh Schedule. The statutory design therefore makes it evident that the bar under Section 12(5) can be removed only by a clear, unequivocal, and written agreement executed after the dispute has arisen, and not by any form of tacit acceptance or procedural participation.
86. The mandate of an express agreement in writing in the present case may looked at from one another angle. The unilateral appointment of an arbitrator is assessed from the viewpoint of the parties. However, when the parties later execute an express written agreement waiving the ineligibility of the proposed arbitrator, the position gets altered. Such written waiver supplies the very consent that was previously missing, thereby placing the appointment on the same footing as a mutually agreed appointment and addresses concerns regarding neutrality and fairness.
87. In ***Bharat Broadband*** (*supra*), this Court categorically held that the expression “*express agreement in writing*” refers to an agreement made in words and cannot be inferred by conduct. The word “*express*” denotes that the agreement must be entered into with complete knowledge that although the proposed arbitrator is ineligible to be appointed as an arbitrator, yet they express their confidence in him to continue as the arbitrator. The relevant observations read thus:-

“20. This then brings us to the applicability of the proviso to Section 12(5) on the facts of this case. Unlike Section

Supreme Court Reports

4 of the Act which deals with deemed waiver of the right to object by conduct, the proviso to Section 12(5) will only apply if subsequent to disputes having arisen between the parties, the parties waive the applicability of sub-section (5) of Section 12 by an express agreement in writing. For this reason, the argument based on the analogy of Section 7 of the Act must also be rejected. Section 7 deals with arbitration agreements that must be in writing, and then explains that such agreements may be contained in documents which provide a record of such agreements. On the other hand, Section 12(5) refers to an “express agreement in writing”. The expression “express agreement in writing” refers to an agreement made in words as opposed to an agreement which is to be inferred by conduct. Here, Section 9 of the Contract Act, 1872 becomes important. It states:

“9. Promises, express and implied. — Insofar as the proposal or acceptance of any promise is made in words, the promise is said to be express. Insofar as such proposal or acceptance is made otherwise than in words, the promise is said to be implied.”

It is thus necessary that there be an “express” agreement in writing. This agreement must be an agreement by which both parties, with full knowledge of the fact that Shri Khan is ineligible to be appointed as an arbitrator, still go ahead and say that they have full faith and confidence in him to continue as such. The facts of the present case disclose no such express agreement. The appointment letter which is relied upon by the High Court as indicating an express agreement on the facts of the case is dated 17-1-2017. On this date, the Managing Director of the appellant was certainly not aware that Shri Khan could not be appointed by him as Section 12(5) read with the Seventh Schedule only went to the invalidity of the appointment of the Managing Director himself as an arbitrator. Shri Khan’s invalid appointment only became clear after the declaration of the law by the Supreme Court in TRF Ltd. [TRF Ltd. v. Energo Engg. Projects Ltd., (2017) 8 SCC 377 : (2017) 4 SCC (Civ) 72] which, as we have seen hereinabove, was only on

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

3-7-2017. After this date, far from there being an express agreement between the parties as to the validity of Shri Khan's appointment, the appellant filed an application on 7-10-2017 before the sole arbitrator, bringing the arbitrator's attention to the judgment in TRF Ltd. [TRF Ltd. v. Energo Engg. Projects Ltd., (2017) 8 SCC 377 : (2017) 4 SCC (Civ) 72] and asking him to declare that he has become de jure incapable of acting as an arbitrator. Equally, the fact that a statement of claim may have been filed before the arbitrator, would not mean that there is an express agreement in words which would make it clear that both parties wish Shri Khan to continue as arbitrator despite being ineligible to act as such. This being the case, the impugned judgment is not correct when it applies Section 4, Section 7, Section 12(4), Section 13(2) and Section 16(2) of the Act to the facts of the present case, and goes on to state that the appellant cannot be allowed to raise the issue of eligibility of an arbitrator, having itself appointed the arbitrator. The judgment under appeal is also incorrect in stating that there is an express waiver in writing from the fact that an appointment letter has been issued by the appellant, and a statement of claim has been filed by the respondent before the arbitrator. The moment the appellant came to know that Shri Khan's appointment itself would be invalid, it filed an application before the sole arbitrator for termination of his mandate."

(Emphasis supplied)

88. In **CORE II** (*supra*), this Court underscored the rationale behind the first two essentials of the proviso. It reads thus:-

"121. An objection to the bias of an adjudicator can be waived. [Supreme Court Advocates-on-Record Assn. v. Union of India, (2016) 5 SCC 808, para 30 : (2016) 3 SCC (Civ) 492 : (2016) 3 SCC (Cri) 173 : (2016) 2 SCC (L&S) 253] A waiver is an intentional relinquishment of a right by a party or an agreement not to assert a right. [State of Punjab v. Davinder Pal Singh Bhullar, (2011) 14 SCC 770, para 41 : (2012) 4 SCC (Civ) 1034 : (2012) 4 SCC (Cri) 496 : (2014) 1 SCC (L&S) 208] The Arbitration

Supreme Court Reports

Act allows parties to waive the application of Section 12(5) by an express agreement after the disputes have arisen. However, the waiver is subject to two factors. First, the parties can only waive the applicability of Section 12(5) after the dispute has arisen. This allows parties to determine whether they will be required or necessitated to draw upon the services of specific individuals as arbitrators to decide upon specific issues. To this effect, Explanation 3 to the Seventh Schedule recognises that certain kinds of arbitration such as maritime or commodities arbitration may require the parties to draw upon a small, specialised pool. [“Explanation 3.—For the removal of doubts, it is clarified that it may be the practice in certain specific kinds of arbitration, such as maritime or commodities arbitration, to draw arbitrators from a small, specialised pool. If in such fields it is the custom and practice for parties frequently, to appoint the same arbitrator in different cases, this is a relevant fact to be taken into account while applying the rules set out above.”] The second requirement of the proviso to Section 12(5) is that parties must consciously abandon their existing legal right through an express agreement. Thus, the Arbitration Act reinforces the autonomy of parties by allowing them to override the limitations of independence and impartiality by an express agreement in that regard.”

(Emphasis supplied)

89. What can be discerned from the above discussion is that the ineligibility of an arbitrator can be waived only by an express agreement in writing. In the present case, there is no agreement in writing, after the disputes arose, waiving the ineligibility of the sole arbitrator or the right to object under Section 12(5) of the Act, 1996.
90. The conduct of the parties is inconsequential and does not constitute a valid waiver under the *proviso*. The requirement of the waiver to be made expressly in the form of agreement in writing ensures that parties are not divested of their right to object inadvertently or by procedural happenstance.
91. We are not impressed by the aforesaid submission of the respondent for all the reasons stated above. The following decisions of this

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

Court and the High Court of Delhi respectively deal with the all the factual submissions made by the respondent to submit that the present case falls within the *proviso* to Section 12(5) of the Act, 1996.

b. “Statement of Claim” as a parameter of waiver

92. One another submission that was canvassed on behalf of the respondent herein is that the appellants participated in the arbitral proceedings by submitting their statement of claim wherein it was stated that they submit to the jurisdiction of the arbitrator. The observations of this Court in paragraph 20 of ***Bharat Broadband*** (*supra*) squarely cover this issue. It was held that filing a statement of claim cannot be equated to an “*express agreement in writing*” in terms of *proviso* to Section 12(5).

c. “Extension of Time” under Section 29A of the Act, 1996 as a parameter of waiver

93. Recently, in ***Hindustan Construction Co. Ltd. v. Bihar Rajya Pul Nirman Nigam Ltd.***, reported in **2025 SCC OnLine SC 2578**, wherein one of us, J. B. Pardiwala, J., was a part of the Bench, held that Section 29A amounts to a valid waiver under Section 4, save in cases of statutory ineligibility under Section 12(5) of the Act, 1996. The relevant observations read thus:-

“13.8. In the present case, the respondents had ample opportunity to object. Instead, both parties jointly moved for extension under Section 29A, not once but thrice. This leads directly to the interplay between Sections 4, 12(5) and 29A.

13.9. Section 29A empowers courts to extend the mandate of an arbitral tribunal, either on a party’s application or upon sufficient cause. Its object is to prevent termination of proceedings by efflux of time and to ensure continuity. A joint application under Section 29A stands on a distinct footing from ordinary acts of participation such as filing pleadings. When both parties jointly seek an extension, they signify continued consent and confidence in the tribunal. Under Section 29A(5), even a single party may apply; the other is free to oppose. The Court may, in its

Supreme Court Reports

discretion, extend the mandate with or without substituting the arbitrator.

13.10. Thus, when a party joins in seeking extension under Section 29A despite having the opportunity to object or seek termination, it signifies a higher degree of consent. However, such consent cannot be equated with an express written waiver under Section 12(5). The statutory language is categorical: only an express written post-dispute waiver can cure Seventh Schedule ineligibility.”

(Emphasis supplied)

94. In ***Man Industries (India) Ltd. v. Indian Oil Corporation Ltd.***, reported in **2023 SCC OnLine Del 3537**, the petitioner had filed two applications under Section 29A of the Act, 1996, seeking an extension of time for completion of the arbitral proceedings. The respondent therein had contended that filing of an application under Section 29A would satisfy the requirement of the *proviso* to Section 12(5), and that the ineligibility attached to the sole arbitrator would thereby stand removed. The Court observed thus:-

“11. He submits that in the present case, the petitioner has never challenged the eligibility of the learned Sole Arbitrator to adjudicate on the disputes between the parties. He submits that, in fact, the learned Arbitrator was appointed at the request of the petitioner. The learned Arbitrator before entering upon the reference submitted his disclosure as required under Section 12 of the Act. The petitioner never raised any objection to the eligibility of the learned Sole Arbitrator. Thereafter, the petitioner, in fact, twice filed applications under Section 29A of the Act seeking extension of the mandate of the learned Arbitrator. He submits that the filing of the application under Section 29A of the Act by the petitioner would, in fact, satisfy the Proviso to Section 12(5) of the Act and the ineligibility, if at all, attached to the learned Sole Arbitrator would be waived.

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22. In view of the above authorities, there can be no doubt that the learned Arbitrator appointed by the respondent was de jure ineligible to act as such. The petitioner by its

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

participation in the arbitration proceedings or by its filing of applications under Section 29A of the Act seeking extension of the mandate of the learned Arbitrator, cannot be said to have waived the ineligibility of the learned Arbitrator under Section 12(5) of the Act, and, therefore, the Arbitral Award passed by the learned Arbitrator is invalid.”

(Emphasis supplied)

d. “Continued Participation” as a parameter of waiver

95. In **Govind Singh v. Satya Group Pvt. Ltd.**, reported in **2023 SCC OnLine Del 37**, the contention before the Delhi High Court was that the appellant therein by its conduct had waived its right to object to the unilateral appointment of the sole arbitrator. The Court categorically held that it is not necessary to even examine whether the appellant had raised an objection. Even if the appellant had participated in the proceedings without raising any objection, it cannot be said that he had waived his right under Section 12(5) of the Act, 1996. The relevant observations read thus:-

“19. The contention that the appellant by its conduct has waived its right to object to the appointment of the learned Arbitrator is also without merit. The question whether a party can, by its conduct, waive its right under Section 12(5) of the A&C Act is no longer res integra. The Supreme Court in the case of Bharat Broadband Network Limited v. United Telecoms Limited : (2019) 5 SCC 755 had explained that any waiver under Section 12(5) of the A&C Act would be valid only if it is by an express agreement in writing. There is no scope for imputing any implied waiver of the rights under Section 12(5) of the A&C Act by conduct or otherwise.[...]

20. Thus, it is not necessary to examine the question whether the appellant had raised an objection to the appointment of the learned Arbitrator. Even if it is assumed that the appellant had participated in the arbitral proceedings without raising any objection to the appointment of the learned Arbitrator, it is not open to hold that he had waived his right under Section 12(5) of

Supreme Court Reports

the A&C Act. Although it is not material, the record does indicate that the appellant had objected to the appointment of respondent no. 2 as an arbitrator.

(Emphasis supplied)

96. The net effect of the aforesaid is that a notice invoking the arbitration clause under Section 21 of the Act, 1996, a procedural order, submission of statement of claim by the appellants, the filing an application seeking interim relief, or a reply to an application under Section 33 of the Act, 1996, cannot be countenanced to mean “*an express agreement in writing*” within the meaning of the *proviso* to sub-section (5) of Section 12 of the Act, 1996.
97. One could argue that a miscreant party may participate in the arbitral proceedings up to the passing of the award, despite having full knowledge of the arbitrator’s ineligibility. While after an adverse award is rendered, such a party may then seek to challenge it with a view to having it set aside. Such an apprehension is reasonable, however, to obviate the possibility of such misuse, the party making unilateral appointment must endeavour to enter into an express written agreement as stipulated in the *proviso* to Section 12(5), so as to safeguard the proceedings from being rendered futile.
98. Thus, all the High Court decisions taking a contrary view to the present judgment would stand overruled.

iii. Whether the appellants could have raised an objection to the appointment of the sole arbitrator for the first time in an application under Section 34 of the Act, 1996?

99. It was submitted by the appellants that an objection in relation to *de jure* ineligibility of the sole arbitrator could be raised at any stage, including for the first time in proceedings under Section 34 of the Act, 1996. In this regard reliance was placed on Section 34(2)(b) which empowers the court to set aside an award if “*the Court finds that*” it is in conflict with the public policy of India. Therefore, even if the objection to unilateral appointment is not raised by a party, the Court may itself declare an award to be null and void due to unilateral appointment of the arbitrator in terms of Section 34(2)(b).
100. On the contrary, the respondent submitted that since the appellants did not raise any objection to the constitution, appointment or

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

jurisdiction of the sole arbitrator under Sections 13 or 14 of the Act, 1996, respectively, during the pendency of the arbitration, they are barred from raising it under an application under Section 34.

101. On the aforesaid issue, the High Court held that the present case cannot be equated with cases in which an objection to the appointment of the arbitrator has been raised throughout the proceedings, or at every stage. Further, even after sub-section (5) of Section 12 was introduced in the statute, the appellants did not approach the court under Section 14 of the Act, 1996, challenging the jurisdiction of the arbitrator. Thus, the challenge to the appointment of the sole arbitrator was clearly an “*afterthought*”.

a. Challenge to the ineligibility of the arbitrator during the proceedings

102. The law in this regard is fairly settled. Where a party is aggrieved by the ineligibility of an arbitrator under Section 12(5), it may directly approach the court under Section 14 of the Act, 1996. There is no doubt that when an arbitrator is ineligible under Section 12(5), i.e., he lacks inherent jurisdiction to hold the position, his mandate stands automatically terminated, and it is not necessary for the parties to challenge his appointment under Section 12 read with Section 13. When such a challenge is made, the court is required to determine whether the arbitrator suffers from *de jure* inability under Section 14(1)(a) of the Act, 1996.
103. An application under Section 14 is made for the purpose of terminating the mandate of the arbitrator, and, consequently, a substitute arbitrator is appointed in terms of Section 15(2). As regards where the mandate of the arbitrator has been terminated with the consent of both the parties under Section 15(1)(b), it is not required for the parties to approach the court to seek termination of the mandate of the arbitrator, because it has been terminated by the parties themselves.
104. It is apposite to understand that in a case of ineligibility of the arbitrator, the substitution of the arbitrator is sought because the termination of mandate of the arbitrator does not result in the termination of arbitral proceedings. The proceedings remain intact, only the composition of the arbitral tribunal changes. The termination of mandate of the arbitrator is distinguishable from the termination of the arbitral proceedings and of the arbitral tribunal as well. By substitution of

Supreme Court Reports

the arbitrator, the proceedings would commence from thereon and save the parties from initiating fresh proceedings.

105. In **HRD** (*supra*), it was held that once an arbitrator becomes ineligible to act as an arbitrator, he is rendered *de jure* incapable of performing his functions. In such circumstances, it is not necessary for the parties to approach the arbitral tribunal under Section 13, for an arbitrator who is *de jure* ineligible lacks the inherent jurisdiction to proceed any further. In such a case, an application under Section 14(2) must be filed before the court for termination of the mandate of the arbitrator. The relevant observations read thus:-

“12. [...] Once he becomes ineligible, it is clear that, under Section 14(1)(a), he then becomes de jure unable to perform his functions inasmuch as, in law, he is regarded as “ineligible”. In order to determine whether an arbitrator is de jure unable to perform his functions, it is not necessary to go to the Arbitral Tribunal under Section 13. Since such a person would lack inherent jurisdiction to proceed any further, an application may be filed under Section 14(2) to the Court to decide on the termination of his/her mandate on this ground. As opposed to this, in a challenge where grounds stated in the Fifth Schedule are disclosed, which give rise to justifiable doubts as to the arbitrator’s independence or impartiality, such doubts as to independence or impartiality have to be determined as a matter of fact in the facts of the particular challenge by the Arbitral Tribunal under Section 13. If a challenge is not successful, and the Arbitral Tribunal decides that there are no justifiable doubts as to the independence or impartiality of the arbitrator/arbitrators, the Tribunal must then continue the arbitral proceedings under Section 13(4) and make an award. It is only after such award is made, that the party challenging the arbitrator’s appointment on grounds contained in the Fifth Schedule may make an application for setting aside the arbitral award in accordance with Section 34 on the aforesaid grounds.[...]”

(Emphasis supplied)

106. We may refer with profit to the decision of this Court in **Bharat Broadband** (*supra*), wherein it was observed that when a person

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

becomes “ineligible” to be appointed as an arbitrator, the challenge to such appointment does not lie before the arbitrator himself. It was further observed that an appointment hit by Section 12(5) attracts Section 14(1)(a), as the arbitrator becomes *de jure* unable to perform his functions. As a result, the mandate of the arbitrator stands terminated. The relevant observations read thus:-

“17. [...] However, where such person becomes “ineligible” to be appointed as an arbitrator, there is no question of challenge to such arbitrator, before such arbitrator. In such a case i.e. a case which falls under Section 12(5), Section 14(1)(a) of the Act gets attracted inasmuch as the arbitrator becomes, as a matter of law (i.e. de jure), unable to perform his functions under Section 12(5), being ineligible to be appointed as an arbitrator. This being so, his mandate automatically terminates, and he shall then be substituted by another arbitrator under Section 14(1) itself. It is only if a controversy occurs concerning whether he has become de jure unable to perform his functions as such, that a party has to apply to the Court to decide on the termination of the mandate, unless otherwise agreed by the parties. Thus, in all Section 12(5) cases, there is no challenge procedure to be availed of. If an arbitrator continues as such, being de jure unable to perform his functions, as he falls within any of the categories mentioned in Section 12(5), read with the Seventh Schedule, a party may apply to the Court, which will then decide on whether his mandate has terminated. Questions which may typically arise under Section 14 may be as to whether such person falls within any of the categories mentioned in the Seventh Schedule, or whether there is a waiver as provided in the proviso to Section 12(5) of the Act.[...].”

(Emphasis supplied)

107. In **Chennai Metro Rail Ltd. v. Transtonnelstroy Afcons (JV)**, reported in (2024) 6 SCC 211, this Court held that a party aggrieved by the ineligibility of an arbitrator may approach the court under Section 14(1)(a) of the Act, 1996. The relevant observations read thus:-

Supreme Court Reports

“29. At this stage it would be crucial to notice that the Court made a differentiation. It stated, firstly, that a disclosure in writing about circumstances likely to give justifiable doubts is to be made, at the stage of appointment, and then stated that the disclosure can be challenged under Sections 12(1) to 12(4) read with Section 13. The Court however underlined that in the next category where the person became ineligible to be appointed as arbitrator, there was no need for a challenge to be laid before the arbitrator. In such circumstances outlined in Section 12(5), the party aggrieved could directly approach the court under Section 14(1)(a). It was further underlined that in all cases under Section 12(5), there is no challenge procedure to be availed of and that if the arbitrator continues at such, the ground of being unable to perform his function since he falls in any of the categories enumerated in the Seventh Schedule, the party concerned may apply to the court.

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33. The decisions in HRD [HRD Corpn. v. GAIL, (2018) 12 SCC 471 : (2018) 5 SCC (Civ) 401] and Bharat Broadband [Bharat Broadband Network Ltd. v. United Telecoms Ltd., (2019) 5 SCC 755 : (2019) 3 SCC (Civ) 1] are unequivocal and to the effect that the issue of bias should be raised before the same Tribunal at the earliest opportunity. The advertence of the time-limit of 15 days is nothing but a statutory incorporation of that idea. However, when the grounds enumerated in the Seventh Schedule occur or are brought to the notice of one party unless such party expressly waives its objections, it is ipso facto sufficient for that party, to say that the Tribunal’s mandate is automatically terminated. The party aggrieved then can go ahead and challenge the Tribunal’s continuation with the proceedings under Section 14.”

(Emphasis supplied)

108. The Constitution Bench in **CORE II** (*supra*) affirmed the aforementioned decisions and reiterated that the ineligibility of a person to act as an arbitrator is a matter of law and goes to the root of the appointment.

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

Thus, when an arbitrator is *de jure* unable to perform his function, his mandate would be automatically terminated under Section 14(1) (a), and the parties would be within their rights to apply to the court under Section 14(2) for termination of the arbitrator's mandate and appointment of a substituted arbitrator.

b. Challenge to the ineligibility of the arbitrator after arbitral award has been passed

109. When an award has been passed, the proceedings before the arbitral tribunal conclude, leaving no possibility of substituting the arbitrator at this stage. In other words, once an award is passed, the mandate of the arbitral tribunal also arrives at a conclusion. In such circumstances, a party aggrieved by the arbitrator's ineligibility may challenge the award by filing an application under Section 34 of the 1996 Act, as an award passed by an ineligible arbitrator is nullity, *non-est*, or *void ab initio*, and against the public policy of India.
110. Even where an interim award has been passed, it is liable to be set aside, as it is not capable of being enforced. The fate of an interim award and that of an arbitral award, in this regard, is identical. In either circumstance, the parties would be required to initiate fresh arbitration proceedings as per law. In **Alpro Industries v. Ambience (P) Ltd.**, reported in **2025 SCC OnLine Del 8373**, the petitioner assailed an interim award under Section 34 on the primary ground of unilateral appointment. The Court observed thus:-

“41. In light of the findings in Mahavir Prasad (supra) and my findings that the unilateral appointment of the Sole Arbitrator in the present case is invalid and there has been no express waiver in writing in terms of the proviso to clause 12(5) of the Act, the Impugned Interim Award is liable to be set aside. Consequently, the issue raised by the respondents as to whether the Impugned Interim Award constitutes an ‘interim award’ or not would not be relevant. The Court cannot permit continuation of arbitral proceedings before an Arbitral Tribunal which would be a nullity and cannot result into an enforceable award. Hence, I do not deem it necessary to go into the merits of the challenge to the Impugned Interim Award.”

(Emphasis supplied)

Supreme Court Reports

111. An award passed by an arbitrator who is found to be ineligible cannot be enforced. In **CORE II** (*supra*), a Constitution Bench of this Court held that the concept of “public policy of India” and “fundamental policy of Indian law” means complying with statutes and judicial precedents, and principles of natural justice. It was categorically held that “the most basic notions of morality and justice” mentioned in the *Explanation 1* to Section 34(b) includes bias. The observations of this Court in paragraphs 163 and 164 respectively reproduced hereinbelow squarely apply to the facts of the present case. The relevant extract has been reproduced thus:-

“158. Section 34(2)(b) specifically provides that an arbitral award may be set aside if the court finds that the arbitral award conflicts with the public policy of India. The provision further clarifies “public policy of India” to only mean that : (i) the making of the award was induced or affected by fraud or corruption or was in violation of Section 75 or Section 81; (ii) it is in contravention with the fundamental policy of Indian law; or (iii) it is in conflict with the most basic notions of morality or justice.

159. This Court has construed the expression “public policy of India” appearing under Section 34 to mean the “fundamental policy of Indian law”. [Ssangyong Engg. & Construction Co. Ltd. v. NHAI, (2019) 15 SCC 131, para 34 : (2020) 2 SCC (Civ) 213; NHAI v. P. Nagaraju, (2022) 15 SCC 1 : (2024) 2 SCC (Civ) 414, para 39] The concept of “fundamental policy of Indian law” has been held to cover compliance with statutes and judicial precedents, adopting a judicial approach, and compliance with the principles of natural justice. [MMTC Ltd. v. Vedanta Ltd., (2019) 4 SCC 163, para 11 : (2019) 2 SCC (Civ) 293] In OPG Power Generation (India) (P) Ltd. v. Enexio Power Cooling Solutions (India) (P) Ltd. [OPG Power Generation (India) (P) Ltd. v. Enexio Power Cooling Solutions (India) (P) Ltd., (2025) 2 SCC 417 : (2025) 1 SCC (Civ) 54] , this Court explained the concept of “fundamental policy of Indian law” thus : (SCC pp. 467-68, paras 55-56)

“55. ... The expression “in contravention with the fundamental policy of Indian law” by use of the word

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

“fundamental” before the phrase “policy of Indian law” makes the expression narrower in its application than the phrase “in contravention with the policy of Indian law”, which means mere contravention of law is not enough to make an award vulnerable. To bring the contravention within the fold of fundamental policy of Indian law, the award must contravene all or any of such fundamental principles that provide a basis for administration of justice and enforcement of law in this country.

56. Without intending to exhaustively enumerate instances of such contravention, by way of illustration, it could be said that

(a) violation of the principles of natural justice;

(b) disregarding orders of superior courts in India or the binding effect of the judgment of a superior court; and

(c) violating law of India linked to public good or public interest, are considered contravention of the fundamental policy of Indian law.”

160. In *Avitel Post Studios Ltd. v. HSBC PI Holdings (Mauritius) Ltd.* [Avitel Post Studios Ltd. v. HSBC PI Holdings (Mauritius) Ltd., (2024) 7 SCC 197, para 34 : (2024) 3 SCC (Civ) 780] , this Court held that the most basic notions of morality and justice under the concept of “public policy” will include bias.

161. [...] As a corollary, Section 34 places a responsibility on the Arbitral Tribunals to ensure that the arbitral proceedings are consistent with the fundamental policy of Indian law. [Vidya Drolia v. Durga Trading Corpn., (2021) 2 SCC 1, pp. 69-70, para 70: “70. Arbitrators, like the courts, are equally bound to resolve and decide disputes in accordance with the public policy of the law. Possibility of failure to abide by public policy consideration in a legislation, which otherwise does not expressly or by necessary implication exclude arbitration, cannot form the basis to overwrite and nullify the arbitration agreement. This would be contrary to and defeat

Supreme Court Reports

the legislative intent reflected in the public policy objective behind the Arbitration Act. Arbitration has considerable advantages as it gives freedom to the parties to choose an arbitrator of their choice, and it is informal, flexible and quick. Simplicity, informality and expedition are hallmarks of arbitration. Arbitrators are required to be impartial and independent, adhere to natural justice, and follow a fair and just procedure. Arbitrators are normally experts in the subject and perform their tasks by referring to facts, evidence, and relevant case law.”]

xxx

163. The possibility of bias is real in situations where an arbitration clause allows a government company to unilaterally appoint a sole arbitrator or control the majority of the arbitrators. Since the Government has control over the Arbitral Tribunal, it can chart the course of the arbitration proceedings to the prejudice of the other party. Resultantly, unilateral appointment clauses fail to provide an effective substitute for judicial proceedings in India. Further, a unilateral appointment clause is inherently exclusionary and violates the principle of equal treatment of parties and procedural equality.

164. Unilateral appointment clauses in a public-private contract fail to provide the minimum level of integrity required in authorities performing quasi-judicial functions such as Arbitral Tribunals. Therefore, a unilateral appointment clause is against the principle of arbitration, that is, impartial resolution of disputes between parties. It also violates the nemo judex rule which constitutes the public policy of India in the context of arbitration. Therefore, unilateral appointment clauses in public-private contracts are violative of Article 14 of the Constitution for being arbitrary in addition to being violative of the equality principle under the Arbitration Act.”

(Emphasis supplied)

112. What emerges from the foregoing is that the appellants were well within their right to challenge the ineligibility of the sole arbitrator in an application under Section 34 of the Act, 1996.

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

**c. Challenge to the ineligibility of the arbitrator at any stage
of the proceedings**

113. A challenge to an arbitrator's ineligibility could be raised at any stage because an award passed in such circumstance is *non-est*, i.e., it carries no enforceability or recognition in law. We say so because an arbitrator does not possess the jurisdiction to pass an award. In arbitration, the parties vest the jurisdiction in the tribunal by virtue of a valid arbitration agreement and an appointment made in accordance with the provisions of the Act, 1996. This jurisdiction is grounded in the consent of the parties as explained in the foregoing paragraphs of this judgment.
114. In this context, jurisdiction means the authority of an arbitral tribunal to render a decision affecting the merits of the case. An arbitrator who lacks jurisdiction cannot make an award on the merits. With a view to dispel any doubt and lend clarity, we deem it appropriate to observe that the jurisdiction of the arbitral tribunal is distinct from the admissibility of the dispute, i.e., the arbitrability of the claims.
115. A question pertaining to the jurisdiction of the arbitral tribunal arises when the tribunal is fundamentally incompetent to render any decision at all. In other words, a question of jurisdiction pertains to the ability of the tribunal to hear a case, whereas questions of admissibility presuppose that the tribunal has jurisdiction. An award passed by an arbitrator who does not have jurisdiction strikes at the very authority of the arbitrator.
116. This Court, in catena of decisions, has held that the validity of a decree can be challenged even in execution proceedings if the court passing such decree lacked subject-matter jurisdiction over the dispute. As a decree passed by a court without jurisdiction goes to the root of the matter. Any decision passed by a court lacking jurisdiction would be *coram non judice*, since a court cannot give itself jurisdiction. No act of the parties can cure an inherent lack of jurisdiction.
117. In ***Hira Lal Patni v. Kali Nath***, reported in **1961 SCC OnLine SC 42**, this Court held that competence of a court to decide a case goes to the root of the matter, and incompetency results in inherent lack of jurisdiction. As a result, a decision rendered by a court that lacks jurisdiction is a nullity. The relevant observations read thus:-

Supreme Court Reports

“4. [...] The validity of a decree can be challenged in execution proceedings only on the ground that the court which passed the decree was lacking in inherent jurisdiction in the sense that it could not have seisin of the case because the subject-matter was wholly foreign to its jurisdiction or that the defendant was dead at the time the suit had been instituted or decree passed, or some such other ground which could have the effect of rendering the court entirely lacking in jurisdiction in respect of the subject-matter of the suit or over the parties to it. But in the instant case there was no such inherent lack of jurisdiction. The decision of the Privy Council in the case of *Ledgard v. Bull* [13 Indian Appeals 134] is an authority for the proposition that consent or waiver can cure defect of jurisdiction but cannot cure inherent lack of jurisdiction. In that case, the suit had been instituted in the Court of the Subordinate Judge, who was incompetent to try it. By consent of the parties, the case was transferred to the Court of the District Judge for convenience of trial. It was laid down by the Privy Council that as the court in which the suit had been originally instituted was entirely lacking in jurisdiction, in the sense that it was incompetent to try it, whatever happened subsequently was null and void because consent of parties could not operate to confer jurisdiction on a court which was incompetent to try the suit. [...] It is well settled that the objection as to local jurisdiction of a court does not stand on the same footing as an objection to the competence of a court to try a case. Competence of a court to try a case goes to the very root of the jurisdiction, and where it is lacking, it is a case of inherent lack of jurisdiction. On the other hand, an objection as to the local jurisdiction of a court can be waived and this principle has been given a statutory recognition by enactments like Section 21 of the Code of Civil Procedure.[...]”

(Emphasis supplied)

118. We may look into the decision of this Court in ***Hindustan Zinc Ltd. v. Ajmer Vidyut Vitran Nigam Ltd.***, reported in (2019) 17 SCC 82. The submission canvassed before this Court was that an objection to jurisdiction could not have been raised in a proceeding

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

under Section 37 of the Act, 1996, once the parties had consented to arbitration. In the said decision it was held that an objection to the inherent lack of jurisdiction can be taken at any stage and also in collateral proceedings. Furthermore, that a decree passed without jurisdiction is a nullity. The relevant observations read thus:-

“17. We are of the view that it is settled law that if there is an inherent lack of jurisdiction, the plea can be taken up at any stage and also in collateral proceedings. This was held by this Court in Kiran Singh v. Chaman Paswan [Kiran Singh v. Chaman Paswan, (1955) 1 SCR 117 : AIR 1954 SC 340] as follows : (SCR p. 121 : AIR p. 342, para 6)

“6. ... It is a fundamental principle well-established that a decree passed by a court without jurisdiction is a nullity, and that its invalidity could be set up whenever and wherever it is sought to be enforced or relied upon, even at the stage of execution and even in collateral proceedings. A defect of jurisdiction, whether it is pecuniary or territorial, or whether it is in respect of the subject-matter of the action, strikes at the very authority of the Court to pass any decree, and such a defect cannot be cured even by consent of parties. If the question now under consideration fell to be determined only on the application of general principles governing the matter, there can be no doubt that the District Court of Monghyr was coram non judice, and that its judgment and decree would be nullities.”

18. Therefore, it is a little difficult to countenance Shri Vaidyanathan’s argument that having consented, the respondent cannot now turn around and challenge the very appointment of the arbitrator as being invalid and without jurisdiction.”

(Emphasis supplied)

119. In **Bhim Bahadur v. Vikram Singh**, reported in **2015 SCC OnLine Utt 1563**, when the issue before the High Court was whether the subject land therein was agricultural or *abadi* in nature. The Court held that the matter had to be referred to a revenue court under the Uttar Pradesh Zamindari Abolition & Land Reforms Act. The relevant observations read thus:-

Supreme Court Reports

“11. In this regard, the law is well established to the effect that competency of the jurisdiction or the lack of the same in a particular Court cannot be determined by either of the parties through their pleadings, viz., the Court having jurisdiction under the law to decide a particular issue cannot be kept away from deciding the same on the basis of averments made by the parties and, in the same manner, the jurisdiction cannot be conferred on a particular Court on the basis of pleadings and admission thereof to decide a particular issue wherefor the law does not confer jurisdiction to the Court.”

(Emphasis supplied)

120. All that we are trying to convey is that, in civil law, the law itself confers subject-matter jurisdiction on specific courts. For instance, a suit seeking a declaration on the validity of marriage before the Civil Court is not maintainable, as such disputes fall within the exclusive jurisdiction of the Family Court. Similarly, in arbitration, the consent of parties confers subject-matter jurisdiction, i.e., the authority to decide the dispute. When an arbitral tribunal is unilaterally constituted, such consent is absent, thereby divesting the tribunal of subject-matter jurisdiction. The Act, 1996, does not recognize the conferral of jurisdiction on an arbitral tribunal without the consent of the parties. By entering into an express agreement in writing as per the *proviso* to Section 12(5), the parties not only waive the ineligibility of the proposed arbitrator but also consent to his appointment.
121. Before we part, we deem it fit to observe that an arbitrator is better equipped with the position of law on appointments, more particularly, unilateral appointments. Therefore, it becomes incumbent upon the arbitrator that upon entering reference and at the very first hearing, to ensure from the parties that they are willing to participate in the proceedings and to insist upon a written agreement waiving the requirement of Section 12(5) of the Act, 1996.
122. Further, in such circumstances referred to above, if any party does not appear despite receipt of notice, the arbitrator shall not proceed further and shall immediately withdraw from the arbitral proceedings. The arbitrator must, along with the waiver agreement, record the minutes even when the parties are cooperating. This would certainly save time and avoid multiplicity of proceedings.

**Bhadra International (India) Pvt. Ltd. & Ors. v.
Airports Authority of India**

VIII. CONCLUSION

123. A conspectus of the aforesaid detailed discussion on the position of law as regards Section 12 of the Act, 1996, is as follows:-

- i. The principle of equal treatment of parties provided in Section 18 of the Act, 1996, applies not only to the arbitral proceedings but also to the procedure for appointment of arbitrators. Equal treatment of the parties entails that the parties must have an equal say in the constitution of the arbitral tribunal.
- ii. Sub-section (5) of Section 12 provides that any person whose relationship with the parties or counsel, or the dispute, whether direct or indirect, falls within any of the categories specified in the Seventh Schedule would be ineligible to be appointed as an arbitrator. Since, the ineligibility stems from the operation of law, not only is a person having an interest in the dispute or its outcome ineligible to act as an arbitrator, but appointment by such a person would be *ex facie* invalid.
- iii. The words “*an express agreement in writing*” in the *proviso* to Section 12(5) means that the right to object to the appointment of an ineligible arbitrator cannot be taken away by mere implication. The agreement referred to in the *proviso* must be a clear, unequivocal written agreement.
- iv. When an arbitrator is found to be ineligible by virtue of Section 12(5) read with the Seventh Schedule, his mandate is automatically terminated. In such circumstance, an aggrieved party may approach the court under Section 14 read with Section 15 for appointment of a substitute arbitrator. Whereas, when an award has been passed by such an arbitrator, an aggrieved party may approach the court under Section 34 for setting aside the award.
- v. In arbitration, the parties vest jurisdiction in the tribunal by exercising their consent in furtherance of a valid arbitration agreement. An arbitrator who lacks jurisdiction cannot make an award on the merits. Hence, an objection to the inherent lack of jurisdiction can be taken at any stage of the proceedings.

124. For all the foregoing reasons, we have reached the conclusion that the High Court committed an egregious error in passing the

Supreme Court Reports

impugned judgment. We are left with no other option but to set aside the impugned judgment. As a result, the arbitral awards dated 30.07.2018 passed by the sole arbitrator are also set aside.

125. It would be open to the parties to initiate fresh arbitration proceedings in accordance with law.
126. In the result, the appeals succeed and are hereby allowed. Pending applications, if any, shall stand disposed of.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Ankit Gyan

Nirbhay Singh Suliya
v.
State of Madhya Pradesh & Anr.

(Civil Appeal No. 40 of 2026)

05 January 2026

[J.B. Pardiwala* and K.V. Vishwanathan,* JJ.]

Issue for Consideration

Whether on facts, based on the four judicial orders of grant of bail *per se* and without anything more, the authorities were justified in removing the appellant-Judicial Officer from service.

Headnotes[†]

Judiciary – District judiciary – Departmental proceedings against Judicial Officer on the allegation that extraneous considerations actuated passing of bail orders – Mere wrong order or wrong exercise of discretion in grant of bail by itself without anything more, not a ground to initiate departmental proceedings against Judicial Officers – Complainant lodged complaint with the Chief Justice of the High Court *inter alia* alleging that the appellant-Additional District Judge was taking bribe through his steno for grant of bail in cases under the Excise Act in which the quantity of seized liquor was 50 Bulk liters or more – Appellant was removed from service after 27 years of unblemished service solely on the basis of four judicial orders by which he enlarged certain parties therein on bail – Those four orders were contrasted with fourteen other orders of bail and after finding that in the four orders s.59-A, Madhya Pradesh Excise Act, 1915 was not referred to, it was held that it was proved that for corrupt motive or for some extraneous consideration bail applications were allowed contrary to s.59-A, Excise Act – Appellant filed writ petition before the High Court challenging the order of removal and the order of appellate authority and prayed for reinstatement with consequential benefits – Dismissed – Interference with:

Held: Only because an order is wrong or there is an error of judgment, without anything more, a judicial officer should not

* Author

Supreme Court Reports

be put through the ordeal of a disciplinary proceeding or a prosecution – Merely because a different conclusion was possible is not an indicium for misconduct – Disciplinary Authority has to examine whether there has emerged from the record, one or more circumstances that indicate that the decision which forms the basis of the charge of misconduct was not an honest exercise of judicial power – Appellant was held guilty of misconduct only based on certain judicial orders granting bail without anything more – No material on record to show that there are circumstances from which inference could be drawn that extraneous considerations actuated the passing of those orders of bail – The hypothesis was drawn only on the basis that the order did not make reference to the statutory provision expressly – Moreover, a perusal of the four orders show that reasons were given, though there is no express mention s.59-A (2), Excise Act – The finding that in 14 other orders he referred to s.59-A (2), Excise Act is by itself not enough to infer misconduct in the passing of the four bail orders in question – It will be a dangerous proposition to hold that judgments and orders which do not refer expressly to statutory provisions are *per se* dis-honest judgments – Findings in the inquiry report are perverse and not supported by the evidence on record – High Court erred in not interfering with the order – Order of removal, the order of Appellate Authority and the impugned order of the High Court set aside – Appellant shall be deemed to have continued in service till he attained the normal age of superannuation – Since the appellant has been kept out of service for no fault of his, full back wages with all consequential benefits be given to him – **Per Pardiwala, J. [Concurring]** Mere wrong order or wrong exercise of discretion in grant of bail by itself without anything more, cannot be a ground to initiate departmental proceedings. [Paras 29, 33, 35, 39, 40, 41, 43, 1]

Judiciary – District judiciary – Allegations against judicial officers – Duty of High Court – Note of caution:

Held: High Court which is vested with the supervisory control has to exercise great caution and circumspection – Only because an order is wrong or there is an error of judgment, without anything more, a judicial officer should not be put through the ordeal of a disciplinary proceeding or a prosecution – Merely because the order is wrong, disciplinary action is not warranted and each case will depend upon the facts and no absolute rule can be postulated –

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

Inference of misconduct or about extraneous considerations having actuated, the decision cannot be drawn merely from a hypothesis that a decision is erroneous – A wrong decision can yet be a *bona fide* error of judgment and inadvertence is consistent with an honest error of judgment – It is not the correctness of the verdict but the conduct of the Officer in question which is determinative – **Per Pardiwala, J. [Concurring]** High Court vested with the supervisory control must keep in mind that a judicial officer of the district judiciary works mostly in a charged atmosphere – A mere wrong order or wrong exercise of discretion in grant of bail by itself without anything more, cannot be a ground to initiate departmental proceedings. [Paras 32, 35, 1]

Directions by Supreme Court – False and frivolous complaint against a judicial officer *vis-à-vis* complaints of misconduct against the judicial officer if *prima facie* found to be true – Course of action by High Courts:

Held: Strict and strong action in accordance with law should be taken against individuals filing a false and frivolous complaint against a judicial officer and/or if found to be engineering the false and frivolous complaints – Such proceedings would include in appropriate cases, proceedings for contempt of court – In case the person filing or engineering false and frivolous complaints is a recalcitrant member of the Bar, apart from proceedings for contempt of court, reference to the bar council should be made for disciplinary action – Bar councils, on receipt of such references, have to dispose of the matter expeditiously – Equally, if the complaint of misconduct against the judicial officer is *prima facie* found to be true, prompt action to initiate disciplinary proceeding should be taken and no leniency should be shown if the charges are established – In appropriate cases where criminal prosecution is warranted against a judicial officer, the High Court should not hesitate to have the same initiated – However, due care and caution must be exercised by the High Court in initiating such proceedings – Only because an order is wrong or there is an error of judgment, without anything more, a judicial officer should not be put through the ordeal of a disciplinary proceeding or a prosecution. [Paras 28, 29]

Justice delivery system – Judiciary – District judiciary – Bail – Exercise of discretion for grant of bail – Reluctance of trial court judges – Fear of initiation of departmental proceedings on mere suspicion:

Supreme Court Reports

Held: Per Pardiwala, J. [Concurring] Initiation of departmental proceedings on mere suspicion is one of the primary causes why trial court judges are reluctant when it comes to exercising discretion for the purpose of grant of bail – It should not happen that because of the lurking fear in the mind of a trial court judge, of some administrative action being taken that even in a deserving case, well within the principles of law, bail is declined – This is one reason why the High Courts and the Supreme Court are flooded with bail applications – Courts of the district judiciary wield powers necessary for the functioning of the justice delivery system in India and when their autonomy is compromised by higher courts and fear takes precedence over judicial duties, democracy and the rule of law suffer – Over a period of time, the trial court judges have exhibited tendency to shirk from their solemn judicial function and responsibility when it comes to exercising discretion in matters relating to bail – Courts of the district judiciary wield powers necessary for the functioning of the justice delivery system in India and when their autonomy is compromised by higher courts and fear takes precedence over judicial duties, democracy and the rule of law suffer – For functioning of democracy, an independent judiciary to dispense justice without fear and favour is paramount. [Paras 2, 3]

Case Law Cited

Sadhna Chaudhary v. State of U.P. and Another [2020] 4 SCR 888 : (2020) 11 SCC 760; *R.R. Parekh v. High Court of Gujarat and Another* [2016] 5 SCR 906 : (2016) 14 SCC 1; *Union of India and Others v. K.K. Dhawan* [1993] 1 SCR 296 : (1993) 2 SCC 56; *P.C. Joshi v. State of U.P. and Others* [2001] Supp. 1 SCR 369 : (2001) 6 SCC 491; *Ishwar Chand Jain v. High Court of Punjab and Haryana and Another* [1988] Supp. 1 SCR 396 : (1988) 3 SCC 370; *Ramesh Chander Singh v. High Court of Allahabad and Another* [2007] 3 SCR 198 : (2007) 4 SCC 247; *Krishna Prasad Verma v. State of Bihar and Others* [2019] 12 SCR 861 : (2019) 10 SCC 640; *Yoginath D. Bagde v. State of Maharashtra and Another* [1999] Supp. 2 SCR 490 : (1999) 7 SCC 739 – relied on.

Abhay Jain v. High Court of Rajasthan [2022] 16 SCR 693 : (2022) 13 SCC 1 – referred to.

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.**List of Acts**

Madhya Pradesh Excise Act, 1915; Contract Act, 1872.

List of Keywords

District judiciary; Disciplinary Inquiry against Judicial Officers; Disciplinary action against Judicial Officers; Departmental proceedings against Additional District & Sessions Judge; Disciplinary Inquiry against Additional District & Sessions Judge; Removal from service based on judicial orders granting bail; Findings in inquiry report perverse; Section 59-A, Madhya Pradesh Excise Act, 1915; Misconduct; Alleged extraneous considerations; Bail orders; Error of judgment; Wrong order; Wrong exercise of discretion in grant of bail; No ground to initiate departmental proceedings; Bona fide error of judgment; Seized liquor; 50 Bulk liters; Erroneous decision; Preliminary inquiry by District Judge; Unblemished service; Removal from service not justified; Bribe through steno for grant of bail; Independent judiciary; District judiciary; Bail; False and frivolous complaints against judicial officers; Ill-conceived or motivated complaint against judicial officers; Complaint of misconduct against judicial officer if prima facie found to be true; Dishonest judgments; Reinstatement with consequential benefits; Fear of initiation of departmental proceedings; Trial court judges reluctant in exercising discretion for the purpose of grant of bail.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 40 of 2026

From the Judgment and Order dated 25.07.2024 of the High Court of Madhya Pradesh Principal Seat at Jabalpur in WP No. 8623 of 2016

Appearances for Parties

Advs. for the Appellant(s):

Dama Seshadri Nadu, Sr. Adv., Yash S. Vijay, Kanu Agarwal, Chetan Kanungo, Shikhar Aggarwal, Ms. Anisha Mahajan.

Advs. for the Respondent(s):

Harmeet Singh Ruprah, DAG, Arjun Garg, Ms. Sagun Srivastava, Ms. Arushi Kulshrestha, Saaranish Shukla, Ankit Rajgarhia, Ms. Muskan Bensla, Sarad Kumar Singhanian, Shashank Shekhar, Meghraj Singh, Ratnesh Kumar.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****K.V. Viswanathan, J.**

1. Leave granted.
2. This case highlights the unfortunate plight of a judicial officer (appellant herein) who, after 27 years of unblemished service, was removed from service. The sole and exclusive basis on which the appellant has been removed are four judicial orders by which he enlarged certain parties thereon on bail. Those four orders were contrasted with fourteen other orders of bail and after finding that in the four orders Section 59-A of the Madhya Pradesh Excise Act, 1915 (for short the “Excise Act”) was not referred to, action has been taken. According to the High Court, in the fourteen other orders the appellant referred to the said Section implying thereby that he was conscious of the existence of the said Section on the statute. Section 59-A prescribes what has now famously come to be known as “twin conditions” for grant of bail.
3. The question before us is whether on facts, based on the four judicial orders of grant of bail per se and without anything more, the authorities were justified in removing the appellant from service?
4. The facts lie in a very narrow compass. The appellant joined service on 31.10.1987 as Civil Judge (Junior Division) in the Madhya Pradesh Judicial Service. The appellant scaled the ladder up and in 2003 was promoted as Additional District Judge and in September, 2008 was confirmed in the said post. On 16.05.2011, he was transferred to Khargone, District Mandaleshwar (MP), where he joined as First Additional District & Sessions Judge. In the course of discharge of his duties, he dealt with several matters, including bail applications under the Excise Act.
5. One Jaipal Mehta, a resident of Jaitapur, Khargone, lodged a complaint with the Chief Justice of the Madhya Pradesh High Court, Jabalpur. The complaint which did not set out any details of the bail orders and which was in very general terms reads as under:-

“Subject: Regarding disposal of cases under Section 34(2) of IPC.

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

Sir,

In reference to above subject matter, it is requested that First ADJ Sh. Suliya posted in Khargone, District-West Nimar, Mandleshwar by taking bribe through his Steno namely Anil Joshi, Clerk, is granting bails in the cases of Section 34/2 of Excise Act i.e. of 50 Bulk Ltrs. of liquor, whereas, ADJ/Sessions Judge has no power to allow said bail applications. Said Bails are allowed by the High Court. Anil Joshi, Steno challenges in each and every case that either you bring case of 302, 307, Claim or Civil Case, I have good setting with sir, I will get it resolved, rest you have to pay money as per my wishes. Due to such corrupt employee, the judiciary is getting defamed. Injustice is being done with the aggrieved parties in place of giving them justice. Who will be responsible for it? Previously in the year 1995-1996, the serious complaints of bribe were also made against the said corrupt employee, on which, no action was taken. Aforesaid employee is posted in Khargone since last 25 years and is earning money by doing setting with Advocates openly. If the enquiry of his account be conducted, then, the truth will be exposed. If, the trust of public loses confidence in judiciary then, will be possible of military rule jungle raj.”

6. It will be seen that according to the complaint, the allegation was that the appellant was taking bribe through his steno, namely, Anil Joshi for grant of bail in cases under the Excise Act in which the quantity of seized liquor was 50 Bulk liters or more; that the said Anil Joshi was claiming that he will get the work done through the appellant for extraneous consideration; that due to such corrupt employee, the judiciary was getting defamed; that even in 1995-96, serious complaints of bribery were made against the said employee on which no action was taken; that the said employee has been posted in Khargone for more than 25 years and is earning money through illegal means and that an inquiry is essential.
7. It appears from the counter affidavit filed before this Court by R-2 - the High Court of Madhya Pradesh, that a preliminary inquiry was conducted by the District Judge (I & V), Indore Zone, Indore, against the appellant and on 06.10.2012, the Principal Registrar (I & V) put

Supreme Court Reports

up a note based on which it was decided to initiate departmental proceedings against the appellant.

8. What emerges is that in the preliminary inquiry certain orders passed by the appellant in bail proceedings seem to have been examined and few orders pulled out. Two charges were framed against the appellant of which the second charge admittedly was held not proved by the inquiry officer. The charges read as under:-

“Whereas, you Shri Nirbhay Singh Suliya while functioning as Additional Sessions Judge, Khargone, distt. Mandleshwar, have committed following acts which if proved would amount to grave misconduct:-

ARTICLE OF CHARGE - I

That, you, with corrupt or oblique motive or for some extraneous considerations, while functioning as Additional & Sessions Judge, allowed Bail Application No. 129/11 Lokesh Vs. State of MP vide order dated 1.8.11, Bail Application No. 136/11 Babulal & Ors. Vs. State vide order dated 4.8.11, Bail Application No.200/11 Mohan Vs. State of MP vide order dated 7.12.11, Bail Application No. 123/12 Jitendra & Nantiya Vs. State & No. 122/12 Gulab & Ors. Vs. State of MP, vide order dated 31-08-12, against the provisions of Section 59-A of the M.P. Excise Act wherein all the cases, quantity of seized liquor was 50 and more bulk litres. On the contrary, you rejected Bail Application No.89/11 vide order dated 16.06.2011, Bail Application No. 92/11, vide order dated 23.06.11, Bail Application No.104/11, vide order dated 1.7.2011, Bail Application No.103/11, vide order dated 4.7.11, Bail Application no. 111/11, vide order dated 11.7.11, Bail Application No. 121/11, vide order dated 21.07.11, Bail Application No.140/11, vide order dated 12.08.11, Bail Application No. 160/11 vide order dated 22.09.11 and six other bail applications in which the quantity of seized liquor was 50 bulk litres or more. In this manner you have applied double standard, mala fide, in allowing the aforesaid bail applications.

ARTICLE OF CHARGE - II

That, you, with corrupt or oblique motive or for some extraneous consideration allowed the first bail application

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

No. 101/2012 Pappu Vs. State of MP in Crime No. 101/2012 under section 439 of CrPC for offense punishable under 363, 366, 376(2)(g) of the IPC in a serious offence of gang rape without assigning any sufficient reason, whereas the accused was already facing trial in another similar crime no. 103/2012 PS Oon for offence punishable under sections 363, 366, 376(2)(g) 3 of the IPC.

Your aforesaid acts being unbecoming of Judicial Officer amount to grave misconduct under Rule 3 of M.P. Civil Services (Conduct) Rules, 1965 and are punishable under Rule 10 of the M.P. Civil Services (Classification, Control & Appeal) Rules, 1966.”

9. A perusal of “Charge-I” reveals that the orders in the following bail applications where Bail was granted to the applicants therein were the basis of the gravamen of the charge:-

Bail Application Nos.	Date of Order
129/2011	01.08.2011
136/2011	04.08.2011
200/2011	07.12.2011
123/2012 & 122/2012	31.08.2012

10. The charge was that for corrupt motive or that for some extraneous consideration, bail applications were allowed contrary to Section 59-A of the Excise Act. A contrast was made with 14 other bail orders, where the appellant had rejected bail. It is significant to note that among the five bail orders, Bail Application No.200/2011 that was disposed of on 07.12.2011 was actually a case where the appellant had rejected bail. Somehow that order also made its way into “Charge-I”, as an order of grant of bail. Be that as it may. In the list of witnesses, Jaipal Mehta was named apart from a general statement – “any other witnesses that may be felt necessary”.
11. The appellant gave his reply and dealt with each bail order that was subject matter of the charge.
12. We have perused the actual bail orders. In the bail order in Bail Application No.129/2011 (60 liters of liquor) the reasoning given was as under:-

Supreme Court Reports

“After hearing arguments of both the parties, Criminal Case No.1685/11 Filed before Chief Judicial Magistrate was perused. On perusal, it is clear that on 25.07.2011, challan has been filed against both the Applicants/ Accused in violation of Section 34(2) of M.P. Excise Act, and possibility of consuming time in it’s trial cannot be overruled. In view of the nature of crime, allegations, and without commenting on the merits of evidences collected in the present case i.e. Crime No. 232/11, and by placing reliance on the said case laws, where trial is likely to take time, and Applicant/Accused are themselves [sic] being permanent resident, there is no flight risk or tempering evidences on their part, thereupon, it appears justifiable to grant benefit of bail to these Applicants/ Accused Persons. Due to this reason, the present Bail Application u/s 439 Cr.P.C. is hereby allowed.”

13. Similarly, in other orders, reasons like filing of challan, the applicants being rural farmers with no flight risk were mentioned. There was no express reference to the twin conditions under Section 59-A(2) of the Excise Act.
14. At the inquiry, the complainant Jaipal Mehta was not examined. Instead the executive clerk of ADJ, Khargone Court, Gendalal Chauhan was examined as witness No.1, in support of the charge. The witness marked all the exhibits and categorically deposed as under which actually was in favour of the appellants :-

“It is correct to say that while passing orders, Anil Joshi was posted as Steno in the Court of First Additional Sessions Judge. He is posted in Khargone since last 7-8 years, whom I know due to being my colleague. I never seen Anil (sic) asking anyone that he has good relations with Suliya Sahab and I will get done the work by doing setting. None of the Advocates has told me that Anil Joshi has setting with Suliya Sahab.”

15. The appellant in defense examined the prosecutor K.P. Tripathi who appeared in all the 18 bail applications which were subject matter of the charge. He deposed as under:-

“I did not feel that the double standard has been adopted by the Court. If it would happen, then, I would give my opinion

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

to the State for taking action in Hon'ble High Court. In Exh. P-19, only one Crime i.e. Crime No.102/12 is registered against Accused Pappu in P.S. Oon. Moreover, as per my knowledge, no other crime is registered against this accused. Because in Police Report, there is no mention of registration of any other crime against him. I find the functioning of Court to be completely impartial.”

.....

“That, three Bail Applications of Excise Act have been allowed, and out of the said Applications, 15 Applications have been rejected. In my opinion, in the cases of Bail marked as Exh. P-1, P-2 and P-4, those orders of allowing bail application which have been passed in view of the facts and circumstances of respective cases, nature of crime, and in pursuance of the case laws of Hon'ble High Court and Supreme Court, those orders are completely based on merits and are relevant and true as per law. Those 15 Bail Applications which have been rejected by the Ld. Trial Court, out of those cases, in the orders marked as Exh. P-9, Exh. P-12, Exh. P-13, Exh. P-17 and Exh. P-18, the case was at the initial stage of investigation.”

.....

“Note: Question by Enquiry Officer:-

Question: The bail orders, in which bail applications have been allowed, whether those orders according to your goodself or in the opinion of Public Prosecutor, are proper or improper? What you say in this regard.

Answer: In my opinion i.e. in the capacity of Public Prosecutor, the orders of granting bail were absolutely proper and on proper grounds.”

16. Notwithstanding the above evidence the inquiry officer held “Charge-I”, proved by recording the following findings:-

“Therefore, on the basis of aforesaid analysis, as a final conclusion, it is proved in favour of the Department that Delinquent Officer Sh. N.S. Suliya in the capacity of Additional Sessions Judge, not being impartial in the

Supreme Court Reports

disposal of Bail Applications for the offences of Section 34(2), 49-A of the Excise Act, and with oblique motive and by deliberately violating the mandatory provisions of Section 59-A of the aforesaid Act, has committed misconduct by allowing some Bail Application Nos. 129/11, 136/11, 123/12, 122/12 and by rejecting some bail Applications by applying double standards in malafide and arbitrary manner, who has violated Rule 3 of the M.P. Civil Services (Conduct) Rules, 196, which is punishable under Rule 10 of the M.P. Civil Services (Classification, Control & Appeal) Rules, 1966.”

17. On 21.03.2014, a copy of the inquiry report was furnished to the appellant and he was asked to show cause on the punishment. The appellant filed a detailed reply by his letter dated 10.04.2014.
18. On 02.09.2014, on the recommendation of the High Court of Madhya Pradesh, order was passed by the Principal Secretary, Government of M.P., Law & Legislative Affairs Department, removing the appellant from service. A representation/appeal filed against the said order was rejected on 17.03.2016.
19. The appellant filed a writ petition before the High Court of Madhya Pradesh at Jabalpur (Writ Petition No.8623/2016) challenging the order of removal and the order of the appellate authority and prayed for reinstatement with consequential benefits.
20. By the impugned order dated 25.07.2024, the High Court has dismissed the Writ Petition by recording the following finding:-

“If the principles laid down by the Supreme Court, in the case referred to herein above, are taken note of, then a reasonable finding arrived at by the Inquiring Authority in the present case based on material available on record can neither be interfered with by this Court nor can it termed as perverse or unreasonable to such an extent that interference can be made by this Court.

Considering the material available in the present case, it is apparent that the petitioner was holding the post of Additional Sessions Judge with which comes a great responsibility and he was under obligation to conduct himself in a manner befitting the post held by him. He was

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

under duty to conduct the proceedings of bail applications in conformity with the provisions of law. He extended the benefit of bail to some applicants relying on the pronouncement of High Court and refused to grant bail to others without considering those pronouncements. No violation of principles of natural justice or error is found in the procedure followed in the enquiry in the present case. In the absence of any procedural illegality, irregularity in the conduct of departmental enquiry, in the considered opinion of this Court, no interference is warranted and after considering the over all material available in the record and in view of the settled position of law, we do not find any reason to interfere in the order of punishment/removal dated 02.09.2014 and the order of rejection of appeal on 17.03.2016 and accordingly, the writ petition is dismissed.”

21. Aggrieved, the appellant is before us.
22. We have heard Mr. Dama Seshadri Naidu, learned senior counsel assisted by Mr. Kanu Agarwal, learned counsel for the appellant and Mr. Arjun Garg, learned counsel for the respondent no. 2, the High Court of Madhya Pradesh, who ably presented the case of the said respondent. We have perused the records, including the written submissions and the compilation of case law filed by the parties.

CONTENTIONS OF THE APPELLANT: -

23. Learned senior counsel for the appellant contends that the allegations were directly against Anil Joshi – the Stenographer; that neither the complainant – Jaipal Mehta nor the Stenographer was produced as witnesses during the Departmental Inquiry and that the bail orders which were subject matter of the inquiry were passed on valid grounds. Even in the case of special statute “*bail is the rule and jail is the exception*”; that the Inquiry Officer has examined the legality and propriety of the orders of bail acting as an Appellate Authority. That the departmental witness Gendalal Chauhan and the public prosecutor in their deposition did not support the charge and finally it was contended that merely because on a given set of facts, a different conclusion is possible, is no ground to indict a Judicial Officer. It was further submitted that wrong exercise of jurisdiction or mistake of law or wrong interpretation of law cannot be the basis for initiating disciplinary proceedings.

Supreme Court Reports**CONTENTIONS OF RESPONDENT NO.2 – THE HIGH COURT OF MADHYA PRADESH:-**

24. The learned Counsel for the respondent no. 2 - the High Court of Madhya Pradesh submitted that the procedure for Inquiry has been duly followed; that the consistent view of this Court has been that the Court will not function as an Appellate Court over the Inquiry report and the only consideration was whether the Inquiry had been fairly conducted after giving due opportunity to the delinquent. It was further submitted that Section 59-A (2) of the Excise Act was not even referred to in the bail orders in question, while in the other bail orders it was mentioned while rejecting bail. The learned counsel submitted that the Inquiry Officer has come to the conclusion that the conduct of the appellant was not impartial and the appellant violated the mandate of Section 59-A and applied double standards in a *mala fide* and arbitrary manner. It was submitted that a judicial officer is required to maintain a very high standard of devotion to duty. So contending, it was pleaded that the impugned order did not call for any interference.

QUESTIONS FOR CONSIDERATION: -

25. The questions for consideration are whether the order removing the appellant from service based on the inquiry report is justified in law and whether any good ground has been made out for interference?

ANALYSIS AND CONCLUSION: -

26. The present is the case of a Disciplinary Inquiry against the senior Judicial Officer. Before we set out the parameters laid down by this Court as to in what circumstances a Judicial Officer can be subjected to penalty in the discharge of his duties, it is apposite to make certain preliminary observations.
27. A fearless judge is the bedrock of an independent judiciary, as much as an independent judiciary itself is the foundation on which rule of law rests. A judicial Officer is tasked with the onerous duty of deciding cases. Invariably one party to the case would lose and go back unhappy. Disgruntled elements amongst them, wanting to settle scores may raise frivolous allegations. The Trial Judiciary also has tremendous work pressure and works under trying working conditions. Large number of cases are listed in a day and most of the Judicial Officers give their very best while discharging their duties.

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

28. Instances have also emerged from different parts of the country, where not just disgruntled parties but some mischievous elements in the Bar have also resorted to intimidatory tactics against the members of the Trial Judiciary by engineering false and anonymous complaints. Strict and strong action in accordance with law should be taken against such individuals filing a false and frivolous complaint against a judicial officer and/or if found to be engineering the false and frivolous complaints. Such proceedings would include in appropriate cases, proceedings for contempt of court. In case the person filing or engineering false and frivolous complaints is a recalcitrant member of the Bar, apart from proceedings for contempt of court, reference to the bar council should be made for disciplinary action. Bar councils, on receipt of such references, have to dispose of the matter expeditiously.
29. Equally, if the complaint of misconduct against the judicial officer is *prima facie* found to be true, prompt action to initiate disciplinary proceeding should be taken and no leniency should be shown if the charges are established. Not only this, in appropriate cases where criminal prosecution is warranted against a judicial officer, the High Court should not hesitate to have the same initiated. That is the only way to weed out black-sheeps sullyng the fair name of the judiciary. Due care and caution must be exercised by the High Court in initiating such proceedings. It should be ensured that only because an order is wrong or there is an error of judgment, without anything more, a judicial officer is not put through the ordeal of a disciplinary proceeding or a prosecution.
30. It is trite to recall the observations of this Court in **Sadhna Chaudhary v. State of U.P and Another**.¹:-

“20. We are also not oblivious to the fact that mere suspicion cannot constitute “misconduct”. Any “probability” of misconduct needs to be supported with oral or documentary material, even though, the standard of proof would obviously not be on a par with that in a criminal trial. While applying these yardsticks, the High Court is expected to consider the existence of differing standards and approaches amongst different Judges. There are innumerable instances of judicial officers who are liberal in granting bail, awarding

Supreme Court Reports

compensation under MACT or for acquired land, back wages to workmen or mandatory compensation in other cases of tortious liabilities. **Such relief-oriented judicial approaches cannot by themselves be grounds to cast aspersions on the honesty and integrity of an officer.**

21. Furthermore, one cannot overlook the reality of ours being a country, wherein countless complainants are readily available without hesitation to tarnish the image of the judiciary, often for mere pennies or even cheap momentary popularity. Sometimes, a few disgruntled members of the Bar also join hands with them, and the officers of the subordinate judiciary are usually the easiest target. It is, therefore, the duty of the High Courts to extend their protective umbrella and ensure that the upright and straightforward judicial officers are not subjected to unmerited onslaught.

26. We can find no fault in the proposition that the end result of adjudication does not matter, and only whether the delinquent officer had taken illegal gratification (monetary or otherwise) or had been swayed by extraneous considerations while conducting the process is of relevance. Indeed, many-a-times it is possible that a judicial officer can indulge in conduct unbecoming of his office whilst at the same time giving an order, the result of which is legally sound. Such unbecoming conduct can either be in the form of a Judge taking a case out of turn, delaying hearings through adjournments, seeking bribes to give parties their legal dues, etc. None of these necessarily need to affect the outcome. However, importantly in the present case, a perusal of the charge-sheet shows that no such allegation of the process having been vitiated has been made against the appellant.”

(Emphasis supplied)

31. In *Abhay Jain* vs. *High Court of Rajasthan*², this Court quoted with approval the observations in *Sadhna Chaudhary* (*supra*).

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

32. When false allegations fly thick and fast, the judicial officers cannot react. Here is where the High Court which is vested with the supervisory control has to exercise great caution and circumspection. As to what the parameters are, when the High Court on the Administrative side is faced with such a scenario, has been felicitously set out by Chief Justice D.Y. Chandrachud J. speaking for the Court in **R.R. Parekh v. High Court of Gujarat and Another**³ as under: -

“**16.** The issue of whether a judicial officer has been actuated by an oblique motive or corrupt practice has to be determined upon a careful appraisal of the material on the record. Direct evidence of corruption may not always be forthcoming in every case involving a misconduct of this nature. A wanton breach of the governing principles of law or procedure may well be indicative in a given case of a motivated, if not reckless disregard of legal principle. In the absence of a cogent explanation to the contrary, it is for the disciplinary authority to determine whether a pattern has emerged on the basis of which an inference that the judicial officer was actuated by extraneous considerations can be drawn. Cases involving misdemeanours of a judicial officer have to be dealt with sensitivity and care. A robust common sense must guide the disciplinary authority. At one end of the spectrum are those cases where direct evidence of a misdemeanour is available. Evidence in regard to the existence of an incriminating trail must be carefully scrutinised to determine whether an act of misconduct is established on the basis of legally acceptable evidence. Yet in other cases, direct evidence of a decision being actuated by a corrupt motive may not be available. The issue which arises in such cases is whether there are circumstances from which an inference that extraneous considerations have actuated a judicial officer can legitimately be drawn. Such an inference cannot obviously be drawn merely from a hypothesis that a decision is erroneous. **A wrong decision can yet be a bona fide error of judgment. Inadvertence is consistent with an honest error of**

Supreme Court Reports

judgment. A charge of misconduct against a judicial officer must be distinguished from a purely erroneous decision whether on law or on fact. The legality of a judicial determination is subject to such remedies as are provided in law for testing the correctness of the determination. It is not the correctness of the verdict but the conduct of the officer which is in question. The disciplinary authority has to determine whether there has emerged from the record one or more circumstances that indicate that the decision which forms the basis of the charge of misconduct was not an honest exercise of judicial power. The circumstances let into evidence to establish misconduct have to be sifted and evaluated with caution. The threat of disciplinary proceedings must not demotivate the honest and independent officer. Yet on the other hand, there is a vital element of accountability to society involved in dealing with cases of misconduct. There is on the one hand a genuine public interest in protecting fearless and honest officers of the District Judiciary from motivated criticism and attack. Equally there is a genuine public interest in holding a person who is guilty of wrongdoing, responsible for his or her actions. Neither aspect of public interest can be ignored. Both are vital to the preservation of the integrity of the administration of justice.”

(Emphasis supplied)

33. As held in ***R.R. Parekh (supra)***, it should be borne-in-mind that inference of misconduct or about extraneous considerations having actuated, the decision cannot be drawn merely from a hypothesis that a decision is erroneous. It has been held that a wrong decision can yet be a bona fide error of judgment and inadvertence is consistent with an honest error of judgment. Ultimately, it is not the correctness of the verdict but the conduct of the Officer in question which is determinative.
34. It is apposite to recall the observations of this Court in ***Union of India and Others*** vs. ***K.K. Dhawan***⁴, which has been followed in

4 (1993) 2 SCC 56

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

P.C. Joshi v. State of U.P. and Others⁵. This Court in ***K.K. Dhawan*** (*supra*), while illustrating certain cases for which disciplinary action can be initiated, took care to administer a note of caution also. In ***K.K. Dhawan*** (*supra*), this Court held:-

“28. Certainly, therefore, the officer who exercises judicial or quasi-judicial powers acts negligently or recklessly or in order to confer undue favour on a person is *not acting as a Judge*. Accordingly, the contention of the respondent has to be rejected. It is important to bear in mind that in the present case, we are not concerned with the correctness or legality of the decision of the respondent *but the conduct of the respondent in discharge of his duties as an officer*. The legality of the orders with reference to the nine assessments may be questioned in appeal or revision under the Act. But we have no doubt in our mind that the Government is not precluded from taking the disciplinary action for violation of the Conduct Rules. Thus, we conclude that the disciplinary action can be taken in the following cases:

- (i) Where the officer had acted in a manner as would reflect on his reputation for integrity or good faith or devotion to duty;
- (ii) if there is prima facie material to show recklessness or misconduct in the discharge of his duty;
- (iii) if he has acted in a manner which is unbecoming of a Government servant;
- (iv) if he had acted negligently or that he omitted the prescribed conditions which are essential for the exercise of the statutory powers;
- (v) if he had acted in order to unduly favour a party;
- (vi) if he had been actuated by corrupt motive, however small the bribe may be because Lord Coke said long ago “though the bribe may be small, yet the fault is great”.

29. The instances above catalogued are not exhaustive. However, we may add that for a mere technical violation

Supreme Court Reports

or merely because the order is wrong and the action not falling under the above enumerated instances, disciplinary action is not warranted. Here, we may utter a word of caution. Each case will depend upon the facts and no absolute rule can be postulated.”

35. This Court held that merely because the order is wrong, disciplinary action is not warranted and that each case will depend upon the facts and no absolute rule can be postulated. What is significant to notice is that even though in the illustrated case [para 28 (iv)] **K.K. Dhawan** (*supra*), cases of omission of prescribed conditions which are essential for the exercise of statutory powers may in a given case furnish a ground for disciplinary enquiry, it is not an absolute rule and each case will depend upon the facts. As observed in **R.R. Parekh** (*supra*), the Disciplinary Authority has to examine whether there has emerged from the record, one or more circumstances that indicate that the decision which forms the basis of the charge of misconduct was not an honest exercise of judicial power.
36. In ***Ishwar Chand Jain v. High Court of Punjab and Haryana and Another***⁶, this Court highlighted how the functioning of the Trial Judiciary would be seriously impacted and fearless discharge of duties would become a casualty, if inquiries are launched on ill-conceived or motivated complaints. This Court in ***Ishwar Chand Jain*** (*supra*) held as under:-

“14. Under the Constitution the High Court has control over the subordinate judiciary. While exercising that control it is under a constitutional obligation to guide and protect judicial officers. An honest strict judicial officer is likely to have adversaries in the mofussil courts. If complaints are entertained on trifling matters relating to judicial orders which may have been upheld by the High Court on the judicial side no judicial officer would feel protected and it would be difficult for him to discharge his duties in an honest and independent manner. An independent and honest judiciary is a sine qua non for rule of law. If judicial officers are under constant threat of complaint and enquiry on trifling

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

matters and if High Court encourages anonymous complaints to hold the field the subordinate judiciary will not be able to administer justice in an independent and honest manner. It is therefore imperative that the High Court should also take steps to protect its honest officers by ignoring ill-conceived or motivated complaints made by the unscrupulous lawyers and litigants. Having regard to facts and circumstances of the instant case we have no doubt in our mind that the resolution passed by the Bar Association against the appellant was wholly unjustified and the complaints made by Shri Mehlawat and others were motivated which did not deserve any credit. Even the vigilance Judge after holding enquiry did not record any finding that the appellant was guilty of any corrupt motive or that he had not acted judicially. All that was said against him was that he had acted improperly in granting adjournments.”

[Emphasis supplied]

37. Similar sentiments were expressed in ***Ramesh Chander Singh v. High Court of Allahabad and Another***⁷, wherein this Court held as under:-

“12. This Court on several occasions has disapproved the practice of initiation of disciplinary proceedings against officers of the subordinate judiciary merely because the judgments/orders passed by them are wrong. The appellate and revisional courts have been established and given powers to set aside such orders. The higher courts after hearing the appeal may modify or set aside erroneous judgments of the lower courts. While taking disciplinary action based on judicial orders, the High Court must take extra care and caution.

17. In *Zunjarrao Bhikaji Nagarkar v. Union of India* [(1999) 7 SCC 409 : 1999 SCC (L&S) 1299 : AIR 1999 SC 2881] this Court held that wrong exercise of jurisdiction by a quasi-judicial authority or mistake

Supreme Court Reports

of law or wrong interpretation of law cannot be the basis for initiating disciplinary proceeding. Of course, if the judicial officer conducted in a manner as would reflect on his reputation or integrity or good faith or there is a prima facie material to show recklessness or misconduct in discharge of his duties or he had acted in a manner to unduly favour a party or had passed an order actuated by corrupt motive, the High Court by virtue of its power under Article 235 of the Constitution may exercise its supervisory jurisdiction. Nevertheless, under such circumstances it should be kept in mind that the Judges at all levels have to administer justice without fear or favour. Fearlessness and maintenance of judicial independence are very essential for an efficacious judicial system. Making adverse comments against subordinate judicial officers and subjecting them to severe disciplinary proceedings would ultimately harm the judicial system at the grassroot level.”

38. Highlighting various options available before the High Court to deal with judicial officers and the need for clearly establishing misconduct and extraneous influences or illegal gratification before resorting to disciplinary measures, this Court in **Krishna Prasad Verma v. State of Bihar and Others⁸**, had the following to say:-

“16. We would, however, like to make it clear that we are in no manner indicating that if a judicial officer passes a wrong order, then no action is to be taken. In case a judicial officer passes orders which are against settled legal norms but there is no allegation of any extraneous influences leading to the passing of such orders then the appropriate action which the High Court should take is to record such material on the administrative side and place it on the service record of the judicial officer concerned. These matters can be taken into consideration while considering career progression of the judicial officer concerned. Once note of the wrong order is taken and they form part of the service record these can be taken into consideration to

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

deny selection grade, promotion, etc., and in case there is a continuous flow of wrong or illegal orders then the proper action would be to compulsorily retire the judicial officer, in accordance with the Rules. **We again reiterate that unless there are clear-cut allegations of misconduct, extraneous influences, gratification of any kind, etc., disciplinary proceedings should not be initiated merely on the basis that a wrong order has been passed by the judicial officer or merely on the ground that the judicial order is incorrect.”**

[Emphasis supplied]

39. That merely because a different conclusion was possible is not an indicium for misconduct was highlighted in **P.C. Joshi** (*supra*).

“7. In the present case, though elaborate enquiry has been conducted by the enquiry officer, there is hardly any material worth the name forthcoming except to scrutinize each one of the orders made by the appellant on the judicial side to arrive at a different conclusion. That there was possibility on a given set of facts to arrive at a different conclusion is no ground to indict a judicial officer for taking one view and that too for alleged misconduct for that reason alone. **The enquiry officer has not found any other material, which would reflect on his reputation or integrity or good faith or devotion to duty or that he has been actuated by any corrupt motive. At best, he may say that the view taken by the appellant is not proper or correct and not attribute any motive to him which is for extraneous consideration that he had acted in that manner. If in every case where an order of a subordinate court is found to be faulty a disciplinary action were to be initiated, the confidence of the subordinate judiciary will be shaken and the officers will be in constant fear of writing a judgment so as not to face a disciplinary enquiry and thus judicial officers cannot act independently or fearlessly. Indeed the words of caution are given in *K.K. Dhawan case* [(1993) 2 SCC 56 : 1993 SCC (L&S) 325 : (1993) 24 ATC 1] and *A.N. Saxena case* [(1992) 3 SCC 124 : 1992 SCC (L&S) 861 : (1992) 21 ATC 670] that merely because the**

Supreme Court Reports

order is wrong or the action taken could have been different does not warrant initiation of disciplinary proceedings against the judicial officer. In spite of such caution, it is unfortunate that the High Court has chosen to initiate disciplinary proceedings against the appellant in this case.”

40. Applying the above principles to the facts of the present case, we find that the appellant has been held guilty of misconduct only based on certain judicial orders granting bail without anything more. We say so for the following reasons:-
- (i) The complaint, as originally filed by Jaipal Mehta, was primarily against Anil Joshi, the stenographer who has been working in Khargone for a long time even before the appellant assumed office in Khargone.
 - (ii) The complaint neither set out any particulars nor set out any judicial order. It was general in nature.
 - (iii) The complainant was not examined in the inquiry. The witnesses examined in support of the charge Gendalal Chauhan did not support the charge.
 - (iv) The prosecutor who appeared in each of the 18 bail orders was examined on behalf of the defence and even he deposed that the State accepted the orders granting bail without mounting any challenge in the higher court. He categorically deposed that the orders were absolutely proper and were passed on proper grounds.
 - (v) A perusal of the four orders show that reasons have been given, though there is no express mention Section 59-A (2) of the Excise Act. In one bail order, the appellant mentions about the filing of the challan and the possibility of the trial consuming lot of time. In fact, in the said order, the appellant has relied on Article 21 though he has not expressly mentioned the same. In the other bail orders, he mentions about the applicants being rural farmers and not being a flight risk and so on.
 - (vi) There is absolutely no material placed on record to show that there are circumstances from which inference could be drawn that extraneous considerations actuated the passing of those orders of bail. The hypothesis was drawn only on the basis that the order did not make reference to the statutory provision expressly.

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.

- (vii) The finding that in 14 other orders he referred to Section 59-A (2) of the Excise Act is by itself not enough to infer misconduct in the passing of the four bail orders in question.
- (viii) It will be a dangerous proposition to hold that judgments and orders which do not refer expressly to statutory provisions are per se dis-honest judgments.
41. The High Court has erred in not interfering with the order. A valiant attempt was made by Mr. Arjun Garg to sustain the impugned order by contending that a writ court or this Court cannot act as an appellate court over the inquiry report and the only consideration was whether the inquiry had been fairly conducted. We are unable to accept the said contention. In our opinion, for the reasons stated above, the findings in the inquiry report are perverse and are not supported by the evidence on record.[#] We make bold to record a finding that on the available material, no reasonable person would have reached the conclusion that enquiry officer reached.
42. In ***Yoginath D. Bagde v. State of Maharashtra and Another⁹***, Saghir Ahmad, J. lucidly explained the principle thus:-

“51. It was lastly contended by Mr Harish N. Salve that this Court cannot reappraise the evidence which has already been scrutinised by the enquiry officer as also by the Disciplinary Committee. It is contended that the High Court or this Court cannot, in exercise of its jurisdiction under Article 226 or Article 32 of the Constitution, act as the appellate authority in the domestic enquiry or trial and it is not open to this Court to reappraise the evidence. The proposition as put forward by Mr Salve is in very broad terms and cannot be accepted. **The law is well settled that if the findings are perverse and are not supported by evidence on record or the findings recorded at the domestic trial are such to which no reasonable person would have reached, it would be open to the High Court as also to this Court to interfere in the matter. In *Kuldeep Singh v. Commr. of Police* [(1999) 2 SCC 10 : 1999 SCC (L&S) 429 : JT (1998) 8 SC 603] this Court,**

9 (1999) 7 SCC 739

[#] Ed. Note: “supported by the evidence on record” instead of “supported by findings on record” in terms of subsequent corrigendum.

Supreme Court Reports

relying upon the earlier decisions in *Nand Kishore Prasad v. State of Bihar* [(1978) 3 SCC 366 : 1978 SCC (L&S) 458 : AIR 1978 SC 1277 : (1978) 3 SCR 708] , *State of Andhra Pradesh v. Rama Rao* [AIR 1963 SC 1723 : (1964) 3 SCR 25] , *Central Bank of India Ltd. v. Prakash Chand Jain* [AIR 1969 SC 983 : (1969) 2 LLJ 377] , *Bharat Iron Works v. Bhagubhai Balubhai Patel* [(1976) 1 SCC 518 : 1976 SCC (L&S) 92 : AIR 1976 SC 98 : (1976) 2 SCR 280] as also *Rajinder Kumar Kindra v. Delhi Admn.* [(1984) 4 SCC 635 : 1985 SCC (L&S) 131 : AIR 1984 SC 1805 : (1985) 1 SCR 866] laid down that although the court cannot sit in appeal over the findings recorded by the disciplinary authority or the enquiry officer in a departmental enquiry, it does not mean that in no circumstance can the court interfere. It was observed that the power of judicial review available to a High Court as also to this Court under the Constitution takes in its stride the domestic enquiry as well and the courts can interfere with the conclusions reached therein if there was no evidence to support the findings or the findings recorded were such as could not have been reached by an ordinary prudent man or the findings were perverse.”

(Emphasis supplied)

43. For the above reasons, the appeal is allowed. The order of removal dated 02.09.2015, the order of Appellate Authority dated 17.03.2016 and the impugned order of the High Court are all set aside. The appellant shall be deemed to have continued in service till he attained the normal age of superannuation. Since the appellant has been kept out of service for no fault of his, we are of the opinion that full back wages with all consequential benefits should be given to the appellant. Let the monetary benefits be released within a period of eight weeks from today with interest @ 6 per cent. No order as to costs.
44. Let a copy of this judgment be transmitted to all the Registrar Generals of the respective High Courts in the country, so as to enable them to draw the attention of the Chief Justices of the High Courts to the same.

Nirbhay Singh Suliya v. State of Madhya Pradesh & Anr.**Judgment****J.B. Pardiwala, J.**

1. My esteemed brother Justice K.V. Viswanathan has penned an ineffable judgment. This judgment will go a long way in protecting judicial officers of the district judiciary from being subjected to departmental action for alleged wrong or incorrect exercise of discretion in passing orders of bail without anything more. Brother Viswanathan has put it very pithily, saying that if the complaint of misconduct against the judicial officer is *prima facie* found to be true then, in such circumstances, disciplinary proceedings must be taken, and no leniency should be shown if the charges are established. In an appropriate case, even criminal prosecution may be instituted against a judicial officer. Such action is necessary to weed out tainted judges from the judiciary. It goes without saying that corruption in the judiciary at any level is intolerable, as corruption severely undermines the core of the administration of justice and erodes public trust in the rule of law. However, the High Court, which is vested with the supervisory control must keep in mind that a judicial officer of the district judiciary works mostly in a charged atmosphere. A mere wrong order or wrong exercise of discretion in grant of bail by itself without anything more, cannot be a ground to initiate departmental proceedings.
2. Initiation of departmental proceedings on mere suspicion is one of the primary causes why trial court judges are reluctant when it comes to exercising discretion for the purpose of grant of bail. It should not happen that because of the lurking fear in the mind of a trial court judge, of some administrative action being taken that even in a deserving case, well within the principles of law, bail is declined. This is one reason why the High Courts are flooded with bail applications. The same is the scenario even so far as the Supreme Court is concerned. Over a period of time, the trial court judges have exhibited tendency to shirk from their solemn judicial function and responsibility when it comes to exercising discretion in matters relating to bail. Courts of the district judiciary wield powers necessary for the functioning of the justice delivery system in India and when their autonomy is compromised by higher courts and fear takes precedence over judicial duties, democracy and the rule of law suffer.

Supreme Court Reports

3. For functioning of democracy, an independent judiciary to dispense justice without fear and favour is paramount. As held by this Court in ***M.S. Bindra versus Union*** reported in **(1998) 7 SCC 310** while evaluating the materials the authority should not altogether ignore the reputation in which the officer was held till recently. The maxim “*Nemo Firut Repente Turpissimus*” (no one becomes dishonest all of a sudden) is not unexceptional but still is a salutary guideline to judge human conduct, particularly in the field of Administrative Law. The authorities should not keep the eyes totally closed towards the overall estimation in which the delinquent officer was held in the recent past by those who were supervising him earlier. To dunk an officer into the puddle of “doubtful integrity” it is not enough that the doubt fringes on a mere hunch. That doubt should be of such a nature as would reasonably and consciously be entertainable by a reasonable man on the given material. Mere possibility is hardly sufficient to assume that it would have happened. There must be preponderance of probability for the reasonable man to entertain doubt regarding that possibility. Only then there is justification to ram an officer with the label ‘doubtful integrity’.

Result of the case: Appeal allowed.

†Headnotes prepared by: Divya Pandey

Arvind Dham
v.
Directorate of Enforcement

(Criminal Appeal No. 47 of 2026)

06 January 2026

[Sanjay Kumar and Alok Aradhe*, JJ.]

Issue for Consideration

Issue arose whether the appellant-promoter and non-executive Chairman of a group entity, entitled to bail in a money laundering case when there has been long period of incarceration and the trial has not even commenced.

Headnotes[†]

Prevention of Money Laundering Act 2002 – s.45 – Money Laundering – Alleged bank fraud running into several hundred crores – Entitlement to bail – FIRs registered at the instance of public sector banks alleging fraud to the extent of INR 385.35 crores and INR 289 crores respectively by the appellant-former promoter and non-executive Chairman of ‘A’ company and non-executive Director of another entity, along with other individuals – On basis thereof, ECIRs registered alleging laundering of proceeds of crime – Allegation against the appellant that he is the ultimate beneficiary of the fraud executed at his behest, involving diversion and siphoning of public funds through layered entities – Appellant summoned, statement recorded, search carried out, and was arrested in June 2024 – Prosecution complaint and thereafter supplementary prosecution complaint filed against accused persons-individuals and companies, citing large number of prosecution witnesses, and cognizance of prosecution complaint was yet to be taken – Bail application by the appellant, rejected by Special Judge as also the High Court – Challenge to:

Held: Right to speedy trial, enshrined u/Art.21 not eclipsed by the nature of the offence – Prolonged incarceration of an under trial, without commencement or reasonable progress of trial, cannot be countenanced, as it has the effect of converting

^{*} Author

Supreme Court Reports

pretrial detention into form of punishment – Economic offences, by their very nature, may differ in degree and fact, and thus, cannot be treated as homogeneous class warranting a blanket denial of bail – On facts, no likelihood of trial commencing in the near future – Continued incarceration in such circumstances, where the evidence which is primarily documentary in nature, already in custody of the prosecution, violates the right of the appellant to speedy trial u/Art.21 – Appellant has cooperated with the investigation and investigation *qua* the appellant has concluded – Out of 28 individuals, only the appellant was arrested – Maximum sentence which can be imposed on the appellant is seven years – Appellant is in custody for past around 16 months and 20 days – No cognizance has been taken on the prosecution complaint and the proceeding is at the stage of scrutiny of documents – There are 210 witnesses to be examined in the proceeding – Allegation with regard to influencing the witness, does not inspire confidence, since the appellant has been in custody prior to concerned witness being formally arrayed as a witness – Delay in the trial attributable only to the respondent, not the appellant – Allegation of dissipation of proceeds of crime by him untenable at this stage – Thus, the impugned judgment and order quashed and set aside – Appellant to be released on bail during the pendency of the trial. [Paras 18-23]

Case Law Cited

Manish Sisodia v. Enforcement Directorate [2024] 8 SCR 1061 : (2024) 12 SCC 660; *Padam Chand Jain v. Enforcement Directorate*, 2025 SCC OnLine SC 1291; *Udhaw Singh v. Directorate Enforcement*, 2025 SCC OnLine SC 357; *Prem Prakash v. Union of India*, SLP (Crl.) No.691 of 2023; *Dineshchand Surana v. Asst. Director, ED*, SLP (Crl.) No.15274 of 2024; *Union of India v. K.A. Najeeb* [2021] 1 SCR 443 : (2021) 3 SCC 713; *Kapil Wadhawan v. CBI*, SLP (Crl.) No.16953 of 2025; *Kalyan Chandra Sarkar v. Rajesh Ranjan* (2004) 7 SCC 528; *B. Rajesh Ranjan Yadav v. CBI* [2006] Supp. 9 SCR 40 : (2007) 1 SCC 70; *Bimal Kumar Jain v. Directorate of Enforcement*, SLP (Crl.) No. 7942/2021; *Satender Kumar Antil v. CBI* [2022] 10 SCR 351 : (2022) 10 SCC 51; *Javed Gulam Nabi Shaikh v. State of Maharashtra & Anr.* [2024] 7 SCR 992 : (2024) 9 SCC 813; *V. Senthil Balaji v. Deputy Director, Enforcement Directorate* [2024] 10 SCR 393 : 2024 SCC OnLine SC 2626; *Kalvakuntla*

Arvind Dham v. Directorate of Enforcement

Kavitha v. Directorate of Enforcement [2024] 8 SCR 717 : 2024 SCC OnLine SC 2269; *Sanjay Agarwal v. Directorate of Enforcement*, 2022 SCC OnLine SC 1748; *Ramkripal Meena v. Directorate of Enforcement*, 2024 SCC OnLine SC 2276; *Anil Tuteja v. Directorate of Enforcement*, SLP (Crl) No.3148 of 2025; *Neeraj Singal v. Directorate of Enforcement*, 2024 SCC OnLine SC 3598; *Abdul Razak Peediyakkal v. UOI*, 2023 SCC OnLine SC 2326; *P. Chidambaram v. Directorate of Enforcement* (2020) 13 SCC 791 – referred to.

List of Acts

Bharatiya Nagarik Suraksha Sanhita 2023; Prevention of Money Laundering Act 2002; Companies Act 2013; Penal Code 1860; Prevention of Corruption Act 1988; Constitution of India.

List of Keywords

Promoter and non-executive Chairman of a group entity; Bail; Money laundering case; Long period of incarceration; Trial; Bank fraud; Laundering of proceeds of crime; Ultimate beneficiary of the fraud; Diversion and siphoning of public funds; Cognizance; Right to speedy trial; Prolonged incarceration of under trial; Continued incarceration; Investigation.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 47 of 2026

From the Judgment and Order dated 19.08.2025 of the High Court of Delhi at New Delhi in BA No. 544 of 2025

Appearances for Parties

Advs. for the Appellant(s):

Mukul Rohatgi, Niranjan Reddy, Sr. Advs., Mahesh Agarwal, Rishi Agrawala, Ankur Saigal, Ms. Ayushi Gaur, Ms. Anwesha Padhi, Ms. Sanjivani Pattajoshi, Sameer Rohatgi, Shambhu K. Thakur, Rishabh Basra, Shobh Nath Maurya, E. C. Agrawala.

Advs. for the Respondent(s):

Suryaprakash V. Raju, A.S.G., Zoheb Hussain, Annam Venkatesh, Samrat Goswani, Arvind Kumar Sharma, Ms. Anushka Gupta, Ms. Aakriti Mishra, Prakhar Bharadwaj, Pranjal Tripathi.

Supreme Court Reports

Judgment / Order of the Supreme Court

Judgment

Alok Aradhe, J.

1. Leave granted
2. This appeal is directed against the judgment and order dated 19.08.2025, passed by learned Single Judge of the High Court of Delhi, by which the application preferred by the appellant under Section 483 of the Bharatiya Nagarik Suraksha Sanhita, 2023 ('BNSS') read with Section 45 of the Prevention of Money Laundering Act, 2002 ('PMLA') seeking grant of regular bail, came to be rejected.
3. The appellant is a former promoter and non-executive Chairman of Amtek Auto Ltd. (AAL), and is also non-executive Director of M/s. ACIL Ltd., a company registered under the Companies Act. The group of companies including subsidiaries and associate concerns is collectively referred to as the "Amtek Group". During the period 2017-2018, Corporate Insolvency Resolution Process (CIRP) was initiated against entities belonging to Amtek Group.
4. FIRs were registered on 21.12.2022 at the instance of IDBI Bank and Bank of Maharashtra alleging commission of offences under Sections 120B, 420, 406, 468 of the Indian Penal Code and Section 13(2) and 13(1)(d) of the Prevention of Corruption Act, 1988, wherein the appellant was arrayed as an accused along with twenty seven other individuals. In the aforementioned FIRs there is an allegation of fraud to the extent of INR 385.35 crores and INR 289 crores respectively. On the basis of the said FIRs on 21.03.2023, the Directorate of Enforcement registered two ECIRs alleging laundering of proceeds of crime.
5. A Writ Petition under Article 32 of the Constitution of India, being W.P. Criminal No(s). 246 of 2022 (**Jaskaran Singh Chawla vs. Union of India and Ors.**) was filed before this Court alleging failure of CBI and the Serious Fraud Investigation Office (SFIO) to investigate frauds allegedly committed by Amtek Group involving diversion and siphoning of bank loans amounting to Rs.33,400 crores. A two-Judge Bench of this Court, by an interim order dated 27.02.2024, directed

Arvind Dham v. Directorate of Enforcement

the CBI and SFIO to conduct an exhaustive investigation and to cooperate with and complement the Enforcement Directorate in the collection of evidence.

6. The gravamen of the allegation against the appellant is that he is the ultimate beneficiary of the fraud which was a well-orchestrated scheme, executed at his behest, involving diversion and siphoning of public funds through layered entities, resulting in substantial wrongful loss to Public Sector Banks.
7. The appellant, in response to the summons issued to him under Section 50 of the PMLA, appeared on 19.06.2024 and his statement was recorded. The respondent carried out search and seizure operations on 20.06.2024, at the residence of the appellant and his statement was again recorded. The appellant was arrested on 09.07.2024. A prosecution complaint dated 06.09.2024 was filed against 16 accused persons i.e., six individuals and ten companies, wherein, appellant was arrayed as an accused. Thereafter a supplementary prosecution complaint was filed on 02.08.2025 against 40 accused persons i.e., 22 individuals and 18 companies. Out of 28 individuals, only the appellant has been arrested and is in custody. A total number of 208 prosecution witnesses have been cited. The cognizance of prosecution complaint is yet to be taken.
8. On 16.12.2024, the appellant moved an application under Section 45 of the PMLA for seeking bail before the Special Judge. The Special Judge by an order dated 21.01.2025 dismissed the application on the ground that the appellant is not covered by proviso to Section 45 of the PMLA. Thereafter, on 04.02.2025, the appellant approached the High Court by filing an application under Section 483 of the BNNS and Section 45 of PMLA, along with an application for interim bail. The appellant was granted interim bail on medical grounds on 11.03.2025 till 01.04.2025. By the impugned order dated 19.08.2025, the High Court rejected application for regular bail.
9. Learned senior counsel for the appellant submitted that appellant is aged about 64 years and suffers from multiple ailments. It is further submitted that appellant is in custody for past about 16 months and 20 days and his long incarceration, is violative of the Right to Liberty and speedy trial under Article 21 of the Constitution. In support of the

Supreme Court Reports

aforesaid submission, reliance is placed on decisions of this Court¹. It is pointed out that out of 28 individuals only the appellant has been arrested and investigation *qua* the appellant stands concluded. In this connection, reference has been made to order dated 20.08.2025 passed by the Special Court which records the submission of the ED. It is, therefore, contended that the custody of the appellant is no longer required. It is urged that no cognizance of the prosecution complaint has been taken and the matter is at the stage of scrutiny of documents.

10. It is submitted that there is no likelihood of trial commencing in foreseeable future. It is pointed out that delay in trial of approximately eight months is attributable to the respondent, as it had filed Crl. MC No.7860 of 2024 before the High Court challenging the order dated 07.09.2024 issuing notice to the proposed accused person. It is pointed out that in the said proceeding, the High Court had granted an interim order of deferment of proceeding before the Special Judge and after eight months, respondent, on 23.05.2025, withdrew the said proceeding.
11. It is urged that the appellant has cooperated with the investigation and the allegation with regard to influencing the witness, Ms. Anuradha Kapur, is incredulous as the appellant has been in custody since 09.07.2024 and aforesaid Ms. Anuradha Kapur has been arrayed as a witness in supplementary prosecution complaint dated 02.08.2025. Therefore, the question of instructing the said witness not to join the investigation prior to issue of summons to her does not arise. It is pointed out that all close family members of the appellant have fully participated in the investigation. It is contended that the appellant is in custody since 09.07.2024 and has no knowledge of dissipation of properties at Panipat and Alwar. It is submitted that the appellant is not the Director of M/s. Marichika Properties and, therefore, has no knowledge about dissipation of properties mentioned in the chart at page 125 of the counter affidavit.

¹ Manish Sisodia v. Enforcement Directorate, (2024) 12 SCC 660, Padam Chand Jain v. Enforcement Directorate, 2025 SCC OnLine SC 1291, Udhaw Singh v. Directorate Enforcement, 2025 SCC OnLine SC 357, Prem Prakash v. Union of India, SLP (Crl.) No.691 of 2023 – Order dated 04.10.2024, Dineshchand Surana v. Asst. Director, ED, SLP (Crl.) No.15274 of 2024 – Order dated 06.08.2025, Union of India v. K.A. Najeer, (2021) 3 SCC 713, Kapil Wadhawan v. CBI, SLP (Crl.) No.16953 of 2025 – Judgment/Order dated 11.12.2025.

Arvind Dham v. Directorate of Enforcement

12. It is submitted that the allegations in the predicate offence allege a total bank fraud to the tune of INR 673.35 crores, therefore, the figure of INR 38,000 crores is deliberately exaggerated to project the instant case as India's largest bank fraud to justify the prolonged custody of the appellant. It is urged that it is settled law that economic offences cannot be classified as separate class on its own for determination of grant of bail². It is also stated that the appellant is neither a flight risk nor can he tamper with the evidence. Therefore, the appellant is entitled to be enlarged on bail.
13. On the other hand, learned Additional Solicitor General submitted that the gravity of the offence disentitles the appellant from seeking any exemption from the mandatory twin conditions of bail under Section 45 of the PMLA. It is further submitted that the appellant is an influential person and had instructed his cousin, Ms. Anuradha Kapur, who is a dummy director in his group of companies, not to join the investigation. It is also submitted that the appellant has dissipated the proceeds of crime i.e., immovable properties at Alwar and Panipat after attachment. It is contended that mere incarceration for a long period cannot be a sole ground for bail, ignoring the gravity of an offence especially when there are allegations of tampering with evidence and influencing witnesses³. It is contended that delay in trial, if any, is attributable to the appellant, which is evident from the order sheet of the Trial Court. It is further contended that the proviso to Section 45(1) of the PMLA has no application to the facts of the case.
14. It is submitted that out of 210 witnesses to be examined during the trial, 25 witnesses are common in both the prosecution complaints. It is pointed out that out of 63,691 pages of relied upon documents, only few pages are relevant to prove the loss. It is further pointed out that ED has filed an application on 27.09.2025 for day-to-day hearing. It is submitted that the appeal is liable to be dismissed. Alternatively, it is also pointed out that in many serious cases, this Court has directed the parties to re-apply for bail after sometime⁴ and

2 P. Chidambaram v. Directorate of Enforcement, (2020) 13 SCC 791.

3 Kalyan Chandra Sarkar v. Rajesh Ranjan, (2004) 7 SCC 528 and B. Rajesh Ranjan Yadav v. CBI, (2007) 1 SCC 70.

4 Bimal Kumar Jain v. Directorate of Enforcement, SLP (Crl.) No. 7942/2021.

Supreme Court Reports

the appellant, depending upon the progress of the trial, be directed to renew the prayer for bail after six months.

15. We have given our thoughtful consideration to the rival submissions and have carefully perused the record. The court while dealing with the prayer for grant of bail has to consider gravity of offence, which has to be ascertained in the facts and circumstances of each case. One of the circumstances to consider the gravity of offences is also the term of sentence i.e., prescribed for the offence, the accused is alleged to have committed⁵. The court has also to take into account the object of the special Act, the gravity of offence and the attending circumstances along with period of sentence. All economic offences cannot be classified into one group as it may involve various activities and may differ from one case to another. Therefore, it is not advisable on the part of the Court to categorize all the offences into one group and deny bail on that basis⁶. It is well settled that if the State or any prosecuting agency including, the court, concerned has no wherewithal to provide or protect the fundamental right of an accused, to have a speedy trial as enshrined under Article 21 of the Constitution, then the State or any other prosecuting agency should not oppose the plea for bail on the ground that the crime committed is serious. Article 21 of the Constitution applies irrespective of the nature of the crime⁷. The aforesaid proposition was quoted with approval by another two-Judge Bench of this Court and it was held that long period of incarceration for around 17 months and the trial not even having commenced, the appellant in that case has been deprived of his right to speedy trial⁸.
16. A two-Judge Bench of this Court in **V. Senthil Balaji's** case⁹ has held that under the statutes such as PMLA, where maximum sentence is seven years, prolonged incarceration pending trial may warrant grant of bail by Constitutional Courts, if there is no likelihood of the trial concluding within a reasonable time. Statutory restrictions cannot be permitted to result in indefinite pretrial detention in violation of Article 21.

5 P. Chidambaram (supra)

6 Satender Kumar Antil v. CBI (2022) 10 SCC 51

7 Javed Gulam Nabi Shaikh v. State of Maharashtra & Anr. (2024) 9 SCC 813.

8 Manish Sisodia (supra)

9 V. Senthil Balaji v. Deputy Director, Enforcement Directorate, 2024 SCC OnLine SC 2626

Arvind Dham v. Directorate of Enforcement

17. A three Judge Bench of this Court in **Padam Chand Jain** (supra), reiterated that prolonged incarceration cannot be allowed to convert pretrial detention into punishment and that documentary evidence already seized by the prosecution eliminates the possibility of tampering with the same.
18. The right to speedy trial, enshrined under Article 21 of the Constitution, is not eclipsed by the nature of the offence. Prolonged incarceration of an undertrial, without commencement or reasonable progress of trial, cannot be countenanced, as it has the effect of converting pretrial detention into form of punishment. Economic offences, by their very nature, may differ in degree and fact, and therefore cannot be treated as homogeneous class warranting a blanket denial of bail.
19. In the backdrop of aforesaid well settled parameters with regard to exercise of jurisdiction for grant of bail in economic offences, we now advert to the facts of the case in hand. The appellant has joined the investigation even prior to his arrest i.e., 19.06.2024 and 02.07.2024 as well as on 09.07.2024. Thus, he has cooperated with the investigation. Out of 28 individuals, only the appellant has been arrested. The order dated 20.08.2025 of the Special Court records the submission of ED that investigation *qua* the appellant has concluded. The maximum sentence which can be imposed on the appellant is seven years. The appellant is in custody for past around 16 months and 20 days. It is pertinent to note that various Benches of this Court, while taking into account the period of incarceration which ranges from 3 months to 17 months in several cases have granted bail to the appellants therein¹⁰. In the instant case, no cognizance has been taken on the prosecution complaint and the proceeding is at the stage of scrutiny of documents. No material has been placed on record to show the fate of the application filed by the ED on 27.09.2025 seeking day-to-day hearing even after period of approximately three months has expired. There are 210 witnesses

¹⁰ P. Chidambaram (supra) (three months), Kalvakuntla Kavitha v. Directorate of Enforcement, 2024 SCC OnLine SC 2269 (five months), Sanjay Agarwal v. Directorate of Enforcement, 2022 SCC OnLine SC 1748 (ten months), Sanjay Agarwal v. Directorate of Enforcement, 2022 SCC OnLine SC 1748 (eleven months), Ramkripal Meena v. Directorate of Enforcement, 2024 SCC OnLine SC 2276 (thirteen months), Anil Tuteja v. Directorate of Enforcement, SLP (Crl) No.3148 of 2025 (Order dated 15.04.2025), V. Senthil Balaji (supra) (fifteen months), Neeraj Singal v. Directorate of Enforcement, 2024 SCC OnLine SC 3598 (sixteen months), Abdul Razak Peediyakkal v. UOI, 2023 SCC OnLine SC 2326 (seventeen months) and Manish Sisodia (supra) (seventeen months)

Supreme Court Reports

to be examined in the proceeding. There is no likelihood of trial commencing in the near future. The continued incarceration in such circumstances, particularly where the evidence which is primarily documentary in nature, is already in custody of the prosecution, violates the right of the appellant to speedy trial under Article 21 of the Constitution of India.

20. As regards the allegation that the appellant instructed Ms. Anuradha Kapur not to join the investigation, the same does not inspire confidence, particularly, in view of the fact that appellant has been in custody prior to concerned witness being formally arrayed as a witness. It is noteworthy that the appellant is in custody since 09.07.2024 and Ms. Kapur was arrayed as a witness only on 02.08.2025. The allegation, therefore, is wholly incredulous.
21. The record reveals that the prosecution complaint was filed on 06.09.2024. The Special Judge issued notice on 07.09.2024 to all proposed accused persons under the proviso to Section 223 of BNSS. The respondent challenged the said order before the High Court, resulting in eight months stay of proceedings, before the Special Judge, which was lifted on 23.05.2025 only upon withdrawal of the petition. The delay in the trial is thus attributable only to the respondent, not the appellant.
22. The appellant has been in custody since 09.07.2024. The disposal of immovable properties occurred on 24.12.2024 and 17.02.2025 and pertains to M/s Marichika Properties, with which no material link to the appellant has been established. There is no evidence that the appellant was signatory to any sale document. The allegation of dissipation of proceeds of crime by him is, therefore, untenable at this stage.
23. For the foregoing reasons, the impugned judgment and order dated 19.08.2025 is quashed and set aside. The appellant-Arvind Dham shall be released on bail during the pendency of the trial arising out of prosecution complaint-ECIR Case Nos. ECIR/GNZO/13/2024 and ECIR/GNZO/14/2024, pending before the Special Judge (PC Act) (CBI)-02(Duty Judge), Rouse Avenue District Court, under provisions of the PMLA. The terms and conditions for grant of bail shall be fixed by the Trial Court.

Arvind Dham v. Directorate of Enforcement

24. In addition, the appellant will provide one telephone/mobile No. on which he can be contacted by the Officers of Directorate of Enforcement to ascertain his whereabouts while he is on bail. The appellant shall surrender his passport to the Trial Court and will not leave India without permission of the Trial Court.
25. In the result, the appeal is allowed.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

UV Asset Reconstruction Company Limited

v.

Electrosteel Castings Limited

(Civil Appeal No. 9701 of 2024)

06 January 2026

[Sanjay Kumar and Alok Aradhe,* JJ.]

Issue for Consideration

Issue pertains to the interpretation of Clause 2.2 of Deed of Undertaking executed between SREI-original creditor, which subsequently assigned all its rights and interests in favour of the appellant; ESL-borrower; and ECL-erstwhile promoter of ESL and obligor in the Deed of Undertaking; and whether Clause 2.2 constitutes a contract of guarantee within the meaning of s.126 of the Contract Act, 1872 thereby rendering ECL as a guarantor to SREI in respect of financial facilities availed by ESL from SREI.

Headnotes[†]

Insolvency and Bankruptcy Code, 2016 – Contract Act, 1872 – Contract of Guarantee – Infusion of funds – Clause 2.2 of Deed of Undertaking – Interpretation of – Financial facilities availed by ESL-borrower from SREI-original creditor – ECL being the promoter of ESL required to furnish an undertaking to arrange for the infusion of funds – ECL, one of the promoters of ESL, executed Deed of Undertaking, warranty, and indemnity (undertaking) whereby it undertook a limited obligation to arrange for infusion of funds into ESL – SREI subsequently assigned all its rights and interests in favour of UV Company-appellant – Clause 2.2, if constitutes a contract of guarantee within the meaning of s.126 thereby rendering ECL as a guarantor to SREI in respect of financial facilities availed by ESL from SREI:

Held: Clause 2.2 of Deed of Undertaking obligates ECL to arrange for infusion of funds into ESL, so as to enable the borrower to comply with the stipulated Financial Covenants – For an obligation to be construed as a guarantee u/s.126, there must be a direct and unambiguous obligation of the surety to discharge the obligation

* Author

**UV Asset Reconstruction Company Limited v.
Electrosteel Castings Limited**

of the principal debtor to the creditor – Clause neither records an undertaking to discharge the debt owed to the creditor nor does it contemplate payment to the lender in the event of the default – Clause contains a promise, not to the creditor to pay the debt upon default, but to the borrower to facilitate compliance with Financial Covenants – Undertaking to infuse funds into a borrower, so that it may meet its obligations cannot, by itself be equated with the promise to discharge the borrower’s liability to the creditor – Mere Covenant to ensure financial discipline or infusion of funds does not satisfy the statutory requirements of s.126 – Sanction letter does not contemplate any personal or corporate guarantee – It specifically identifies the securities for the facilities and does not require ECL to stand as surety – Fact that no guarantee was furnished by ECL also borne out from the documents – Thus, the parties never intended to create contract of guarantee – Payment of INR 38 crores by ECL to appellant not made on account of any contractual obligation – Said payment was made in its capacity as a promotor of ESL – Such payment by itself does not give rise to any contract of guarantee, particularly when there is no contractual obligation of guarantee in the Deed of Undertaking – Pleadings must be read as a whole and cannot be read selectively out of context or in isolation – Appellant had initiated an action to enforce the mortgage security created by ECL in favour of SREI – ECL in its pleadings stated that it has given a guarantee which is limited to the mortgaged property with no personal recourse to ECL – Concurrent findings of NCLT and NCLAT that Clause 2.2 of the Deed of Undertaking does not constitute a contract of guarantee and that ECL cannot be treated as guarantor for the financial facilities availed by ESL concurred with – No infirmity in the impugned judgment warranting interference. [Paras 19-25]

Contract Act, 1872 – s.126 – ‘Contract of Guarantee’ – Essential ingredients of a guarantee – ‘See to it’ guarantee – Explained.
[Paras 17, 18, 22]

Case Law Cited

Mumbai International Airport Pvt. Ltd. v. Golden Chariot Airport and Ors. [2010] 12 SCR 326 : (2010) 10 SCC 422; *Nagindas Ramdas v. Dalpatram Ichharam and Ors.* [1974] 2 SCR 544 : (1974) 1 SCC 242; *Kamla Devi v. Thakhratmal Land* [1964] 2 SCR 152 : AIR 1964 SC 859 – referred to.

Supreme Court Reports

Yes Bank Limited v. Zee Entertainment Enterprises Limited and Ors, **2020 SCC OnLine Bom 11763** ; *United Breweries (Holding) Ltd. v. Karnataka State Industrial Investment and Development Corporation Ltd. and Others*, **2011 SCC OnLine Kar 4012**; *Aditya Birla Finance Ltd. v. Siti Networks*, **2023 SCC OnLine Del 1290**; *Raghunandan v. Kirtyanand*, **AIR 1932 PC 131** – referred to.

Moschi v. Lep Air Services Ltd., **2 WLR 1175**; *Associated British Courts v. Ferryways* [2009] **EWCA Civ. 189**; *Shanghai Shipyard Co. Ltd. v. Reignwood International Investment (Group) Co. Ltd.:* [2021] **EWCA Civ. 1147**; *Eshelby v. Federated European Bank Ltd. (1932) 1 KB 254*; *Perrylease Ltd v. Imecar AG (1987) 2 All ER 378*; *Conley (Re), ex p Trustee v. Barclays Bank Ltd. (1938) 2 All ER 127* – referred to.

Books and Periodicals cited

Halsbury's Laws of England, Vol 49, 5th Edition – referred to.

List of Acts

Insolvency and Bankruptcy Code, 2016; Contract Act, 1872.

List of Keywords

Indian Accounting Standards; Clause 2.2 of Deed of Undertaking; Contract of guarantee; Guarantor; Financial facilities; Infusion of funds; Promoter; Essential ingredients of a guarantee; 'See to it' guarantee.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 9701 of 2024

From the Judgment and Order dated 24.01.2024 of the National Company Law Appellate Tribunal at Delhi in CAAT (I) No. 975 of 2022

Appearances for Parties

Advs. for the Appellant(s):

Mukul Rohatgi, Dhruv Mehta, Gopal Subramaniam, Sr. Advs., Vikas Mehta, Pulkit Deora, Hemant Kothari, Sameer Rohatgi, Muthu Thangathurai, Kartikeya Sharma, Kartik Pandey, Ms. Nitika

**UV Asset Reconstruction Company Limited v.
Electrosteel Castings Limited**

Grover, Nishant Anshul, Dhruv Dhawan, Rohan Batra, Ms. Gauri Subramaniam, Raghav Kohli, Rishabh Bhargava, Ms. Sanjukta Roy, Dhruv Sethi, Pranav Diesh.

Advs. for the Respondent(s):

Amit Sibal, Mukul Rohatgi, Dhruv Mehta, Sr. Advs., Dhruv Dhawan, Rohan Batra, Rishabh Bhargava, Ms. Sanjukta Roy, Dhruv Sethi, Vikas Mehta, Pulkit Deora, Hemant Kothari, Sameer Rohatgi, Muthu Thangathurai, Kartikeya Sharma, Kartik Pandey, Ms. Nitika Grover, Nishant Anshul.

Judgment / Order of the Supreme Court

Judgment

Alok Aradhe, J.

INTRODUCTION

1. This appeal under Section 62 of Insolvency and Bankruptcy Code, 2016 (hereinafter, referred to as the ‘Code’) calls in question the legality and correctness of the judgment dated 24.01.2024 by the National Company Law Appellate Tribunal (NCLAT), whereby, the NCLAT affirmed the order dated 24.06.2022 passed by the Adjudicating Authority (NCLT) rejecting the application filed by the appellant under Section 7 of the Code.

(ii) ISSUE

2. The central issue arising for consideration in the present appeal pertains to the interpretation of Clause 2.2 of Deed of Undertaking dated 27.07.2011 executed between SREI Infrastructure Finance Limited (SREI), the original creditor, which subsequently assigned all its rights and interests in favour of UV Asset Reconstruction Company Limited, the appellant; Electrosteel Steels Limited (ESL), the borrower; and Electrosteel Castings Limited (ECL), the erstwhile promoter of ESL and obligor in the Deed of Undertaking. The Controversy lies in determining whether said Clause constitutes a contract of guarantee within the meaning of Section 126 of the Indian Contract Act, 1872 (Act) thereby rendering ECL as a guarantor to SREI in respect of financial facilities availed by ESL from SREI.

Supreme Court Reports**(iii) FACTUAL BACKGROUND**

3. Briefly stated, the facts leading to filing of present appeal, are as follows. ESL availed financial assistance of INR 500 crores from SREI pursuant to sanction letter dated 26.07.2011. Under the sanction letter, the only security for the facility comprised a demand promissory note and post-dated cheques. The sanction letter did not stipulate any requirement for a personal or corporate guarantee from the ECL. However, ECL being the promoter of ESL was required to furnish an undertaking to arrange for the infusion of funds.
4. On the same day, SREI issued an addendum to the sanction letter, providing for an additional security for the facility in the form of subservient charge over movable and project assets of ESL. On 26.07.2011 itself, SREI and ESL executed a Rupee Loan Agreement. Clause (d)(3) of schedule 4 to the loan agreement, required the ECL to furnish an undertaking to arrange for infusion of funds to enable ESL, to comply with financial covenants.
5. In pursuance thereof, ECL, one of the promoters of ESL, executed a Deed of Undertaking, warranty, and indemnity dated 27.07.2011 (undertaking) whereby it undertook a limited obligation to arrange for infusion of funds into ESL. Clause 2.2 of the aforesaid guarantee provides that ECL shall arrange for infusion of such amount of funds into the ESL, as may be necessary to enable ESL to comply with stipulated financial covenants.
6. Subsequently on 21.11.2011, ESL, ECL and SREI entered into a supplementary agreement amending *inter alia* the facility agreement and the security package for the facility.

(iv) CORPORATE INSOLVENCY RESOLUTION PROCESS OF ESL

7. On 27.06.2017, State Bank of India, one of the lenders of ESL, filed an application on 27.06.2017 under Section 7 of the Code, before NCLT Kolkata, which was admitted on 20.07.2017. Thereafter, by an order dated 17.04.2018, passed under Section 31 (1) of the Code, the NCLT Kolkata, approved the resolution plan submitted by Vedanta for acquisition of ESL. Under the approved resolution plan, ESL was acquired for a total consideration of INR 12,719.14 crores, comprising upfront cash payment of INR 5,320.00 crores

**UV Asset Reconstruction Company Limited v.
Electrosteel Castings Limited**

and conversion of balance amount into equity shares. The resolution plan duly was implemented.

8. Upon implementation of the resolution plan, SREI issued an unconditional 'no due certificate' to ESL certifying that dues owned by ESL to SREI stood fully discharged. However, SREI subsequently claimed that it has been allotted reduced amount of shares upon conversion of balance debt. On 30.06.2018, SREI executed a Deed of Assignment (Assignment Deed) in favour of the appellant, purporting to assign the alleged residual debt.

(v) PROCEEDING BEFORE NCLT

9. The appellant thereafter filed an application under Section 7 of the Code before the NCLT, Cuttack, asserting that; (i) a residual financial debt, remained payable by ESL despite implementation of the resolution plan, and (ii) ECL has furnished a corporate guarantee for the debt of ESL.
10. The NCLT, by order dated 24.06.2022, dismissed the petition filed by the appellant under Section 7 of the Code on two principal grounds; (i) ECL was not a guarantor in respect of financial facilities availed by ESL and, therefore no financial debt was owed by ECL, and (ii) the conversion of ESL's debt into equity under resolution plan resulted in extinguishment of any liability of ECL.

(vi) PROCEEDING BEFORE NCLAT

11. Aggrieved thereby, the appellant preferred an appeal before the NCLAT. The NCLAT in its judgment dated 24.01.2024 framed two specific issues for adjudication namely, (i) whether ECL was a guarantor to SREI for the financial facilities availed by ESL and (ii) whether approval of the resolution plan of ESL resulted in extinguishment, of entire debt, so as to bar any claim against the ECL as a guarantor or third party surety.
12. The NCLAT answered the first issue in the negative, holding that ECL cannot be construed as a guarantor under Clause 2.2 of Deed of Undertaking in respect of the financial facility extended by SREI to ESL. While answering the second issue, it held that approval of resolution plan extinguished the debt, *qua* ESL i.e., corporate debtor alone. It was further held that such extinguishment did not by

Supreme Court Reports

itself, extend to third parties unless expressly provided in the plan. Nonetheless, the appeal was dismissed on the primary finding that ECL was not a guarantor. Hence, the present appeal.

(vii) RIVAL SUBMISSIONS

13. Learned senior counsel for the appellant contended that Clause 2.2 of the Deed of Undertaking, satisfies the requirements of a contract of guarantee as defined under Section 126 of the Act. It is submitted that Clause 2.2 envisages the ECL to discharge the obligation to infuse funds upon default of ESL in compliance of financial covenants. It is argued that Clause 2.2 involves two step process of discharging liability as a guarantor namely, (i) the first step is to fund ESL for such amounts, and (ii) second step is to eliminate the breach of default on the part of the borrower. It is submitted that the guarantee in question is “See to it” type guarantee. In support of aforesaid submission, reliance has been placed on the decisions of House of Lords¹ and Court of Appeal².
14. It is argued that ECL had admitted its status as a guarantor in the pleadings before the Madras High Court³ and this Court⁴ and is therefore, estopped⁵ from taking a contrary stand. Our attention has also been invited to the letters dated 30.06.2017 and 20.07.2017 sent by ESL to SREI, evidencing payment of INR 38 Crores by ECL to SREI which according to the appellant, reinforces the existence of guarantee obligation. It is urged that NCLAT erred in relying upon the sanction letter dated 26.07.2011 and information memorandum dated 27.10.2017 to negate the existence of the guarantee and the impugned order warrants interference in this appeal.
15. On the other hand, learned senior counsel for the respondent submitted that Clause 2.2 of the Deed of Undertaking, imposed only an obligation to arrange for infusion of funds and did not amount to a guarantee under Section 126 of the Act. In support of the

¹ Moschi vs. Lep Air Services Ltd.: 2 WLR 1175 (per Lord Diplock).

² Associated British Courts vs. Ferryways [2009] EWCA Civ. 189 and Shanghai Shipyard Co. Ltd. vs. Reignwood International Investment (Group) Co. Ltd.: [2021] EWCA Civ. 1147 .

³ CSD No. 18692 of 2019 and Order dated 05.11.2019 passed by Division Bench of Madras High Court.

⁴ Judgment dated 26.11.2021 in Civil Appeal No. 6669 of 2021.

⁵ Mumbai International Airport Pvt. Ltd. vs. Golden Chariot Airport and Ors. (2010) 10 SCC 422 (Para 43-50) and Nagindas Ramdas vs. Dalpatram Ichharam and Ors. (1974) 1 SCC 242 (para 27).

**UV Asset Reconstruction Company Limited v.
Electrosteel Castings Limited**

aforesaid submissions, reliance has been placed on the decisions of Bombay, Karnataka and Delhi High Courts⁶. It is pointed out that even the appellant in its pleading before NCLAT has admitted that undertaking is not a contract of guarantee. It is also pointed out that the sanction letter by SREI does not envisage facility being secured by any personal or corporate guarantee. It is contended that 'see to it' guarantee is not the type of guarantee contemplated under Section 126 of the Act and has not been adopted in Indian Common Law. It is submitted that ECL made a payment of INR 38 crores to SREI on 20.07.2017 on its own volition, in its capacity as promotor of ESL. It is further submitted that aforesaid payment was not made on account of any contractual obligation.

16. It is also urged that, it is well settled, that pleadings must be read as a whole and cannot be read selectively, out of context or in isolation. It is pointed out that the pleading was filed by the ECL in the proceeding initiated by the appellant to enforce mortgage security created by ECL in favour of SREI. In the said pleading, it was stated that ECL has given a guarantee which is limited only to the mortgage property and the same is not personal. It is urged that reliance on the decisions in **Nagindas Ramdas** and **Mumbai International Airport Pvt. Ltd.** is misplaced. It is finally urged that detailed and reasoned orders passed by the NCLT and NCLAT do not call for any interference in this appeal.

(viii) ANALYSIS

17. We have given our thoughtful consideration to the rival submissions and have carefully perused the records. Section 126 of the Act defines a 'Contract of Guarantee', as a contract to perform promise, or discharge the liability, of a third person in case of his default. The essential ingredients of a guarantee, therefore, are (a) existence of principal debt, (b) default by the principal debtor and (c) a promise by the surety to discharge the liability of the principal debtor upon such default. Thus, a guarantee is a promise to answer for the payment of some debt, or the performance of some duty, in case of failure of

⁶ Yes Bank Limited v. Zee Entertainment Enterprises Limited and Ors, 2020 SCC OnLine Bom 11763 (Paras 50,53,59,62,67), United Breweries (Holding) Ltd. v. Karnataka State Industrial Investment and Development Corporation Ltd. and Others, 2011 SCC OnLine Kar 4012 (para 6,9) and Aditya Birla Finance Ltd. vs. Siti Networks, 2023 SCC OnLine Del 1290 (Para 26,237,238).

Supreme Court Reports

another party, who is in the first instance, liable to such payment or performance⁷. A guarantee is a security in the form of right of action against a third party. In order to constitute a guarantee, there has to be a specific undertaking or unambiguous affirmation to discharge the liability of a third person in case of their default.

18. A guarantee is governed by principles of construction generally governing other documents⁸. A guarantee being a mercantile contract, the Court does not apply to it merely technical rules but construes it so as to reflect what may fairly be inferred to have been the parties' real intention and understanding as expressed by them in writing and to give effect to it rather than not⁹.
19. Now, we advert to Clause 2.2 of Deed of Undertaking dated 27.07.2011, which reads as under: -

“2.2. Financial Covenants

In the event the Borrower is not in a position to comply with the Financial Covenants in the Financing Documents, or has breached such Financial Covenants, **the Obligors will arrange for the infusion of such amount of fund into the Borrower** such that the Borrower is in a position to comply with the abovementioned Financial Covenants.”

Thus, the aforesaid Clause obligates ECL to arrange for infusion of funds into ESL, so as to enable the borrower to comply with the stipulated Financial Covenants.

20. For an obligation to be construed as a guarantee under Section 126 of the Act, there must be a direct and unambiguous obligation of the surety to discharge the obligation of the principal debtor to the creditor. The clause neither records an undertaking to discharge the debt owed to the creditor nor does it contemplate payment to the lender in the event of the default. The clause contains a promise, not to the creditor to pay the debt upon default, but to the borrower to facilitate compliance with Financial Covenants. An undertaking to

⁷ Conley (Re), ex p Trustee v Barclays Bank Ltd. (1938) 2 All ER 127, at 130-131 (CA)

⁸ Raghunandan v. Kirtyanand, AIR 1932 PC 131, Eshelby v Federated European Bank Ltd. (1932) 1 KB 254 and Kamla Devi v. Thakhratmal Land, AIR 1964 SC 859

⁹ Halsbury's Laws of England, Vol 49, 5th Edition and Perrylease Ltd v Imecar AG, (1987) 2 All ER 378

**UV Asset Reconstruction Company Limited v.
Electrosteel Castings Limited**

infuse funds into a borrower, so that it may meet its obligations cannot, by itself be equated with the promise to discharge the borrower's liability to the creditor. A mere Covenant to ensure financial discipline or infusion of funds does not satisfy the statutory requirements of Section 126 of the Act.

21. The sanction letter dated 26.07.2011 does not contemplate any personal or corporate guarantee. On the contrary, it specifically identifies the securities for the facilities and does not require ECL to stand as surety. The fact that no guarantee was furnished by ECL is also borne out from the following documents: (i) information memorandum in the CIRP of ESL does not reflect any guarantee from the Respondent in connection with SREI's Facility under the category of Guarantee or Security Interest; (ii) In Schedule 1 to the Assignment Agreement, against the column titled "details of the guarantor/co-borrower", the parties to Assignment Agreement stated 'Nil' and (iii) Audited Financial Statement of ESL does not reflect any guarantee obligation towards SREI. Thus, contemporaneous documents reinforce the conclusion that parties never intended to create a contract of guarantee.
22. Section 126 of the Act mandates a guarantor to 'perform a promise' or 'discharge the liability' of a third person which necessarily implies a direct performance or discharge. A 'See to it' guarantee in English Common Law refers to an obligation upon the guarantor to ensure that principal debtor itself, performs its own obligation and the guarantor, therefore, is in breach as soon as principal debtor fails to perform. However, a 'See to it' guarantee does not include an obligation to enable the principal debtor to perform its own obligation. Such an arrangement would not be a guarantee under Section 126 of the Act.
23. It is pertinent to note that payment of an amount of INR 38 crores by ECL to the appellant was not made on account of any contractual obligation. The said payment was made on 20.07.2017 in its capacity as a promotor of ESL. Such payment by itself does not give rise to any contract of guarantee, particularly when there is no contractual obligation of guarantee in the Deed of Undertaking.
24. It is well settled in law, that, pleadings must be read as a whole and cannot be read selectively out of context or in isolation. The appellant had initiated an action to enforce the mortgage security created by ECL in favour of SREI. In the aforesaid proceeding, ECL

Supreme Court Reports

in its pleadings stated that it has given a guarantee which is limited to the mortgaged property with no personal recourse to ECL. The reliance of the appellant on the decisions of **Nagindas Ramdas** and **Mumbai International Airport Pvt. Ltd.**, is misconceived, as the aforesaid decisions are an authority for the proposition that if admissions are true and clear, they are the best proof of facts, admitted in the context of Section 58 of the Indian Evidence Act, 1872. Therefore, the aforesaid decisions have no application to the fact situation of the case.

(ix) CONCLUSION

25. For the aforementioned reasons, we concur with the concurrent findings of NCLT and NCLAT that Clause 2.2 of the Deed of Undertaking does not constitute a contract of guarantee and that ECL cannot be treated as guarantor for the financial facilities availed by ESL. We, therefore, do not find any infirmity in the impugned judgment warranting interference in this appeal.
26. In the result, the appeal is dismissed. There shall be no order as to costs.

Result of the case: Appeal dismissed.

[†]Headnotes prepared by: Nidhi Jain

Union of India

v.

G. Kiran & Ors.

(Civil Appeal No(s). 51 of 2026)

06 January 2026

[J.K. Maheshwari* and Vijay Bishnoi, JJ.]

Issue for Consideration

Whether a reserved category candidate who availed relaxation while qualifying Preliminary Examination, though secured more marks than cut-off of the General Category candidate in the Main Examination and Interview for personality test and secured place in the final merit list, can be considered as ‘Insider General’ candidate for cadre allocation against an unreserved vacancy.

Headnotes[†]

The Rules for a competitive examination to be held by the Union Public Service Commission in 2013 (Exam Rules, 2013) – rr.1, 13, 14(ii), 17(1) – Vacancies in the Indian Forest Service (IFS) – Relaxation in qualifying marks at the preliminary stage – Relaxation/concession obtained in ‘eligibility’ or ‘selection criteria’, effect in the matter of cadre allocation – Respondent No.1, a reserved category candidate who availed relaxation in the Preliminary Examination but was placed higher in merit than the Respondent No.3-unreserved candidate in the final merit list based on total marks awarded in Main Examination (Written) and Personality Test, claimed to be treated as a General merit candidate for the purpose of cadre allocation against a General Insider vacancy for State of Karnataka in the IFS – OA allowed by the Tribunal holding that a meritorious SC candidate cannot be denied allocation against a General vacancy solely on the ground of availing relaxation in the SC cut-off marks at the stage of Preliminary Examination and directed to allocate the General Insider vacancy in the State of Karnataka to Respondent No.1, reserved category candidate – Writ petitions filed by Respondent No. 3 (who was allocated the General insider vacancy) and Union of India, dismissed by High Court, order of the Tribunal affirmed – Interference with:

* Author

Supreme Court Reports

Held: Once relaxation has been taken by a reserved category candidate, they cannot be considered for unreserved vacancies – If a reserved category candidate takes benefit of relaxation though at initial stage, it will effectively amount to taking relaxation even at the final stage of the selection process because without giving relaxation to him, he was not in a position to participate in the Main examination and to set forth his claim of cadre allocation – Any relaxation or concession in eligibility or in selection criteria, if taken at any stage of examination by such candidate of SC, ST and OBC, they may not get any benefit to claim the vacancy of unreserved category, in particular, in the context of r.17(1), Exam Rule, 2013 seeking allocation of General Insider vacancy in home State cadre as it would be contrary to paragraph 9 of the Cadre Allocation Policy – The General category cut-off for the Preliminary Examination was fixed at 267 – Respondent No.1 secured 247.18 marks – Had he been put against the general standard, his candidature would have been terminated at the first stage *i.e.*, the Preliminary Examination – His candidature succeeded in the first stage of the examination because of the relaxed standards allowed in the Preliminary Examination for SC candidates *i.e.* 233 marks – After availing the benefit of this relaxation for admission to the Main Examination, Respondent No.1 cannot subsequently claim to have been selected on “General Standard” merely due to his performance in the subsequent stages surpassed the general standard – If a candidate who has resorted a relaxation at any stage of examination, would not fall within the purview of the proviso to r.14(ii), Exam Rules, 2013 and thus, for the purpose of the applicable Policy for cadre allocation, he would not fall within the list of candidates selected on ‘General Standard’ claiming General Insider vacancy of home state cadre as insider candidate – Respondent No. 1, having availed the benefit of “Relaxed Standard” in the Preliminary Examination, cannot be treated as a candidate selected on “General Standard” thus, he is not entitled to be allocated against the “General Insider” vacancy in the Karnataka Cadre in place of Respondent No.3 – High Court while affirming the judgment of the Tribunal glossed over r.1, intent of r.13 and intent of proviso to r.13 as well as the real meaning of r.14 and proviso thereto along with paragraph 9 of Cadre Allocation Policy – Impugned judgments of High Court set aside – Notification dtd.13.03.15 issued by the MoEFCC insofar allocating the Karnataka Cadre to Respondent No.3 and Tamil Nadu Cadre to Respondent No.1, upheld as correct. [Paras 28, 32, 36, 38-40]

Union of India v. G. Kiran & Ors.**The Rules for a competitive examination to be held by the Union Public Service Commission in 2013 – Proviso to r.14(ii) – ‘Relaxed Standard’ – Consequence of availing:**

Held: If a candidate has found place in the merit list without availing ‘Relaxed Standards’ i.e., without resorting to ‘any’ ‘relaxations’ or ‘concessions’ in eligibility or selection criteria ‘at any stage of examination’, they shall not be adjusted against the vacancies reserved for SC, ST and OBC – In the above context, the word ‘any’ is relatable to relaxations or concessions either in ‘eligibility’ or any ‘selection criteria’ – It further qualifies that such relaxation/concession can be availed at ‘any stage of examination’ having relevance to r.1 which indicates that all candidates would be required to qualify the Preliminary Examination in order to appear in the Main Examination – Therefore, the proviso throws light by focusing on the issue of relaxations and concessions in eligibility or selection criteria at any stage of examination. [Paras 21, 22]

The Rules for a competitive examination to be held by the Union Public Service Commission in 2013 – r.1, Proviso to r.14(ii) – Vacancies in the Indian Forest Service (IFS):

Held: r.1 stipulates that IFS examination involves two tiers – Without qualifying first tier i.e., Preliminary Examination, a candidate may not be in a position to participate in Main Examination (Written) – Therefore, even though the Preliminary Examination is merely a screening test and marks obtained may not be counted for determining final merit as per Clause 2 of s.I of Appendix-I, Exam Rules, 2013, nonetheless, it is an integral stage of the examination and relaxation availed by any candidate even at the stage of Preliminary Examination cannot escape the phraseology of proviso to r.14(ii) i.e., ‘relaxed standard’ granted at ‘any stage of examination’. [Para 29]

The Rules for a competitive examination to be held by the Union Public Service Commission in 2013 – r.1, Proviso to r.13, Proviso to r.14(ii) – Vacancies in the Indian Forest Service (IFS) – Mandate of r.1 ignored by High Court – Further, r.14(ii) deals with the situation for the candidates of SC, ST and OBC where discretion has been conferred upon UPSC to grant relaxed standards to the fittest of these candidates for selection to the service – While dealing with those relaxed

Supreme Court Reports

standards, it has been made clear in proviso that the candidates of SC, ST and OBC recommended without resorting to ‘any’, ‘relaxation’ or ‘concession’ in ‘eligibility’ or ‘selection criteria’ at ‘any stage of examination’ may be adjusted against the vacancies of unreserved category – Those reserved category candidates who have availed of any relaxation or concession at ‘any stage of the examination’ are not eligible to be adjusted against unreserved vacancies.[Paras 26, 27]

Case Law Cited

Deepa E.V. v. Union of India and Ors. [2017] 1 SCR 938 : (2017) 12 SCC 680; *Gaurav Pradhan v. State of Rajasthan* (2018) 11 SCC 352; *Niravkumar Dilipbhai Makwana v. Gujarat Public Service Commission* [2019] 9 SCR 47 : (2019) 7 SCC 383; *Union of India v. Sajib Roy* [2025] 9 SCR 542 : 2025 SCC OnLine SC 1943 – relied on.

Jitendra Kumar Singh v. State of U.P. [2010] 1 SCR 325 : (2010) 3 SCC 119; *Ajithkumar P. v. Remin K. R.* (2015) 16 SCC 778; *Vikas Sankhala and Others v. Vikas Kumar Agarwal and Others* [2016] 7 SCR 639 : (2017) 1 SCC 350 – distinguished.

List of Acts

The Rules for a competitive examination to be held by the Union Public Service Commission in 2013.

List of Keywords

Indian Forest Service (IFS); Relaxation; Relaxation in qualifying marks at the preliminary stage; Relaxation or concession obtained in ‘eligibility’ or ‘selection criteria’; Effect in the matter of cadre allocation; Insider General’ candidate; Cadre allocation against unreserved vacancy; General Insider vacancy for State of Karnataka in the Indian Forest Service (IFS); Cadre Allocation Policy; Reserved category candidate availed relaxation while qualifying Preliminary Examination; Meritorious SC candidate; Allocation against General vacancy; Relaxation availed in the SC cut-off marks at the stage of Preliminary Examination; Relaxation at any stage of examination; Reserved category candidate secured more marks than cut-off of General Category candidate; Main Examination; Interview for personality test; Reserved category candidate; Unreserved category candidate; Vacancies in the Indian Forest Service (IFS)

Union of India v. G. Kiran & Ors.**Case Arising From**

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 51 of 2026

From the Judgment and Order dated 06.08.2019 of the High Court of Karnataka at Bengaluru in WP No. 54254 of 2016

With

Civil Appeal No. 52 of 2026

Appearances for Parties

Advs. for the Appellant(s):

K.M. Nataraj, A.S.G., Nikhil Goel, Devashish Bharukha, Sr. Advs., Amit Pai, Aditya Bhat, Ms. Pankhuri Bhardwaj, T. Dutta, Gurmeet Singh Makker, Ms. Satvika Thakur, Ishaan Sharma, Shailesh Madiyal, Rohan Gupta, Apoorv Kurup.

Advs. for the Respondent(s):

Jayanth Muth Raj, Nikhil Goel, Sr. Advs., Vinodh Kanna B, Abhilash M R, Ms. Thilagavathi P, M/s M R Law Associates, Vardhman Kaushik, Dhruv Joshi, Amit Pai, Aditya Bhat, Ms. Pankhuri Bhardwaj, T. Dutta.

Judgment / Order of the Supreme Court**Judgment**

J.K. Maheshwari J.

1. Leave granted.
2. Assailing the final judgment and order dated 06.08.2019 passed in Writ Petition No. 18947 of 2016 (S-CAT) connected with Writ Petition No. 54254 of 2016 (S-CAT) by the High Court of Karnataka at Bengaluru (hereinafter referred to as '**High Court**'), the appellants have filed these appeals. For the sake of brevity, we will refer to the parties as per their status in Civil Appeal arising out of Special Leave Petition (C) No. 4743 of 2020.
3. The dispute in the present appeals is regarding the claim of a reserved category candidate i.e., Respondent No. 1, who availed relaxation in the Preliminary Examination but was placed higher in merit than the unreserved candidate i.e., Respondent No. 3 in the final merit

Supreme Court Reports

list based on total marks awarded in Main Examination (Written) and Personality Test, to be treated as a General merit candidate for the purpose of cadre allocation against a General Insider vacancy for State of Karnataka in the Indian Forest Service (hereinafter referred to as '**IFS**').

4. Being aggrieved by the notification dated 13.03.2015 issued by the Ministry of Environment, Forests and Climate Change (hereinafter referred to as '**MoEFCC**'), allocating Tamil Nadu Cadre to Respondent No. 1 instead of Karnataka, Respondent No. 1 preferred an Original Application No. 170/239 of 2015 (hereinafter referred to as '**OA**') before the Central Administrative Tribunal, Bangalore Bench (hereinafter referred to as '**Tribunal**') and vide order dated 15.03.2016, the Tribunal allowed the Original Application holding that a meritorious Scheduled Caste (hereinafter referred to as '**SC**') candidate cannot be denied allocation against a General vacancy solely on the ground of availing relaxation in the SC cut-off marks at the stage of Preliminary Examination. The Tribunal directed to allocate the General Insider vacancy in the State of Karnataka to Respondent No. 1. Being aggrieved by the said order, WP No. 18947 of 2016 (S-CAT) was filed by Respondent No. 3 (who was allocated the General insider vacancy) and WP No. 54254 of 2016 (S-CAT) was filed by the Union of India (hereinafter referred to as '**UOI**'), which came to be dismissed by the common impugned order of the High Court, affirming the view of the Tribunal. Hence, the present appeals.

FACTUAL MATRIX

5. Prequel to the present litigation, the MoEFCC issued Notification No. 17011/01/2013-IFS-II dated 05.03.2013 publishing '*The Rules for a competitive examination to be held by the Union Public Service Commission in 2013*' (hereinafter referred to as '**Exam Rules, 2013**') for the purpose of filling vacancies in the Indian Forest Service.
6. Respondent No. 1, belongs to SC category and Respondent No. 3 belongs to General category. Both appeared for the Preliminary Examination in the year 2013. As per Exam Rules, 2013, the selection process for IFS involved following two tiers – (i) the Civil Services (Preliminary) Examination for purpose of screening; and (ii) the Indian Forest Service (Main) Examination followed by an Interview for personality test.

Union of India v. G. Kiran & Ors.

7. It is undisputed that in the Preliminary Examination, the cut-off to qualify by General Category candidates was 267 and the cut-off to qualify by SC category candidates was 233. Respondent No. 1 secured 247.18 marks, which was below the cut-off to qualify as General category candidate, however, declared qualified for the Main Examination availing the relaxed cut-off applicable to SC candidates. Simultaneously, Respondent No. 3 secured 270.68 marks in the Preliminary Exam and qualified for the Main Examination (Written) as the said score was above the cut-off for General category. The details of the marks obtained has been tabulated for ready reference as under: –

Name of Candidate	Category (as availed for purpose of Preliminary Exam)	Qualifying Marks (for purpose of Preliminary Exam)	Marks Obtained in the Preliminary Exam
G Kiran [Respondent No. 1]	SC	233	247.18
Antony S Mariyappa [Respondent No. 3]	General/ Unreserved	267	270.68

8. Both the candidates appeared in the Main Examination (Written) in October 2013 and qualified the same. They appeared in Interview for personality test in December 2013. After all the stages of exam and on the basis of marks secured by respective candidates in the Main Examination and Interview, on 29th January 2014, the Union Public Service Commission (hereinafter referred to as '**UPSC**') recommended total 85 candidates for appointment as IFS.
9. In the final merit list, Respondent No. 1 was placed at rank 19 while Respondent No. 3 came to be placed at rank 37. Consequent thereto, controversy was set into motion during the allocation of cadres. For the 2013 examination, there were only two available vacancies in the State of Karnataka - one was of 'General Insider' and the other was of 'OBC Outsider'. Applying the Cadre Allocation Policy issued on 10th April 2008 later amended on 21st April 2011 (hereinafter referred to as '**Policy**'), the UOI vide notification dated 13.03.2015 (hereinafter referred to as '**impugned notification**')

Supreme Court Reports

allocated the 'General Insider' vacancy for State of Karnataka to Respondent No. 3 being General category candidate. On the other hand, Respondent No. 1, who was also having preference for State of Karnataka, allocated the Tamil Nadu cadre, since no SC Insider post was vacant in the State of Karnataka.

10. Challenging the impugned notification, Respondent No. 1 filed the OA before the Tribunal on 26.03.2015 asking to quash the notification in so far as it relates to him and Respondent No. 3 and also sought a consequent direction to UOI and UPSC to allot him the General Insider vacancy in the State of Karnataka with all consequential benefits. The Tribunal, by order dated 15.03.2016 allowed the OA, which was affirmed by the High Court vide impugned order dated 06.08.2019.
11. The High Court was of the view that since Respondent No. 1 had secured a higher rank in Main Examination (Written) compared to Respondent No. 3, and the Preliminary Examination was merely a screening test and marks obtained therein were not to be considered to draw the final merit, therefore, for cadre allocation, the former should be treated as General category candidate and would be entitled to get allocation of Karnataka cadre in General Insider vacancy. Assailing these findings, present appeals have been preferred by UOI and Respondent No. 3.

ARGUMENTS OF APPELLANT AND RESPONDENTS

12. Mr. K.M. Nataraj, learned Senior Counsel and Additional Solicitor General of India, with vehemence submitted that the allocation of cadre is governed by the Exam Rules, 2013 and the Policy. Rule 14 of the Exam Rules, 2013 specifically bars the adjustment of reserved category candidates against unreserved vacancies if they have availed relaxation at any stage in eligibility or selection criteria. He put forth emphasis to phrase 'any stage of the examination' and argued that Respondent No. 1 could not secure marks above cut-off for General category in the Preliminary Examination. He had appeared in Main Examination after getting benefit of relaxed standard in SC category, therefore, having availed a relaxation in Preliminary Examination, Respondent No. 1 cannot be a candidate selected on "General Standards" required under Paragraph 9 of the Policy read with Rule 14 of the Exam Rules, 2013. To buttress such contentions, reliance has been placed on the judgments of this Court

Union of India v. G. Kiran & Ors.

in **Deepa E.V. v. Union of India and Ors.**¹, **Gaurav Pradhan v. State of Rajasthan**², **Niravkumar Dilipbhai Makwana v. Gujarat Public Service Commission**³, **Union of India v. Sajib Roy**⁴.

13. Learned Counsel Mr. Vardhman Kaushik, representing the UPSC has supported the submissions made by the Learned Additional Solicitor General of India. Similarly, Learned Senior Counsel, Mr. Nikhil Goel, appearing for the Respondent No. 3, and the Appellant in the connected appeal, has also supported the said contentions and urged that once the benefit of relaxation has been obtained by Respondent No. 1 in the Preliminary Examination, he cannot claim 'General Insider' vacancy at a later stage at the time of cadre allocation, therefore, the decisions of the Tribunal and High Court are liable to be set-aside.
14. *Per contra*, Learned Senior Counsel Mr. Jayanth Muth Raj appearing for Respondent No. 1 submits that the Preliminary Examination is merely a screening test to shortlist candidates for the Main Examination. Clause 2 of Section I of Appendix I to the Exam Rules, 2013 clearly stipulates that the marks obtained in the Preliminary Examination by the candidates will not be counted for determining the final order of merit. As such the marks obtained by Respondent No. 1 in Preliminary Examination, taking benefit of relaxed standards applicable to SC Candidate cannot be used adversely for the purpose of cadre allocation to him.
15. It is urged, once a candidate performs on merit, surpasses the 'General Standards' and qualifies the Main Examination, securing a higher rank than Respondent No. 3 i.e. General category candidate in the final list, the grant of initial relaxation in Preliminary Examination fades into insignificance. It is said that denial of the General Insider vacancy to a more meritorious candidate on the pretext of relaxation availed in the Preliminary Examination which doesn't even form the basis of final merit list, violates the principles of meritocracy and substantive equality as enshrined under Articles 14 and 16 of the Constitution of India.

1 (2017) 12 SCC 680

2 (2018) 11 SCC 352

3 (2019) 7 SCC 383

4 2025 SCC OnLine SC 1943

Supreme Court Reports

16. Learned Senior Counsel placed reliance upon the reasoning of the High Court that the term ‘General Standards’ in Paragraph 9 of the Policy refers to the ‘General Qualifying Standard’ as contained in Rule 14(i) of Exam Rules, which Respondent No. 1 undisputedly met and surpassed. In support of these contentions, judgements of this court in ***Jitendra Kumar Singh v. State of UP***⁵, ***Ajithkumar P. v. Remin K. R.***⁶ and ***Vikas Sankhala and Others v. Vikas Kumar Agarwal and Others***⁷ has been relied upon and prayed for dismissal of these appeals.

APPRECIATION OF ARGUMENTS

17. After having heard learned counsels and upon perusal of the material placed, in our view, the question that falls for our consideration is *whether a reserved category candidate who availed relaxation while qualifying Preliminary Examination, though secured more marks than cut-off of the General Category candidate in the Main Examination and Interview for personality test and secured place in the final merit list, can be considered as ‘Insider General’ candidate for cadre allocation against an unreserved vacancy?*
18. In order to adjudicate upon the issue, it is pertinent to refer to the relevant provisions of Rules, 1, 13, 14 and 17 of the Exam Rules, 2013 which are reproduced as hereunder -

“**Rule 1.** Indian Forest Service Examination will be a two tier (*sic*) examination – a preliminary screening examination followed by a Main Examination and Interviews. For screening suitable number of candidates for the 2nd stage of the Examination to be named as Indian Forest Service (Main) Examination, all candidates would be required to qualify Civil Services (Preliminary) Examination (hereinafter called the Preliminary Examination).

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Rule 13. Candidates who obtain such minimum qualifying marks in the Preliminary Examination as may be fixed by

5 (2010) 3 SCC 119

6 (2015) 16 SCC 778

7 (2017) 1 SCC 350

Union of India v. G. Kiran & Ors.

the Commission at their discretion shall be admitted to the Indian Forest Service (Main) Examination (Written); and candidates who obtain such minimum qualifying marks in the Main Examination (Written) as may be fixed by the Commission at their discretion shall be summoned by them for an interview for a personality test;

The minimum qualifying marks as determined above, may be relaxable at the discretion of the Commission, in favour of Physically Handicapped candidates, in order to fill up the vacancies reserved for them, if any.

Provided that candidates belonging to the Scheduled Castes or Scheduled Tribes or Other Backward Classes may be summoned for an interview for personality test by the commission by applying relaxed standards in the Preliminary Examination as well as Main Examination (Written) if the Commission is of the opinion that sufficient number of candidates from these communities are not likely to be summoned for interview for a personality test on the basis of the general standard in order to fill up vacancies reserved for them.

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Rule 14. (i) After interview, the candidates will be arranged by the Commission in the order of merit as disclosed by aggregate marks finally awarded to each candidate in the Main Examination. Thereafter, the commission shall, for the purpose of recommending candidates against unreserved vacancies, fix a qualifying mark (hereinafter referred to as general qualifying standard) with reference to the number of unreserved vacancies to be filled up on the basis of the Main Examination.

(ii) The candidates belonging to any of the Scheduled Castes, the Scheduled Tribes or Other Backward Classes may to the extent of the number of vacancies reserved for the Scheduled Castes, the Scheduled Tribes and the Other Backward Classes be recommended by the Commission by a relaxed standard, subject to the fitness of these candidates for selection to the Service.

Supreme Court Reports

Provided that the candidates belonging to the Scheduled Castes, the Scheduled Tribes and the Other Backward Classes who have been recommended by the Commission without resorting to any relaxations/concessions in the eligibility or selection criteria, at any stage of the examination, shall not be adjusted against the vacancies reserved for the Scheduled Castes, the Scheduled Tribes and Other Backward Classes.

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Rule 17. (i) A candidate who qualifies the Preliminary Examination shall be required to indicate the Detailed Application Form his/her choice in the order of preference from amongst the various State Cadres including his/her 'Home State' in case he/she is appointed to the Indian Forest Service.

(ii) the cadre allotment to candidates appointed to Indian Forest Service will be governed by the policy of cadre allotment in force at the time of allotment of cadre. Due consideration will be given at the time of making allocation on the results of the examination to the preferences expressed by candidate for various cadres at the time of his/her application."

19. After going through Rule 1, it is evident that IFS examination consists of two tiers - tier one is of Preliminary Examination and tier two consists of Main Examination (Written) and Interview. For screening suitable number of candidates for the 2nd stage i.e., Indian Forest Service (Main) Examination, all candidates are required to qualify the Preliminary Examination.
20. Perusal of Rule 13 makes it abundantly clear that after obtaining minimum qualifying marks in Preliminary Examination, the candidate, shall be entitled to appear in the Main Examination (Written). The candidate obtaining minimum qualifying marks in Main Examination may be summoned for Interview for personality test. The determination of the minimum qualifying marks to summon a candidate for an Interview for personality test shall be the discretion of the UPSC. The proviso confers discretion upon UPSC for applying the 'Relaxed Standards' to the candidates belonging to the SC, ST and OBC

Union of India v. G. Kiran & Ors.

either in Preliminary or Main Examination (Written) in case sufficient member of these communities are not likely to be summoned applying the 'General Standard' to fill up the vacancies reserved for these categories.

21. As per Rule 14, the candidates who obtain qualifying marks in Main Examination (Written) and are summoned for Interview for personality test shall be arranged in the order of merit as disclosed by the UPSC on the basis of the aggregate of marks scored in Main Examination (Written). After preparation of merit list, the UPSC shall fix qualifying marks for applying 'General Qualifying Standards' for recommending the candidate commensurate to the available unreserved vacancies, to be filled up on the basis of the Main Examination. In this view, Rule 14(i) operates in two parts. First portion deals with preparation of merit list and latter portion deals with preparation of merit list of unreserved category applying the general qualifying standards. Rule 14(ii) applies to the candidates belonging to the SC, ST and OBC to which the UPSC shall make recommendation on basis of 'Relaxed Standard' subject to the fitness of these candidates for selection to the service. The consequence of availing the 'Relaxed Standard' is stipulated in the proviso to Rule 14(ii), whereby it is clear that if a candidate has found place in the merit list without availing 'Relaxed Standards' i.e., without resorting to 'any' 'relaxations' or 'concessions' in eligibility or selection criteria 'at any stage of examination', they shall not be adjusted against the vacancies reserved for SC, ST and OBC.
22. In the above context, the word '*any*' is relatable to relaxations or concessions either in '*eligibility*' or any '*selection criteria*'. It further qualifies that such relaxation/concession can be availed at 'any stage of examination' having relevance to Rule 1 which indicates that all candidates would be required to qualify the Preliminary Examination in order to appear in the Main Examination. Therefore, the proviso throw light by focusing on the issue of relaxations and concessions in eligibility or selection criteria at any stage of examination. At this stage, the point to ponder upon is if a candidate obtains such relaxation or concession in '*eligibility*' or '*selection criteria*' what would be its effect in the matter of cadre allocation, especially in the facts and circumstances of the case in hand.
23. As per Rule 17 of Exam Rules, 2013, indeed it is correct to say that only after qualifying the Preliminary Examination the candidate

Supreme Court Reports

does have a choice to submit the preference for various state cadres including home state for appointment to the IFS. It is further true that the State Cadre allotment to the IFS will be governed by the policy in force at the time of allotment of cadre. In the said context the policy dated 10th April 2008 amended on 21st April 2011 governing the cadre allocation of the relevant time assumes significance. Para 9 of the Policy is relevant, therefore, reproduced as thus: -

“9. Notwithstanding what has been said above a reserved category candidate selected on general standards shall be eligible for allocation against the available un-reserved vacancy as per his merit and preference. But if he cannot be allocated against such vacancy, for he is lower in rank compared with other general category candidates, he shall be considered for allocation as per his merit and preference against the available vacancy of his category.”

24. Upon conjoint reading of the Rules quoted above in juxtaposition to Clause 9 of the Policy, it is clear that a reserved category candidate selected applying ‘General Standard’ has eligibility for allocation on unreserved vacancy as per his merit and preference if he is not lower in rank from other General category candidates, otherwise he shall be considered for allocation as per his merit and preference against the available vacancy of his category. In the said context, it is clear that for allocation of unreserved vacancy to a candidate of reserved category, the selection must be on ‘General Standard’ without availing any ‘Relaxed Standard’ in either eligibility or selection criteria. In case any ‘Relaxed Standard’ has been availed by him, his allocation of cadre would be as per his merit and preference against vacancy of his category.
25. After analyzing the Exam Rules, 2013 and the Policy, we find ourselves at variance with the findings recorded in the Impugned Order. While dismissing the Writ Petition and affirming the order of the Tribunal, the thrust of reasoning of the High Court was that ‘General Standards’ as used in Paragraph 9 of Policy can only mean to be ‘General Qualifying Standard’ as appearing in Rule 14(i) of Exam Rules, 2013 i.e. qualifying marks fixed by UPSC with reference to number of unreserved vacancies to be filled up on the basis of the Main Examination. In other words, the High Court effectively read Paragraph 9 of the Policy to mean that if a reserved category candidate

Union of India v. G. Kiran & Ors.

selected acquiring the position in the merit of unreserved category list obtaining 'qualifying marks fixed by UPSC with reference to number of unreserved vacancies on the basis of the Main Examination' shall be eligible for allocation against available unreserved vacancies. It was also observed that the purpose behind providing relaxation in the nature of age, number of attempts, payment of fees and such other eligibility criteria in favour of candidates belonging to reserved category is to ensure a level playing field and that real merit is tested in the Main Examination (Written) where the mettle of the candidates is put to test. Hence, if the candidates belonging to the reserved category score better than a general merit candidate in the tier two examination, such candidate cannot be denied cadre allocation in open category insider cadre vacancy.

26. We are unable to subscribe to and confirm the view taken by the High Court. In our view, the High Court lost sight of the mandate of Rule 1 which clearly prescribes that IFS Examination consists of two tiers - first tier is Preliminary Examination followed by tier two involving Main Exam (Written) and Interview. Only those candidates who are found suitable in the first tier may avail entry for the tier two. All the candidates are required to qualify Preliminary Examination for participation in further selection process by way of Main Examination (Written) and Interview. Rule 13 and its proviso contemplate that only those candidates who obtain minimum qualifying marks as prescribed on discretion by UPSC in the Preliminary Examination shall be admitted to the Main Examination (Written) and all those candidates who obtain minimum qualifying marks as prescribed by UPSC in the Main Examination (Written) shall be called upon for an Interview for a personality test. The proviso to the said rule provides for applying relaxed standards in Preliminary as well as the Main Examination (Written) to SC, ST and OBC candidates for the purpose of summoning them for interview if such candidate does not come within the general standards in order to fill up the vacancies of reserved category and to facilitate due representation.
27. Further, Rule 14(i) deals with preparation of merit list after a written and interview for personality test. Thereafter, it deals with recommending the candidates against unreserved vacancies applying general standards with reference to number of unreserved vacancies. Rule 14(ii) deals with the situation for the candidates of SC, ST and OBC where discretion has been conferred upon UPSC to grant

Supreme Court Reports

relaxed standards to the fittest of these candidates for selection to the service. While dealing with those relaxed standards, it has been made clear in proviso that the candidates of SC, ST and OBC recommended without resorting to 'any', 'relaxation' or 'concession' in 'eligibility' or 'selection criteria' at 'any stage of examination' may be adjusted against the vacancies of unreserved category. The natural corollary to the above makes it clear those reserved category candidates who have availed of *any relaxation or concession* at '*any stage of the examination*' are not eligible to be adjusted against unreserved vacancies.

28. On appreciation of the rules referred above, it is clear that any relaxation or concession in eligibility or in selection criteria, if taken at any stage of examination by such candidate of SC, ST and OBC, they may not get any benefit to claim the vacancy of unreserved category, in particular, in the context of Rule 17(1) of the Exam Rule, 2013 seeking allocation of General Insider vacancy in home State cadre as it would be contrary to paragraph 9 of the Policy.
29. It is relevant to emphasis that Rule 1 clearly stipulates that IFS examination involves two tiers. Without qualifying first tier i.e., Preliminary Examination, a candidate may not be in a position to participate in Main Examination (Written). Therefore, even though the Preliminary Examination is merely a screening test and marks obtained may not be counted for determining final merit as per Clause 2 of Section I of Appendix-I of Exam Rules, 2013, nonetheless, it is an integral stage of the examination and relaxation availed by any candidate even at the stage of Preliminary Examination cannot escape the phraseology of proviso to Rule 14(ii) i.e., 'relaxed standard' granted at 'any stage of examination'.
30. At this juncture, we can profitably refer to the judgment of this Court in **Deepa E.V.** (Supra). In the said case, the appellant, who was an OBC category candidate, sought appointment on general unreserved vacancy on the ground that the marks obtained by her was over and above the minimum cut-off marks prescribed for general category candidates. While considering a similar provisions as per O.M. of Department of Personnel and Training dated 01.07.1998, it was held that when a candidate avails age relaxation, he is not entitled to be adjusted against the unreserved category. The relevant paragraph is reproduced as thus –

Union of India v. G. Kiran & Ors.

“7. On a combined reading of Rule 9 of the Export Inspection Agency (Recruitment) Rules, 1980 and also the proceedings dated 1-7-1998, we find that there is an express bar for the candidates belonging to SC/ST/OBC who have availed relaxation for being considered for general category candidates.”

The logic applied in above case applies with equal force to relaxation in qualifying marks at the preliminary stage as it has happened in the present appeals.

31. We also find merit in the reliance placed by the Appellant on the decision in **Gaurav Pradhan** (Supra). In that case, the post in question was of Police Constables and Sub-Inspectors of Police and the recruitment process was of the year 2010. Vide an earlier circular dated 24.06.2008, it was provided that the members of SC/ST/OBC can compete against non-reserved vacancies and be counted against them, in case they have not taken any concession (like that of age, etc.) available to them other than that relating to payment of examination fees in case of direct recruitment. Thereafter, vide a circular dated 11.05.2011, without superseding earlier circular of 2008, it was provided that if a candidate belonging to BC/SBC/SC/ST, irrespective of whether they have availed of or not any of the special concession which are available to them, secures more marks than the marks obtained by last unreserved category candidate who is selected, such a candidate belonging to aforementioned categories shall be counted against unreserved category vacancies and not reserved vacancies. On filing writ petitions before High Court by various general category candidates, the learned Single Judge dismissed the same which came to be confirmed with certain modifications by the Division Bench. While allowing the appeals, this Court observed thus:

“33. In a recent judgment, this Court has occasion to consider the judgment of this Court in *Jitendra Kumar Singh case* [*Jitendra Kumar Singh v. State of U.P.*, (2010) 3 SCC 119 : (2010) 1 SCC (L&S) 772] . The learned counsel for the appellants has placed much reliance on the judgment of this Court dated 6-4-2017 in *Deepa E.V. v. Union of India* [*Deepa E.V. v. Union of India*, (2017) 12 SCC 680 : (2018) 1 SCC (L&S) 100] . It is necessary to notice the facts of the

Supreme Court Reports

case and the issues decided by this Court in *Deepa E.V.* [*Deepa E.V. v. Union of India*, (2017) 12 SCC 680 : (2018) 1 SCC (L&S) 100] The appellant before this Court was an OBC category candidate who claimed that she should be treated as general category candidate. The appellant had availed the age relaxation as OBC category candidate. A writ petition was filed by the appellant claiming that she should be treated as candidate in general category. The learned Single Judge dismissed the writ petition by the judgment dated 16-1-2015 [*Deepa E.V. v. Union of India*, 2015 SCC OnLine Ker 2470] which judgment was affirmed [*Deepa E.V. v. Union of India*, 2015 SCC OnLine Ker 21264] by the Division Bench in the writ appeal. In para 2 of the judgment, facts were noted to the following effect: (*Deepa E.V. case* [*Deepa E.V. v. Union of India*, (2017) 12 SCC 680 : (2018) 1 SCC (L&S) 100] , SCC p. 681)

“2. The appellant applied for the post of Laboratory Assistant Grade II in Export Inspection Council of India functioning under the Ministry of Commerce and Industry, Government of India. The appellant belongs to Dheevera community which is one of the “Other Backward Class”. Since the appellant was aged 26 years, she got age relaxation, as was granted to OBC category candidates. The appellant was one of the eleven candidates from OBC who were called for interview. The appellant secured 82 marks (in the list of candidates from OBC category). One Ms Serena Joseph (OBC), who secured 93 marks was selected and appointed.”

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37. The judgment of this Court in *Deepa E.V.* [*Deepa E.V. v. Union of India*, (2017) 12 SCC 680 : (2018) 1 SCC (L&S) 100] fully supports the case of the appellants. In *Deepa E.V. case* [*Deepa E.V. v. Union of India*, (2017) 12 SCC 680 : (2018) 1 SCC (L&S) 100] also the Circular of the Central Government dated 1-7-1998/2-7-1997 provided the relevant provision which is to the following effect: (SCC pp. 682-83, para 6)

Union of India v. G. Kiran & Ors.

“6. ... ‘... In other words, when a relaxed standard is applied in selecting *SC/ST/OBC* candidates, for example in the age-limit, experience, qualification, permitted number of chances in written examination, extended zone of consideration larger than what is provided for general category candidates, etc., the *SC/ST/OBC* candidates are to be counted against reserved vacancies. Such candidates would be deemed as unavailable for consideration against unreserved vacancies.’ ”

(emphasis in original)

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46. The Division Bench [*Rajesh Singh v. State of Rajasthan*, 2014 SCC OnLine Raj 6470 : (2014) 2 RLW 1585] as well as the learned counsel appearing for the State of Rajasthan has relied on the Circular dated 11-5-2011. The Division Bench has observed that the Circular dated 11-5-2011 did not change the rules of game. The following observation has been made with regard to the Circular dated 11-5-2011: (*Rajesh Singh case* [*Rajesh Singh v. State of Rajasthan*, 2014 SCC OnLine Raj 6470 : (2014) 2 RLW 1585] , SCC OnLine Raj para 57)

“57. In the instant case, the State Government in supersession of its earlier policy decision regarding treatment to be given to the candidates belonging to reserved category who are selected against unreserved category vacancies, issued directives for guidance to the appointing authorities vide the Circular dated 11-5-2011 that neither changed the eligibility criteria seeking employment nor manner and method of selection of suitable candidates and in our considered view, the Circular dated 11-5-2011 did not change rules of the game after the game is played or process of selection is initiated as observed by the learned Single Judge [*Madan Lal v. State of Rajasthan*, 2012 SCC OnLine Raj 1182] · [*Manish Sharma v. State of Rajasthan*, 2013 SCC OnLine

Supreme Court Reports

Raj 4100] but such policy decisions are always within realm of judicial review and this is what the Court considered and examined policy decision of the Government impugned.”

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49. In view of the foregoing discussion, we are of the considered opinion that the candidates belonging to SC/ST/BC, who had taken relaxation of age, were not entitled to be migrated to the unreserved vacancies; the State of Rajasthan has migrated such candidates who have taken concession of age against the unreserved vacancies which resulted displacement of a large number of candidates who were entitled to be selected against the unreserved category vacancies. The candidates belonging to unreserved category who could not be appointed due to migration of candidates belonging to SC/ST/BC were clearly entitled for appointment which was denied to them on the basis of the above illegal interpretation put by the State. We, however, also take notice of the fact that the reserved category candidates who had taken benefit of age relaxation and were migrated on the unreserved category candidates, are working for more than last five years. The reserved category candidates who were appointed on migration against unreserved vacancies are not at fault in any manner. Hence, we are of the opinion that SC/ST/BC candidates who have been so migrated in reserved vacancies and appointed, should not be displaced and allowed to continue in respective posts. On the other hand, the unreserved candidates who could not be appointed due to the above illegal migration are also entitled for appointment as per their merit. The equities have to be adjusted by this Court.”

(emphasis supplied)

In the said case, this Court while affirming the view taken in *Deepa E.V.* (Supra), held that reserved category candidates who had availed corresponding relaxations, could not be considered on general/ unreserved vacancies.

Union of India v. G. Kiran & Ors.

32. Similarly, this court in *Niravkumar Dilipbhai* (Supra) while considering an identical factual situation involving a circular barring consideration of reserved category candidates on unreserved posts observed as under –

“22. Article 16(4) of the Constitution is an enabling provision empowering the State to make any provision or reservation of appointments or posts in favour of any backward class of citizens which in the opinion of the State is not adequately represented in the service under the State. It is purely a matter of discretion of the State Government to formulate a policy for concession, exemption, preference or relaxation either conditionally or unconditionally in favour of the backward classes of citizens. The reservation being the enabling provision, the manner and the extent to which reservation is provided has to be spelled out from the orders issued by the Government from time to time.

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23. In the instant case, the State Government has framed policy for the grant of reservation in favour of SC/ST and OBC by the Circulars dated 21-1-2000 and 23-7-2004. The State Government has clarified that when a relaxed standard is applied in selecting a candidate for SC/ST, SEBC category in the age-limit, experience, qualification, permitting number of chances in the written examination, etc., then candidate of such category selected in the said manner, shall have to be considered only against his/her reserved post. Such a candidate would be deemed as unavailable for consideration against unreserved post.

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34. There is also no merit in the submission of the learned counsel for the appellant that relaxation in age at the initial qualifying stage would not fall foul of the Circulars dated 29-1-2000 and 23-7-2004. The distinction sought to be drawn between the preliminary and final examination is totally misconceived. It is evident from the advertisement that a person who avails of an age relaxation at the initial stage will necessarily avail of the same relaxation even at

Supreme Court Reports

the final stage. We are of the view that the age relaxation granted to the candidates belonging to SC/ST and SEBC category in the instant case is an incident of reservation under Article 16(4) of the Constitution of India.”

(emphasis supplied)

The Court affirming the proposition of law stated that once relaxation has been taken by a reserved category candidate, they cannot be considered for unreserved vacancies. Inescapably, the aforesaid judgement also strengthens the view taken by us hereinabove interpreting the rules that if a reserved category candidate takes benefit of relaxation though at initial stage, it will effectively amount to taking relaxation even at the final stage of the selection process because without giving relaxation to him, he was not in a position to participate in the Main examination and to set forth his claim of cadre allocation.

33. Very recently in **Sajib Roy** (Supra), this court had the occasion to deal with a similar factual matrix as observed hereunder—

“32. On an analysis of the aforecited cases, we summarise as follows: Whether a reserved candidate who has availed relaxation in fees/upper age limit to participate in open competition with general candidates may be recruited against unreserved seats would depend on the facts of each case. That is to say, in the event there is no embargo in the recruitment rules/employment notification, such reserved candidates who have scored higher than the last selected unreserved candidate shall be entitled to migrate and be recruited against unreserved seats. However, if an embargo is imposed under relevant recruitment rules, such reserved candidates shall not be permitted to migrate to general category seats.

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33. Accordingly, we hold as the respondents-writ petitioners had availed concession of age for participating in the recruitment process, in the teeth of office memorandum dated 01.07.1998, the High Court was wrong in applying the ratio in Jitendra Kumar (supra) and permitting them to

Union of India v. G. Kiran & Ors.

be considered for appointment in the unreserved category. Consequently, we set aside the common impugned judgment and order dated 12.10.2018 and order dated 26.02.2019 and allow the appeals. Pending application(s) if any, stand disposed of.”

34. At this stage, pertinently the judgements relied upon by the learned senior counsel for Respondent No. 1 in their support are necessarily required to be appreciated. In **Jitendra Kumar Singh** (Supra), this court while considering whether an OBC candidate who applied exercising his option as a reserved category candidate, would be eligible to be considered against an unreserved vacancy, if he secures more marks than the last candidate in general category. Nonetheless, in the said case, this court was considering the issue in reference to instructions issued by the State of Uttar Pradesh dated 25.03.1994 which specifically provided for migration of reserved category candidates to unreserved vacancies despite they having availed any facility or relaxation (like relaxation in age limit) available to reserved category. Therefore, it is distinguishable on facts of the present appeals.
35. In **Ajithkumar P.** (Supra), this Court was considering a factual situation wherein the reserved category candidate had availed relaxation in the preliminary examination, however, found that the said Preliminary Examination was not having any statutory basis. Therefore, this judgement is also distinguishable on facts and will not come to rescue to the case of Respondent No. 1. As far as **Vikas Sankhala** (Supra) is concerned, it involved recruitment to the post of teachers whereby relaxation in minimum pass marks in Teachers Eligibility Test to reserved category candidates was granted by state government in following manner –
- a. 10% to persons belonging to SC/ST/OBC/SBC/General-Women
 - b. 15% to all women of SC/ST/OBC/SBC and widowed / divorced women
 - c. 20% to persons covered under PwD

Various candidates belonging to general category candidates came before this Court in Appeal on the ground that minimum qualifying marks with respect to TET was 60% and any relaxation thereto meant availing relaxation pursuant to reservation and thus, migration

Supreme Court Reports

of such candidates who took benefit of above indicated relaxations to the unreserved/general vacancies was impermissible. The said appeals were allowed with following observations –

“80. Having regard to the respective submissions noted above, first aspect that needs consideration is as to whether relaxation in TET pass marks would amount to concession in the recruitment process. The High Court has held to be so on the premise that Para 9(a) dealing with such relaxation in TET marks forms part of the document which relates to the recruitment procedure. It is difficult to accept this rationale or analogy. Passing of TET examination is a condition of eligibility for appointment as a teacher. It is a necessary qualification without which a candidate is not eligible to be considered for appointment. This was clearly mentioned in the Guidelines/Notification dated 11-2-2011. These Guidelines pertain to conducting of TET; basic features whereof have already been pointed out above. Even Para 9 which provides for concessions that can be given to certain reserved categories deals with “qualifying marks” that is to be obtained in TET examination. Thus, a person who passes TET examination becomes eligible to participate in the selection process as and when such selection process for filling up of the posts of primary teachers is to be undertaken by the State. On the other hand, when it comes to recruitment of teachers, the method for appointment of teachers is altogether different. Here, merit list of successful candidates is to be prepared on the basis of marks obtained under different heads. One of the heads is “marks in TET”. So far as this head is concerned, 20% of the marks obtained in TET are to be assigned to each candidate. Therefore, those reserved category candidates who secured lesser marks in TET would naturally get less marks under this head. We would like to demonstrate it with an example: Suppose a reserved category candidate obtains 53 marks in TET, he is treated as having qualified TET. However, when he is considered for selection to the post of primary teacher, in respect of allocation of marks he will get 20% marks for TET. As against him, a general candidate who secures 70 marks in TET shall be awarded

Union of India v. G. Kiran & Ors.

14 marks in recruitment process. Thus, on the basis of TET marks reserved category candidate has not got any advantage while considering his candidature for the post. On the contrary, “level-playing field” is maintained whereby a person securing higher marks in TET, whether belonging to general category or reserved category, is allocated higher marks in respect of 20% of TET marks. Thus, in recruitment process no weightage or concession is given and allocation of 20% of TET marks is applied across the board. Therefore, the High Court is not correct in observing that concession was given in the recruitment process on the basis of relaxation in TET.”

(emphasis supplied)

Therefore, it is clear that the relaxations in TET marks were not considered to be a concession. For this reason, the said judgement is also distinguishable.

36. In the facts of the present case, the General category cut-off for the Preliminary Examination was fixed at 267. Respondent No. 1 secured 247.18 marks. Had the Respondent No. 1 been put against the general standard, his candidature would have been terminated at the first stage i.e., the Preliminary Examination. His candidature succeeded in the first stage of the examination because of the relaxed standards allowed in the Preliminary Examination for SC candidates i.e. 233 marks. After availing the benefit of this relaxation for admission to the Main Examination, Respondent No. 1 cannot subsequently claim to have been selected on “General Standard” merely due to his performance in the subsequent stages surpassed the general standard. Therefore, if a candidate who has resorted a relaxation at any stage of examination, would not fall within the purview of the proviso to Rule 14(ii) of the Exam Rules, 2013 and in that situation, for the purpose of the applicable Policy for cadre allocation, he would not fall within the list of candidates selected on ‘General Standard’ claiming General Insider vacancy of home state cadre as insider candidate..
37. In light of the above exposition of law, we are of the opinion that in the present fact situation, the ‘General Insider’ vacancy in Karnataka was rightfully allocated to Respondent No. 3, who qualified the Preliminary Examination, Main Examination, and Interview on general standard. It is needless to say, Respondent No. 1, having qualified

Supreme Court Reports

the Preliminary Examination availing 'relaxed standard', becoming eligible for the Main Examination must be considered against the reserved vacancies only and cannot be considered on general/unreserved vacancies for the purpose of cadre allocation.

38. In our view, the High Court while affirming the judgment of the Tribunal has glossed over Rule 1, intent of Rule 13 and intent of proviso to Rule 13 as well as the real meaning of Rule 14 and proviso thereto along with paragraph 9 of Policy. Therefore, the judgments of the Tribunal and the High Court deserve to be set aside.

CONCLUSION

39. In view of the foregoing, we hold that the Tribunal and the High Court were not correct in interpreting the relevant provisions of Exam Rules, 2013 and Paragraph 9 of the Policy and committed mistake in granting the relief to Respondent No. 1. We hold that Respondent No. 1, having availed the benefit of "Relaxed Standard" in the Preliminary Examination, cannot be treated as a candidate selected on "General Standard". Consequently, he is not entitled to be allocated against the "General Insider" vacancy in the Karnataka Cadre in place of Respondent No.3.
40. Accordingly, the appeals are allowed. The impugned final judgment and order dated 06.08.2019 passed by the High Court of Karnataka at Bengaluru in Writ Petition No. 54254 of 2016 (S-CAT) connected with Writ Petition No. 18947 of 2016 (S-CAT), affirming the order of the Central Administrative Tribunal, Bangalore Bench dated 15.03.2016 in O.A. No. 170/00239/2015, are hereby set aside. The notification dated 13.03.2015 issued by the MoEFCC insofar allocating the Karnataka Cadre to Respondent No. 3 and Tamil Nadu Cadre to Respondent No. 1 is upheld as correct in eyes of law and without any alteration.
41. Pending application(s), if any, shall stand disposed of. There shall be no order as to costs.

Result of the case: Appeals allowed.

The State (NCT) of Delhi

v.

Khimji Bhai Jadeja

(Criminal Appeal No. 74 of 2026)

06 January 2026

[Sanjay Kumar* and Alok Aradhe, JJ.]

Issue for Consideration

Issue arose as regards the consolidation of FIRs; and whether or not the offences allegedly committed against the 1,852 complainants were part of the ‘same transaction’.

Headnotes[†]

Code of Criminal Procedure, 1973 – ss. 218-223 – Consolidation/clubbing of FIRs – FIR registered u/ss. 420 and 120B IPC that accused and his accomplices, including the respondent induced large number of people to invest their monies and duped them by falsely claiming to triple money in a few days – Investigation revealed that altogether 1,852 victims cheated to the tune of ₹46.40 crores – Other 1851 complaints clubbed with the aforesaid FIR and those complainants made witnesses by treating their complaints as statements – Bail applications by the respondent – Additional Sessions Judge framed three questions of law and referred them to the High Court for appropriate decision – Division Bench answered the reference holding that (a) such complaints could not be amalgamated into one FIR by treating all such complainants as witnesses therein; (b) that the police could not club separate offences investigated under separate FIRs into one final report and that a separate final report had to be filed in relation to each FIR; and (c) that it would be for the trial court to consider the sentence that could be imposed on a convicted accused – Challenge to:

Held: Reference by the Additional Sessions Judge was premature, as the stage had not arisen for her to have entertained any doubt so as to raise the questions of law for the decision of the High Court – Investigation was still ongoing and it could not

* Author

Supreme Court Reports

have been ascertained at that stage as to whether the alleged offences formed part and parcel of the same transaction – Even otherwise, consolidation of FIRs is permissible in law but that would have also depended upon the conclusions to be arrived at after the investigation – However, as on date, as many as six supplementary chargesheets have been filed during the pendency of this case, in addition to the main chargesheet that was filed in 2014 – End result of the investigation undertaken is that an offence u/s.120B IPC has been alleged – Thus, as a conspiracy is alleged, leading to multiple acts of cheating against different individuals, the course adopted by the Police in registering one FIR and treating the complaints received from 1851 other complainants as statements u/s.161 CrPC, was the correct course of action to have been adopted at that stage – Inference to be drawn from the chargesheets, left to the Magistrate concerned to consider, so as to ascertain whether the various acts of cheating attributed to the accused persons constitute part of the ‘same transaction’, thereby bringing them within the ambit of s.220(1) and s.223 (a) & (d) – If the offences formed part of the same transaction, the Magistrate would be entitled to charge and try them together, as enabled by the provisions, as it would be in the larger public interest to do so – Further, in such an event, the complainants, who would then be treated as witnesses in relation to the FIR which was first registered – For sentencing, the provisions of s.71 IPC along with ss.31 and 325 CrPC to be adhered to, depending upon the established facts and findings in the case – If, however, it is concluded that there are several transactions and distinct offences in relation to different victims, there have to be separate trials for each offence, subject to s.219 CrPC/ s.242 BNSS, which allows the trial court to try three/five offences of the same kind committed within a year – Thus, the judgment passed by the High Court set aside to that extent. [Paras 19-23]

Case Law Cited

Amish Devgan v. Union of India and Others (2021) 1 SCC 1 - relied on.

State of Andhra Pradesh v. Cheemalapati Ganeswara Rao and Another [1964] 3 SCR 297 : AIR 1963 SC 1850; S. Swamirathnam v. State of Madras, AIR 1957 SC 340 : (1956) 2 SCC 144; Banwarilal Jhunjhunwala and Others v. Union of India and Another [1963] Supp. 2 SCR 338 : AIR 1963 SC 1620 ; State

The State (NCT) of Delhi v. Khimji Bhai Jadeja

of Jharkhand through SP, Central Bureau of Investigation v. Lalu Prasad Yadav alias Lalu Prasad [2017] 3 SCR 630 : (2017) 8 SCC 1; *T.T. Antony v. State of Kerala and Others* [2001] 3 SCR 942 : (2001) 6 SCC 181; *Arnab Ranjan Goswami v. Union of India and Others* [2020] 8 SCR 222 : (2020) 14 SCC 12; *Abhishek Singh Chauhan v. Union of India and Others*, 2022 SCC OnLine SC 1936 *Amanat Ali v. State of Karnataka and Others* (2023) 14 SCC 801 *Ravinder Singh Sidhu v. State of Punjab and Others*, 2025 SCC OnLine SC 1164; *Alok Kumar v. State of Bihar and Others*, 2025 SCC OnLine SC 1728; *Satinder Singh Bhasin v. State of Uttar Pradesh and Another* (2023) 14 SCC 805; *Radhey Shyam v. State of Haryana and Others*, 2022 SCC OnLine SC 1935; *Amandeep Singh Saran v. State of Delhi and Others* 2023 SCC OnLine SC 1851; *Narinderjit Singh Sahni and Another v. Union of India and Others* [2001] Supp. 4 SCR 114 : (2002) 2 SCC 210 – referred to.

List of Acts

Code of Criminal Procedure, 1973; Bharatiya Nagarik Suraksha Sanhita, 2023; Penal Code, 1860.

List of Keywords

Consolidation of FIRs; Complainants part of the ‘same transaction’; Invest their monies and duped them by falsely claiming to triple money; Clubbing of FIRs; Complaints amalgamated into one FIR.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 74 of 2026

From the Judgment and Order dated 08.07.2019 of the High Court of Delhi at New Delhi in CRLR No. 1 of 2014

Appearances for Parties

R. Basant, Sr. Adv./A.C.

Advs. for the Appellant(s):

Mrs. Aishwarya Bhati, A.S.G., Mukesh Kumar Maroria, Ms. Rekha Pandey, Ms. Priyanka Das, Ms. Vishakha, Ms. Chitrangda Rashtravara, Ms. Shreya Jain.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****Sanjay Kumar, J.**

1. Leave granted.
2. The State (NCT) of Delhi is aggrieved by the judgment dated 08.07.2019, whereby a Division Bench of the High Court of Delhi answered Criminal Reference No. 1 of 2014. By the said reference, the learned Additional District & Sessions Judge – II, North-West District, Rohini Courts, Delhi¹, had referred three questions of law to the High Court of Delhi for its decision, under Section 395(2) of the Code of Criminal Procedure, 1973². The questions read as under: -

‘a. Whether in a case of inducement, allurement and cheating of large number of investors/depositors in pursuance to a criminal conspiracy, each deposit by an investor constitutes a separate and individual transaction or all such transactions can be amalgamated and clubbed into a single FIR by showing one investor as complainant and others as witnesses?

b. If in case the Hon’ble Court concludes that each deposit has to be treated as separate transaction, then how many such transactions can be amalgamated into one charge sheet?

(Note: - As per the provisions of Section 219 CrPC and as observed by the Hon’ble Apex Court in the case of Narinderjit Singh Sahni & anr. vs. Union of India & ors., only three transactions in a particular year can be clubbed in a single charge sheet).

c. Whether under the given circumstances the concept of maximum punishment of seven years for a single offence can be pressed into service by the accused by clubbing

1 For short, ‘Additional Sessions Judge’

2 For short, ‘CrPC’

The State (NCT) of Delhi v. Khimji Bhai Jadeja

and amalgamating all the transactions into one FIR with maximum punishment of seven years?

(Note: - If this is done, this would be in violation of concept of Proportionality of Punishment as provided in the Code of Criminal Procedure. In the case of Narinderjit Singh Sahni vs. Union of India & ors., it has been observed by the Hon'ble Supreme Court that this cannot be done but in case if we go by the *ratio* laid down by the Delhi High Court in the case of State vs. Ramesh Chand Kapoor this is possible. Hence, this aspect requires an authoritative pronouncement by a larger Bench).'

3. The Division Bench answered the questions as follows: -

'.... Thus, our answer to Question (a) is that in a case of inducement, allurement and cheating of large number of investors/depositors in pursuance to a criminal conspiracy, each deposit by an investor constitutes a separate and individual transaction. All such transactions cannot be amalgamated and clubbed into a single FIR by showing one investor as the complainant and others as witnesses. In respect of each such transaction, it is imperative for the State to register a separate FIR if the complainant discloses commission of a cognizable offence.

.... Thus, our answer to question (b) is that in respect of each FIR, a separate final report (and wherever necessary supplementary/further charge sheet(s)) have to be filed, and there is no question of amalgamation of the final reports that may be filed in respect of different FIRs. The amalgamation, strictly in terms of Section 219 Cr.P.C., would be considered by the Court/ Magistrate at the stage of framing of charge, since Section 219(1) mandates that where the requirements set out in the said Section are met, the accused "may be charged with, and tried at one trial for, any number of them not exceeding three".

.... In our view, the aforesaid question [*sic*, (c)] does not survive in view of the answer to question (a) and (b). It would be for the Trial Court to consider the sentence to which the convict may be subjected as per law, keeping

Supreme Court Reports

in view the well settled principles of sentencing. In this regard, we may only refer to Section 31 of the Cr.P.C. which, *inter alia*, provides that when a person is convicted at one trial of two or more offences, the Court, may subject to the provisions of Section 71 IPC, sentence him for such offences to the several punishments prescribed therefore which such Court is competent to inflict. It further provides that such punishments, which consist of imprisonment, would commence one after the expiration of the other, unless the Court directs that such punishments shall run concurrently. The limitation on the quantum of sentence is prescribed by sub-section 2 of Section 31 of the Cr.P.C., but the same would apply in respect of convictions at one trial of two or more offences. However, where the trials are multiple, which result into multiple convictions, the *proviso* to Section 31 (2) would have no application.’

4. The State filed the present appeal assailing these answers. By order dated 25.11.2019, this Court stayed the operation of the impugned judgment. Mr. R. Basant, learned senior counsel, was requested to assist the Court as an *amicus curiae*. Despite service of notice, Khimji Bhai Jadeja, the respondent, did not enter appearance before this Court.
5. The reference by the learned Additional Sessions Judge arose in the context of FIR No. 89 of 2009 registered on 01.06.2009 by the Economic Offences Wing of the Delhi Police under Sections 420 and 120B of the Indian Penal Code, 1860³, at the behest of one Rajesh Kumar. His complaint was that Ashok Jadeja and his accomplices, one of whom was Khimji Bhai Jadeja, the respondent herein, had falsely represented that Ashok Jadeja was blessed with the divine power of *Sikotar Mata* to triple money in a few days. A large number of people were stated to have been induced to invest their monies and were ultimately duped. During the investigation into this complaint, it was found that altogether 1,852 victims had been cheated of their monies, to the tune of ₹46.40 crores. The other 1851 complaints were clubbed with FIR No. 89 of 2009 and those complainants were made witnesses by treating their complaints as statements.

3 For short, ‘IPC’

The State (NCT) of Delhi v. Khimji Bhai Jadeja

On 09.02.2014, the Delhi Police filed a charge sheet against 15 persons. Six more supplementary charge sheets came to be filed between 2014 and 2025. Meanwhile, when Khimji Bhai Jadeja, the respondent herein, filed a petition in 2014 seeking bail, the learned Additional Sessions Judge framed the aforesaid three questions of law, *vide* order dated 14.03.2014, and referred them to the High Court for appropriate decision under Section 395(2) CrPC, leading to that reference being answered by way of the impugned judgment.

6. The Division Bench of the High Court was of the opinion that registering a single FIR and treating the other complainants as witnesses would result in deprivation of the rights of such complainants to pursue their individual complaints. The Bench conceded that they could, at the most, be treated as witnesses to establish the criminal conspiracy, but treating them only as witnesses would deprive them of the right to file protest petitions in the event a closure report was filed by the police in the sole FIR that was registered or if the Magistrate concerned did not accept the final report and discharged the accused. It was on this basis that the Division Bench answered question (a) by concluding that such complaints could not be amalgamated into one FIR by treating all such complainants as witnesses therein. Apropos question (b), the Bench opined that the police could not club separate offences investigated under separate FIRs into one final report and that a separate final report had to be filed in relation to each FIR. Referring to Section 219 CrPC, the Bench opined that amalgamation thereunder could be considered by the Magistrate concerned at the stage of framing of charges, upto a maximum of three. As regards question (c), the Bench opined that it would be for the Trial Court to consider the sentence that could be imposed on a convicted accused in accordance with the well-settled principles of sentencing and the legal provisions relevant thereto.
7. The learned Additional Solicitor General, appearing for the appellant-State, would contend that a conspiracy to procure deposits from several persons so as to dupe them would be a 'single transaction', irrespective of the number of people defrauded and each such transaction ought not to be treated as a separate offence, requiring an individual FIR to be registered therefor. She would argue that clubbing of FIRs is permissible in law and that requiring individual FIRs to be registered in a case of this nature would be cumbersome and wholly unnecessary. She would point out that the statute

Supreme Court Reports

provides for charges being consolidated against multiple persons for multiple offences, if such offences form part of the same transaction. Reliance is placed upon *State of Andhra Pradesh vs. Cheemalapati Ganeswara Rao and another*⁴, wherein this Court observed thus: “where several acts committed by a person show a unity of purpose or design, that would be a strong circumstance to indicate that those acts form part of the same transaction.” She would argue that the acts of the accused persons in the case on hand also constitute a ‘single transaction’, justifying the clubbing of all the complaints with the first FIR. Lastly, she would assert that requiring registration of individual FIRs for each such complaint would lead to multiplicity of proceedings, which would be violative of public policy, and would also increase the burden upon the prosecution as well as the judiciary.

8. Mr. R. Basant, learned *amicus curiae*, made detailed submissions on all aspects of the matter. He would state that the reference itself was premature, as the investigation was still pending and the police were yet to determine whether all the alleged acts of cheating were part of the same transaction, falling within the ambit of Section 220(1) CrPC and Section 223(a) and (d) CrPC. He would further state that, perusal of the allegations in FIR No. 89 of 2009 manifests that a single conspiracy was alleged and, therefore, the course adopted by the Delhi Police in registering one single FIR was appropriate. He would point out that even if multiple FIRs had been registered, consolidation of such FIRs is permissible in law, as was pointed out by this Court time and again. He would submit that no exception could be taken to the registration of one FIR and treating the complaints of the other victims as part of the investigation in the said FIR. Referring to the charge sheets filed by the Delhi Police in the present case, the learned *amicus* would point out that general allegations were made therein that a criminal conspiracy was hatched, thereby attracting Section 120B IPC. In summation, he would submit that the answers by the Division Bench of the High Court to questions (a) and (b) are incorrect. He would assert that, as to whether consolidation of charges can be effected or not is a question that would arise for consideration only at the stage of framing of charges and if the alleged offences formed part of the same transaction, whatever be the number of complainants, such consolidation is permissible under

4 [1964] 3 SCR 297 : AIR 1963 SC 1850

The State (NCT) of Delhi v. Khimji Bhai Jadeja

the provisions of the statute and, if not, separate charges would have to be framed, subject to Section 219 CrPC.

9. The issue, therefore, boils down to whether or not the offences allegedly committed against the 1,852 complainants were part of the 'same transaction'. We may first note the case law that has developed over time on the issue of consolidation of FIRs. In *S. Swamirathnam vs. State of Madras*⁵, a 3-Judge Bench of this Court rejected the contention of the accused that there was misjoinder of charges as several conspiracies, distinct from each other, had been lumped together and tried at one trial. The Bench observed that the charges, as framed, disclosed one single conspiracy spread over several years and the only object of the conspiracy was to cheat members of the public. *Per* the Bench, the mere fact that others joined in the conspiracy in the course of those years or the fact that several incidents of cheating took place pursuant to the conspiracy did not change the conspiracy or split it up into several conspiracies. It was held that the instances of cheating were in pursuance of one conspiracy and were, therefore, parts of the same transaction.
10. In *Banwarilal Jhunjunwala and others vs. Union of India and another*⁶, this Court dealt with the question as to what is meant by 'every distinct offence'. It was held that 'distinct' meant 'not identical' and two offences would be distinct if they are not, in any way, inter-related. It was further held that if there is some inter-relation, there would be no distinctness and it would depend upon the circumstances of the case in which the offences were committed whether there be separate charges for those offences or not.
11. In *Cheemalapati Ganeswara Rao (supra)*, a 3-Judge Bench of this Court observed that, what is to be ascertained under Section 235(1) of the Code of Criminal Procedure, 1898 (equivalent to Section 218(1) CrPC), was whether the offences arise out of acts so connected together as to form the same transaction. It was noted that 'same transaction' is not defined anywhere in the 1898 Code and it was held that whether transactions can be regarded as the same transaction would necessarily depend upon the particular facts of each case. The Bench noted that the general thought is that,

5 (1956) 2 SCC 144 : AIR 1957 SC 340

6 [1963] Supp. 2 SCR 338 : AIR 1963 SC 1620

Supreme Court Reports

where there is proximity of time or place or unity of purpose and design or continuity of action in respect of a series of acts, it may be possible to infer that they form part of the same transaction. The Bench, however, cautioned that it is not necessary that every one of these elements should co-exist for transactions to be regarded as the same transaction and elaborated that if several acts committed by a person show a unity of purpose or design, then it may be a strong circumstance to indicate that those acts form part of the same transaction. Noting that a transaction may consist of an isolated act or a series of acts, the Bench held that such series of acts must, of necessity, be connected with one another and if some of them stand out independently, they would not form part of the same transaction but would constitute a different transaction. It was concluded that the 'same transaction' means a transaction consisting either of a single act or of a series of connected acts.

12. In *State of Jharkhand through SP, Central Bureau of Investigation vs. Lalu Prasad Yadav alias Lalu Prasad*⁷, this Court observed that even if the *modus operandi* is the same, it would not make it a single offence when the offences are separate. This Court held that, if a conspiracy is furthered into several distinct offences, there have to be separate trials. Illustrating the point, it was observed there may be a situation where, in furtherance of a general conspiracy, offences take place in different parts of the country, leading to several persons being killed at different times and, in such a situation, each trial would have to be held separately so that the accused are punished separately for each offence committed in furtherance of the conspiracy. It was pointed out if there is only one trial for such a conspiracy, in spite of separate offences being committed, it would enable the accused to go scot-free, despite committing a number of offences, which is not the intendment of law.
13. In *Amish Devgan vs. Union of India and others*⁸, seven FIRs came to be registered in the States of Rajasthan, Maharashtra, Telangana and Uttar Pradesh in relation to a television telecast, which formed the basis for the offences alleged. Applying the law laid down in *T.T.*

7 (2017) 8 SCC 1

8 (2021) 1 SCC 1

The State (NCT) of Delhi v. Khimji Bhai Jadeja

*Antony vs. State of Kerala and others*⁹, which was followed thereafter in *Arnab Ranjan Goswami vs. Union of India and others*¹⁰, this Court directed the clubbing of the FIRs. It was observed that, when the subject matter of the FIRs is the same incident or occurrence or is in regard to incidents, which are two or more parts of the same transaction, then a separate and second FIR need not be proceeded with. It was observed that, in terms of the law laid down in *T.T. Antony (supra)*, the subsequent FIRs would be treated as statements under Section 161 CrPC. It was held that it would be open to the other complainants to file protest petitions in case a closure report was filed by the police. It was observed that upon filing of such protest petitions, the Magistrate is obliged to consider the contentions urged; even reject the closure report and take cognizance of the offence as, otherwise, such complainants would face difficulty in contesting the closure report, even if there is enough material to make out a case of commission of the offence.

14. In *Abhishek Singh Chauhan vs. Union of India and others*¹¹, this Court again followed the exposition in *Amish Devgan (supra)* and deemed it appropriate to exercise power under Article 142 of the Constitution to direct clubbing of all the FIRs in different States so that they could proceed together to a single trial, as far as possible. This measure was adopted with the consent of all the concerned States.
15. In *T.T. Antony (supra)*, this Court observed that there can be no second FIR in relation to the same cognizable offence and, consequently, there can be no fresh investigation on receipt of every subsequent information in respect of the same cognizable offence or same occurrence or incident, giving rise to one or more cognizable offences. It was observed that, on receipt of information about a cognizable offence or any incident giving rise to a cognizable offence or offences and on entering the FIR in the Station House Diary, the officer in charge of the police station has to investigate not merely the cognizable offence reported in the FIR, but also any other connected offences that may be found to have been committed. In this regard, it was specifically observed as under:

9 (2001) 6 SCC 181

10 (2020) 14 SCC 12

11 2022 SCC OnLine SC 1936

Supreme Court Reports

‘18. All other information made orally or in writing *after* the commencement of the investigation into the cognizable offence disclosed from the facts mentioned in the first information report and entered in the station house diary by the police officer or such other cognizable offence as may come to his notice during the investigation, will be statements falling under Section 162 CrPC. No such information/statement can properly be treated as an FIR and entered in the station house diary again, as it would in effect be a second FIR and the same cannot be in conformity with the scheme of CrPC.’

16. In *Amanat Ali vs. State of Karnataka and others*¹², following the *ratio decidendi* in *Amish Devgan (supra)*, this Court exercised power under Article 142 of the Constitution and consolidated six FIRs registered in the State to be tried together, as multiplicity of proceedings would not be in the larger public interest or in the interest of the State. Again, in *Ravinder Singh Sidhu vs. State of Punjab and others*¹³, this Court observed that it is now fairly well settled that multiplicity of proceedings would not be in the larger public interest and the correct course of action would be to merge the later FIRs with the earliest FIR with the State’s consent. On the same lines, in *Alok Kumar vs. State of Bihar and others*¹⁴, this Court noted that 81 FIRs were registered and directed the first FIR to be treated as the main FIR and all other FIRs to be treated as statements under Section 161 CrPC. Earlier, in *Satinder Singh Bhasin vs. State of Uttar Pradesh and another*¹⁵, a 3-Judge Bench of this Court followed the principle enunciated in *Amish Devgan (supra)* and clubbed, with consent, the 118 FIRs relating to the Bike Bot scheme registered across the State of Uttar Pradesh and one FIR registered by the Economic Offences Wing, New Delhi, by exercising power under Article 142 of the Constitution. Before that, in *Radhey Shyam vs. State of Haryana and others*¹⁶, the very same 3-Judge Bench took note of multiple FIRs in connection with a network marketing scheme in as many

12 (2023) 14 SCC 801

13 2025 SCC OnLine SC 1164

14 2025 SCC OnLine SC 1728

15 (2023) 14 SCC 805

16 2022 SCC OnLine SC 1935

The State (NCT) of Delhi v. Khimji Bhai Jadeja

as 12 States and directed the clubbing of all the FIRs, which could thereafter proceed to one trial as far as possible, duly noting that all the States concerned voiced no objection to such course of action.

17. However, in *Amandeep Singh Saran vs. State of Delhi and others*¹⁷, this Court refused to consolidate the FIRs registered against the petitioner therein in different States, not only under the provisions of the IPC but also invoking respective State enactments for which Special Courts were designated to try the offences thereunder, on the ground that clubbing of such FIRs would mean that the jurisdiction of such Special Courts would be taken away and a special jurisdiction would be conferred on that one Court where the FIRs were clubbed to try offences arising under different State enactments.
18. We must also refer to *Narinderjit Singh Sahni and another vs. Union of India and others*¹⁸, a decision that weighed heavily with the High Court in answering the reference. Therein, a 3-Judge Bench of this Court dealt with a case involving 250 FIRs registered throughout the country. The argument before this Court was that they constituted a single offence or, in the alternative, an offence which could only have been committed in the course of the same transaction. Dealing with this argument, the Bench observed that the fact situation did not permit any credence being given to the submission that the FIRs pertained to a single offence. It was held that each individual deposit agreement had to be treated as a separate and individual transaction brought about by the allurements of the financial companies, since the parties were different, the amount of deposit was different as also the period for which the deposit was made. The Bench, therefore, observed that all the characteristics of independent transactions were there and it did not see any compelling reason to hold otherwise. However, we may note, with all due respect, that there was no in-depth analysis of statutory provisions or case law in the context of commission of offences in the course of the same transaction, whereby persons accused of multiple offences committed in the course of that same transaction could be charged and tried together. In any event, the development of law on the point, referred to hereinabove, including later decisions of 3-Judge Benches, is indicative of the legal position

17 2023 SCC OnLine SC 1851

18 (2002) 2 SCC 210

Supreme Court Reports

prevailing as on date. The above referred judgments sum up the legal position adequately and we see no purpose in burdening this decision with more case law on the point.

19. We may note that Section 218(1) CrPC requires a distinct and separate charge for every distinct offence and each such separate charge should be tried separately. Sections 219 to 223 CrPC constitute exceptions to this general rule and stipulate the circumstances in which deviation therefrom can be made. Under Section 219 CrPC, three such offences committed during a year can be the subject matter of a single trial [now, five such offences, under Section 242 of the Bharatiya Nagarik Suraksha Sanhita, 2023 (BNSS)]. Under Sections 220(1) CrPC and 223(a) and (d) CrPC, consolidated charges can be framed against several accused persons in relation to several offences, if such offences are committed during the course of the same transaction. It would, therefore, turn upon the offences forming part of the 'same transaction'.
20. As already noted hereinabove, precedential law has laid down triple tests, though not to be applied cumulatively, to decide when separate actions can be treated as part of the 'same transaction' – 1) unity of purpose and design; 2) proximity of time and place; and 3) continuity of action. These tests may be applied to ascertain whether a series of acts form part of the same transaction or not. It is not necessary at the present stage to consider whether consolidation of charges under Section 220(1) CrPC should be resorted to, as that would depend upon the opinion of the Magistrate on the strength of the findings recorded during the investigation. If it is opined that all the incidents partake of the same transaction, there can be one trial under Section 220(1) CrPC and Section 223(a) and (d) CrPC. If, however, it is concluded that there are several transactions and distinct offences in relation to different victims, there have to be separate trials for each offence, subject to Section 219 CrPC/ Section 242 BNSS, which allows the Trial Court to try three/five offences of the same kind committed within a year. Once all the incidents are taken to be part of the same transaction and amalgamated into one FIR, the punishment would follow accordingly as per law.
21. We agree with the learned *amicus* that the reference by the learned Additional Sessions Judge was premature, as the stage had not arisen for her to have entertained any doubt so as to raise the questions of

The State (NCT) of Delhi v. Khimji Bhai Jadeja

law that she did for the decision of the High Court. The investigation was still ongoing and it could not have been ascertained at that stage as to whether the alleged offences formed part and parcel of the same transaction. Even otherwise, consolidation of FIRs is permissible in law but that would have also depended upon the conclusions to be arrived at after the investigation. However, as on date, as many as six supplementary chargesheets have been filed during the pendency of this case, in addition to the main chargesheet that was filed in the year 2014. We find that the end result of the investigation undertaken is that an offence under Section 120B IPC has been alleged, i.e., a criminal conspiracy. Therefore, as a conspiracy is alleged, leading to multiple acts of cheating against different individuals, the course adopted by the Delhi Police in registering one FIR and treating the complaints received from 1851 other complainants as statements under Section 161 CrPC, was the correct course of action to have been adopted at that stage.

22. The inference to be drawn from the chargesheets, as filed, is left to the Magistrate concerned to consider, so as to ascertain whether the various acts of cheating attributed to the accused persons constitute part of the 'same transaction', thereby bringing them within the ambit of Section 220(1) CrPC and Section 223 (a) & (d) CrPC. If the offences formed part of the same transaction, the Magistrate would be entitled to charge and try them together, as enabled by the aforesaid provisions, as it would be in the larger public interest to do so. Further, in such an event, as pointed out in *Amish Devgan (supra)*, the complainants, who would then be treated as witnesses in relation to the FIR which was first registered, would be entitled to file protest petitions in the event of a closure report being filed or if the Magistrate is inclined to discharge the accused, and the Magistrate concerned is bound to consider the same on merits. Coming to the aspect of sentencing, the provisions of Section 71 IPC along with Sections 31 and 325 CrPC would have to be adhered to, depending upon the established facts and findings in the case.
23. Viewed thus, we set aside the answers on questions (a) & (b) by the Division Bench of the High Court. The judgment dated 08.07.2019 passed by the High Court of Delhi in Criminal Reference No. 1 of 2014 is, accordingly, set aside to that extent.

The appeal is allowed in the aforesaid terms.

Supreme Court Reports

Before, we part with the case, we would like to place on record our appreciation and gratitude for the able and erudite assistance rendered by Mr. R Basant, learned *amicus curiae*.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

S. Nagesh
v.
Shobha S. Aradhya
(Criminal Appeal No. 75 of 2026)
06 January 2026

[Sanjay Kumar* and Alok Aradhe, JJ.]

Issue for Consideration

Issue arose as regards the correctness of the order passed by the Magistrate taking cognizance of the respondent's complaint u/s.138 of the NI Act, even before the delay of two days in its presentation was condoned.

Headnotes[†]

Negotiable Instruments Act, 1881 – ss.138, 142 – Dishonour of cheque for insufficiency, etc., of funds in the account – Cognizance of offences – Magistrate taking cognizance of the complaint u/s.138, before the delay of two days in its presentation was condoned – Correctness:

Held: Magistrate erred in taking cognizance of the respondent's complaint u/s.138, even before the delay of two days in its presentation was condoned – It is manifest from the clear and unambiguous language of the proviso to s.142(1)(b) that the power conferred upon the Court to take cognizance of a belated complaint is subject to the complainant first satisfying the Court that he had sufficient cause for not making the complaint within time – Satisfaction in that regard, resulting in condonation of the delay, must therefore precede the act of taking cognizance – Ordinarily, a proceeding instituted with limitation-linked delay before a Court of law does not actually figure as a regular matter on its file until that delay is condoned – Thus, the approach of the High Court in treating this crucial aspect as a mere interchangeable exercise, either to first condone the delay or to first take cognizance, is not in keeping with the mandate of the proviso – Respondent herself responsible for this imbroglio as she had made a categorical

* Author

Supreme Court Reports

statement in her complaint that it was filed within time, when it was not – Order passed by the High Court refusing to quash the same set aside. [Paras 14, 15]

Case Law Cited

Dashrath Rupsingh Rathod v. State of Maharashtra and Another
[2014] 11 SCR 921 : (2014) 9 SCC 129 – referred to.

List of Acts

Negotiable Instruments Act, 1881; Code of Criminal Procedure, 1973.

List of Keywords

Magistrate taking cognizance of complaint u/s.138 NI Act; Delay; Condonation; Belated complaint; Cognizance.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 75 of 2026

From the Judgment and Order dated 28.06.2024 of the High Court of Karnataka at Bengaluru in CRLP No. 9119 of 2018

Appearances for Parties

Advs. for the Appellant(s):
Ashwin V. Kotemath, Harisha S.R.

Judgment / Order of the Supreme Court

Judgment

Sanjay Kumar, J.

1. Leave granted.
2. Challenge in this appeal is to the order dated 28.06.2024 passed by a learned Judge of the Karnataka High Court in Criminal Petition No. 9119 of 2018. This petition was filed by S. Nagesh, the appellant before us, under Section 482 of the Code of Criminal Procedure, 1973, seeking the quashing of the complaint in PCR No. 3144 of

S. Nagesh v. Shobha S. Aradhya

2013, which was converted as CC No. 1439 of 2014 on the file of the learned I Additional I Civil Judge and Judicial Magistrate First Class at Mysore¹. The learned Judge rejected the petition, holding that the delay of two days in the filing of the complaint was *bonafide* and cognizance had rightly been taken.

3. In her complaint in PCR No. 3144 of 2013, Shobha S. Aradhya, the respondent, averred as follows: The appellant had approached her husband and her, seeking financial assistance to purchase a house and to meet legal necessities. They lent him a sum of ₹5,40,000/- between the dates 27.01.2010 and 26.07.2010. He, thereafter, issued cheque dated 10.07.2013 drawn in her name for the said sum, assuring that it would be honoured upon presentation. However, the cheque was dishonoured on 17.07.2013 for insufficiency of funds. She got issued legal notice dated 13.08.2013 calling upon the appellant to pay the cheque amount within 15 days but the same was returned as 'unclaimed' on 22.08.2013. However, the copy of the notice sent through courier was not returned unserved and the same amounted to deemed service. However, no payment was made by the appellant. She, thereupon, filed the complaint praying that the Court take cognisance of the offence punishable under Section 138 of the Negotiable Instruments Act, 1881², and punish the appellant in accordance with law, apart from awarding her compensation.
4. The then learned Magistrate, after perusing the complaint and the documents, noted the presence of the complainant and took cognisance, *vide* order dated 09.10.2013. However, by order dated 23.05.2014, the successor learned Magistrate noted that, though there was a delay of two days in the filing of the complaint, his predecessor-in-office had already taken cognisance of the offence and granted liberty to the accused, viz., the appellant, to contest the delay at the time of the trial. The case was directed to be registered against the appellant for the offence punishable under Section 138 of the NI Act and summons were directed to be issued to him to appear on the next date of hearing. It was reiterated that liberty was granted to the appellant to contest the delay at the time of the trial.

1 For short, 'the learned Magistrate'

2 For short, 'the NI Act'

Supreme Court Reports

5. Thereafter, by order dated 04.02.2016, the learned Magistrate noted that an application had been filed for condonation of the delay of two days in the presentation of the complaint and opined that the same required to be considered before the case went to trial on merits. Having considered the objections on the said application, the learned Magistrate passed order dated 30.10.2018 allowing it. Therein, it was noted that the complainant had stated in the condone delay application that she was suffering from viral fever and was, therefore, unable to present the complaint within time. The learned Magistrate also took note of the medical certificate produced by her, wherein it was stated that she was suffering from viral fever and was under treatment from 04.10.2013 to 07.10.2013. Opining that the delay of two days in the presentation of the complaint was purely *bonafide*, the learned Magistrate allowed the application; condoned the delay in the filing of the complaint; and directed issuance of a non-bailable warrant against the appellant.
6. Aggrieved by this turn of events, the appellant approached the High Court by way of Criminal Petition No. 9119 of 2018. This petition was filed on 06.12.2018. Therein, the appellant contended that there was a delay of sixteen days in the filing of the complaint and not just two days. He pointed out that the respondent had filed the complaint on 09.10.2013 and cognisance was taken by the learned Magistrate on the very same day. He contended that this procedure was totally opposed to the scheme of the NI Act. He further contended that the condonation of the delay of two days by the learned Magistrate, *vide* order dated 30.10.2018, was equally without jurisdiction and contrary to the statutory provisions. His specific argument was that the learned Magistrate did not have the jurisdiction to take cognisance before the delay was condoned and the steps taken to the contrary were in violation of the prescribed procedure. He also contested the matter on merits, denying his liability, and prayed for quashing of the complaint.
7. Perusal of the impugned order dated 28.06.2024 passed by the High Court reflects that the solitary issue focused upon by the appellant before the learned Judge was that the learned Magistrate could not have taken cognisance without first condoning the delay in the filing of the complaint. The learned Judge concurred with the view taken by the learned Magistrate that the delay in the filing of the complaint was actually two days and not more and

S. Nagesh v. Shobha S. Aradhya

that it was *bonafide*, justifying its condonation. Further, the learned Judge noted that the *proviso* to Section 142(1)(b) of the NI Act empowered the Court concerned to take cognisance of a complaint made even after the prescribed period of one month from the date on which the cause of action arose under clause (c) of the *proviso* to Section 138 of the NI Act, if the complainant satisfied the Court that he had sufficient cause for not making the complaint within that period. The learned Judge, therefore, observed that the legislature had conferred express power on the Court to take cognisance even in respect of a belated complaint, if sufficient cause for such belated presentation was established by the complainant.

8. *Per* the learned Judge, whether the Court condoned the delay after taking cognisance or whether it first condoned the delay and then took cognisance did not, in any way, vitiate the taking of cognisance as what was of consequence was whether the Court had condoned the delay in the presentation of the complaint. The learned Judge held that, if cognisance is taken without the delay in the presentation of the complaint being condoned, it would only be a curable irregularity. According to the learned Judge, it is only when the Court failed to condone the delay altogether, during the pendency of the proceedings, and went on to adjudicate the matter on merits that the proceedings would stand vitiated.
9. On facts, the learned Judge observed that the learned Magistrate had taken cognisance on 09.10.2013 without noticing that the complaint had been filed with delay, perhaps being misled by the erroneous averment in the complaint that it was filed within time. However, upon noticing the delay of two days in the presentation of the complaint, the learned Magistrate had observed that his predecessor-in-office had taken cognisance without noticing the delay and kept the said issue alive. The learned Judge held that, as the complaint was of the year 2013 and the matter had been pending for more than 11 years, there was no justification in considering the delay of two days in the filing of the complaint as of consequence. The learned Judge affirmed the condonation of that delay by the learned Magistrate and upheld the cognisance taken, though it was irregular, observing that the said irregularity stood cured on the delay being condoned. The appellant's petition was, accordingly, dismissed.

Supreme Court Reports

10. The learned counsel for the appellant would argue that cognizance could not have been taken by the learned Magistrate of the belated complaint filed by the respondent without first considering and condoning the delay in the presentation of the complaint, provided sufficient cause was shown for such delay by her. He would contend that, in the light of the law laid down by a 3-Judge Bench of this Court in *Dashrath Rupsingh Rathod vs. State of Maharashtra and another*³, the learned Judge of the High Court was in error in rejecting the quash petition of the appellant.
11. Despite service of notice, the respondent did not choose to enter appearance before this Court till after the judgment in this case was reserved on 02.12.2025. However, a mention was made on 05.12.2025 by the learned counsel who was instructed to appear for the respondent. He was, accordingly, permitted to file his written submissions after entering appearance for the respondent. In his written submissions, the learned counsel admitted that the respondent's complaint was filed on 09.10.2013 and cognizance was taken on the very same day. Though the learned counsel stressed upon the order dated 23.05.2014 passed by the learned Magistrate remaining unchallenged, we may note that it was only on 30.10.2018 that the learned Magistrate condoned the delay of two days, thereby validating the cognizance taken by his predecessor-in-office even before an application for condonation of delay was filed. Therefore, the failure of the appellant to challenge the earlier orders is of no consequence. More so, as the learned Magistrate had, in fact, reserved the right of the appellant to raise the issue of delay during the trial but, having stated so, the learned Magistrate, thereafter, took upon himself the task of deciding the limitation issue and condoned the delay by the later order dated 30.10.2018.
12. At this stage, we may note that, in *Dashrath Rupsingh Rathod (supra)*, it was held that cognizance under Section 142 of the NI Act of an offence under Section 138 thereof is forbidden except upon a complaint, in writing, made by the payee or holder of the cheque in due course within one month from the date the cause of action accrues to such payee or holder under clause (c) of the *proviso* to Section 138. It was observed that the *proviso* to Section 138 simply

S. Nagesh v. Shobha S. Aradhya

postpones institution of criminal proceedings and taking of cognisance by the Court till such time the cause of action in terms of clause (c) of the *proviso* accrues to the complainant.

13. We may note that the *proviso* to Section 142(1)(b) of the NI Act was inserted by Act 55 of 2002, with effect from 06.02.2003. Section 142(1)(b), to the extent relevant, reads as under: -

142. Cognizance of offences.— (1) Notwithstanding anything contained in the Code of Criminal Procedure, 1973 (2 of 1974) —

(a);

(b) such complaint is made within one month of the date on which the cause of action arises under clause (c) of the *proviso* to Section 138:

Provided that the cognizance of a complaint may be taken by the Court after the prescribed period, if the complainant satisfies the Court that he had sufficient cause for not making a complaint within such period.

14. It is manifest from the clear and unambiguous language of the above *proviso* that the power conferred upon the Court to take cognisance of a belated complaint is subject to the complainant first satisfying the Court that he had sufficient cause for not making the complaint within time. The satisfaction in that regard, resulting in condonation of the delay, must therefore precede the act of taking cognisance. Ordinarily, a proceeding instituted with limitation-linked delay before a Court of law does not actually figure as a regular matter on its file until that delay is condoned. For example, Order XLI Rules 3A and 5(3) of the Code of Civil Procedure, 1908, make this position amply clear in the context of belated presentation of civil appeals. Therefore, the approach of the High Court in treating this crucial aspect as a mere interchangeable exercise, i.e., either to first condone the delay or to first take cognisance, is not in keeping with the mandate of the aforestated *proviso*. We may note that the respondent was herself responsible for this imbroglio as she had made a categorical statement in her complaint that it was filed within time, when it was not.
15. On the above analysis, we have no hesitation in holding that the learned Magistrate erred in taking cognisance of the respondent's

Supreme Court Reports

complaint under Section 138 of the NI Act, even before the delay of two days in its presentation was condoned. The order passed by the High Court refusing to quash the same is, thus, set aside.

The appeal is accordingly allowed. In consequence, the complaint in PCR No. 3144 of 2013, which was converted as CC No. 1439 of 2014 on the file of the learned I Additional I Civil Judge and Judicial Magistrate First Class, Mysore, shall stand quashed.

Result of the case: Appeal allowed.

†Headnotes prepared by: Nidhi Jain

**The Karnataka Lokayuktha Bagalkote District, Bagalkot
v.
Chandrashekar & Anr.**

(Criminal Appeal No. 77 of 2026)

06 January 2026

[Ahsanuddin Amanullah and K. Vinod Chandran,* JJ.]

Issue for Consideration

Whether present is a case where the criminal proceedings can be quashed on the exoneration of the respondent-delinquent employee in the departmental enquiry or they be permitted to continue.

Headnotes[†]

Disciplinary enquiry *vis-à-vis* criminal prosecution – Criminal proceedings when cannot be quashed on the exoneration of the delinquent employee in the departmental enquiry – Respondent, an Executive Engineer (Electrical) was alleged to have demanded a bribe from an electrical contractor – Contractor complained to the Anti-Corruption Bureau who prepared a trap which was successful – Disciplinary proceedings initiated by the department, criminal prosecution launched by the appellant-Lokayukta – Since the departmental proceedings ended in exoneration, the Respondent approached the High Court for quashing the criminal proceedings – High Court held that if there is an exoneration on merits where the allegation is found to be not sustainable at all and the person held innocent, then criminal proceedings on the same set of facts and circumstances cannot be allowed to continue – Interference with:

Held: Exoneration is not on merits – Enquiry Report found that for reason of the Officer in charge of the trap having not been examined, the department was unable to establish the charge, which is not at all an exoneration on merits, but more of a discharge for lack of diligence – Even without the examination of the Inspector who laid the trap there was sufficient proof on the standard of preponderance of probabilities to find the delinquent guilty of the charge of demand and acceptance of bribe – The complainant and the independent witnesses have spoken about

* Author

Supreme Court Reports

the incident of the successful trap laid – Enquiry Officer fell into an error by requiring proof at a higher level than that necessary under preponderance of probabilities and so did the Disciplinary Authority, in concurring with the same – Present is not a fit case where the criminal proceedings can be quashed on the exoneration of the delinquent employee in a departmental enquiry – Criminal proceedings to continue. [Paras 8, 11, 15, 18]

Disciplinary enquiry *vis-à-vis* criminal prosecution – Both are independent of each other:

Held: In a disciplinary enquiry the employer satisfies itself as to whether the misconduct alleged is proved and if proved, decides on the proportionate punishment that should be imposed; both of which are in the exclusive domain of the employer, to be determined on the standard of preponderance of probabilities – In a criminal prosecution launched what assumes significance is the criminality of the act complained of or detected which has to be proved beyond reasonable doubt – Both are independent of each other not only for reason of the nature of the proceedings and the standard of proof, but also for reason of the adjudication being carried on by two different entities, regulated by a different set of rules and more importantly decided on the basis of the evidence led in the independent proceedings – If evidence is not led properly in one case, it cannot govern the decision in the other case where evidence is led separately and independently. [Para 9]

Disciplinary enquiry *vis-à-vis* criminal prosecution – Presence of a witness – No consequence in not responding to a summons in departmental proceedings, unlike in criminal proceedings:

Held: The exoneration was on the basis of two aspects, one, the Inspector of the ACB who carried out the trap having not been examined and the other, two independent witnesses accompanying the trap team having stated that they were standing outside the office room wherein the handing over of the bribe took place – The first ground of the Inspector not having been examined based on the preponderance of probabilities, is not imperative, especially when the two independent witnesses were examined – More so, insofar as the department not being at fault since three summons were taken out and a further request was made again for summoning the witness, which was declined by the Enquiry Officer – There would

**The Karnataka Lokayuktha Bagalkote District, Bagalkot v.
Chandrashekar & Anr.**

be no consequence in not responding to a summons in departmental proceedings, while a like failure in criminal proceedings would be more drastic – The criminal court has ample powers to ensure the presence of a witness in a criminal proceeding, which the Enquiry Officer does not possess – The prosecuting agency and the one carrying on the departmental enquiry are two different entities – The trap was laid by the ACB, and the prosecution was conducted at the behest of the Lokayukta, and no laxity on the prosecuting agency can be presumed or anticipated of not bringing the Inspector to the box, before the criminal court – Moreover, the prosecution cannot be put an end on such anticipated laxity. [Para 21]

Disciplinary enquiry – Enquiry officer *vis-à-vis* disciplinary authority:

Held: Enquiry report in disciplinary proceedings is not conclusive of the guilt or otherwise of the delinquent employee, which finding is in the exclusive domain of the disciplinary authority – The enquiry officer is appointed only as a convenient measure to bring on record the allegations against the delinquent employee and the proof thereof and to ensure an opportunity to the delinquent employee to contest and defend the same by cross-examination of the witnesses proffered by the department and even production of further evidence, in defense – The enquiry officer merely records the evidence and the finding entered on the basis of the evidence led at the enquiry does not have any bearing on the final decision of the disciplinary authority – The disciplinary authority takes the ultimate call as to whether to concur with the findings of the enquiry authority or to differ therefrom – On a decision being taken to differ from the findings in the enquiry report as to the guilt of the delinquent employee, if it is in favour of the delinquent employee nothing more needs to be done since the enquiry stands closed exonerating the employee of the charges levelled – If the decision is to concur with the finding of guilt by the Enquiry Officer, then a show-cause is issued with the copy of the Enquiry Report – However, while differing from the finding of exoneration in the enquiry report, necessarily the disciplinary authority will not only have to issue a show-cause against the delinquent employee, with a copy of the Enquiry Report, but the show cause notice also has to specifically bring to attention of the delinquent, the aspects on which the disciplinary authority proposes to differ, based on the facts discovered in the enquiry so as to afford the delinquent employee an opportunity to proffer his defense to the same. [Para 14]

Supreme Court Reports

Disciplinary enquiry – Enquiry officer:

Held: Enquiry Officer often is appointed as an independent person who would have no connection with the management to ensure against any allegation of bias – A retired judicial officer being appointed as an enquiry officer does not confer the enquiry report any higher value or greater sanctity than that is normally available to such reports. [Para 15]

Case Law Cited

Radheshyam Kejriwal v. State of W.B. [2011] 4 SCR 889 : (2011) 3 SCC 581 – distinguished.

State (NCT of Delhi) v. Ajay Kumar Tyagi [2012] 8 SCR 208 : (2012) 9 SCC 685 – held applicable.

P.S. Rajya v. State of Bihar [1996] Supp. 2 SCR 631 : (1996) 9 SCC 1; *State of Haryana v. Bhajan Lal* [1992] Supp. 3 SCR 259 : (1992) Supp. 1 SCC 335; *National Insurance Company Limited v. Pranay Sethi* [2017] 13 SCR 100 : (2017) 16 SCC 680 – referred to.

List of Acts

Karnataka Lokayukta Act, 1984.

List of Keywords

Disciplinary enquiry; Criminal prosecution; Criminal proceedings cannot be quashed on exoneration of the delinquent employee in departmental enquiry; Exoneration not on merits; Not total exoneration on merits; Executive Engineer (Electrical); Allegation of demand and acceptance of bribe; Successful trap laid; Bribe demanded from electrical contractor; Karnataka Electricity Transmission Corporation Limited Regulations; Standard of preponderance of probabilities; Delinquent guilty of the charge of demand and acceptance of bribe; Anti- Corruption Bureau; Enquiry officer; Disciplinary authority; Criminal proceedings to continue.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 77 of 2026

From the Judgment and Order dated 10.01.2025 of the High Court of Karnataka Circuit Bench at Dharwad in WP No. 104828 of 2024

**The Karnataka Lokayuktha Bagalkote District, Bagalkot v.
Chandrashekar & Anr.**

Appearances for Parties

Advs. for the Appellant(s):

Vikram Hegde, Abhishek Wadiyar, Ashutosh Yadav.

Advs. for the Respondent(s):

Mehmood Umar Faruqui, Kartik Ganachari, Md. Zeeshan Ali,
Mehfuz Basar Mollah.

Judgment / Order of the Supreme Court

Judgment

K. Vinod Chandran, J.

Leave granted.

2. Despite this Court having consistently held that disciplinary proceedings and criminal prosecution, even on an identical allegation, are parallel proceedings, the relevance of the conclusion in one is often contended to be binding on the other. Trite is the principle that in a disciplinary proceeding, the proof is of preponderance of probabilities while in a criminal proceeding, it has the higher standard of proof beyond reasonable doubt. Often it is argued that the acquittal in the criminal proceedings should inure to the benefit of the accused/delinquent employee in a disciplinary proceeding too. In the present case, we have a contrary contention of the disciplinary proceedings having exonerated the delinquent employee, who seeks absolution from the criminal prosecution. The contention is that when the allegations could not be proved in a disciplinary proceeding where the requirement is only of preponderance of probabilities, surely it cannot be proved beyond reasonable doubt.
3. The appellant is the Lokayukta of the State of Karnataka, an independent body tasked also to conduct enquiries on complaints of corruption and initiate and continue prosecution; such powers having been statutorily conferred under the Karnataka Lokayukta Act, 1984. On facts, suffice it to notice that the respondent, an Executive Engineer (Electrical) with the Works and Maintenance Division, HESCOM, Bagalkot regulated by the Karnataka Electricity Transmission Corporation Limited Regulations, was alleged to have demanded a bribe from an electrical contractor to clear five bills, at the rate of Rupees two thousand each. The contractor complained

Supreme Court Reports

to the Anti-Corruption Bureau¹ who prepared a trap, with identifiable, powdered notes kept in a packet entrusted with the complainant, to be handed over to the Executive Engineer. The trap was successful, and the notes were recovered from the pocket of the Executive Engineer whose hands turned pink on dipping in the prepared solution, which proved the taint of corruption.

4. Disciplinary proceedings were initiated and so was criminal prosecution launched, the former by the department itself and the latter by the Lokayukta who is the appellant herein. On the claim that the departmental proceedings ended in exoneration, the delinquent employee approached the High Court, for quashing the criminal proceedings. The High Court by the impugned judgment relied on ***Radheshyam Kejriwal v. State of W.B.***², a three-Judge Bench decision to hold that if there is an exoneration on merits where the allegation is found to be not sustainable at all and the person held innocent, then criminal proceedings on the same set of facts and circumstances cannot be allowed to continue especially based on the principle of higher standard of proof in criminal cases. The learned Single Judge also refused to follow a later judgment of this Court in ***State (NCT of Delhi) v. Ajay Kumar Tyagi***³; finding the later judgment to be *per incuriam*, having been passed in ignorance of the earlier one.
5. There can be no doubt regarding the principle that if the later Bench holds contrary to the earlier Bench decision of coequal strength, on the same point, the contrary dictum expressed by the later Bench would be *per incuriam* as held by a Constitution Bench in ***National Insurance Company Limited v. Pranay Sethi***⁴. But the question arising herein is as to whether there was a conflict with the earlier and later judgments.
6. In ***Radheshyam Kejriwal***², the raid on the premises of the appellant therein, by the Enforcement Directorate gave rise to proceedings under the Foreign Exchange Regulation Act, 1973⁵. Initially, a

1 for short, the ACB

2 (2011) 3 SCC 581

3 (2012) 9 SCC 685

4 (2017) 16 SCC 680

5 for short, the FERA

**The Karnataka Lokayuktha Bagalkote District, Bagalkot v.
Chandrashekar & Anr.**

show-cause notice was issued by the Director of the Enforcement Directorate proposing adjudication proceedings under Section 51 of the FERA, which, after explanation received was concluded with a decision taken by the Adjudicating Officer that the contravention of the provisions alleged cannot be sustained since the transaction itself is not proved. The said order became final for reason of the Enforcement Directorate having not challenged it. Later, on the same set of facts, as enabled under Section 56 of the FERA criminal proceedings were initiated, which even as per the enactment could be continued without any prejudice to any award of penalty by the Adjudicating Officer under Section 51 of the FERA. It is in this context that the three-Judge Bench, by a majority, held *inter alia* that though the adjudication and criminal proceedings are independent of each other, if in the former the offender is exonerated on merits then the criminal prosecution also comes to an inevitable end. It was also categorically found that if the exoneration in the adjudication proceeding is on a technical ground and not on merits, the prosecution could continue.

7. In ***Radheshyam Kejriwal***⁶ the adjudication proceedings and the criminal proceedings were under the FERA, one for penalty; to recoup the economic loss caused by the transaction contravening the provisions of the statute and the other, prosecution; to provide penal consequences as a deterrent measure. The subject matter of the offence alleged in both proceedings was the contravention of the provisions of the statute through the transaction detected. When the adjudication proceedings found the transaction alleged to have not taken place, then it cuts at the root of the prosecution too. Other decisions under the FERA, where the two proceedings of adjudication and prosecution were found to be independent; the decision in one having no bearing on the other, were noticed. So were the decisions under the Income Tax Act, 1961⁶ noticed, wherein, when the penalty imposed on a presumed violation of the provisions of the I.T. Act was set aside by the Tribunal; the last fact-finding authority under the scheme of the I.T. Act, for that reason alone the prosecution was found redundant and quashed. ***Radheshyam Kejriwal***⁶ culled out the principles in the following manner:

⁶ For brevity 'the I.T. Act'

Supreme Court Reports

38. *The ratio which can be culled out from these decisions can broadly be stated as follows:*

(i) Adjudication proceedings and criminal prosecution can be launched simultaneously;

(ii) Decision in adjudication proceedings is not necessary before initiating criminal prosecution;

(iii) Adjudication proceedings and criminal proceedings are independent in nature to each other;

(iv) The finding against the person facing prosecution in the adjudication proceedings is not binding on the proceeding for criminal prosecution;

(v) Adjudication proceedings by the Enforcement Directorate is not prosecution by a competent court of law to attract the provisions of Article 20(2) of the Constitution or Section 300 of the Code of Criminal Procedure;

(vi) The finding in the adjudication proceedings in favour of the person facing trial for identical violation will depend upon the nature of finding. If the exoneration in adjudication proceedings is on technical ground and not on merit, prosecution may continue; and

(vii) In case of exoneration, however, on merits where the allegation is found to be not sustainable at all and the person held innocent, criminal prosecution on the same set of facts and circumstances cannot be allowed to continue, the underlying principle being the higher standard of proof in criminal cases.

39. *In our opinion, therefore, the yardstick would be to judge as to whether the allegation in the adjudication proceedings as well as the proceeding for prosecution is identical and the exoneration of the person concerned in the adjudication proceedings is on merits. In case it is found on merit that there is no contravention of the provisions of the Act in the adjudication proceedings, the trial of the person concerned shall be an abuse of the process of the court.*

[underlining by us for emphasis]

**The Karnataka Lokayuktha Bagalkote District, Bagalkot v.
Chandrashekar & Anr.**

8. In ***Radheshyam Kejriwal***² the very substratum of the allegation of violation of the provisions of FERA was found to be non-existent, an adjudication on merits that the transaction alleged had not occurred. In the instant case the Enquiry Report found that for reason of the Officer in charge of the trap having not been examined, the department was unable to establish the charge, not at all an exoneration on merits, but more a discharge for lack of diligence. The *ratio decidendi* of that case cannot be extended to every situation where a statute provides for a civil liability and a criminal liability, in which event Courts would be presuming what logically follows from the finding, without any application on the facts.
9. In a disciplinary enquiry the employer satisfies itself as to whether the misconduct alleged is proved and if proved, decides on the proportionate punishment that should be imposed; both of which are in the exclusive domain of the employer, to be determined on the standard of preponderance of probabilities. In a criminal prosecution launched what assumes significance is the criminality of the act complained of or detected which has to be proved beyond reasonable doubt. Both are independent of each other not only for reason of the nature of the proceedings and the standard of proof, but also for reason of the adjudication being carried on by two different entities, regulated by a different set of rules and more importantly decided on the basis of the evidence led in the independent proceedings. If evidence is not led properly in one case, it cannot govern the decision in the other case where evidence is led separately and independently.
10. No doubt, the principles in ***Radheshyam Kejriwal***² are applicable in a disciplinary inquiry, which was the specific question considered in ***Ajay Kumar Tyagi***³; interestingly by the very same Hon'ble Judge who authored the majority judgment in ***Radheshyam Kejriwal***². True, the earlier decision was not noticed in the latter decision; according to us with just cause since there were distinctions on facts.
11. ***Ajay Kumar Tyagi***³ was a case in which a successful trap was laid and there was exoneration in the enquiry conducted without a final order by the Disciplinary Authority. Therein the Disciplinary Authority had not passed an order, in deference to the pending criminal prosecution, which action of deferment was unsuccessfully challenged in a writ petition by the delinquent. Then a further writ petition was filed challenging the continuance of the criminal prosecution on the

Supreme Court Reports

ground of exoneration in the Enquiry Report, which stood allowed. The Disciplinary Authority then passed an order exonerating the delinquent, subject to a challenge to the quashing of the criminal proceedings. In the SLP filed against the order of quashing there was a reference to a larger Bench noting the divergence of opinion with regard to the quashing of a prosecution based on exoneration in a disciplinary proceeding. Even before answering the reference the larger Bench found the quashing to be wrong insofar as the Disciplinary Authority having power to differ from the findings in the report of enquiry and the High Court, in that case having upheld the action of the Disciplinary Authority, keeping in abeyance the final order. We pause here to notice that herein the Disciplinary Authority passed an order concurring with the findings in the Enquiry Report on 08.07.2024, produced as Annexure R-1, with a rider that the order is subject to the proceedings in the criminal case, the consequences of which would necessarily follow.

12. The reference too was answered in **Ajay Kumar Tyagi**⁷. A two-Judge Bench decision of this Court in **P.S. Rajya v. State of Bihar**⁷ was referred to wherein the criminal prosecution was quashed when the departmental proceedings concluded in exoneration. In **P.S. Rajya**⁷, the allegation was of possession of assets disproportionate to the source of income. The Central Vigilance Commission dealt with the charge and in its elaborate report concluded that the valuation report on which CBI placed reliance is of doubtful nature. The Court on facts found that the value given as a base for the chargesheet was not the value given in the reports subsequently given by the valuers. The decision in **P.S. Rajya**⁷ relying on **State of Haryana v. Bhajan Lal**⁸; the water shed decision in invocation of the inherent powers under Section 482 of the Code of Criminal Procedure, 1973 for quashing criminal prosecution, held that the prosecution in that case should be quashed for more than one reason as laid down in **Bhajan Lal**⁸. **Ajay Kumar Tyagi**⁷ categorically held that the quashing of criminal proceedings in **P.S. Rajya**⁷ was not merely on account of the exoneration in the disciplinary proceedings. Referring to a number of decisions, it was held so in paragraphs 24 & 25 which are extracted hereunder:

7 (1996) 9 SCC 1

8 (1992) Supp. 1 SCC 335

**The Karnataka Lokayuktha Bagalkote District, Bagalkot v.
Chandrashekar & Anr.**

“24. Therefore, in our opinion, the High Court quashed the prosecution on total misreading of the judgment in P.S. Rajya case (1996) 9 SCC 1. In fact, there are precedents, to which we have referred to above, that speak eloquently a contrary view i.e. exoneration in departmental proceeding ipso facto would not lead to exoneration or acquittal in a criminal case. On principle also, this view commends us. It is well settled that the standard of proof in a department proceeding is lower than that of criminal prosecution. It is equally well settled that the departmental proceeding or for that matter criminal cases have to be decided only on the basis of evidence adduced therein. Truthfulness of the evidence in the criminal case can be judged only after the evidence is adduced therein and the criminal case cannot be rejected on the basis of the evidence in the departmental proceeding or the report of the inquiry officer based on those evidence.

25. We are, therefore, of the opinion that the exoneration in the departmental proceeding ipso facto would not result in the quashing of the criminal prosecution. We hasten to add, however, that if the prosecution against an accused is solely based on a finding in a proceeding and that finding is set aside by the superior authority in the hierarchy, the very foundation goes and the prosecution may be quashed. But that principle will not apply in the case of the departmental proceeding as the criminal trial and the departmental proceeding are held by two different entities. Further, they are not in the same hierarchy.”

13. We are of the opinion that in the present case the distinction as brought out in **Ajay Kumar Tyagi**³ squarely applies and the *ratio decidendi* therein is not regulated by the ratio of the earlier judgment in **Radheshyam Kejriwal**². In **Radheshyam Kejriwal**², the adjudication proceedings and the prosecution were both by the very same entity, the Enforcement Directorate under the FERA. In **Ajay Kumar Tyagi**³, the allegation was of a demand and acceptance of bribe in which a trap was laid, and the prosecution was commenced and continued by the ACB while the departmental proceedings were by the Delhi Jal Board under which the delinquent employee worked. Identical is the fact in this case where the ACB laid the trap, commenced and

Supreme Court Reports

continued the criminal proceedings, at the behest of the appellant, while the department carried on with the enquiry. The findings in the enquiry report also do not persuade us to quash the criminal proceedings as we would presently notice.

14. At the outset, we cannot but reiterate that the enquiry report in disciplinary proceedings is not conclusive of the guilt or otherwise of the delinquent employee, which finding is in the exclusive domain of the disciplinary authority. The enquiry officer is appointed only as a convenient measure to bring on record the allegations against the delinquent employee and the proof thereof and to ensure an opportunity to the delinquent employee to contest and defend the same by cross-examination of the witnesses proffered by the department and even production of further evidence, in defense. The enquiry officer, strictly speaking, merely records the evidence and the finding entered on the basis of the evidence led at the enquiry does not have any bearing on the final decision of the disciplinary authority. The disciplinary authority takes the ultimate call as to whether to concur with the findings of the enquiry authority or to differ therefrom. On a decision being taken to differ from the findings in the enquiry report as to the guilt of the delinquent employee, if it is in favour of the delinquent employee nothing more needs to be done since the enquiry stands closed exonerating the employee of the charges levelled. If the decision is to concur with the finding of guilt by the Enquiry Officer, then a show-cause is issued with the copy of the Enquiry Report. However, while differing from the finding of exoneration in the enquiry report, necessarily the disciplinary authority will not only have to issue a show-cause against the delinquent employee, with a copy of the Enquiry Report, but the show-cause notice also has to specifically bring to attention of the delinquent, the aspects on which the disciplinary authority proposes to differ, based on the facts discovered in the enquiry so as to afford the delinquent employee an opportunity to proffer his defense to the same.
15. Having thus stated the law regulating the final decision in a departmental enquiry, we cannot but notice that in the present case, there is a final order produced as passed by the Disciplinary Authority. The learned Counsel for the respondent vehemently argued that a retired District Judge was the Enquiry Officer, which according to us gives the enquiry no higher sanctity than that would be conferred on any enquiry report in any disciplinary proceeding carried out by

**The Karnataka Lokayuktha Bagalkote District, Bagalkot v.
Chandrashekar & Anr.**

a person not trained in law. The Enquiry Officer often is appointed as an independent person who would have no connection with the management to ensure against any allegation of bias. A retired judicial officer being appointed as an enquiry officer does not confer the enquiry report any higher value or greater sanctity than that is normally available to such reports. We cannot but observe that in this case the Enquiry Officer fell into an error by requiring proof at a higher level than that necessary under preponderance of probabilities and so did the Disciplinary Authority, in concurring with the same.

16. We also notice the specific findings in the enquiry report. The exoneration was on the basis of two aspects, one, the Inspector of the ACB who carried out the trap having not been examined and the other, two independent witnesses accompanying the trap team having stated that they were standing outside the office room wherein the handing over of the bribe took place. The first ground of the Inspector not having been examined, according to us, based on the preponderance of probabilities, is not imperative, especially when the two independent witnesses were examined. More so, insofar as the department not being at fault since three summons were taken out and a further request was made again for summoning the witness, which was declined by the Enquiry Officer. We cannot but notice that there would be no consequence in not responding to a summons in departmental proceedings, while a like failure in criminal proceedings would be more drastic. The criminal court has ample powers to ensure the presence of a witness in a criminal proceeding, which the Enquiry Officer does not possess. In this context, the fact that the prosecuting agency and the one carrying on the departmental enquiry being two entities assumes significance. Further, here the trap was laid by the ACB, and the prosecution was conducted at the behest of the Lokayukta, and we cannot presume or anticipate any laxity on the prosecuting agency of not bringing the Inspector to the box, before the criminal court. More pertinently we cannot, on such anticipated laxity put an end to the prosecution.
17. We looked at the evidence laid at the enquiry, not to regulate the order in the departmental proceedings which is not challenged before us, but to satisfy ourselves and to understand whether there is total exoneration on merits, which we find to be absent. In the present case, the witnesses proffered by the department where, (i) the complainant; the contractor who complained of the demand of

Supreme Court Reports

bribe and (ii) two independent witnesses, government officers in two different departments who accompanied the trap team. PW-1, the complainant categorically stated that a bribe was demanded from him of Rupees ten thousand to clear five bills at the rate of Rupees two thousand each. He complained to the ACB whose Inspector marked the notes, powdered them and put them in a packet, after noting down the numbers to later identify them. The trap team along with the complainant and two witnesses went to the office of the delinquent employee. The complainant went inside the office room wherein he handed over the packet containing the money to the delinquent employee, who counted and put it in his pant's pocket, clearly spoken of by the complainant at the enquiry. The complainant gave the signal as agreed upon, a missed call on the mobile, when the trap team went in, checked the pockets of the delinquent employee, recovered the packet with the money and when the hands of the delinquent employee were dipped in the solution earlier prepared, the colour changed bringing forth the taint.

18. PW-2 and PW-3 were the independent witnesses who were standing outside the office room when the complainant went in. They deposed that on the signal being given, the officers went inside the room and the witnesses followed. They witnessed the money being taken out from the pocket of the delinquent and the delinquent's hands being dipped in a solution which displayed the tainted colour. Even without the examination of the Inspector who laid the trap we are of the opinion that there was sufficient proof on the standard of preponderance of probabilities to find the delinquent guilty of the charge of demand and acceptance of bribe. The complainant and the independent witnesses have spoken about the incident of the successful trap laid.
19. On the principles of law as stated hereinabove and also on the peculiar facts coming out from the above case, we are not convinced that this is a fit case where the criminal proceedings can be quashed on the exoneration of the delinquent employee in a departmental enquiry. We find the decision in **Ajay Kumar Tyagi**³ to be squarely applicable. The appeal stands allowed permitting the continuation of criminal proceedings. We make it clear that since the disciplinary authority has accepted the enquiry report, there cannot be reopening of the same based on the findings hereinabove; but a conviction in the criminal case would bring in consequences as mandated by

**The Karnataka Lokayuktha Bagalkote District, Bagalkot v.
Chandrashekar & Anr.**

rules regulating the service, specifically reserved in the order of the disciplinary authority, Annexure R-1.

20. The Appeal stands allowed.
21. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Divya Pandey

Regenta Hotels Private Limited
v.
M/s Hotel Grand Centre Point and Others

(Civil Appeal No. 90 of 2026)

07 January 2026

[Dipankar Datta and Augustine George Masih,* JJ.]

Issue for Consideration

Whether the High Court was correct in holding that the Appellant has initiated arbitral proceedings after the expiry of 90 days period as prescribed u/s.9(2) of the Arbitration and Conciliation Act, 1996, thereby resulting in automatic vacation of *ad-interim* injunction in terms of r.9(4) of the Arbitration (Proceedings Before the Courts) Rules, 2001.

Headnotes[†]

Arbitration and Conciliation Act, 1996 – ss.21, 9(2) – Arbitration (Proceedings Before the Courts) Rules, 2001 – r.9 – “Commencement of arbitral proceedings” under the Act – Parties entered into a Franchise Agreement in 2019 – Disputes arose, Appellant filed application u/s.9 and certain IAs before the Trial Court seeking injunctive reliefs against the Respondent No.2 – Trial Court vide Order dtd.17.02.2024 granted *ad-interim* injunction against Respondent No.2 – On 11.04.2024, appellant issued notice to the Respondents invoking arbitration – Respondent No.2 sent a reply on 23.04.2024 refusing to concur with the nomination of the Arbitrator – Appellant filed petition u/s.11(6) before the High Court on 28.06.2024 seeking appointment of sole Arbitrator and for referring the parties to arbitration – IAs filed by the Appellant dismissed by Trial Court – Appeal filed by the Appellant, dismissed by High Court – Whether the High Court was correct in holding that the Appellant has initiated arbitral proceedings after the expiry of 90 days period as prescribed u/s.9(2), resulting in automatic vacation of *ad-interim* injunction in terms of r.9(4), 2001 Rules:

Held: No – Arbitral proceedings, as commenced by the Appellant, are well within the statutory time frame provided u/s.9(2) and the

^{*} Author

**Regenta Hotels Private Limited v.
M/s Hotel Grand Centre Point and Others**

rigor of r.9(4), 2001 Rules is not applicable to the Appellant – The date on which the respondent receives a notice or request invoking arbitration is the moment at which the arbitral proceedings commence u/s.21 – A valid invocation requires the notice to articulate the dispute sought to be referred but once such notice is received, commencement is complete and effective for all legal purposes including limitation, maintainability of the s.11 Petition and the legal efficacy of any pre-arbitral measures – Trial Court passed the Order dtd.17.02.2024 granting *ad-interim* injunction to the Appellant – Period of ninety days as provided u/s.9(2) would end on 17.05.2024 – Appellant served a notice invoking arbitration on 11.04.2024 – Reply of Respondent No.2 dtd.23.04.2024 refusing to join in the appointment of an arbitrator entails that notice had indeed been received and understood as an invocation of the arbitral process by the Respondent No.2 – Even if 23.04.2024, the date on which the reply sent by the Respondent No.2, is taken to calculate the period of ninety days, as stipulated u/s.9(2) and the consequences thereof provided u/r.9(4), 2001 Rules, the arbitral proceedings have commenced well within the time and way before expiry of such periods – High Court treated the date of filing of the s.11 petition i.e. 28.06.2024 as the date of commencement of the arbitral proceedings resulting into the finding that *ad-interim* stay stood vacated and proceedings commenced after the expiry of ninety days period provided u/s.9(2) – This finding is not sustainable as it is contrary to the objective and purpose of the Act – Impugned Judgment of the High Court unsustainable, set aside – Order of the Trial Court dtd.01.10.2024 vacating the *ad-interim* injunction also set aside, restoring the earlier Order dtd.17.02.2024 [Paras 22, 28, 31]

Arbitration and Conciliation Act, 1996 – s.21:

Held: The commencement of arbitral proceedings is a statutory event defined exclusively u/s.21, wherein the respondent's receipt of a request to refer the dispute to arbitration sets the arbitral proceedings in motion and no judicial application *i.e.* whether u/s.9 or s.11 petition, constitutes commencement – Therefore, the statutory consequences tied to commencement, including the mandate u/s.9(2), must be assessed solely with reference to the date of receipt of request invoking arbitration u/s.21. [Para 23]

Arbitration and Conciliation Act, 1996 – s.21 – Purpose of, explained. [Para 29]

Supreme Court Reports

Arbitration and Conciliation Act, 1996 – s.21 – Conscious delinking of the commencement of arbitral proceedings from any judicial proceedings based on the UNCITRAL framework:

Held: The very frame of s.21 provides that the Legislature has consciously delinked the commencement of arbitral proceedings from any judicial proceedings – This is a deliberate legislative choice modelled on the UNCITRAL framework, meant to ensure that the commencement of arbitral proceedings is clear and independent of procedural contingencies – The objective of this statutory scheme would be defeated if a court is permitted to substitute the date of commencement u/s.21 with the date of filing a s.11 petition – Resort to the proceedings u/s.11 would be necessitated only in case there is refusal or no response to the notice u/s.21 – High Court proceeded on the premise that since the petition u/s.11 was filed on 28.06.2024, beyond three months from the date of ad-interim Order dtd.17.02.2024, the arbitral proceedings had not commenced within time – This view rests on a misconception regarding the statutory scheme – Article 21 of the Model Law of UNCITRAL. [Para 28]

Arbitration and Conciliation Act, 1996 – ss.9(2), 21 – Rationale underlying s.9(2), discussed – If the commencement is to be construed from the date of filing of the petition u/s.11, the statutory scheme insisting on expedition in commencing arbitration after the grant of interim protection u/s.9 would be rendered incoherent – The applicant could serve notice u/s.21 but still be held non-compliant until a s.11 petition is filed, an interpretation which would be directly in contrast with the object and purpose of the Act – Permitting such an interpretation would mean that the parties would paradoxically be required to file the s.11 petition to prevent the lapse of interim measures granted u/s.9 even when the respondent is cooperating, the contractual appointment procedure is underway, or even when the s.21 notice has only recently been served – This is antithetical to the flexibility and autonomy provided in the Act. [Para 30]

Arbitration and Conciliation Act, 1996 – ss.21, 9(2) – In absence of any other provision providing for the date of commencement of the arbitral proceedings, s.21 is to apply to all the provisions of the Act unless specifically provided otherwise – Plea of the Respondent No.2 that the commencement u/s.21 is only for the purpose of calculating limitation u/s.43(2):

**Regenta Hotels Private Limited v.
M/s Hotel Grand Centre Point and Others**

Held: Not accepted – s.21 explicitly provides that arbitral proceedings commence on the date on which a request for dispute to be referred to arbitration is received by the respondent – In absence of any other provision providing for the date of commencement of the arbitral proceedings, s.21 is to be construed to apply to all the provisions of the Act unless specifically provided as not applicable – The only exception that is carved out in s.21 pertains to the arbitral agreement itself, providing that unless otherwise agreed by the parties, the date of commencement of arbitral proceedings must be from the date when notice or request invoking arbitration is received by the respondent – Therefore, as per the mandate of s.9(2), the arbitration proceedings shall commence within a period of ninety days from the date of such interim order or within such further time as the court may determine, and such commencement will be the date on which notice invoking arbitration is received by the respondent in consonance of s.21. [Para 23]

Case Law Cited

Sundaram Finance Ltd. v. NEPC India Ltd. [1999] 1 SCR 89 : (1999) 2 SCC 479; *Arif Azim Company Limited v. Aptech Limited* [2024] 3 SCR 73 : (2024) 5 SCC 313; *Milkfood Ltd. v. GMC Ice Cream (P) Ltd.* [2004] 3 SCR 854 : (2004) 7 SCC 288; *Geo Miller and Company Private Limited v. Chairman, Rajasthan Vidyut Utpadan Nigam Limited* [2019] 11 SCR 1108 : (2020) 14 SCC 643 – relied on.

State of Goa v. Praveen Enterprises [2011] 10 SCR 1026 : (2012) 12 SCC 581 – referred to.

List of Acts

Arbitration and Conciliation Act, 1996; Code of Civil Procedure, 1908; Arbitration (Proceedings Before the Courts) Rules, 2001.

List of Keywords

Section 9 (2), Arbitration and Conciliation Act, 1996; Section 21, Arbitration and Conciliation Act, 1996; Commencement of arbitral proceedings” ; Rule 9(4), Arbitration (Proceedings Before the Courts) Rules, 2001; Date on which the respondent receives a notice or request invoking arbitration is the moment at which the arbitral proceedings commence; Arbitral proceedings initiated after the expiry of 90 days period prescribed under Section 9 (2),

Supreme Court Reports

Arbitration and Conciliation Act, 1996; Franchise Agreement; Arbitral proceedings as commenced is well within the statutory time frame; Notice under Section 21, Arbitration and Conciliation Act, 1996; UNCITRAL Model Law's formulation; Model Law of UNCITRAL; Interim measures.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 90 of 2026

With

Contempt Petition (Civil) No. 189 of 2025

From the Judgment and Order dated 14.11.2024 of the High Court of Karnataka at Bengaluru in MFA No. 7168 of 2024

Appearances for Parties

Advs. for the Appellant(s):

Pranjal Kishore.

Advs. for the Respondent(s):

M/S. Ahmadi Law Offices, Vivek Jain, Ms. Suchitra Kumbhat, Sadiq Noor, Ms. Benila B M, Rohit H Nair, Ms. Baani Khanna, Robin Singh, Kapil Balwani, Shrikant Thokchom, Atul Shankar Vinod.

Judgment / Order of the Supreme Court

Judgment

Augustine George Masih, J.

Leave granted.

2. The instant Civil Appeal assails the Judgment dated 14.11.2024 ("Impugned Judgment") passed by the High Court of Karnataka at Bengaluru ("High Court"), whereby it dismissed the Miscellaneous First Appeal No. 7168 of 2024 (AA) filed by the Appellant herein against the Order dated 01.10.2024 of the IXth Additional City Civil and Sessions Judge, Bengaluru ("Trial Court") in I.A. Nos. 5 to 7 in AA No. 4 of 2024 which has been filed under Order XXXIX Rules 1 and 2 read with Section 151 of the Code of Civil Procedure, 1908 ("CPC 1908") and Section 9 of the Arbitration and Conciliation Act, 1996 ("Act") read with Rule 9 of the Arbitration (Proceedings Before

**Regenta Hotels Private Limited v.
M/s Hotel Grand Centre Point and Others**

the Courts) Rules, 2001 ("2001 Rules"). The Trial Court vide Order dated 01.10.2024 dismissed the application seeking temporary injunction restraining Respondent No.2.

3. The Appellant herein is Regenta Hotels Private Limited, a company registered under the Companies Act, 1956, engaged in carrying business, *inter alia*, of operating hotels and providing hospitality services in India and abroad. The Respondent No. 1 is M/s Hotel Grand Centre Point, a partnership firm registered under the Partnership Act, 1932. Respondents No.2 to 5 are brothers and partners of Respondent No.1 vide partnership agreement entered on 01.04.2012, with each brother having 25% share in the partnership. Respondent No.1 is owner of a hotel premises located near Hatrick Restaurant, Raj Bagh, Srinagar, Jammu and Kashmir ("Hotel").
4. The abovementioned parties i.e., the Appellant and Respondent No.1 entered into a Franchise Agreement dated 23.03.2019. The terms of the agreement were such that the Appellant would aid and facilitate the business of Respondent No.1 by contributing through its brand reputation, technical know-how, training and expertise in running premium quality hotel businesses. In furtherance thereto, the management and operations of Respondent No.1 were being carried out as per the said agreement.
5. Interregnum, the Respondents No. 2 to 5 were involved in a family dispute over rights on properties resulting into a settlement deed dated 20.04.2022 providing that Respondent No. 5 will be responsible for operations of the Hotel for a period of two years and after the expiry of said period, the Hotel operation shall be conducted by such party who shall be nominated by the parties by voting. Profits of the Hotel were decided to be shared by Respondent No. 2 in the ratio of 25% and Respondent No. 5 in the ratio of 33.50% as also to include every month consideration for his responsibility to operate the Hotel. The remaining share was to be divided among Respondent No. 3 and 4 in the ratio of 21.50% and 20% respectively.
6. As transpires from the material on record, it is alleged that Respondent No.2 started to interfere in the functioning of the Hotel by shouting at staff and threatening to cancel bookings and taking away the records if not paid exorbitant sums separately over and above the agreed amount under the Franchise Agreement dated 23.03.2019. As a consequence to the alleged conduct of Respondent No. 2,

Supreme Court Reports

the Appellant on 16.02.2024 approached the Trial Court by way of an application under Section 9 of the Act being AA No.4 of 2024 seeking various injunctive reliefs to restrain the Respondent No.2 from interfering with the smooth functioning of the Hotel claiming that Clause 5.1 of the Franchise Agreement stipulates that Respondent No.1 will maintain a high moral and ethical standard and atmosphere at the Hotel premises. The Appellant also filed three applications being IA No.5 to 7 seeking interim reliefs to restrain Respondent No.2 from obstructing or impeding in smooth functioning, operations and management of the Hotel pending disposal of AA No.4 of 2024.

7. The Trial Court vide Order dated 17.02.2024 granted *ad-interim* injunction against the Respondent No.2 as prayed for in IA No.5 to 7 till next date of the hearing and issued notice to the Respondents.
8. Thereafter, the Appellant on 11.04.2024 issued an Arbitration notice to the Respondents invoking arbitration in terms of Clause 19.1 of the Franchise Agreement for the adjudication of the disputes that have arisen between the parties. The Respondent No. 2, in response to the said notice dated 11.04.2024, sent a reply on 23.04.2024 refusing to concur with the nomination of the Arbitrator claiming that he has not signed any Franchise Agreement with the Appellant. The Appellant, on 28.06.2024 filed CMP No.314 of 2024 under Section 11(6) of Act before the High Court seeking appointment of sole Arbitrator and for referring the parties to arbitration under the Franchise Agreement dated 23.03.2019.
9. The Respondent No.2 has filed written statement before Trial Court in AA No. 4 of 2024 denying allegations and contended that the suit itself is not maintainable claiming that Respondent No.2 is not a signatory to the Franchise Agreement. He contested that Respondent No.5 is not allowing Respondent No.2 to inspect the books of accounts, ledgers or bills etc.
10. The Trial Court vide Order dated 01.10.2024 dismissed IA Nos.5 to 7 filed by the Appellant with the observation that the Appellant failed to produce any document demonstrating that Respondent No.2 granted consent for the contested Franchise Agreement, thereby failing to establish a *prima facie* case or the balance of convenience in its favour. It was further stated that AA No.4 of 2024 was filed on 16.02.2024, and more than six and a half months had elapsed without the Appellant producing any document except for the notice

**Regenta Hotels Private Limited v.
M/s Hotel Grand Centre Point and Others**

and reply for initiation of arbitral proceedings as mandated after filing an application under Section 9 of the Act nor was any substantive material produced to satisfy the requirements under Section 21 of the said Act, as Respondent No.2 had not agreed to refer the dispute to arbitration. The Trial Court also observed that all partners held equal rights under the partnership deed and must obtain mutual written consent for any substantive decision or agreement.

11. This Order dated 01.10.2024 was challenged by the Appellant in Miscellaneous First Appeal No. 7168 of 2024 (AA) before the High Court. The High Court vide Impugned Judgment dismissed the appeal holding that Section 9(2) of the Act read with Rule 9(4) of the 2001 Rules mandate that arbitral proceedings must commence within 90 days or three months from the date of an interim order or presentation of the Section 9 application, failing which any interim relief granted stands vacated automatically. The High Court reiterated that arbitral proceedings commence only when a request for reference to arbitration is received by the respondent, and mere issuance of notice does not constitute such commencement. The petition under Section 11 of Act was filed on 28.06.2024 which was beyond the permissible period, as arbitral proceedings ought to have been initiated by 17.05.2024. The High Court, however, rejected the contention of the Respondent No. 2 that he is not a signatory to Franchise Agreement and noted that the Trial Court erred in relying upon clauses of the partnership deed to conclude absence of a *prima facie* case or existence of Franchise Agreement dated 23.03.2019 as the same evidenced consent among partners and was acted upon as the Hotel kept running as per agreement and the partners kept quiet from 2019 to 2023. The High Court nevertheless upheld the dismissal of the Appellant's application, holding that failure to initiate arbitration within 90 days rendered the interim order unsustainable, and issuance of notice alone could not be construed as commencement of arbitration.
12. It would not be out of way to mention here that the above finding of High Court with respect to the existence of the Franchise Agreement dated 23.03.2019 has not been challenged by the Respondent No.2. It is only the Appellant being aggrieved by the dismissal of the Appeal by the High Court on the ground of arbitration proceedings having not commenced within 90 days from the date of *ad-interim* injunction, is before this Court.

Supreme Court Reports

13. This Court, on 17.12.2024, while issuing notice to the Respondents had granted interim injunction in terms of Order dated 17.02.2024 of the Trial Court and continued it till the disposal of the Appeal.
14. The learned counsel for the Appellant submits that the arbitration proceedings commence on the date of receipt of notice given under Section 21 of the Act unless parties agree otherwise. The phrase commencement is defined under Section 21 of the Act, and it is also used in Section 9, 43(2) and 85(2) of the Act. In all these contexts, this Court has held that it is the date of receipt of notice under Section 21 that is determinative of the commencement of arbitration proceedings. Reliance is placed on ***Sundaram Finance Ltd. v. NEPC India Ltd.*¹, *Arif Azim Company Limited v. Aptech Limited*², *Milkfood Ltd. v. GMC Ice Cream (P) Ltd.*³, *Geo Miller and Company Private Limited v. Chairman, Rajasthan Vidyut Utpadan Nigam Limited*⁴**. He submits that the dispute between the brothers, who are partners of the Respondent No.1, have no bearing on the Franchise Agreement and in any case, it has been decided in favour of the Appellant by the High Court by the Impugned Judgment which has not been challenged by the Respondents either by filing an appeal or by cross-objections. The learned counsel further submits that the Respondent No.2 and other partners suppressed an agreement dated 09.10.2025 entered into between them by which they have decided to close the hotel in violation of this Court's interim order dated 17.12.2024.
15. The learned counsel for the Respondent No.2 submits that the Appellant's right in the management of the Hotel is limited to getting royalty payment of 5% each month along with taxes, while the Respondent No.1 retains and exercises direct management and control over the day-to-day operations of the Hotel, which was the duty Respondent No.5 has undertaken and despite completion of two years has not stepped down. The Respondent No.5 has not taken written consent of all the partners while signing the Franchise Agreement on behalf of the Respondent No.1. He submits that Section 21 of

1 (1999) 2 SCC 479

2 (2024) 5 SCC 313

3 (2004) 7 SCC 288

4 (2020) 14 SCC 643

**Regenta Hotels Private Limited v.
M/s Hotel Grand Centre Point and Others**

the Act is a deeming provision whereby the date of commencement of arbitral proceedings relates back to the date on which the notice invoking arbitration was received. Section 43(2) of the Act provides that an arbitration is deemed to have commenced from the date referred in Section 21 of the Act. Reliance is placed on ***State of Goa v. Praveen Enterprises***⁵, contending that the primary object of Section 21 of the Act is to determine the date of commencement of the arbitral proceedings to decide if claims were *ex-facie* time barred. The learned counsel further submits that “commencement” in Section 21 is not for the purpose of Section 9(2) of the Act but for Section 43, which explicitly mentions Section 21.

16. Having heard the learned counsels for the parties and upon perusal of material on record, it emerges that the finding as returned by the High Court with regard to the existence of Franchise Agreement dated 23.03.2019 is not challenged by the Respondent No.2 by way of cross-objection in this appeal nor is there any material on record to show that any other petition is filed in this regard. The said finding has thus attained finality to the effect that the consent of Respondent No.2 was there to the Franchise Agreement.
- 16(A). The only issue which concerns the present Appeal is whether the High Court was correct in holding that the Appellant has initiated arbitral proceedings after the expiry of 90 days period as prescribed under Section 9(2) of the Act, thereby resulting in automatic vacation of *ad-interim* injunction in terms of Rule 9(4) of the 2001 Rules.
17. Before delving into the jurisprudential foundation governing the commencement of the arbitral proceedings under the Act, let us reproduce the relevant provisions of the Act for convenience.
18. Sections 9, 21 and 43(2) of Act read as follows:

“9. Interim measures, etc., by Court.—(1) *A party may, before or during arbitral proceedings or at any time after the making of the arbitral award but before it is enforced in accordance with section 36, apply to a court—*

Supreme Court Reports

- (i) *for the appointment of a guardian for a minor or a person of unsound mind for the purposes of arbitral proceedings; or*
- (ii) *for an interim measure of protection in respect of any of the following matters, namely:—*
 - (a) *the preservation, interim custody or sale of any goods which are the subject-matter of the arbitration agreement;*
 - (b) *securing the amount in dispute in the arbitration;*
 - (c) *the detention, preservation or inspection of any property or thing which is the subject-matter of the dispute in arbitration, or as to which any question may arise therein and authorising for any of the aforesaid purposes any person to enter upon any land or building in the possession of any party, or authorising any samples to be taken or any observation to be made, or experiment to be tried, which may be necessary or expedient for the purpose of obtaining full information or evidence;*
 - (d) *interim injunction or the appointment of a receiver;*
 - (e) *such other interim measure of protection as may appear to the Court to be just and convenient,*

and the Court shall have the same power for making orders as it has for the purpose of, and in relation to, any proceedings before it.

(2) Where, before the commencement of the arbitral proceedings, a Court passes an order for any interim measure of protection under sub-section (1), the arbitral proceedings shall be commenced within a period of ninety days from the date of such order or within such further time as the Court may determine.

(3) Once the arbitral tribunal has been constituted, the Court shall not entertain an application under sub-section (1), unless the Court finds that circumstances exist which

**Regenta Hotels Private Limited v.
M/s Hotel Grand Centre Point and Others**

may not render the remedy provided under section 17 efficacious.

21. Commencement of arbitral proceedings.—*Unless otherwise agreed by the parties, the arbitral proceedings in respect of a particular dispute commence on the date on which a request for that dispute to be referred to arbitration is received by the respondent.*

43. Limitations.—(1) . . .

(2) For the purposes of this section and the Limitation Act, 1963 (36 of 1963), an arbitration shall be deemed to have commenced on the date referred in section 21.”

19. The jurisprudential foundation governing the commencement of arbitral proceedings under the Act stands on a principled and consistent line of authority emanating from this Court. In ***Sundaram Finance Ltd. (supra)***, this Court, while dealing with the issue as to whether a court has jurisdiction to pass interim orders under Section 9 of the Act even before the arbitral proceedings commence, has observed that reading of Section 21 of the Act clearly shows that the arbitral proceedings commence on the date on which a request for a dispute to be referred to arbitration is received by the respondent.
20. The contours of this principle were later given sharper precision in ***Milkfood Ltd. (supra)***, wherein a three-Judge Bench of this Court held that the Legislature has deliberately adopted the UNCITRAL Model Law’s formulation, whereby the arbitral proceedings commence upon respondent’s receipt of a request or notice that the dispute be referred to arbitration. The provisions under Section 21 of the Act are consistent with Article 21 of the Model Law of UNCITRAL. The Court further observed that the issuance of notice under Section 21 is required to be interpreted broadly and not for the purpose of limitation only but for other purposes also.
21. In ***Geo Miller (supra)***, this Court reaffirmed the principles of ***Milkfood Ltd. (supra)***, holding that for the purpose of determining which law applies or for computing limitation, the date of commencement is invariably the date on which the notice invoking arbitration is received by the respondent. The Court clarified that the procedural route adopted thereafter i.e., whether the parties agree on an arbitrator or whether a Section 11 petition becomes necessary, is irrelevant

Supreme Court Reports

to the date of commencement, which remains tethered exclusively to Section 21 of the Act.

22. In **Arif Azim (supra)**, a three-Judge Bench of this Court has consolidated and restated what is being held in **Milkfood Ltd. (supra)** and **Geo Miller (supra)**. The Court re-emphasized that the date on which the respondent receives a notice or request invoking arbitration is the moment at which the arbitral proceedings commence under Section 21 of the Act. It further clarified that a valid invocation requires the notice to articulate the dispute sought to be referred but once such notice is received, commencement is complete and effective for all legal purposes including limitation, maintainability of the Section 11 Petition and the legal efficacy of any pre-arbitral measures. The relevant portion in paras 88 to 91, are reproduced herein:

“88. Section 21 of the 1996 Act provides that the arbitral proceedings in relation to a dispute commence when a notice invoking arbitration is sent by the claimant to the other party:

‘21. Commencement of arbitral proceedings. — Unless otherwise agreed by the parties, the arbitral proceedings in respect of a particular dispute commence on the date on which a request for that dispute to be referred to arbitration is received by the respondent.’

89. In *Milkfood Ltd. v. GMC Ice Cream (P) Ltd.* [(2004) 7 SCC 288], it was observed thus : (SCC pp. 301-302 & 307, paras 26-27, 29 & 49)

‘26. The commencement of an arbitration proceeding for the purpose of applicability of the provisions of the Indian Limitation Act is of great significance. Even Section 43(1) of the 1996 Act provides that the Limitation Act, 1963 shall apply to the arbitration as it applies to proceedings in court. Sub-section (2) thereof provides that for the purpose of the said section and the Limitation Act, 1963, an arbitration shall be deemed to have commenced on the date referred to in Section 21.

**Regenta Hotels Private Limited v.
M/s Hotel Grand Centre Point and Others**

27. Article 21 of the Model Law which was modelled on Article 3 of the Uncitral Arbitration Rules had been adopted for the purpose of drafting Section 21 of the 1996 Act. Section 3 of the 1996 Act provides for as to when a request can be said to have been received by the respondent. Thus, whether for the purpose of applying the provisions of Chapter II of the 1940 Act or for the purpose of Section 21 of the 1996 Act, what is necessary is to issue/serve a request/notice to the respondent indicating that the claimant seeks arbitration of the dispute.

29. For the purpose of the Limitation Act an arbitration is deemed to have commenced when one party to the arbitration agreement serves on the other a notice requiring the appointment of an arbitrator. This indeed is relatable to the other purposes also, as, for example, see Section 29(2) of the (English) Arbitration Act, 1950.

49. Section 21 of the 1996 Act, as noticed hereinbefore, provides as to when the arbitral proceedings would be deemed to have commenced. Section 21 although may be construed to be laying down a provision for the purpose of the said Act but the same must be given its full effect having regard to the fact that the repeal and saving clause is also contained therein. Section 21 of the Act must, therefore, be construed having regard to Section 85(2)(a) of the 1996 Act. Once it is so construed, indisputably the service of notice and/or issuance of request for appointment of an arbitrator in terms of the arbitration agreement must be held to be determinative of the commencement of the arbitral proceeding.'

90. *Similarly, in BSNL v. Nortel Networks (India) (P) Ltd. [(2021) 5 SCC 738], it was held by this Court thus: (SCC p. 766, para 51)*

Supreme Court Reports

'51. The period of limitation for issuing notice of arbitration would not get extended by mere exchange of letters, [S.S. Rathore v. State of M.P., (1989) 4 SCC 582 : 1990 SCC (L&S) 50; Union of India v. Har Dayal, (2010) 1 SCC 394; CLP (India) (P) Ltd. v. Gujarat Urja Vikas Nigam Ltd., (2020) 5 SCC 185] or mere settlement discussions, where a final bill is rejected by making deductions or otherwise. Sections 5 to 20 of the Limitation Act do not exclude the time taken on account of settlement discussions. Section 9 of the Limitation Act makes it clear that: 'where once the time has begun to run, no subsequent disability or inability to institute a suit or make an application stops it'. There must be a clear notice invoking arbitration setting out the "particular dispute" [Section 21 of the Arbitration and Conciliation Act, 1996.] (including claims/amounts) which must be received by the other party within a period of 3 years from the rejection of a final bill, failing which, the time bar would prevail.'

91. *In the present case, the notice invoking arbitration was received by the respondent on 29-11-2022, which is within the three-year period from the date on which the cause of action for the claim had arisen. Thus, it cannot be said that the claims sought to be raised by the petitioner are ex facie time-barred or dead claims on the date of the commencement of arbitration."*

23. Upon perusal of the binding decisions of this Court and provisions of the Act, there is no doubt left with regard to the correct conceptualization of "commencement of arbitral proceedings" under the Act. The settled position as emerged is that the commencement of arbitral proceedings is a statutory event defined exclusively under Section 21 of the Act, wherein the respondent's receipt of a request to refer the dispute to arbitration sets the arbitral proceedings in motion and no judicial application i.e. whether under Section 9 or Section 11 petition, constitutes commencement. Therefore, the statutory consequences tied to commencement, including the mandate under Section 9(2) of the Act, must be assessed solely with reference to the date of receipt of request invoking arbitration under Section 21 of the Act.

**Regenta Hotels Private Limited v.
M/s Hotel Grand Centre Point and Others**

24. The contention of the Respondent No.2 that the commencement under Section 21 of the Act is only for the purpose of calculating limitation under Section 43(2) of the Act does not find force with us. Section 21 explicitly provides that arbitral proceedings commence on the date on which a request for dispute to be referred to arbitration is received by the respondent. In absence of any other provision providing for the date of commencement of the arbitral proceedings, Section 21 is to be construed to apply to all the provisions of the Act unless specifically provided as not applicable. The only exception that is carved out in Section 21 pertains to the arbitral agreement itself, providing that unless otherwise agreed by the parties, the date of commencement of arbitral proceedings must be from the date when notice or request invoking arbitration is received by the respondent. Therefore, as per the mandate of Section 9(2) of the Act, the arbitration proceedings shall commence within a period of ninety days from the date of such interim order or within such further time as the court may determine, and such commencement will be the date on which notice invoking arbitration is received by the respondent in consonance of Section 21 of the Act.
25. At this stage, it requires to be mentioned that the consequences flowing from the non-compliance of mandate under Section 9(2) of the Act are not provided for in the said Act. To fill in this gap reference is required to be made at this juncture to Rule 9 of 2001 Rules framed by the High Court as per the powers conferred on it under Section 82 of the Act, which reads as follows:

“Rule 9. Application for interim measure, etc.—

(1) When an application is made for an interim measure, under Section 9 of the Act, the Court shall in all cases, except where it appears that the object of granting the interim measure would be defeated by the delay, before passing the interim order, direct notice of the application to be given to the opposite party:

Provided that, where it is proposed to make an order by way of interim measure without giving notice of the application to the opposite party, the Court shall record the reasons for its opinion that the object of granting the interim measure would be defeated by delay, and require applicant.—

Supreme Court Reports

- (a) to deliver to the opposite party, or to sent to him by registered post, immediately after the order granting the interim measure has been made, a copy of the Application for interim order together with:
 - (i) a copy of affidavit filed in support of the application;
 - (ii) copies of documents on which the applicant relies;
- (b) to file, on the day on which such interim order is granted or on the day immediately following that day, an affidavit stating that the copies aforesaid have been so delivered or sent.

(2) Where an interim order has been granted without giving notice to the opposite party, the Court shall make endeavours to finally dispose of the Application within thirty days from the date on which the interim order was granted and where it is unable so to do, it shall record its reasons for such inability.

(3) In an application for interim measure filed under Section 9, before the commencement of the arbitral proceedings, the applicant shall specifically refer to the steps, if any, already taken to seek arbitration and that he is willing and prepared to take necessary steps with utmost expedition to seek reference to arbitration in terms of the Arbitration Agreement/Clause.

(4) In the case of an application for interim measure made before initiating arbitral proceedings, if the arbitral proceedings are not initiated within three months from the date of the presentation of the Application under Section 9, any interim order granted shall stand vacated without any specific order being passed by the Court to that effect.”

26. Upon the reading of Section 9 of the Act, it is evident that the said section does not provide for the consequences of non-compliance with its mandate of commencing arbitral proceedings within ninety days, however, the said vacuum stands statutorily filled through Rule 9(4) of the 2001 Rules. According to this Rule where an interim order has been granted on an application made under Section 9 of

**Regenta Hotels Private Limited v.
M/s Hotel Grand Centre Point and Others**

the Act but no arbitral proceedings are initiated within three months from the date of presentation of the application, the interim order shall stand vacated automatically.

27. It requires to be noted and mentioned here that Rule 9(4) employs the expression “initiated” whereas Section 9(2) uses the expression “commenced” in the context of arbitral proceedings. As per Concise Oxford English Dictionary (Eleventh Edition, Revised), the term “initiation” connotes the act of causing something to begin or taking the first step towards beginning a process, whereas “commencement” denotes the actual beginning of the process itself, which is a step further than mere initiation. Thus, linguistically, initiation precedes commencement and as per Rule 9(4) the initiation shall be within three months from the date of presentation of such application, which would be before the commencement as per Section 21 of Act and would ideally be the date on which the notice invoking arbitration is sent by a party. However, the expression “initiated” occurring in Rule 9(4) cannot be interpreted in isolation or in a manner divorced from the statutory context in which it appears. Rule 9 has been framed in aid of, and to give procedural effect to, Section 9 of the Act, and therefore the terminology employed therein must be construed harmoniously with the parent provision. If “initiation” in Rule 9(4) were to be understood as something short of “commencement” as contemplated under Section 21 of the Act, the mandate under Section 9(2) prescribing a strict timeline for commencement of arbitral proceedings would be rendered otiose and susceptible to circumvention. Consequently, for the purposes of Rule 9(4), the expression “initiated” has necessarily to be read as “commenced” within the meaning of Section 21 of the Act. It follows that upon failure to commence arbitral proceedings within three months, the period stipulated under Rule 9(4) of 2001 Rules attracts the consequence as provided therein, namely, the interim order shall stand vacated automatically.
28. In the case at hand, the High Court proceeded on the premise that since the petition under Section 11 was filed on 28.06.2024, beyond three months from the date of *ad-interim* Order dated 17.02.2024, the arbitral proceedings had not commenced within time. This view of the High Court rests on a misconception regarding the statutory scheme. The very frame of Section 21 provides that the Legislature has consciously delinked the commencement of arbitral proceedings from any judicial proceedings. This Court, in ***Milkfood Ltd. (supra)***

Supreme Court Reports

described this as a deliberate legislative choice modelled on the UNCITRAL framework, meant to ensure that the commencement of arbitral proceedings is clear and independent of procedural contingencies. The objective of this statutory scheme would be defeated if a court is permitted to substitute the date of commencement under Section 21 with the date of filing a Section 11 petition. Resort to the proceedings under Section 11 would be necessitated only in case there is refusal or no response to the notice under Section 21 of the Act.

29. The High Court in the Impugned Judgment conflates the trigger for arbitral proceedings with remedial mechanism made available when the respondent obstructs or declines to participate. The purpose of Section 21 is to specify the date of commencement of arbitral proceedings in order to determine whether a claim is barred by limitation and whether a party has complied with the requisite statutory or contractual time limit for initiation of arbitration. If the date of filing of the Section 11 petition is to be treated as the date of commencement of arbitral proceedings, as has been observed by the High Court in the Impugned Judgment, that would result into the displacement of commencement of arbitral proceedings as provided under Section 21 and would be contrary to the text and purpose of the Act. Such a position is impermissible as has been consistently held in the dicta of this Court from the decision in **Sundaram Finance Ltd. (supra)** to that in **Arif Azim (supra)**.
30. The rationale underlying Section 9(2) of the Act is that the arbitral proceedings shall be commenced within ninety days from the grant of interim protection. This prevents a party from abusing Section 9 to obtain interim protection without submitting to the arbitral forum and it also ensures that interim measures remain tied to the arbitration they are meant to support. If this safeguard is interpreted in a manner that contradicts the statutory definition of the commencement, to do so would allow courts to rewrite Section 21 *sub silentio*. If the commencement is to be construed from the date of filing of the petition under Section 11 of the Act, the statutory scheme insisting on expedition in commencing arbitration after the grant of interim protection under Section 9 would be rendered incoherent. The applicant could serve notice under Section 21 but still be held non-compliant until a Section 11 petition is filed, an interpretation which would be directly in contrast with the object and purpose of the Act.

**Regenta Hotels Private Limited v.
M/s Hotel Grand Centre Point and Others**

Permitting such an interpretation would mean that the parties would paradoxically be required to file the Section 11 petition to prevent the lapse of interim measures granted under Section 9 of the Act even when the respondent is cooperating, the contractual appointment procedure is underway, or even when the Section 21 notice has only recently been served. This is antithetical to the flexibility and autonomy provided in the Act.

31. The legal position as settled when applied to the present factual matrix yields a clear conclusion. The Trial Court passed the Order dated 17.02.2024 granting *ad-interim* injunction to the Appellant. The period of ninety days as provided under Section 9(2) of the Act would end on 17.05.2024. The Appellant served a notice invoking arbitration on 11.04.2024. The reply of Respondent No. 2 dated 23.04.2024 refusing to join in the appointment of an arbitrator entails that notice had indeed been received and understood as an invocation of the arbitral process by the Respondent No.2. Under Section 21 of the Act, the date of receipt of the notice is the date of commencement of arbitral proceedings. Even if 23.04.2024, the date on which the reply sent by the Respondent No.2, is taken to calculate the period of ninety days, as stipulated under Section 9(2) of the Act and the consequences thereof provided under Rule 9(4) of the 2001 Rules, the arbitral proceedings have commenced well within the time and way before expiry of such periods. The High Court, however, in the Impugned Judgment treated the date of filing of the Section 11 petition i.e. 28.06.2024 as the date of commencement of the arbitral proceedings resulting into the finding that *ad-interim* stay stood vacated and proceedings commenced after the expiry of ninety days period provided under Section 9(2) of the Act. This finding of the High Court cannot sustain as it is contrary to the objective and purpose of the Act. The arbitral proceedings, as commenced by the Appellant, is well within the statutory time frame provided under Section 9(2) of the Act and the rigor of Rule 9(4) of the 2001 Rules cannot be attracted to the Appellant.
32. Therefore, in the light of the above discussion and perusal of material on record, the Impugned Judgment of the High Court is set aside for being unsustainable in law. As a consequence thereof, the Order dated 01.10.2024 of the Trial Court vacating the *ad-interim* injunction also stands set aside, restoring the earlier Order dated 17.02.2024.

Supreme Court Reports

33. Before parting, it is essential that we request the High Court to expeditiously decide the Section 11 petition filed by the Appellant for appointment of the arbitrator on its own merits and in accordance with law, if already not decided. Nothing stated in this judgment will influence or prejudice the arbitral process in any manner.
34. The appeal is allowed in the above terms.
35. As the appeal stands allowed, we would not like to proceed as of now with the Contempt Petition (C) No.189 of 2025 as filed by the appellant and the same is disposed of at this stage.
36. There shall be no order as to costs.
37. Pending application(s), if any, stand disposed of.

Result of the case: Appeal allowed, Contempt Petition disposed of.

[†]Headnotes prepared by: Divya Pandey

The Property Company (P) Ltd.

v.

Rohinten Daddy Mazda

(Civil Appeal No. 92 of 2026)

07 January 2026

[J.B. Pardiwala* and R. Mahadevan, JJ.]

Issue for Consideration

Issue arose whether the Company Law Board-CLB, being a quasi-judicial body, could be said to have the power to condone the delay in filing an appeal u/s.58(3) of the Companies Act, 2013; that even if s.5 of the Limitation Act, 1963, per say, could not be applied to quasi-judicial bodies, whether the principles underlying s.5 of the 1963 Act be made applicable to an appeal u/s.58(3) of the 2013 Act, instituted before the CLB; and that whether s.433 of the 2013 Act, which was brought into force on 01.06.2016 in order to empower the NCLT and NCLAT respectively, to apply the provisions of the 1963 Act, could be given retrospective effect such that it applied to the CLB as well.

Headnotes[†]

Companies Act, 2013 – ss. 58(3), 433 – Refusal of registration and appeal against refusal – Power of the Company Law Board-CLB to extend time or condone delay u/s.58(3):

Held: Company Law Board-CLB, cannot condone the delay in filing an appeal u/s.58(3) of the Act since the provisions of the 1963 Act would only apply to suits, applications or appeals, as the case may be, which are made under any law to ‘courts’ and not to those made before quasi-judicial bodies or tribunals, unless such quasi-judicial bodies or tribunals are specifically empowered in that regard – Limitation Act, 1963. [Para 160 (iii)]

Companies Act, 2013 – ss.58(3), 433 – Limitation Act, 1963–ss.5, 14 – Refusal of registration and appeal against refusal– Power of the Company Law Board-CLB to extend time or condone delay u/s.58(3) – Respondent’s mother bequeathed the subject shares to the respondent through Will, of which

* Author

Supreme Court Reports

the respondent obtained probate – After 23 years, the respondent sought registration of the transmission of the shares – Appellant company refused such registration – As per s.111 of the “erstwhile Act-Companies Act, 1956, against such refusal the respondent was to file appeal within a period of two months, however, the respondent failed to take any action within the prescribed time period – Act of 2013 came into force, ss.111 and 111A of the erstwhile Act replaced by s.58 along with s.59 – Respondent filed appeal u/s.58 of the Act, 2013 before the CLB, along with an application u/Regn 44 seeking the condonation of delay of 249 days in preferring the appeal, which was allowed – Appeal thereagainst dismissed by the High Court – Issues before this Court: Company Law Board-CLB, being quasi-judicial body, if has the power to condone the delay in filing an appeal u/s.58(3) – Even if s.5 of the 1963 Act, per say, could not be applied to quasi-judicial bodies, the principles underlying s.5 of the 1963 Act, if can be made applicable to an appeal u/s.58(3), instituted before CLB – s.433 of the 2013 Act, brought into force on 01.06.2016 in order to empower the NCLT and NCLAT, to apply the provisions of the 1963 Act, if could be given retrospective effect such that it applied to the CLB as well:

Held: (i) Although the appeal u/s.58(3) preferred by the respondent was made under the new provision of the Act, 2013, yet the body/forum before which it was made *i.e.*, Company Law Board-CLB, was one constituted under the provisions of the erstwhile Act – According to s.10E(4C) of the erstwhile Act, the CLB was a court only in the restricted sense, there existed no express provision which empowered the CLB to apply the provisions of the Act, 1963 to the proceedings and appeals before itself.

(ii) Provisions of the 1963 Act-provisions that lay down a prescribed period of limitation as well as ss.4 to 24 of the 1963 Act, would only apply to suits, applications or appeals, as the case may be, which are made under any law to ‘courts’ and not to those made before quasi-judicial bodies or tribunals, unless such quasi-judicial bodies or tribunals are specifically empowered in that regard.

(iii) Power to extend time u/s.5 of the 1963 Act cannot be resorted to by statutory authorities, quasi-judicial bodies or tribunals, unless expressly indicated – When such authorities or bodies are deemed to be a court for certain limited or specified purposes, such a legal

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

fiction must not be extended beyond the purpose for which the fiction was created so as to confer powers u/s.5 of the 1963 Act as well.

(iv) Principles underlying s.14 of the 1963 Act could be applied to the provisions relating to quasi-judicial bodies, unless there is any express indication to the contrary in the wording and scheme of the said provision – However, there exists vital distinction between the principles underlying ss.5 and 14 of the 1963 Act respectively.

(v) Differences between the principles underlying ss.5 and 14 of the 1963 Act respectively are, the exercise of a discretionary power vested in the courts and the mandatory provision independent of any exercise of discretion; “sufficient cause” which term by itself is subject to a good amount of elasticity and the well-defined conditions which must be met; and the extension of time and the exclusion of time.

(vi) Principles underlying ss.5 and 14 of the 1963 Act respectively, cannot be analogously applied to proceedings before quasi-judicial bodies because in the former, the courts exercise their discretion in extending and more specifically, adjusting the prescribed period of limitation itself to create a fresh period of limitation – No entitlement as a matter of right arises *vis-à-vis* extension of time – Whereas, in the latter, the prescribed period of limitation remains intact, no delay is attributed to the litigant and the time during which the abortive proceeding was being prosecuted is expunged in the eyes of the law to place the litigant back or restore his position within the prescribed period of limitation wherein he is entitled to file the appeal or application, as the case may be, as a matter of right.

(vii) Mechanism envisaged u/s.5 of the 1963 Act is proximally bound and tethered to the discretion with which a civil court is empowered and that u/s.14 of the 1963 Act is anchored on restoring the right of a litigant to institute an appeal or application, as the case may be, within the prescribed period of limitation – Both provisions work in the interest of the litigant and seek to further the cause of substantive justice, however, the kind and nature of the power exercised under the two provisions, as well as the mechanism envisaged therein, are quite distinct – Moreover, the principles underlying ss.5 and 14 of the 1963 Act respectively also stand on a different footing for the reason that when the legislature has intended to grant powers of extension of time, the same has been expressly indicated either through the manner in which the concerned provision is phrased (more often than not through a proviso) or by the adoption of the

Supreme Court Reports

Act, 1963 through a separate provision to the special law as a whole (akin to s.433 of the 2013, Act).

(viii) Regn.44 of the CLB Regulations which saves the inherent power of the CLB would not enable the CLB to extend time for the filing of the appeal or the application itself, as the case may be.

(ix) Savings provision in the Act, 1963-s.29(2), is of no relevance when the special or local law deals with a suit, appeal or application, as the case may be, which is to be filed before a quasi-judicial body – Question whether a certain provision in a special or a local law expressly excludes the provisions of s.4 to 24 of the Act, 1963 respectively arises only in pursuance of the savings provision u/s.29(2) of the Act, 1963 – As a natural corollary, if s.29(2) is, by itself, inapplicable to a particular case then there would be no need to look into or analyse whether there is any express exclusion.

(x) Appeal u/s.58(3) of the Act, 2013 preferred before the CLB-quasi-judicial body are being dealt with, it cannot be said that the principles underlying s.5 of the Act, 1963 must be applied – s.29(2) of the Act, 1963 is, of no relevance and there arises no occasion to examine whether s.58(3) of the Act, 2013 “expressly excludes” the application of s.5 of the Act, 1963.

(xi) Simpliciter limitation period prescribed u/s.58(3) of the Act, 2013 must not be read to be merely directory – Presence of any additional pre-emptory language in the form of “but not thereafter” or “shall” would not always be necessary to convey that the prescribed period is mandatory.

(xii) s.433 of the Act, 2013 which empowers the NCLT and the NCLAT respectively to apply the provisions of the Act, 1963, as far as may be, to the proceedings and appeals before itself, cannot be borrowed to signify the existence of a similar power with respect to the CLB – Moreover, the remedy of the respondent was already time-barred before the coming into force of s.58(3) of the Act, 2013, let alone the coming into force of s.433 of the Act, 2013 – Hence, the change in law cannot enure to the benefit of the respondent.

Thus, the High Court erred in dismissing the statutory appeal filed u/s.10F of the erstwhile Act and thereby, affirming the order of the CLB condoning the delay of 249 days in filing the appeal u/s.58(3) of the Act, 2013 – Order passed by the High Court set aside – Company Law Board Regulations, 1991 – Regn 44 – Companies Act, 1956 – s.10F. [Paras 160, 161]

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

Companies Act, 2013 – Implementation of the provisions of the Act, 2013 in phases – Powers conferred upon the CLB – Discussed. [Paras 33-41]

Limitation Act, 1963 – ss.5 and 14 – Extension of prescribed period in certain cases – Exclusion of time of proceeding *bona fide* in court without jurisdiction – Difference between the principles underlying ss.5 and 14 – Explained. [Paras 66-93]

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Thirumalai Chemicals Limited v. Union of India and Others [2011] 4 SCR 838 : (2011) 6 SCC 739 – distinguished.

Smt. Nupur Mitra v. Basubani Ltd., 1999 SCC OnLine Cal 47; *Mackintosh Burn Ltd. v. Sarkar Chowdhury Enterprises P. Ltd.* 2015 SCC OnLine Cal 10466 – disapproved.

M.P. Steel Corporation v. Commissioner of Central Excise [2015] 7 SCR 291 : (2015) 7 SCC 58; *Canara Bank v. Nuclear Power Corporation of India Ltd.* [1995] 2 SCR 482: (1995) Supp. 3 SCC 81; *Lakshmi Narayan Guin v. Niranjan Modak* [1985] 2 SCR 202 : AIR 1985 SC 111; *Mardia Chemicals Ltd. v. Union of India* [2004] 3 SCR 982 : (2004) 4 SCC 311; *Gopal Sardar v. Karuna Sardar* [2004] 2 SCR 826 : (2004) 4 SCC 252; *Dilip v. Mohd. Azizul Haque & Anr.* [2000] 2 SCR 280 : (2000) 3 SCC 607; *H.V. Rajan v. C.N. Gopal & Ors.* (1975) 4 SCC 302; *Town Municipal Council, Athani v. Presiding Officer, Labour Courts, Hubli and Others* [1970] 1 SCR 51 : (1969) 1 SCC 873; *Kerala State Electricity Board, Trivandrum v. T.P. Kunhaliumma* [1977] 1 SCR 996 : (1976) 4 SCC 634; *Ganesan v. Commission, Tamil Nadu Hindu Religious and Charitable Endowments Board and Others* [2019] 7 SCR 102 : (2019) 7 SCC 108; *Shivamma (Dead) by LRs v. Karnataka Housing Board*, 2025 SCC OnLine SC 1969; *Consolidated Engineering Enterprises v. Principal Secretary, Irrigation Department and Others* [2008] 5 SCR

Supreme Court Reports

1108 : (2008) 7 SCC 169; Sakaru v. Tanaji [1985] Supp. 2 SCR 109 : (1985) 3 SCC 590; Sesh Nath Singh and Another v. Baidyabati Sheoraphuli Co-operative Bank Limited and Another [2021] 3 SCR 806 : (2021) 7 SCC 313; International Asset Reconstruction Company of India Limited v. Official Liquidator of Aldrich Pharmaceuticals Limited and Others [2017] 10 SCR 199 : (2017) 16 SCC 137; Simplex Infrastructure Limited v. Union of India [2018] 14 SCR 676 : (2019) 2 SCC 455; Fairgrowth Investments Ltd. v. Custodian [2004] Supp. 5 SCR 505 : (2004) 11 SCC 472; B.K. Educational Services Private Limited v. Parag Gupta and Associates [2018] 12 SCR 794 : (2019) 11 SCC 633; Basubani Private Ltd. and Anr. v. Nupur Mitra and Ors. (Civil Appeal Nos. 5063-5064 of 1999); Mackintosh Burn Ltd. v. Sarkar and Chowdhury Enterprises Private Limited [2018] 3SCR83 : (2018) 5 SCC 575 – referred to.

List of Acts

Companies Act, 1956; Company Law Board Regulations, 1991; Code of Civil Procedure, 1908; Limitation Act, 1963.

List of Keywords

Company Law Board-CLB; Quasi-judicial body; Power to condone delay in filing appeal; Retrospective effect; Refusal of registration and appeal against refusal; Power of Company Law Board.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 92 of 2026

From the Judgment and Order dated 16.12.2016 of the High Court at Calcutta in APO No. 222 of 2016

Appearances for Parties

Advs. for the Appellant(s):

Ms. Nina Nariman, Ramesh N. Keswani, Pranav Singal, Ravi Raghunath Vachher, Arjun Vachher, Samarth Suri, R. N. Keswani.

Advs. for the Respondent(s):

Ms. Meenakshi Arora, Sr. Adv., Indranil Ghosh, Ms. Sreya Basu Mallick, Plazer Moktan, Shuvashish Sengupta, Ankit Dey, Satya Mitra.

The Property Company (P) Ltd. v. Rohinten Daddy Mazda**Judgment / Order of the Supreme Court****Judgment****J.B. Pardiwala, J.**

For the convenience of exposition, this judgment is divided into the following parts:-

INDEX*

A. FACTUAL MATRIX	3
B. DECISION OF THE CLB	7
C. THE IMPUGNED DECISION	9
D. SUBMISSIONS OF THE PARTIES	16
I. Submissions on behalf of the appellant company	16
II. Submissions on behalf of the respondent	18
E. ISSUES FOR DETERMINATION	21
F. ANALYSIS	22
I. The implementation of the provisions of the Act, 2013 in phases and the powers conferred upon the CLB in the period between 12.09.2013 and 01.06.2016.	22
II. Whether the CLB, being a quasi-judicial body, could be said to have the power to condone the delay in filing an appeal under Section 58(3) of the Act, 2013?	25
a. The Act, 1963, per say, does not apply to quasi-judicial bodies – emphasis on the court as an institution.	25
b. Decisions of this Court as regards the application of Section 5 of the Act, 1963 to quasi-judicial bodies or tribunals	37
c. Whether the principles underlying certain provisions of the Act, 1963 could be made applicable to quasi-judicial bodies or tribunals.	42

* Ed. Note: Pagination as per the original Judgment.

Supreme Court Reports

i. The difference between the principles underlying Sections 5 and 14 of the Act, 1963 respectively	46
ii. The decision of this Court in International Asset Reconstruction Company of India Limited.	61
iii. Whether the CLB Regulations confer any discretionary power to the CLB to extend time or condone delay under Section 5 of the Act, 1963?	64
d. <i>How Section 58(3) of the Act, 2013 which is a simpliciter provision prescribing a limitation period, must be construed.</i>	67
III. Whether Section 433 of the Act, 2013 must be made retrospectively applicable or the change in law during the pendency of the appeal must be taken into account in the facts and circumstances of the present case?	80
G. CONCLUSION	93

1. Leave granted.
2. This appeal arises from the judgment and order dated 16.12.2016, passed by the High Court at Calcutta in A.P.O. No. 222/2016 (hereinafter, the “**impugned decision**”), by which the High Court dismissed the appeal filed by the appellant herein and thereby, affirmed the order passed by the Company Law Board, Kolkata Bench (hereinafter, the “**CLB**”) in C.A. No. 81 of 2014, condoning the delay of 249 days in filing the appeal under Section 58(3) of the Companies Act, 2013 (hereinafter, “**the Act, 2013**”) by the respondent herein.

A. FACTUAL MATRIX

3. The Property Company (P) Ltd. (hereinafter, the “**appellant company**”) is a private limited company having a total of 631 fully paid-up equity shares. Ms. Mehroo Mazda, the mother of Mr. Rohinten Daddy Mazda, (hereinafter, the “**respondent**”), is said to have been a shareholder, holding 20 shares of the appellant company (hereinafter, the “**subject shares**”). Ms. Mehroo Mazda had passed away on 22.07.1989, however, two years prior to her demise, she is said to

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

have bequeathed the subject shares to the respondent through her last will and testament dated 19.06.1987. Eventually, the respondent is also said to have obtained a probate of her will on 30.11.1990.

4. *Vide* letter dated 01.03.2013, i.e., after a gap of about 23 years from the date of obtaining the probate, the respondent's advocate had sent a notice to the appellant company seeking registration of the transmission of the subject shares. However, within a period of two months, *vide* communication dated 30.04.2013, the appellant company had replied to the aforesaid notice and refused such registration. It is pertinent to note that, during this period, it was Section 111 of the erstwhile Companies Act, 1956 (hereinafter, the "**Erstwhile Act**") which was in force. Sub-sections (2) and (3) respectively of Section 111 stipulated that the person giving intimation of the transmission of shares may prefer an appeal against such refusal before the CLB, but that this must be done within a period of two months from the receipt of the notice of refusal from the company. The said period of two months lapsed on 30.06.2013 and the respondent failed to take any action in this regard within the prescribed time period.
5. It is the case of the respondent that on or about 09.07.2013, the respondent who is a resident of London and a practising barrister, came to Kolkata and had held a conference with his advocates as regards the approach to be taken in the matter at hand, amongst others. As per his advocate's advice, *vide* communication dated 18.07.2013, yet another request was said to have been made to the appellant company to register the transmission of the subject shares. This communication is said to have also informed that the respondent would initiate appropriate legal action if the registration was not carried forward with. Thereafter, on or about 23.07.2013, the respondent is said to have departed from Kolkata.
6. Meanwhile, the Act, 2013 had replaced the Erstwhile Act and was published in the Official Gazette on 30.08.2013. However, not all provisions came into force on the said date. The Act, 2013 was implemented in a phased manner. Several provisions of the Act, 2013 had been brought into effect on 12.09.2013 and Section 58 along with Section 59 (which corresponds to Sections 111 and 111A of the erstwhile Act respectively) were amongst these provisions. In other words, as on 12.09.2013, Section 111 and 111A of the erstwhile

Supreme Court Reports

Act respectively, ceased to have any effect and was replaced by the new Sections 58 and 59 of the Act, 2013 respectively. The same was clarified *vide* Circular No. 16 of 2013 dated 18.09.2013 issued by the Ministry of Corporate Affairs, Government of India.

7. It would be apposite to mention that the appellant company afforded no reply to the aforesaid second communication dated 18.07.2013 sent by the respondent's advocates. Thereafter, the respondent is said to have returned to India during the second week of December, 2013 and also have instructed his advocates to proceed with taking appropriate legal recourse before a competent court of law.
8. In pursuance of the same, after a period of about five months from the second communication i.e., on 12.12.2013, the respondent's advocate forwarded a copy of the petition filed under Section 111A of the Erstwhile Act to the appellant company and presented the same before the Bench Officer, CLB, on the very next day i.e., on 13.12.2013. However, it seems that certain defects, including that the erstwhile Sections 111 and 111A respectively, had been replaced by the new Sections 58 and 59 respectively, were identified and the Bench Officer *vide* letter dated 16.12.2013 requested the same to be addressed and rectified within a period of 15 days.
9. The respondent thought fit to file a fresh petition instead of rectifying the defects as aforesaid and therefore, a fresh appeal under Section 58 of the Act, 2013 was filed before the CLB on 07.02.2014. The same came to be numbered as C.P. No. 31 of 2014. In the aforesaid appeal, the respondent had prayed for the following reliefs:

“(a) An order may be passed directing the respondent company to register the transfer/transmission of 20 equity shares in favour of the petitioner within a period of ten days;

(b) That an order may be passed to rectify the register of members of the respondent company and induct the same of the petitioner in place of the transferor in relation to the 20 shares in question and all benefits such as rights/bonus, etc. that have accrued thereupon since the date of purchase;

(c) Such orders as to the cost as may be deemed appropriate by the Hon'ble Bench;

(d) Such further directions as the Hon'ble Bench may be pleased to give,”

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

10. Along with the aforesaid appeal, the respondent also filed an application bearing C.A. No. 81 of 2014 under Regulation 44 of the Company Law Board Regulations, 1991 (hereinafter, the “**CLB Regulations**”) seeking the condonation of delay of 249 days in preferring the appeal under Section 58 of the Act, 2013.
11. Soon thereafter, on 04.03.2014, the appellant company filed an application praying to dismiss the C.P. No. 31 of 2014 as being barred under Order XXIII, Rule 1(4) of the Code of Civil Procedure, 1908 (hereinafter, the “**CPC**”) more particularly because the previous petition filed by the respondent on 13.12.2013 as regards the same subject-matter, had been abandoned by the respondent. *Vide* order dated 09.01.2015, the CLB held that the subsequent petition filed on 07.02.2014 under Section 58 of the Act, 2013 was maintainable because the earlier petition remained unregistered and un-numbered and therefore, the respondent could not be said to have abandoned his claim in choosing to file a fresh petition/appeal.
12. Aggrieved by the aforesaid order of the CLB, the appellant company filed an appeal before the High Court and the same came to be dismissed *vide* order dated 26.02.2015. The order of dismissal was further affirmed by this Court *vide* order dated 03.08.2015. In short, the order of the CLB holding that the subsequent petition filed under Section 58 of the Act, 2013, was maintainable, attained finality.

B. DECISION OF THE CLB

13. As far as the application made before the CLB for condonation of delay in filing the subsequent petition dated 07.02.2014 is concerned, the same was allowed *vide* order dated 27.05.2016 and the delay of 249 days was condoned. While allowing the aforesaid application, the CLB had observed the following:
 - (i) **First**, that the delay of 249 days primarily occurred owing to the fact that the respondent stayed in London and also because the earlier petition/appeal dated 13.12.2013 was filed under Section 111A of the erstwhile Act, which provision had ceased to have any effect post 12.09.2013.
 - (ii) **Secondly**, that the technical ground of delay in filing the company petition must not overshadow or come in the way of the registration of transmission of the subject shares despite the fact that probate was granted on 30.11.1990.

Supreme Court Reports

- (iii) **Thirdly**, that reasonable steps were taken by the respondent from the 2013 onwards to get the shares registered and in the interests of justice, the delay should be condoned.
- (iv) **Lastly**, considerable weight seems to have been placed on the fact that the underlying Company Petition bearing C.P. No. 31 of 2014 had been held to be maintainable and that the same was also affirmed by this Court.

The relevant observations are reproduced hereinbelow:

“5.1 Under the aforesaid facts and circumstances, it is clear that the Petitioner appears to have remained silent from 1990 till the beginning of 2013 and there is no explanation as to such inaction on the part of the petitioner for making request to the Respondent Company for transmission of 20 shares in his favour based on the probate of Will dated 30.11.1990. However, on 12.09.2013, new Section 58 of the Companies Act, 2013 has become effective and hence, the Petitioner was under obligation to initiate action for filing the Petition under Section 58 of the Companies Act, 2013 within the permissible time. However, due to his stay in London and procedural discussions/conferences and also, the Company Petition wrongly filed under section 111A of the Companies Act, 1956, delay has occurred for 249 days. Here, it is relevant to highlight that the Company petition has been held maintainable by this Hon’ble Board vide order dated 09.01.2015 in the matter of C.A. No.167/2014. Apart from this, it is also viewed that merely the technical ground of delay of 249 days in filing the petition should not come in the way of transmission of shares despite probate of Will. Therefore, in the broader perspective, I am of the considered opinion that the Petitioner has taken reasonable steps at least from 2013 onwards and the 20 shares under transmission need to be represented by the legal representative of the deceased member of the Company. As such, for the ends of justice, I hereby condone the delay of 249 days in filing the Company Petition No. 31 of 2014.”

C. THE IMPUGNED DECISION

14. It is pertinent to note that Section 434 of the Act, 2013 had come into force with effect from 01.06.2016 and sub-section 1(b) of Section 434

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

provided that any person who is aggrieved by any decision or order of the CLB made before 01.06.2016 may file an appeal, on any question of law, before the High Court, within 60 days of the date of communication of the decision of the CLB. Therefore, upon being aggrieved by the aforesaid order of the CLB dated 27.05.2016, on 22.07.2016, the appellant company preferred an appeal under Section 10F of the Erstwhile Act before the High Court.

15. It is also apposite to mention that, on 01.06.2016, Section 433 of the Act, 2013, which applied the provisions of the Limitation Act, 1963 (hereinafter, the “**Act, 1963**”) to proceedings or appeals before the National Company Law Tribunal (hereinafter, the “**NCLT**”) and the National Company Law Appellate Tribunal (hereinafter, the “**NCLAT**”), was brought into force. The said provision reads as under:

*“**433. Limitation.** – The provisions of the Limitation Act, 1963 (36 of 1963) shall, as far as may be, apply to proceedings or appeals before the Tribunal or the Appellate Tribunal, as the case may be.”*

16. The High Court in the impugned decision delved into the issue of whether the CLB lacked authority in receiving the appeal under Section 58 of the Act, 2013 beyond the time prescribed therein. *Vide* its order and judgement dated 16.12.2016, the High Court dismissed the appeal and thereby, upheld the order of the CLB by which the period of delay of 249 days was condoned. While doing so, the High Court discussed as follows:

- (i) **First**, it was acknowledged that under the provisions of the Erstwhile Act, the CLB would have the powers which are normally vested in a ‘Court’ only to the extent that Section 10E(4C) of the Erstwhile Act would allow. Therefore, it was a ‘court’ only in a restricted sense. Furthermore, it was stated that there cannot be any doubt that the provisions of Section 5 of the Act, 1963 would only be applicable to courts and not to any tribunal/quasi-judicial body including the CLB, unless such authorities are vested with the powers to condone delay. The decision of this Court in **M.P. Steel Corporation v. Commissioner of Central Excise** reported in (2015) 7 SCC 58 was discussed in this regard.
- (ii) **Secondly**, heavy reliance was placed on the decision of this Court in **Canara Bank v. Nuclear Power Corporation of India Ltd.**

Supreme Court Reports

reported in **(1995) Supp (3) SCC 81** and a decision rendered by the Division Bench of the Calcutta High Court in ***Smt. Nupur Mitra v. Basubani Ltd.*** reported in **(1999) SCC OnLine Cal 47**. It was stated that ***Nupur Mitra*** (*supra*) had held that in proceedings under Section 111 of the Erstwhile Act, the provisions of the Limitation Act would apply. This view of the Division Bench was also stated to have been affirmed by this Court when the matter was taken in appeal. Therefore, it was opined that the CLB could consider an application for condonation of delay as regards an appeal made under Section 58 of the Act, 2013 (which had replaced Section 111 of the Erstwhile Act) as well.

- (iii) ***Thirdly***, reference was made to the decision of a Single Judge of the Calcutta High Court in ***Mackintosh Burn Ltd. v. Sarkar Chowdhury Enterprises P. Ltd.*** reported in **2015 SCC OnLine Cal 10466** wherein it was observed that although Section 58(4) of the Act, 2013 sets certain time limits, yet the same should not be construed to mean that the CLB would be prevented from receiving an appeal thereunder beyond the stipulated period. The provision also does not explicitly prohibit the receipt of an appeal beyond the expiry of the time-limits indicated therein. Furthermore, it was stated that it has been judicially recognised that the principles contained in the Act, 1963 would be applicable to matters before the CLB.
- (iv) ***Lastly***, it was observed that a High Court exercising appellate jurisdiction would be required to take into consideration the change in law, if any, that may have occurred during the time the appeal is being decided. For this purpose, the decision of this Court in ***Lakshmi Narayan Guin v. Niranjan Modak*** reported in **AIR 1985 SC 111** was referred to. The change being alluded to in the present case was the coming into force of Section 433 of the Act, 2013 which expressly made the Act, 1963 applicable to proceedings before the NCLT and NCLAT respectively. It was also stated that an appeal is a continuation of the original proceedings and the order of the CLB, being subject to appeal, could not be said to have reached finality. Therefore, no right could be said to have vested in the appellant company such that they could prevent the application of the Act, 1963 to proceedings before the CLB despite the change in law in that regard.

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

17. The relevant observations made in the impugned decision are as under:

“Under the provisions of Companies Act, 1956, the Company Law Board (CLB) is a Court in a restricted sense. Under Section 10E (4C) of the Companies Act, 1956, the CLB would have powers under the Code of Civil Procedure, 1908 (5 of 1908) only in respect of the matters specified in Section 10E (4C) (a) to (f) of the Companies Act. The Company Law Board is a quasi-judicial authority to be guided by the principles of natural justice in exercise of its power and discharge its functions under the Companies Act, 1956 and it shall act in its discretion. There cannot be any doubt that the provisions of Section 5 of the Limitation Act would only be applicable to the Courts and not to any Tribunal, Quasi-Judicial bodies including CLB unless such authorities are vested with the power of enlargement. In M.P. Steel Corporation (supra), the Hon’ble Supreme Court after taking into consideration a large number of decisions held that a series of decisions of the Supreme Court have also clearly held that the Limitation Act applies only to Courts and does not apply to quasi-judicial bodies and the decision in Madan Lal Das & Sons reported at (1976) 4 SCC, 464, a three-Judge Bench of the Supreme Court is per incuriam as it was decided without advertent to either Parson Tools, (1975) 4 SCC 22 or other earlier judgments. Madan Lal case, therefore, is not an authority for the proposition that the Limitation Act would apply to tribunals as opposed to courts.

-xxx-

The three decisions of the Company Law Board relied upon by Mr. Saha does not appear to have taken into consideration the decision of the Hon’ble Supreme Court in Canara Bank Vs. Nuclear Power Corporation of India Ltd. & Ors. reported at 1995 (84) Comp Cas 70; 1995(Sup3) SCC 81 and a Division Bench Judgement of the Hon’ble High Court in Smt. Nupur Mitra & Anr. Vs. Basubani Pvt. Ltd. & Ors. reported at 1999 (2) CLT 264 where it has been clearly held that in the absence of a specific provision

Supreme Court Reports

covering application under Section 111, the residuary Article, namely, Article 137 would apply.

In Smt. Nupur Mitra (supra), the Hon'ble Division Bench relying upon a decision of the Hon'ble Supreme Court in Canara Bank (supra) held that in proceedings under Section 111 of the Act the provisions of the Limitation Act would apply. The judgment was taken in appeal wherein the Supreme Court after observing, "various contentions are raised on behalf of both the parties before us and, in particular on behalf of the appellants as regards the limitation and delay. The respondents in their petition have made out a prima facie case for condonation of delay and if necessary, the respondents may file such documents as permissible in law to get the delay condoned", directed the Company Law Board to hear the matter afresh. Thus, in view of the Supreme Court upholding the decision of the Calcutta High Court that the provisions of the Limitation Act are applicable to the proceedings under Section 111 of the Companies Act, the said decision was binding on the Company Law Board. If so, then the application for condonation of delay can be considered under Section 5 of the Limitation Act. In regard to the application of the Section, the settled law as propounded by the Supreme Court in a number of cases is that the term "sufficient cause" in Section 5 must receive liberal construction so as to advance substantial justice and generally delays in bringing the appeal are required to be condoned in the interest of justice where no gross negligence or deliberate inaction or lack of bona fides is imputable to the parties seeking condonation of delay. It may not be out of place to mention that in the case of Smt. Nupur Mitra (supra) the petition under Section 111 of the Act was filed nearly 50 years after the allotment of shares and the Company Law Board dismissed the Petition as time-barred. The order was set aside by the Division Bench of the Calcutta High Court, which decision was confirmed by the Supreme Court and the matter was remanded back to the Company Law Board for consideration afresh.

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

In Smt. Nupur Mitra (supra) in Paragraph 65 of the said report, the Hon'ble Division Bench considered the applicability of the Limitation Act and held:-

"65. Assuming that the Limitation Act, 1963 does apply, in the absence of a specific provision covering applications under Section 111, the residuary article namely Article 137 would apply. If the cause of action arose in 1996 as claimed by the appellants, the application under Section 111 having been filed in 1998 would be within time."

-xxx-

A Co-ordinate Bench in M/s Mackintosh Burn (supra) answered the said question in the manner following:-

"Section 58(4) of the Act permits an application though the exact word used is "appeal" to be filed by a person within the time stipulated in such provision. The provision is for the benefit of the transferees of shares in a public company and the time-limits are 60 days from the date of the refusal to register the transfer or 90 days of the delivery of the instrument for transfer to the company without any intimation as to its fate.

Though the provision sets the time-limits as above, nothing therein prevents the Company Law Board from receiving a petition or application thereunder beyond the stipulated period.

Since it is now judicially recognized that the principles contained in the Limitation Act, 1963 would be applicable to matters before the Company Law Board, irrespective of the use of the word "appeal" in the relevant provision, it would appear that the Company Law Board would have authority to receive a petition after the expiry of the specified period, by applying the principles of the Limitation Act as may be applicable. The question of law sought to be raised is of no consequence since the provision does not prohibit the receipt of a petition or application thereunder after the expiry of the time-limits indicated therein."

Moreover, the High Court in exercising an appellate jurisdiction is required to take into consideration the change

Supreme Court Reports

of law. In fact, the decisions cited by Mr. Saha in order to emphasize that the said change of law did not affect the pending proceeding supports the respondent more than the appellant. In Lakshminarayan Guin (supra), the Hon'ble Supreme Court had taken note of the change of law to extend protection to a tenant against eviction which was not available to the tenant when the original proceeding was instituted. The intention of the legislature to extend the benefit of such amendment to a tenant in the pending proceeding was manifest. The manifest intention with which Mr. Saha seeks to support the observation of the Hon'ble Supreme Court in Lakshminarayan Guin (supra) equally applies in the instant case as failure to apply such principle may cause manifest injustice and miscarriage of justice since by operation of law the petitioner is entitled to have his name recorded in the share register and the refusal to register the share in the name of the petitioner is patently illegal.

-xxx-

The very fact that an appeal is a continuation of proceedings and the order of CLB is subject to appeal and has not reached finality, therefore, no right appears to have been vested in the appellant in order to attract the mischief of affecting vested right, if there be any.

Under such circumstances, this Court finds no reason to interfere with the order passed by the Company Law Board. Since legal issue sought to be raised is devoid on merit ACO No.91 of 2016 and APO No.222 of 2016 are dismissed.

However, there shall be no order as to costs."

(Emphasis supplied)

D. SUBMISSIONS OF THE PARTIES

I. Submissions on behalf of the appellant company

18. Ms. Nina Nariman, the learned counsel appearing on behalf of the appellant company submitted, at the outset, that the impugned

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

decision fails to take into account the settled position of law that the Act, 1963 is not applicable to tribunals or quasi-judicial bodies. Therefore, the CLB acted without authority while condoning the delay of 249 days in filing the appeal under Section 58 of the Act, 2013.

19. It was submitted that Regulation 44 of the CLB Regulations saving the inherent powers of the CLB could not be said to empower it to circumvent the mandatory time-limit to file a petition provided in the statute and that the said regulation has no manner of application in the matter of condonation of delay in the instant case. The power of condonation has to be conferred specifically by the statute itself or by way of the statute adopting the provisions of the Act, 1963 akin to what has been provided for under Section 433 of the Act, 2013.
20. It was submitted that on the date on which the decision of the CLB was rendered, the provisions of Section 433 of the Act, 2013 had not come into force. They had come into force only w.e.f. 01.06.2016 i.e., four days after the CLB had passed its order. While it is conceded that the effect of the coming into force of Section 433 is that the NCLT would have the powers to condone delay in respect of “proceedings” or “appeals” before itself if sufficient cause is made out, the same cannot be imputed to the status of things which existed prior to 01.06.2016.
21. The counsel would also submit that an appeal under Section 58(3) of the Act, 2013 would be in the nature of an original proceeding and Section 5 of the Act, 1963 could not be said to confer any power upon a court or tribunal to condone delay in respect of a proceeding of original nature. It is only an “appeal” or an “application” in respect of which delay can be condoned.
22. She would submit that Section 58(3) of the Act, 2013 is analogous to Section 111(3) of the Erstwhile Act. The decision of this Court in **Canara Bank** (*supra*) had observed that the appeal by a shareholder instituted before the CLB under Sections 111(2) and 111(3) of the Erstwhile Act respectively, would be an ‘original application’ despite its nomenclature as an ‘appeal’. The counsel placed further reliance on the decisions of this Court in **Mardia Chemicals Ltd. v. Union of India** reported in (2004) 4 SCC 311 and **Gopal Sardar v. Karuna Sardar** reported in (2004) 4 SCC 252 to buttress her argument that proceedings would be of an original nature despite the use of the word “appeal” under the said provision.

Supreme Court Reports

23. The counsel would also submit that the impugned decision had misread the observations made by this Court in the order dated 14.09.1999 in Civil Appeal Nos. 5063-64 of 1999, by which this Court disposed of the appeal against the decision of the Calcutta High Court in ***Smt. Nupur Mitra*** (*supra*).
24. In such circumstances referred to above, the learned counsel prayed that there being merit in her appeal, the same may be allowed and the impugned decision of the High Court be set-aside.

II. Submissions on behalf of the respondent

25. On the other hand, Ms. Meenakshi Arora, the learned Senior Counsel appearing for the respondent would submit that the impugned decision correctly arrived at the conclusion that there was no negligence on the part of the respondent in filing the appeal before the CLB under Section 58 of the Act, 2013 and also that the application seeking condonation of delay was rightly allowed.
26. The counsel would submit that Section 58(3) of the Act, 2013 prescribes a period of 30 days from the date of the notice of refusal from the company or in case no such notice was obtained, then a period of 60 days from the date the instrument of transfer or intimation of transmission was delivered to the company, within which an appeal must be preferred to the CLB (now, NCLT) by the transferee.
27. The counsel drew a comparison with Section 34 of the Arbitration and Conciliation Act, 1996 to indicate that unlike the said provision, which uses the words “*but not thereafter*”, there was no indication under Section 58(3) that an appeal cannot be filed beyond the period of 30 or 60 days, as the case may be.
28. The counsel submitted that Section 29(2) of the Act, 1963 clearly provides that where any special or local law prescribes for any suit, appeal or application, a period of limitation different from that prescribed by the Schedule to the Act, 1963, then Section 3 of the Act, 1963 would apply as if such period indicated under the special or local law were the period prescribed by the Schedule. Therefore, for determining any period of limitation prescribed for a suit, appeal or application by any special or local law, the provisions contained in Sections 4 to 24 of the Act, 1963 respectively (both inclusive) would apply, only insofar as, and to the extent of which, they are not expressly excluded by such special or local law. In her view, even

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

before the coming into force of Section 433 of the Act, 2013, there was no express exclusion of the provisions of the Act, 1963 and therefore, the CLB could be said to have the power under Section 5 of the Act, 1963 to condone the delay in preferring the appeal under Section 58(3) of the Act, 2013.

29. The counsel placed heavy reliance on the decision of this Court in ***M.P. Steel*** (*supra*) wherein it was held that the principles of the Act, 1963 as contained Section 14 would apply to applications or appeals made before a quasi-judicial body/tribunal.
30. Even otherwise, it was submitted that since an appeal before the High Court under Section 10F of the Erstwhile Act would be a continuation of the original proceedings, the order of the CLB had not attained finality and the High Court was right in considering the change in law that was brought forth by the coming into force of Section 433 of the Act, 2013. Therefore, no right could be said to have been otherwise vested in the appellant company. In this regard, the counsel would refer to the decision of this Court in ***Lakshmi Narayan Guin*** (*supra*), ***Dilip v. Mohd. Azizul Haque & Anr.*** reported in (2000) 3 SCC 607 and ***H.V. Rajan v. C.N. Gopal & Ors.*** reported in (1975) 4 SCC 302.
31. In such circumstances as referred to above, the counsel prayed that there being no merit in this appeal, the same may be dismissed.

E. ISSUES FOR DETERMINATION

32. Having heard the learned counsel appearing for the parties and having gone through the materials on record, the following questions fall for our consideration:
 - I. Whether the CLB, being a quasi-judicial body, could be said to have the power to condone the delay in filing an appeal under Section 58(3) of the Act, 2013? In other words, even if Section 5 of the Act, 1963, per say, could not be applied to quasi-judicial bodies, whether the principles underlying Section 5 of the Act, 1963 be made applicable to an appeal under Section 58(3) of the Act, 2013, instituted before the CLB?
 - II. Whether Section 433 of the Act, 2013 which was brought into force on 01.06.2016 in order to empower the NCLT and NCLAT respectively, to apply the provisions of the Act, 1963, could be given retrospective effect such that it applied to the CLB as well?

Supreme Court Reports

F. ANALYSIS

I. The implementation of the provisions of the Act, 2013 in phases and the powers conferred upon the CLB in the period between 12.09.2013 and 01.06.2016.

33. In order to ensure a smooth transition into the new framework, the Act, 2013 was implemented in phases. Section 1 of the Act, 2013 came into force on 30.08.2013. Section 1, itself, indicated that different dates may be appointed for the coming into force of different provisions.
34. A group of 98 sections or parts thereof was brought into force on 12.09.2013. It is noteworthy to mention that Section 58 of the Act, 2013 formed a part of this group.
35. Much thereafter, on 01.06.2016, Chapter XXVII which contained several provisions relating to the constitution of the NCLT and NCLAT respectively and their powers, was brought into force. This included Section 433 as well.
36. In the period between 12.09.2013 and 01.06.2016, a mix of provisions i.e., certain provisions from the Erstwhile Act and certain provisions from the Act, 2013 held the field. In other words, when the new provisions were being brought into force in phases, the provisions of the Erstwhile Act were also being repealed in phases.
37. The facts and circumstances of the present matter are peculiar for the reason that the appeal under Section 58(3) of the Act, 2013 was filed during this period between 12.09.2013 and 01.06.2016. In other words, the Section 58(3) appeal was filed at a time when the NCLT and NCLAT had not yet been constituted. Therefore, although the appeal was made under the new provision of the Act, 2013, yet the body/forum before which it was made was one constituted under the provisions of the Erstwhile Act, i.e., the CLB.
38. Insofar as the CLB is concerned, Section 10E of the Erstwhile Act dealt with how it was to be constituted and the kind of powers that it could exercise. More particularly, Section 10E(4C) of the Erstwhile Act specifically stated that the CLB shall have the same powers which are otherwise vested in a Court trying a suit under the CPC, only in respect of certain specific matters which included the discovery and inspection of documents, examining witnesses on oath etc. In

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

respect of matters pertaining to limitation, there was no express provision which permitted the CLB to act in a manner similar to that of a court. The relevant provision is reproduced as under:

“(4C) Every Bench referred to in sub-section (4B) shall have powers which are vested in a Court under the Code of Civil Procedure, 1908 (5 of 1908), while trying a suit, in respect of the following matters, namely : -

(a) discovery and inspection of documents or other material objects producible as evidence ;

(b) enforcing the attendance of witnesses and requiring the deposit of their expenses ;

(c) compelling the production of documents or other material objects producible as evidence and impounding the same ;

(d) examining witnesses on oath ;

(e) granting adjournments ;

(f) reception of evidence on affidavits.”

39. It was only when an appeal was instituted before the High Court, by a person aggrieved by any decision or order of the CLB, that Section 10F of the Erstwhile Act, allowed the condonation of delay upon sufficient cause being shown. However, even this was capped for a further period not exceeding sixty days. In other words, the maximum period within which one could prefer an appeal before the High Court against an order of the CLB was 120 days (60 days + 60 days). Section 10F is reproduced as under:

“10F. APPEALS AGAINST THE ORDERS OF THE COMPANY LAW BOARD

Any person aggrieved by any decision or order of the Company Law Board may file an appeal to the High Court within sixty days from the date of communication of the decision or order of the Company Law Board to him on any question of law arising out of such order :

Provided that the High Court may, if it is satisfied that the appellant was prevented by sufficient cause from filing the

Supreme Court Reports

appeal within the said period, allow it to be filed within a further period not exceeding sixty days.”

(Emphasis supplied)

40. What is evident from the aforesaid is that, during the period between 12.09.2013 and 01.06.2016, it was the CLB which was the adjudicating authority even as regards a proceeding initiated under the new provisions of the Act, 2013. We deem it necessary to reemphasize that there was no provision either akin to or corresponding to Section 433 of the Act, 2013 which empowered the CLB to apply the Act, 1963 during this period between 12.09.2013 and 01.06.2016. The legislature had very consciously timed the coming into force of Section 433 of the Act, 2013 with that of the creation of the NCLT and NCLAT respectively, which unambiguously revealed their intention to not confer the CLB with any power insofar as the issue of limitation was concerned.
41. Therefore, it now becomes necessary for us to examine whether the Act, 1963 would apply to those quasi-judicial bodies which are not specifically or expressly empowered to apply the provisions of the Act, 1963. Even if this is answered in the negative, would it be permissible for us to accept the submission made by Ms. Arora that the principles underlying certain provisions of the Act, 1963 should nevertheless be made applicable to such quasi-judicial bodies?

II. Whether the CLB, being a quasi-judicial body, could be said to have the power to condone the delay in filing an appeal under Section 58(3) of the Act, 2013?

- a. **The Act, 1963, per say, does not apply to quasi-judicial bodies – emphasis on the court as an institution.**
42. In the absence of a specific provision in the special legislation which expressly extends the application of the Act, 1963 to proceedings before the concerned quasi-judicial body or the system of quasi-judicial bodies, the thumb rule is that the rules of limitation, not only those that seek to lay down a prescribed period but also those envisaged under Sections 4 to 24 respectively of the Act, 1963, would remain inapplicable to quasi-judicial bodies.
43. The crux of the underlying reasoning behind such a position is the reluctance and disinclination to apply those rules and principles

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

pertaining to limitation, to bodies to which it was not contemplated to have any application. This can be a double-edged sword at times, i.e., although the proceedings before these quasi-judicial bodies would be governed by their own prescribed period of limitation without any conflict with the timelines laid out in the Schedule to the Act, 1963 yet this would also mean that the other provisions included within Sections 4 to 24 respectively of the Act, 1963, which more often than not, come to the aid of the litigant, would remain inaccessible to persons pursuing remedies before quasi-judicial bodies.

44. This general and universal rule that the Act, 1963 only applies to ‘civil courts’ was expounded in the decision of this Court in ***Town Municipal Council, Athani v. Presiding Officer, Labour Courts, Hubli and Others*** reported in (1969) 1 SCC 873 which was concerned with applications made by workmen, before the Labour Court, under Section 33-C(2) of the Industrial Disputes Act, 1947. The aforesaid legislation did not expressly make the provisions of the Act, 1963 applicable to Labour Courts. However, one of the pleas raised was that the applications under Section 33-C(2) were time-barred in view of Article 137 of the Schedule to the Act, 1963. The aforesaid plea came to be rejected and a two-fold reasoning was assigned – (a) that the provisions of the Act, 1963, more specifically, Article 137, would only govern applications made under the CPC; and (b) At the very least, it was stated that Article 137 is only concerned with those applications which are presented to a “court” as understood in the strictest sense and not to quasi-judicial bodies. On the latter aspect, with which we are directly concerned, it was elaborated as follows:
- (i) **First**, that on a closer look at the Articles under the Third Division of the Schedule to the Act, 1963, which deals with ‘applications’, it is plainly evident that all these applications should be presented before a ‘court’. Even the applications as regards the Arbitration and Conciliation Act, 1996, which find mention in the Third Division, were to be presented before ‘courts’. Therefore, the determining factor would be whether the application is made before a court or not. In other words, it is the forum before which the application is made which ought to be given importance to. If it is a court then, there would be no restriction in applying the Articles contained in the third division for the purpose of limitation. However, if the application is made before a tribunal or a quasi-judicial body,

Supreme Court Reports

then the said Articles cannot be applied. To put it simply, *“the scope of the various articles in this division cannot be held to have been so enlarged as to include within them applications to bodies other than courts, such as a quasi-judicial tribunal, or even an executive authority”*.

- (ii) **Secondly**, the change in the long title of the Act, 1963 in comparison to the old Limitation Act, 1908 was taken note of. It was changed from *“an Act to consolidate and amend the law for the limitation of suits and for other purposes”* to *“An Act to consolidate and amend the law for the limitation of suits and other proceedings and for purposes connected therewith”*. It was opined that the addition of the word “other proceedings” in the long title, could not be said to necessarily imply that the Act, 1963 was now enlarged in scope to also govern proceedings before any authority, whether executive or quasi-judicial, in comparison to the old Limitation Act which was intended to govern proceedings before civil courts only. The purposes for which the Act, 1963 was enacted, in the opinion of this Court, could not be construed as having been fundamentally altered due to the change in the phrasing of the long title to the Act, 1963.

The relevant observations are thus:

“12. This point, in our opinion, may be looked at from another angle also. When this Court earlier held that all the articles in the third division to the schedule, including Article 181 of the Limitation Act of 1908, governed applications under the Code of Civil Procedure only, it clearly implied that the applications must be presented to a court governed by the Code of Civil Procedure. Even the applications under the Arbitration Act that were included within the third division by amendment of Articles 158 and 178 were to be presented to courts whose proceedings were governed by the Code of Civil Procedure. At best, the further amendment now made enlarges the scope of the third division of the schedule so as also to include some applications presented to courts governed by the Code of Criminal Procedure. One factor at least remains constant and that is that the applications must be to courts to be governed by the articles in this division. The scope of the various articles in this division

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

cannot be held to have been so enlarged as to include within them applications to bodies other than courts, such as a quasi-judicial tribunal, or even an executive authority. An Industrial Tribunal or a Labour Court dealing with applications or references under the Act are not courts and they are in no way governed either by the Code of Civil Procedure or the Code of Criminal Procedure. We cannot, therefore, accept the submission made that this article will apply even to applications made to an Industrial Tribunal or a Labour Court. The alterations made in the article and in the new Act cannot, in our opinion, justify the interpretation that even applications presented to bodies, other than courts, are now to be governed for purposes of limitation by Article 137.

13. Reliance in this connection was placed by learned counsel for the appellant primarily on the decision of the Bombay High Court in *P.K. Parwal v. Labour Court, Nagpur*. [1966 SCC OnLine Bom 99 : (1968) 70 Bom LR 104] We are unable to agree with the view taken by the Bombay High Court in that case. The High Court ignored the circumstance that the provisions of Article 137 were sought to be applied to an application which was presented not to a court but to a Labour Court dealing with an application under Section 33-C(2) of the Act and that such a Labour Court is not governed by any procedural code relating to Civil or Criminal Proceedings. That court appears to have been considerably impressed by the fact that, in the new Limitation Act of 1963, an alteration was made in the long title which has been incorrectly described by that court as preamble. Under the old Limitation Act, no doubt, the long title was “an Act to consolidate and amend the law for the limitation of suits and for other purposes”, while, in the new Act of 1963, the long title is “An Act to consolidate and amend the law for the limitation of suits and other proceedings and for purposes connected therewith”. In the long title, thus, the words “other proceedings” have been added; but we do not think that this addition necessarily implies that the Limitation Act is intended to govern proceedings before any authority, whether executive or

Supreme Court Reports

quasi-judicial, when, earlier, the old Act was intended to govern proceedings before civil courts only. It is also true that the preamble which existed in the old Limitation Act of 1908, has been omitted in the new Act of 1963. The omission of the preamble does not, however, indicate that there was any intention of the legislature to change the purposes for which the Limitation Act has been enforced. The Bombay High Court also attached importance to the circumstance that the scope of the new Limitation Act has been enlarged by changing the definition of "applicant" in Section 2(a) of the new Act so as to include even a petitioner and the word "application" so as to include a petition. The question still remains whether this alteration can be held to be intended to cover petitions by a petitioner to authorities other than Courts. We are unable to find any provision in the new Limitation Act which would justify holding that these changes in definition were intended to make the Limitation Act applicable to proceedings before bodies other than Courts. We have already taken notice of the change introduced in the third division of the Schedule by including references to applications under the Code of Criminal Procedure, which was the only other aspect relied upon by the Bombay High Court in support of its view that applications under Section 33-C of the Act will also be governed by the new Article 137. For the reasons we have indicated earlier, we are unable to accept the view expressed by the Bombay High Court; and we hold that Article 137 of the Schedule to the Limitation Act, 1963, does not apply to applications under Section 33-C(2) of the Act, so that the previous decision of this Court that no limitation is prescribed for such applications remains unaffected."

(Emphasis supplied)

45. The first leg of the two-fold reasoning adopted in ***Town Municipal Council, Athani*** (*supra*) came to be seriously doubted and the fate of applications made under other laws but before "courts" seemed to be in a limbo. More particularly, the question was whether applications made to courts under the provisions of other laws, apart from the CPC, would be included within the scope of the Act, 1963 or not.

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

46. The aforesaid confusion was resolved by the three-judge bench decision of this Court in **Kerala State Electricity Board, Trivandrum v. T.P. Kunhaliumma** reported in (1976) 4 SCC 634. Therein, the issue was whether Article 137 of the Act, 1963 would apply to a petition under Section 16(3) of the Indian Telegraph Act, 1885 claiming compensation against the Electricity Board, made before the District Judge. While reaching the conclusion that Article 137 of the Act, 1963 would apply to any petition or application filed under 'any Act' to a civil court and disagreeing with **Town Municipal Council, Athani** (*supra*) on this aspect, the Bench elucidated as follows:

- (i) **First**, that Article 137 of the Act, 1963 would include a petition or any application made under 'any Act' and cannot be strictly confined to applications made under the CPC. However, one must be cognisant in recognising that such an application under any other Act should be made before a 'court' as understood in the traditional sense. The reason being that Sections 4 and 5 of the Act, 1963 respectively speak of the expiry of the prescribed period when the 'court' is closed and also extension of the prescribed period if the 'court' is satisfied about the existence of sufficient cause in not preferring the appeal or application during the stipulated time period.
- (ii) **Secondly**, this Court delved into the aspect of the specific import of the words "District Judge" used in Section 16(3) of the Indian Telegraph Act, 1885. In other words, the attempt was to ascertain whether the aforesaid words would refer to a determination by the District Judge 'acting judicially as a court' or not. It was held that Section 16 contained intrinsic evidence to indicate that reference was being made to the 'court of the District Judge'. Therefore, it was concluded, that there existed no reason to withhold the application of Article 137.

The relevant observations are reproduced hereinbelow:

"18. The alteration of the division as well as the change in the collocation of words in Article 137 of the Limitation Act, 1963 compared with Article 181 of the 1908 Limitation Act shows that applications contemplated under Article 137 are not applications confined to the Code of Civil Procedure. In the 1908 Limitation Act there was no division between

Supreme Court Reports

applications in specified cases and other applications as in the 1963 Limitation Act. The words “any other application” under Article 137 cannot be said on the principle of ejusdem generis to be applications under the Civil Procedure Code other than those mentioned in Part I of the third division. Any other application under Article 137 would be petition or any application under any Act. But it has to be an application to a court for the reason that Sections 4 and 5 of the 1963 Limitation Act speak of expiry of prescribed period when court is closed and extension of prescribed period if applicant or the appellant satisfies the court that he had sufficient cause for not preferring the appeal or making the application during such period.

-XXX-

20. The provisions in the Telegraph Act which contemplate determination by the District Judge of payment of compensation payable under Section 10 of the Act indicate that the District Judge acts judicially as a court. Where by statutes matters are referred for determination by a court of record with no further provision the necessary implication is that the court will determine the matters as a court. (See National Telephone Co. Ltd. v. Postmaster-General [1913 AC 546 : 82 LJKB 1197 : 29 TLR 637]. In the present case the statute makes the reference to the District Judge as the Presiding Judge of the District Court. In many statutes reference is made to the District Judge under this particular title while the intention is to refer to the court of the District Judge. The Telegraph Act in Section 16 contains intrinsic evidence that the District Judge is mentioned there as the court of the District Judge. Section 16(4) of the Telegraph Act requires payment into the court of the District Judge such amount as the telegraph authority deems sufficient if any dispute arises as to the persons entitled to receive compensation. Again, in Section 34 of the Telegraph Act reference is made to payment of court fees and issue of processes both of which suggest that the ordinary machinery of a court of civil jurisdiction is being made available for the settlement of these disputes. Section 3(17) of the General Clauses Act states that the District Judge in any Act of

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

the Central Legislature means the judge of a principal civil court of original jurisdiction other than the High Court in the exercise of its original civil jurisdiction, unless there is anything repugnant in the context. In the Telegraph Act there is nothing in the context to suggest that the reference to the District Judge is not intended as a reference to the District Court which seems to be the meaning implied by the definition applicable thereto. The District Judge under the Telegraph Act acts as a civil court in dealing with applications under Section 16 of the Telegraph Act.

21. The changed definition of the words “applicant” and “application” contained in Sections 2(a) and 2(b) of the 1963 Limitation Act indicates the object of the Limitation Act to include petitions, original or otherwise, under special laws. The interpretation which was given to Article 181 of the 1908 Limitation Act on the principle of ejusdem generis is not applicable with regard to Article 137 of the 1963 Limitation Act. Article 137 stands in isolation from all other articles in Part I of the third division. This Court in Nityananda Joshi case has rightly thrown doubt on the two-Judge Bench decision of this Court in Athani Municipal Council case where this Court construed Article 137 to be referable to applications under the Civil Procedure Code. Article 137 includes petitions within the word “applications”. These petitions and applications can be under any special Act as in the present case.

22. The conclusion we reach is that Article 137 of the 1963 Limitation Act will apply to any petition or application filed under any Act to a civil court. With respect we differ from the view taken by the two-judge bench of this Court in Athani Municipal Council case [(1969) 1 SCC 873 : (1970) 1 SCR 51] and hold that Article 137 of the 1963 Limitation Act is not confined to applications contemplated by or under the Code of Civil Procedure. The petition in the present case was to the District Judge as a court. The petition was one contemplated by the Telegraph Act for judicial decision. The petition is an application falling within the scope of Article 137 of the 1963 Limitation Act.”

(Emphasis supplied)

Supreme Court Reports

47. Although the aforesaid two decisions of this Court were directly concerned with the application of Article 137 of the Schedule to the Act, 1963 to applications made before quasi-judicial bodies, yet they laid down a larger general rule regarding the scope and extent of application of the Act, 1963, as a whole, to tribunals or quasi-judicial bodies created by special laws; more particularly those laws, wherein no express provision seeking to apply the Act, 1963 to proceedings before the concerned quasi-judicial body/tribunal existed.
48. On a careful scrutiny, it can be culled out that the aspect which pre-occupied this Court in the aforementioned two decisions is the absolute necessity of the 'court' or the system of courts as envisaged in the Constitution which ought to be held as solely capable of applying the provisions of the Act, 1963. Therefore, notable and significant emphasis was placed on which institution/body is seeking to employ certain provisions of limitation or exercise the powers entrusted under the Act, 1963. The general rule, in this context, is a strict and unmalleable one i.e., it is only the courts which would concern itself with the provisions of the Act, 1963 unless expressly indicated otherwise in any special law governing quasi-judicial bodies.
49. This general rule was only bolstered through several landmark decisions which came subsequently. A three-judge bench of this Court in **Commissioner of Sales Tax, U.P., Lucknow v. Parson Tools and Plants, Kanpur** reported in (1975) 4 SCC 22 observed thus:

"9.[...] In view of these pronouncements of this Court, there is no room for argument that the Appellate Authority and the Judge (Revisions) Sales tax exercising jurisdiction under the Sales Tax Act, are "courts". They are merely Administrative Tribunals and "not courts". Section 14, Limitation Act, therefore, does not, in terms apply to proceedings before such tribunals."

(Emphasis supplied)

50. Several decisions that came subsequent to **Parson Tools** (*supra*) have also reinforced that the Act, 1963 could be applied to appeals or applications made to 'courts' only. Without engaging in the exercise of specifically referring to each of these decisions, we refer with profit to the decision of this Court in **M.P. Steel** (*supra*), wherein this issue was put to rest and it was stated as follows:

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

“19. [...] On a plain reading of the provisions of the Limitation Act, it becomes clear that suits, appeals and applications are only to be considered (from the limitation point of view) if they are filed in courts and not in quasi-judicial bodies.

-XXX-

21. [...] The question in this case is whether the Limitation Act extends beyond the court system mentioned above and embraces within its scope quasi-judicial bodies as well?

22. A series of decisions of this Court have clearly held that the Limitation Act applies only to courts and does not apply to quasi-judicial bodies. [...]”

(Emphasis supplied)

51. On a reading of the aforementioned decisions, it can be stated, without doubt, that the provisions of the Act, 1963 (provisions that lay down a prescribed period of limitation as well as Sections 4 to 24 of the Act, 1963 respectively) would only apply to suits, applications or appeals which are made under any law to ‘courts’ and not to those made before quasi-judicial bodies or tribunals, unless such quasi-judicial bodies or tribunals are specifically empowered in that regard.
52. This discussion which reveals that the application of the provisions of the Act, 1963 is “body/forum specific” would also be relevant in addressing a particular submission made by Ms. Arora - that Section 433 of the Act, 2013 which specifically empowers the NCLT and the NCLAT respectively to apply the provisions of the Act, 1963 to proceedings or appeals before itself, must be given retrospective effect such that it applies to the CLB as well. However, we shall deal with this submission, in the latter parts of our discussion.

b. Decisions of this Court as regards the application of Section 5 of the Act, 1963 to quasi-judicial bodies or tribunals

53. Insofar as the application of Section 5 of the Act, 1963 to quasi-judicial bodies is concerned, this Court has always indicated that the same can only be applied to ‘courts’. In ***Officer on Special Duty (Land Acquisition) and Another v. Shah Manilal Chandulal and Others*** reported in (1996) 9 SCC 414, this Court had categorically

Supreme Court Reports

held that Section 5 of the Act, 1963 cannot be resorted to by statutory authorities which are not 'courts'. Therein, this Court was concerned with whether the Collector or the Land Acquisition Officer could extend time.

54. It is interesting to note that in ***Officer on Special Duty*** (*supra*), a State amendment to the concerned provision clarified that the orders made by the Collector under that provision shall be subject to revision by the High Court and for that specific purpose, the Collector was to be considered to be a court subordinate to the High Court. In the impugned decision therein, this amendment was wrongly construed as conferring the Collector with the powers of a court even as regards Section 5 of the Act, 1963. This Court clarified that the aforesaid local amendment treated the Collector as a court only for a 'limited purpose' i.e., for the exercise of revisional jurisdiction and that this could not be conflated with the powers under Section 5 of the Act, 1963. The relevant observations are thus:

“4. The question, therefore, is: whether Section 5 of the Limitation Act would apply? The High Court relied upon sub-section (3) of Section 18 which was made by way of a local amendment, i.e., the Land Acquisition (Maharashtra Extension and Amendment) Act 38 of 1964 which reads thus:

“Any order made by the Collector on an application under this section shall be subject to revision by the High Court, as if the Collector were a Court subordinate to the High Court within the meaning of Section 115 of the Code of Civil Procedure, 1908.”

5. It would appear that the High Court of Gujarat has taken a consistent view that, by operation of sub-section (3), as the Collector was designated to be a court subordinate to the High Court under Section 115, Civil Procedure Code (for short “CPC”), Section 5 of the Limitation Act (26 of 1963) stands attracted. Though sub-section (3) of Section 18, by virtue of local amendments, treated the Collector as court for a limited purpose of exercising revisional jurisdiction under Section 115, CPC to correct errors of orders passed by the Collector under Section 18, he cannot

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

be considered to be a court for the purpose of Section 5 of the Limitation Act. Section 5 of the Limitation Act stands attracted only when LAO acts as a court.”

(Emphasis supplied)

55. Another decision of this Court in **Prakash H. Jain v. Marie Fernandes** (*supra*) reported in **(2003) 8 SCC 431** which was also concerned with the condonation of delay by a statutory authority, observed as follows:

- i. **First**, that while considering the issue of condonation of delay, one must look not only at the nature and character of the authority i.e., whether it is a court or not, but also pay careful attention to the nature of the powers already conferred upon such authorities, the scheme underlying the provisions of the concerned Act, the extent or the boundaries of the powers contained therein and especially take into account the intention of the legislature.
- ii. **Secondly**, there is no such thing as any inherent power to condone delay in filing any proceedings, unless specifically warranted and permitted by law, since reading such an inherent power would have the consequence of altering the rights accrued to a party under the concerned statute.
- iii. **Thirdly**, when a statutory authority is ‘deemed’ to be a court for certain limited and specific purposes, it must not be taken to mean that it would be a court for any and all other purposes as well. The legal fiction must be given full effect, however, it must not be extended beyond the purpose for which the fiction was created. Therefore, unless expressly indicated, such statutory authorities cannot be clothed with any power that is to be exercised under the Act, 1963.

The relevant observations are reproduced hereinbelow:

“10. We have carefully considered the submissions of the learned counsel appearing on either side. Questions of the nature raised before us have to be considered not only on the nature and character of the authority, whether it is court or not but also on the nature of powers conferred on such authority or court, the scheme underlying the provisions of the Act concerned and the nature of powers,

Supreme Court Reports

the extent thereof or the limitations, if any, contained therein with particular reference to the intention of the legislature as well, found expressed therein. There is no such thing as any inherent power of court to condone delay in filing proceedings before a court/authority concerned, unless the law warrants and permits it, since it has a tendency to alter the rights accrued to one or the other party under the statute concerned. [...]"

-xxx-

12. [...] but the various provisions under Chapter VIII unmistakably indicate that the competent authority constituted thereunder is not "court" and the mere fact that such authority is deemed to be court only for limited and specific purposes, cannot make it a court for all or any other purpose and at any rate for the purpose of either making the provisions of the Limitation Act, 1963 attracted to proceedings before such competent authority or clothe such authority with any power to be exercised under the Limitation Act. It is by now well settled by innumerable judgments of various courts including this Court, that when a statute enacts that anything shall be deemed to be some other thing the only meaning possible is that whereas the said thing is not in reality that something, the legislative enactment requires it to be treated as if it is so. Similarly, though full effect must be given to the legal fiction, it should not be extended beyond the purpose for which the fiction has been created and all the more, when the deeming clause itself confines, as in the present case, the creation of fiction for only a limited purpose as indicated therein. Consequently, under the very scheme of provisions enacted in Chapter VIII of the Act and the avowed legislative purpose obviously made known patently by those very provisions, the competent authority can by no means be said to be "court" for any and every purpose and that too for availing of or exercising powers under the Limitation Act, 1963.

13. The competent authority constituted under and for the purposes of the provisions contained in Chapter VIII of

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

the Act is merely and at best a statutory authority created for a definite purpose and to exercise, no doubt, powers in a quasi-judicial manner but its powers are strictly circumscribed by the very statutory provisions which conferred upon it those powers and the same could be exercised in the manner provided therefor and subject to such conditions and limitations stipulated by the very provision of law under which the competent authority itself has been created.”

(Emphasis supplied)

56. Viewing the facts and circumstances of the present case in light of the ratio of **Officer on Special Duty** (*supra*) and **Prakash H. Jain** (*supra*), it can be seen that the CLB was also to be treated as a court but for very limited purposes which were enumerated under Section 10E(4C) of the Erstwhile Act. Therefore, the powers conferred under Section 10E(4C) must neither be conflated with nor extended to encompass the powers which a court would otherwise exercise under Section 5 of the Act, 1963.
57. In yet another decision of this Court in **Om Prakash v. Ashwani Kumar Bassi** reported in (2010) 9 SCC 183, it was stated that the Rent Controller, being a creature of statute, would only be able to act in terms of the powers vested in him by the statute and would therefore, be incapable of entertaining an application under Section 5 of the Act, 1963 for the condonation of delay or extension of time. It was observed thus:

“24. [...] There is no specific provision to vest the Rent Controller with authority to extend the time for making of such affidavit and the application. The Rent Controller being a creature of statute can only act in terms of the powers vested in him by statute and cannot, therefore, entertain an application under Section 5 of the Limitation Act for condonation of delay since the statute does not vest him with such power.”

(Emphasis supplied)

58. The aforesaid decisions are direct authorities for the proposition that Section 5 of the Act, 1963 is not to be utilised by statutory bodies

Supreme Court Reports

or authorities for the purpose of extending time or condoning delay. However, since heavy reliance has been placed on the decision of this Court in ***M.P. Steel*** (*supra*) to submit that the principles underlying Section 5 of the Act, 1963 must nevertheless be made applicable to statutory authorities or quasi-judicial bodies, we must see if the decisions of this Court in ***Officer on Special Duty*** (*supra*), ***Prakash H. Jain*** (*supra*) and ***Om Prakash*** (*supra*) still hold good.

c. Whether the principles underlying certain provisions of the Act, 1963 could be made applicable to quasi-judicial bodies or tribunals.

59. We are aware that although the provisions of the Act, 1963 per say have been made inapplicable to applications or appeals before quasi-judicial bodies, yet the principles underlying the provisions of the Act, 1963, more specifically Section 14 thereof, have been made applicable to applications or appeals made before quasi-judicial bodies. This aspect of applying the principles underlying Section 14 of the Act, 1963 was discussed in ***Parson Tools*** (*supra*).
60. Although the decision in ***Parson Tools*** (*supra*) did not apply the principles underlying Section 14 of the Act, 1963 to the facts of their case, based on how the concerned provision i.e., Section 10 of the U.P. Sales Tax Act, 1948, was phrased, yet it left open the possibility for future decisions to apply the said principles where a contrary intention could not be inferred or culled out from the provision to which the principles underlying Section 14 was sought to be applied.
61. Subsequently, this Court in ***M.P. Steel*** (*supra*) took forward the idea that the principles underlying Section 14 of the Act, 1963 could be applied to a provision, unless a contrary intention appears from its wording. This was because the principles upon which Section 14 is based are those which advance the cause of justice. In the facts of that case, this Court permitted the application of the principles underlying Section 14 of the Act, 1963 to an appeal filed by the appellant under Section 128 of the Customs Act, 1962 and remanded the matter to the Commissioner (Appeals) for a decision on merits.
62. In the course of arriving at the said conclusion, ***M.P. Steel*** (*supra*) referred to a vital distinction between exclusion of time and condonation of delay, the former relating to Section 14 of the Act, 1963 and the latter relating to Section 5 of the Act, 1963. This

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

difference was discussed because the provision with which they were concerned i.e., Section 128 of the Customs Act, 1962, stated that time could not be 'extended' beyond a further period of three months. In examining whether the aforesaid stipulation would impede or qualify the application of the principles underlying Section 14 of the Act, 1963, it was stated that 'exclusion of time' is conceptually different from 'extension of time/condonation of delay' and it is only the latter for which the statute has prescribed an outer-limit of an additional period of three months. Therefore, as far as the exclusion of time under Section 14 was concerned, it could not be said that there was any upper-limit as such that was prescribed in the provision. The relevant observations made in **M.P. Steel** (*supra*) are reproduced as follows:

"43.[...] Also, the principle of Section 14 would apply not merely in condoning delay within the outer period prescribed for condonation but would apply de hors such period for the reason pointed out in Consolidated Engg. [(2008) 7 SCC 169] above, being the difference between exclusion of a certain period altogether under Section 14 principles and condoning delay. As has been pointed out in the said judgment, when a certain period is excluded by applying the principles contained in Section 14, there is no delay to be attributed to the appellant and the limitation period provided by the statute concerned continues to be the stated period and not more than the stated period. We conclude, therefore, that the principle of Section 14 which is a principle based on advancing the cause of justice would certainly apply to exclude time taken in prosecuting proceedings which are bona fide and with due diligence pursued, which ultimately end without a decision on the merits of the case."

(Emphasis supplied)

63. In contemplating whether the aforesaid decisions in **Parson Tools** (*supra*) and **M.P. Steel** (*supra*) which relate to applying the principles underlying Section 14 of the Act, 1963 to provisions which pertain to quasi-judicial bodies, could also be resorted to in the present case, we must take forward the distinction between Section 5 and Section 14 of the Act, 1963 respectively which was alluded to in **M.P.**

Supreme Court Reports

Steel (*supra*). This is because we are concerned with whether the principles underlying Section 5 of the Act, 1963, could be applied to provisions relating to quasi-judicial bodies in the same manner as that of Section 14.

64. The decision of this Court in **Ganesan v. Commission, Tamil Nadu Hindu Religious and Charitable Endowments Board and Others** reported in (2019) 7 SCC 108 was directly concerned with the applicability of Section 5 of the Act, 1963 to appeal proceedings before a statutory authority and also had the opportunity to look into the decision in **M.P. Steel** (*supra*). Despite this, **Ganesan** (*supra*) arrived at the conclusion that the ratio of **M.P. Steel** (*supra*) had no application to their case since it pertained to Section 14 and not Section 5 of the Act, 1963. Therefore, it refused to condone delay by briefly observing as follows:

“44. The two-Judge Bench in M.P. Steel Corpn. [M.P. Steel Corpn. v. CCE, (2015) 7 SCC 58 : (2015) 3 SCC (Civ) 510], however, held that the provisions of Section 14 would certainly apply. We in the present case are concerned only with applicability of Section 5 of the Limitation Act.”

65. The aforesaid approach taken in **Ganesan** (*supra*), by itself, is sufficient indication that the principles underlying Section 5 of the Act, 1963 cannot be applied to quasi-judicial bodies. However, to obviate any further confusion on this legal issue, we would like to take forward this conclusion arrived at in **Ganesan** (*supra*) a bit further and elucidate why the treatment as regards the principles underlying Sections 5 and 14 of the Act, 1963 respectively, must be different.

i. The difference between the principles underlying Sections 5 and 14 of the Act, 1963 respectively

66. Section 5 of the Act, 1963, with which we are directly concerned, reads thus:

“5. Extension of prescribed period in certain cases.—
Any appeal or any application, other than an application under any of the provisions of Order XXI of the Code of Civil Procedure, 1908 (5 of 1908), may be admitted after the prescribed period if the appellant or the applicant satisfies the court that he had sufficient cause for not preferring the appeal or making the application within such period.

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

Explanation. — The fact that the appellant or the applicant was misled by any order, practice or judgment of the High Court in ascertaining or computing the prescribed period may be sufficient cause within the meaning of this section."

67. The marginal note to Section 5 reads – "Extension of prescribed period in certain cases". Therefore, it is limpid that what the provision contemplates is the "extension" of the prescribed period of limitation and not the exclusion of it.
68. It is also well-established that the term "*sufficient cause*" under Section 5 must not be subject to undue rigidity and must be construed in a manner such that it can be contextualised in the facts and circumstances of each case. In other words, it must be kept sufficiently flexible and not be subject to an exhaustive set of circumstances or reasons. Courts must adopt a liberal and justice-oriented approach in assessing whether sufficient cause is made out. While there exists some outer boundaries within which the term "*sufficient cause*" must be construed, yet it is no doubt true that a significant amount of leeway is given to courts which are faced with an application under Section 5 of the Act, 1963 to ascertain whether the reasons assigned qualify the subjective test of the words "*sufficient cause*".
69. Furthermore, the use of the words "*may be admitted*" in the substantive part of the provision indicates that the power which is vested with the court to admit an appeal or an application after the prescribed period, upon sufficient cause being established, is discretionary in nature. There is not one but a two-layered exercise of discretion which is involved in a Section 5 application – i.e., *first*, in determining whether "sufficient cause" existed and when the same is answered in the affirmative, then, *secondly*, in assessing whether the case is a fit one for the extension of time/condonation of delay [See: **Shivamma (Dead) by LRs v. Karnataka Housing Board** reported in **2025 SCC OnLine SC 1969**]
70. In contradistinction, Section 14 of the Act, 1963 reads thus:

"14. Exclusion of time of proceeding bona fide in court without jurisdiction. — (1) In computing the period of limitation for any suit the time during which the plaintiff has been prosecuting with due diligence another civil proceeding, whether in a court of first instance or of appeal or revision, against the defendant shall be excluded, where

Supreme Court Reports

the proceeding relates to the same matter in issue and is prosecuted in good faith in a court which, from defect of jurisdiction or other cause of a like nature, is unable to entertain it.

(2) In computing the period of limitation for any application, the time during which the applicant has been prosecuting with due diligence another civil proceeding, whether in a court of first instance or of appeal or revision, against the same party for the same relief shall be excluded, where such proceeding is prosecuted in good faith in a court which, from defect of jurisdiction or other cause of a like nature, is unable to entertain it.

(3) Notwithstanding anything contained in rule 2 of Order XXIII of the Code of Civil Procedure, 1908 (5 of 1908), the provisions of sub-section (1) shall apply in relation to a fresh suit instituted on permission granted by the court under rule 1 of that Order, where such permission is granted on the ground that the first suit must fail by reason of a defect in the jurisdiction of the court or other cause of a like nature.

Explanation.—For the purposes of this section,—

(a) in excluding the time during which a former civil proceeding was pending, the day on which that proceeding was instituted and the day on which it ended shall both be counted;

(b) a plaintiff or an applicant resisting an appeal shall be deemed to be prosecuting a proceeding;

(c) misjoinder of parties or of causes of action shall be deemed to be a cause of a like nature with defect of jurisdiction.”

71. The marginal note to Section 14 reads – “Exclusion of time of proceeding bona fide in court without jurisdiction”. Therefore, at first blush, what becomes evident is that the provision is concerned with “exclusion” and not “extension”.
72. On a further reading of the aforesaid, one can see that there are certain well-defined pre-requisites that must be satisfied for a party

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

to take benefit of Section 14. Section 14(2) deals with computing the period of limitation for an application and the following are its requisite conditions – *First*, both the earlier and the subsequent proceedings must be civil proceedings; *Secondly*, both the earlier and the subsequent proceedings must be before a court; *Thirdly*, they must be between the same parties; *Fourthly*, they must be for the same relief; *Fifthly*, the previous proceedings must have been incapable of being entertained owing to a defect of jurisdiction or any other cause of a like nature; *Lastly*, the earlier proceedings must have been prosecuted with good faith and due-diligence.

73. Insofar as the second condition referred to above is concerned i.e., that both the earlier and the subsequent proceedings must be before a court, this Court in ***M.P. Steel*** (*supra*) clarified that the word “court” in Section 14 has now been expanded to include tribunals as well, but only insofar as the abortive proceeding is concerned. In other words, the application under Section 14 must still be made before a “civil court” or a court as understood in the traditional sense, but the time which is sought to be excluded may pertain to proceedings undertaken before a quasi-judicial forum. It was observed thus:

“34.[...] This Court made a distinction between “civil court” and “court” and expanded the scope of Section 14 stating that any authority or tribunal having the trappings of a court would be a “court” within the meaning of Section 14. It must be remembered that the word “court” refers only to a proceeding which proves to be abortive. In this context, for Section 14 to apply, two conditions have to be met. First, the primary proceeding must be a suit, appeal or application filed in a civil court. Second, it is only when it comes to excluding time in an abortive proceeding that the word “court” has been expanded to include proceedings before tribunals.”

(Emphasis supplied)

74. Another pertinent aspect under Section 14(2) is the use of the words “*shall be excluded*” which indicates that the provision is couched in mandatory language. Meaning thereby that, when the defined conditions or pre-requisites of Section 14(2) are satisfied, the court would be obligated to exclude the time concerned and it would not

Supreme Court Reports

be open for the court to disallow the Section 14(2) application for any ancillary reason.

75. What flows from this preliminary examination of Sections 5 and 14 of the Act, 1963 respectively, is that – *First*, one pertains to the exercise of a discretionary power vested in courts and the other is a mandatory provision independent of any exercise of discretion; *Secondly*, one refers to “sufficient cause” which term by itself is subject to a good amount of elasticity and the other has delineated well-defined conditions which must be met; and *Lastly*, one deals with the extension of time while the other is concerned with the exclusion of time.
76. One common aspect that cuts through both provisions is, of course, that both have been enacted to advance the cause of substantial justice. However, we must be mindful in equating, without distinction, the principles underlying Sections 5 and 14 of the Act, 1963 respectively and erasing the very apparent differences which exist between the two provisions.
77. In this context, it would be apposite to point out that a three-judge bench of this Court in ***Consolidated Engineering Enterprises v. Principal Secretary, Irrigation Department and Others*** reported in (2008) 7 SCC 169 indicated that the principles underlying Sections 5 and 14 of the Act, 1962 respectively, stand on a different footing. It was emphasized that while the power to excuse delay and grant extension of time under Section 5 is discretionary, the power to exclude time under Section 14 is mandatory when the necessary ingredients are fulfilled. Section 5 is much broader in scope because a multitude of reasons could constitute “sufficient cause” for the purpose of condonation or extension. The relevant observations are thus:

“28. Further, there is fundamental distinction between the discretion to be exercised under Section 5 of the Limitation Act and exclusion of the time provided in Section 14 of the said Act. The power to excuse delay and grant an extension of time under Section 5 is discretionary whereas under Section 14, exclusion of time is mandatory, if the requisite conditions are satisfied. Section 5 is broader in its sweep than Section 14 in the sense that a number of widely different reasons can be advanced and established to show that there was sufficient cause in not filing the

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

appeal or the application within time. The ingredients in respect of Sections 5 and 14 are different. The effect of Section 14 is that in order to ascertain what is the date of expiration of the “prescribed period”, the days excluded from operating by way of limitation, have to be added to what is primarily the period of limitation prescribed. [...].

(Emphasis supplied)

78. One might still take the view that the difference between extension and exclusion is only semantic. However, such a view would seriously misconstrue the plain language and intent underlying these two provisions. On the one hand, when the court extends time under Section 5, what essentially occurs is that the applicant is required to satisfy the court about the existence of a sufficient cause starting from the date on which limitation began till the actual date of filing. Upon being satisfied about the existence of sufficient cause, the court then extends the prescribed period of limitation itself till the date of filing of the appeal or application, as the case may be, such that the appeal or application is deemed to have been filed within limitation, under the eyes of law. In other words, the non-filing of the appeal or the application within prescribed period of limitation is only excused and the mandatory bar under Section 3 of the Act, 1963 is overcome by stretching out the prescribed period of limitation, through discretion, in the peculiar facts and circumstances of each case.
79. On the other hand, when the court is contemplating the exclusion of time under Section 14, the prescribed period of limitation continues to be unaltered. What happens is that, in computing the limitation period, the time during which the applicant was prosecuting the abortive proceeding is altogether excluded. This is substantiated by the observation of this Court in **M.P. Steel** (*supra*) that – “*when a certain period is excluded, by applying the principles contained in Section 14, there is no delay to be attributed to the appellant, and the limitation period provided by the statute concerned continues to be the stated period and not more than the stated period.*”
80. The effect of the exclusion is, therefore, that, the applicant or the appellant, as the case may be, is placed in a position wherein it is assumed that the abortive proceeding never even occurred in the first place. The law permits such an assumption if the ingredients under Section 14 are satisfied. There arises no question of stretching

Supreme Court Reports

out the prescribed period of limitation through discretion. It is as though the time during which the abortive proceeding was prosecuted is expunged in the eyes of law. Such an erasure is allowed also because no delay could be said to be attributed to the applicant or the appellant, as the case may be.

81. However, when an extension occurs under Section 5, the delay is, in clear terms, attributed to the applicant or the appellant, as the case may be. It is just that such a delay does not have the consequence of the application or the appeal being disallowed due to the mandate under Section 3 of the Act, 1963. The effect of Section 5 is that the period during which the sufficient cause persisted is not erased in the eyes of law; rather the prescribed period of limitation is discretionarily adjusted for the benefit of the litigant.
82. In simple terms, it could be said that, under Section 5, it is the limitation period itself which is being discretionarily extended; whereas, under Section 14, the clock is reversed and the litigant's position is restored to some specific date which is within the prescribed period of limitation. After being placed back within the prescribed period of limitation, the litigant would thereafter be "entitled" to file the appeal or application, as the case may be, as a "matter of right". There arises no such question of right insofar as the mechanism contemplated under Section 5 is concerned. Under Section 5, even after satisfying the court that sufficient cause existed, the litigant cannot claim the extension as a matter of right, since it is the exercise of discretion which is the decisive factor.
83. *To illustrate*, if the prescribed period of limitation for preferring some appeal/application is 180 days, and say, the litigant prefers the same appeal/application on the 300th day - Here, the effect of Section 5 would be that, if sufficient cause existed, the limitation period itself is extended such that it becomes 300 days. Now consider the same appeal/application for which the prescribed period of limitation is 180 days, and say, the applicant was prosecuting an abortive proceeding from the 120th day - Here, the effect of a Section 14 application would be that, if its pre-requisites are fulfilled, the clock is turned back and the applicant is placed, yet again, on the 120th day i.e., the date on which he could file the same appeal/application as a matter of right.
84. This nuanced distinction between extension and exclusion is relevant for our discussion on whether the principles underlying Sections

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

5 and 14 of the Act, 1963 could both be analogously applied to proceedings before quasi-judicial bodies because, as aforementioned, under Section 5, the courts exercise discretion in extending and more specifically, adjusting the prescribed period of limitation itself to create a fresh period of limitation. Whereas, insofar as Section 14 is concerned, the prescribed period of limitation remains intact. The mechanism envisaged under Section 5 is proximally bound and tethered to the discretion with which a civil court is empowered and that under Section 14 is anchored on restoring the right of a litigant to institute an appeal or application, as the case may be, within the prescribed period of limitation. This restoration is based on fixed and well-defined conditions which leaves no room for any exercise of discretion. In other words, Section 14 allows the litigant to file the appeal or the application, as the case may be, as a matter of right by reinstating him on a specific point in the timeline wherein he is entitled to exercise the said right, whereas Section 5 acknowledges that he may not be entitled as a matter of right to file the appeal or the application, as the case may be, but extends time in his favour due to some inherent discretion vested in civil courts.

85. Both provisions work in the interest of the litigant and seek to further the cause of substantive justice, however, the kind and nature of the power exercised under the two provisions, as well as the mechanism envisaged therein, are quite distinct.
86. Another key difference between Sections 5 and 14 of the Act, 1963 respectively was pointed out by the decision of this Court in **Sakuru v. Tanaji** reported in (1985) 3 SCC 590. While Section 14 pertains to “computation of the period of limitation”, Section 5 is a provision that comes into play once such a computation is already completed and the appeal or the application, as the case may be, is still beyond the prescribed period of limitation. To put it simply, the discretion to ‘extend’ time can only be contemplated once the process of computation (which includes ‘exclusion’ of time) is done with. The relevant observations are thus:

3. [...] The provisions relating to computation of the period of limitation are contained in Sections 12 to 24 included in Part III of the Limitation Act, 1963. Section 5 is not a provision dealing with “computation of the period of limitation”. It is only after the process of computation is

Supreme Court Reports

completed and it is found that an appeal or application has been filed after the expiry of the prescribed period that the question of extension of the period under Section 5 can arise.”

(Emphasis supplied)

87. Despite the differences delineated above, as a last resort, one could possibly cite the discussion undertaken by this Court in ***M.P. Steel*** (*supra*) whereby, Sections 6 and 14 of the Act, 1963 and their underlying principles were equated and it was stated that both can be analogously applied to quasi-judicial bodies. Moreover, one would also be right in pointing out that while Section 14 is a computation provision, Section 6 is not. In that context, the question would arise as to why the rationale adopted for Section 6 cannot be true for Section 5 as well?
88. We are of the view that there exist several identical features between Sections 6 and 14 of the Act, 1963 respectively and the same identity cannot be said to exist *vis-à-vis* Section 5. Section 6 which deals with “legal disability” is similar to Section 14 on several aspects – *First*, it is also a provision which envisages ‘exclusion of time’ and has nothing to do with extension of time. *Secondly*, the provision is also mandatory in nature and the use of the word “*may*” does not refer to the discretion granted to the court, but rather, the discretion given to the litigant to institute a suit or an application, as the case may be. *Thirdly*, it also indicates that after the period during which the legal disability persisted is excluded, the litigant is entitled to institute the suit or the application, as the case may be, as a “matter of right”. This is evident from the use of the words “*Where a person entitled..., as would otherwise have been allowed*”.
89. As we have explained in the preceding paragraphs, such points of identity does not exist *vis-à-vis* Section 5.
90. In light of all the aforesaid, it is our view that the discretionary power to adjust the period of limitation itself, must be specifically granted to the concerned quasi-judicial body or tribunal and there must be a reasonable indication from the language of the statute that such a discretion which is otherwise vested in civil courts, is also vested in the concerned quasi-judicial body. We can think of two ways in which this can be done:

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

- a. Through a proviso or a sub-section in the concerned section stating that the quasi-judicial body can extend time for filing the said appeal or application, as the case may be, upon the satisfaction that sufficient cause existed.

To illustrate, such a sub-rule or proviso may read thus - “provided that the Company Law Board may, if it is satisfied that the appellant was prevented by sufficient cause from filing the appeal within the said period, allow it to be filed within a further period not exceeding 60 days” or “...within a further period of 60 days” or “...within a period of 60 days but not thereafter”.

Courts have interpreted such provisions to confer a limited discretionary power to the quasi-judicial bodies to extend time. We say that it is limited because the exercise of such discretion is subject to an outer-limit (which is 60 days in our illustration). If no such outer-limit is prescribed, then the discretionary power to extend time would be unlimited.

- b. Through a separate provision within the scheme of the entire legislation stating that the quasi-judicial body would be able to apply the provisions of the Act, 1963 (akin to that of Section 433 of the Act, 2013).

To illustrate, such a separate provision may read thus – “The provisions of the Limitation Act, 1963 (36 of 1963) shall, as far as may be, apply to proceedings or appeals before the Company Law Board”.

Such a provision would have empowered the CLB to exercise the discretionary power to apply Section 5 of the Act, 1963. We say so also because, at present, the NCLT and NCLAT do exercise their discretionary powers to extend time, as regards proceedings and appeals before themselves, due to the coming into force of Section 433 of the Act, 2013. The only restriction to the exercise of such a discretion would be an outer-limit, if any, indicated by the concerned provision, owing to the use of the words “as far as may be” in provisions like Section 433 of the Act, 2013.

91. To obviate any confusion, we have noted that the phrase “as far as may be”, by itself, may not be sufficient to preclude the application

Supreme Court Reports

of Section 5 of the Act, 1963 altogether. The decision of this Court in **Sesh Nath Singh and Another v. Baidyabati Sheoraphuli Co-operative Bank Limited and Another** reported in **(2021) 7 SCC 313** provides some important clarification in that regard. Section 238-A of the Insolvency and Bankruptcy Code, 2016 (hereinafter, the “**IBC, 2016**”) is *pari materia* to that of Section 433 of the Act, 2013 and also employs the phrase “*as far as may be*”. In discussing the meaning of this expression, this Court pointed out that due to the existence of Section 238-A, the provisions of the Act, 1963, including that of Section 5, would apply to proceedings or appeals instituted under the IBC, 2016. In other words, the NCLT, NCLAT, DRT and DRAT respectively, could exercise their discretion to extend time insofar as the IBC, 2016 is concerned. The relevant observations are thus:

“56. For the sake of convenience, and to avoid prolixity and unnecessary repetition, all the aforesaid issues are dealt with together. Section 238-A IBC provides that the provisions of the Limitation Act shall, as far as may be, apply to proceedings before the adjudicating authority (NCLT) and Nclat.

57. It is well settled by a plethora of judgments of this Court as also different High Courts and, in particular, the judgment of this Court in B.K. Educational Services (P) Ltd. v. Parag Gupta & Associates [B.K. Educational Services (P) Ltd. v. Parag Gupta & Associates, (2019) 11 SCC 633 : (2018) 5 SCC (Civ) 528] NCLT/Nclat has the discretion to entertain an application/appeal after the prescribed period of limitation. The condition precedent for exercise of such discretion is the existence of sufficient cause for not preferring the appeal and/or the application within the period prescribed by limitation.”

(Emphasis supplied)

92. However, suppose the concerned provision already provides that delay can only be condoned within a maximum outer-limit, then such an outer-limit would have to be harmoniously read with the expression “*as far as may be*” to curtail the power to exercise discretion in condoning delay within that outer-limit.

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

93. In the absence of any legislative intent being evident in the form of (a) or (b), it would not be proper for us to take the view that the principles underlying Section 5 must apply to such bodies, even by analogy. The argument that the principles underlying Sections 6 or 14 of the Act, 1963 respectively, could be applied to quasi-judicial bodies is not sufficient reason to hold the same insofar as Section 5 of the Act, 1963 is concerned.

ii. The decision of this Court in International Asset Reconstruction Company of India Limited.

94. As indicated by us in the preceding paragraphs, whether the provisions of the Act, 1963 stand excluded and more particularly, whether there is an embargo on the application of Section 5 of the Act, 1963 must be examined conscientiously, keeping in mind the overall scheme of the Act in question and the intention of the legislature. The decision of a three-judge bench of this Court in ***International Asset Reconstruction Company of India Limited v. Official Liquidator of Aldrich Pharmaceuticals Limited and Others*** reported in (2017) 16 SCC 137 has shed light on how such an exercise is to be conducted. It dealt with the application of Section 5 of the Act, 1963 to an appeal before the Debt Recovery Tribunal (hereinafter, the “DRT”) under Section 30 of the Recovery of Debts and Bankruptcy Act, 1993 (hereinafter, the “Act, 1993”).
95. It would be apposite to mention that Section 24 of the same Act read as follows: “*The provisions of the Limitation Act, 1963 (36 of 1963), shall, as far as may be, apply to an application made to a Tribunal.*” Upon a cursory reading of the aforesaid Section 24, one might assume that it is similar to that of Section 433 of the Act, 2013. However, a deeper analysis would reveal that while Section 433 of the Act, 2013 applies to “*proceedings or appeals*” before the NCLT or the NCLAT, Section 24 of the Act, 1993 applies only to an “*application*” made before the DRT. This was a crucial point of difference which proved to be instrumental to the issue with which ***International Asset Reconstruction Company*** (*supra*) was faced with, because it related to an ‘appeal’ and not an application made before the DRT.
96. Since the general rule is that the Act, 1963 would not apply to quasi-judicial bodies or tribunals, unless expressly specified, this Court turned its attention to any indication within the statute which

Supreme Court Reports

could signal that Section 5 of the Act, 1963 was intended to be applied to ‘appeals’ made before the DRT as well. In doing so, it was observed thus:

“13. The RDB Act is a special law. The proceedings are before a statutory Tribunal. The scheme of the Act manifestly provides that the legislature has provided for application of the Limitation Act to original proceedings before the Tribunal under Section 19 only. The Appellate Tribunal has been conferred the power to condone delay beyond 45 days under Section 20(3) of the Act. The proceedings before the Recovery Officer are not before a Tribunal. Section 24 is limited in its application to proceedings before the Tribunal originating under Section 19 only. The exclusion of any provision for extension of time by the Tribunal in preferring an appeal under Section 30 of the Act makes it manifest that the legislative intent for exclusion was express. The application of Section 5 of the Limitation Act by resort to Section 29(2) of the Limitation Act, 1963 therefore does not arise. The prescribed period of 30 days under Section 30(1) of the RDB Act for preferring an appeal against the order of the Recovery Officer therefore cannot be condoned by application of Section 5 of the Limitation Act.”

(Emphasis supplied)

97. It was observed that the power as regards condonation of delay was given to the DRT *via* Section 24 only when an original ‘application’ was made under Section 19 of the said Act and to the Appellate Tribunal *via* Section 20(3) when an appeal was made before it under Section 20. On the contrary, insofar as ‘appeals’ made to the DRT under Section 30 were concerned, it was held that the exclusion of Section 5 of the Act, 1963 was manifestly express.
98. The decision in ***International Asset Reconstruction Company*** (*supra*) furthers the proposition which has been well-cemented over the years that, one must carefully inspect and scrutinise the scheme of the Act and the intention of the legislature before conferring the power to extend time or condone delay to quasi-judicial bodies or tribunals. The exercise must be rooted in vigilance and not haste.

The Property Company (P) Ltd. v. Rohinten Daddy Mazda**iii. Whether the CLB Regulations confer any discretionary power to the CLB to extend time or condone delay under Section 5 of the Act, 1963?**

99. In the facts and circumstances of the present case, the CLB seems to have traced its power to condone delay/extend time to Regulation 44 of the CLB Regulations. However, it is the submission of Ms. Nariman that the said regulation which saves the inherent powers of the CLB cannot be used to allow the circumvention of the mandatory time-limit prescribed for filing an appeal under Section 58 of the Act, 2013. Regulation 44 reads thus:

“44. Saving of inherent power of the Bench – Nothing in these rules shall be deemed to limit or otherwise affect the inherent power of the Bench to make such orders as may be necessary for the ends of justice or to prevent abuse of the process of the Bench.”

100. It is well-established that although the exercise of inherent powers are in addition to the powers specifically conferred on the concerned body or institution, yet such an exercise of power must be complementary to and not be in conflict with any express provision or be contrary to the intention of the legislature. It is only when a provision is silent as regards some procedural aspect that the inherent power can come to the aid of the parties. One must be careful in ascertaining when there is an unintentional silence and when there exists a deliberate omission.
101. Moreover, this Court in ***Prakash H. Jain (supra)*** has already unequivocally stated that there cannot be any inherent power to extend the period of limitation prescribed for the filing of any appeal or application.
102. One could argue that it is the same inherent power which is exercised by a quasi-judicial body or tribunal when it applies the principles underlying Section 14 of the Act, 1963. However, as we have already explained, the principles underlying Sections 5 and 14 of the Act, 1963, could not be said to be on the same footing.
103. With respect to the issue with which we are concerned, we have already established that when the legislature has intended for a quasi-judicial body or a tribunal to apply the provisions of the Act, 1963, more particularly, confer the power of ‘extension of time’, they

Supreme Court Reports

have indicated the same in some way or the other, in an express manner. Regulation 44 cannot be resorted to in order to confer a power upon the CLB which the legislature in their wisdom did not intend to confer.

104. To buttress this line of reasoning further, let us look at Regulations 25 and 43 of the CLB Regulations respectively:

“25. Hearing of petition – The Bench may, if sufficient cause is shown at any stage of the proceeding grant time to the parties or any of them and adjourn the hearing of the petition or the application. The Bench may make such order as it thinks fit with respect to the costs occasioned by such adjournment.

-XXX-

43. Enlargement of time – Where any period is fixed by or under these regulations or granted by a Bench, for the doing of any act, or filing of any documents or representation, the Bench, may, in its discretion, from time to time, enlarge such period, even though the period fixed by or under these regulations or granted by the Bench may have expired.”

105. Regulation 25 deals with the discretion given to the CLB to grant additional time on an altogether different aspect. It deals with granting time, upon showing that sufficient cause existed, for the ‘adjournment’ of a hearing of the petition or application, as the case may be. One must not conflate this with the power to enlarge or extend time for the filing of the petition or application itself with is dealt with by the Act, 2013.
106. This is precisely why Regulation 43 which deals with the enlargement of time has also carefully used the words *“Where any period is fixed by or under these regulations or granted by a Bench...”*. This makes it clearly evident that the discretion to enlarge time which is dealt with under the CLB Regulations pertain to those aspects which are dealt with under the CLB Regulations only or those otherwise granted by the Bench. They have no relation whatsoever with the prescribed period of limitation which governs the filing of the appeal or application under the Act, 2013 or its extension.
107. This discussion again goes to substantiate the view that, when the question is as regards the “extension of time” in the filing of an

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

appeal or application itself, before a quasi-judicial body, we must be careful to not overread between the silences and instead, must look at whether there is any express indication to that effect. Whenever and wherever the legislature deemed it fit, it has granted either a limited or an unlimited power to extend time.

d. How Section 58(3) of the Act, 2013 which is a simpliciter provision prescribing a limitation period, must be construed.

108. Section 58 of the Act, 2013 under which provision the respondent herein filed an appeal before the CLB, is reproduced as thus:

“58. Refusal of registration and appeal against refusal. —

(1) If a private company limited by shares refuses, whether in pursuance of any power of the company under its articles or otherwise, to register the transfer of, or the transmission by operation of law of the right to, any securities or interest of a member in the company, it shall within a period of thirty days from the date on which the instrument of transfer, or the intimation of such transmission, as the case may be, was delivered to the company, send notice of the refusal to the transfer or and the transferee or to the person giving intimation of such transmission, as the case may be, giving reasons for such refusal.

(2) Without prejudice to sub-section (1), the securities or other interest of any member in a public company shall be freely transferable:

Provided that any contract or arrangement between two or more persons in respect of transfer of securities shall be enforceable as a contract.

(3) The transferee may appeal to the Tribunal against the refusal within a period of thirty days from the date of receipt of the notice or in case no notice has been sent by the company, within a period of sixty days from the date on which the instrument of transfer or the intimation of transmission, as the case may be, was delivered to the company.

(4) If a public company without sufficient cause refuses to register the transfer of securities within a period of thirty

Supreme Court Reports

days from the date on which the instrument of transfer or the intimation of transmission, as the case may be, is delivered to the company, the transferee may, within a period of sixty days of such refusal or where no intimation has been received from the company, within ninety days of the delivery of the instrument of transfer or intimation of transmission, appeal to the Tribunal.

(5) The Tribunal, while dealing with an appeal made under sub-section (3) or sub-section (4), may, after hearing the parties, either dismiss the appeal, or by order—

(a) direct that the transfer or transmission shall be registered by the company and the company shall comply with such order within a period of ten days of the receipt of the order; or (b) direct rectification of the register and also direct the company to pay damages, if any, sustained by any party aggrieved.

(6) If a person contravenes the order of the Tribunal under this section, he shall be punishable with imprisonment for a term which shall not be less than one year but which may extend to three years and with fine which shall not be less than one lakh rupees but which may extend to five lakh rupees.”

109. Section 58(1) of the 2013 Act deals with a scenario wherein, a private company limited by shares, refuses to register the transfer or the transmission of the right to any securities or the interest of a member in the company, in favour of the transferee. This refusal may be in pursuance of any power of the company under its articles or otherwise. Such a refusal by the company must be made within a period of thirty days from the date on which the instrument of transfer or the intimation of such transmission, was delivered to the company. This refusal must be in the form of a reasoned notice, made either to the transferor and the transferee, or to the person giving intimation of the transmission to the company.
110. Section 58(3) is of particular significance to the present matter. It discusses the mechanism which must be adopted or the further course of action available to a transferee who is aggrieved by the decision of private company refusing to register the transfer or transmission of shares. According to Section 58(3), the transferee has to prefer

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

an appeal before the NCLT (or the CLB during the period between 12.09.2013 and 01.06.2016) against the refusal of the company, within a period of thirty days from the date of receipt of the notice of refusal. In case no notice of refusal has been sent by the company, then the transferee has to prefer an appeal within a period of sixty days from the date on which the instrument of transfer or intimation of transmission was delivered to the company.

111. The entire question of how a particular provision of a special statute must be construed, for the purposes of limitation, directly arises as a consequence of the savings provision in the Act, 1963, which reads thus:

“29. Savings. – [...] (2) Where any special or local law prescribes for any suit, appeal or application a period of limitation different from the period prescribed by the Schedule, the provisions of section 3 shall apply as if such period were the period prescribed by the Schedule and for the purpose of determining any period of limitation prescribed for any suit, appeal or application by any special or local law, the provisions contained in sections 4 to 24 (inclusive) shall apply only in so far as, and to the extent to which, they are not expressly excluded by such special or local law.”

112. Section 29(2) states that, if any special or local law prescribes a certain period of limitation for any suit, appeal or application, as the case may be, which is different from that of the Schedule to the Act, 1963, then it is that period of limitation under the special or local law which must be looked into and not those periods which are prescribed under the Schedule to the Act, 1963. Through a deeming fiction, the period prescribed under that special or local law is considered to be that which is prescribed under the Schedule to the Act, 1963 for the purpose of application of Section 3 of the Act, 1963.
113. Moving further, apart from ascertaining what would be the prescribed period of limitation, more often than not, the question is also whether Section(s) 4 to 24 (both inclusive) of the Act, 1963 could be made applicable to that specific provision in the special or local law. For this purpose, one must examine whether the special or local law expressly excludes the application of Sections 4 to 24 of the Act, 1963.

Supreme Court Reports

114. For example, take Section 34(3) of the Arbitration and Conciliation Act, 1996 with which this Court in ***Consolidated Engineering*** (*supra*) was concerned with. Ms. Arora has also laid particular emphasis on Section 34(3) of the Arbitration and Conciliation Act, 1996 to drive home her submission that there is no indication under Section 58(3) of the Act, 2013 which expressly excludes the application of Section 5 of the Act, 1963. Therefore, we deem it fit to explain the rationale underlying our reasoning using the same provision and it is reproduced as follows:

“(3) An application for setting aside may not be made after three months have elapsed from the date on which the party making that application had received the arbitral award or, if a request had been made under section 33, from the date on which that request had been disposed of by the arbitral tribunal:

Provided that if the Court is satisfied that the applicant was prevented by sufficient cause from making the application within the said period of three months it may entertain the application within a further period of thirty days, but not thereafter.”

(Emphasis supplied)

115. In the said provision, the prescribed period of limitation for filing an application to set aside an arbitral award is three months. Therefore, if looked at from the lens of Section 29(2) of the Act, 1963, it would mean that instead of applying Article 137 of the Schedule to the Act, 1963 which prescribes a three-year limitation period, one must give priority to the period so specifically prescribed by the legislature under the special act, which is three months.
116. The proviso to Section 34(3) then states that, upon sufficient cause being shown, the application to set aside an arbitral award could be entertained within a further period of thirty days but not thereafter. In light of the language used, what then has to be determined is whether any provision within Sections 4 to 24 of the Act, 1963 was expressly excluded.
117. A reading of the proviso to Section 34(3) reveals that the application of Section 5 of the Act, 1963 has been restricted or rather, curtailed to

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

an outer-limit of thirty days by the use of the phrase “*within a further period of thirty days but not thereafter*”. In other words, in Section 34(3) of the Arbitration and Conciliation Act, 1996, Section 5 of the Act, 1963 which pertains to extension of time upon the showing of sufficient cause, is only applicable to a limited extent and is confined to that thirty-day additional period. The same was buttressed in the decision of this Court in ***Simplex Infrastructure Limited v. Union of India*** reported in (2019) 2 SCC 455.

118. However, insofar as Section 14 of the Act, 1963 was concerned, this Court in ***Consolidated Engineering*** (*supra*) held that it has not been expressly excluded by Section 34(3) of the Arbitration and Conciliation Act, 1996 and could apply to its fullest extent i.e., even without any outer-limit.
119. What the aforesaid example indicates is that the question of whether a certain provision in a special or a local law expressly excludes the provisions of Section 4 to 24 of the Act, 1963 arises only in pursuance of the savings provision under Section 29(2) of the Act, 1963. As a natural corollary, if Section 29(2) is, by itself, inapplicable to a particular case then there would be no need to look into or analyse whether there is any express exclusion.
120. This Court in ***Ganesan*** (*supra*) has unequivocally held that Section 29(2) of the Act, 1963 only relates to those provisions in the special or local law which deal with suits, applications or appeals, which are to be filed before a ‘court’. Therefore, when a special or a local law deals with the filing of a suit, application or appeal, as the case may be, before quasi-judicial bodies or tribunals, the savings provision in Section 29(2) of the Act, 1963 does not have any relevance. The relevant observations are reproduced hereinbelow:

“60.1. The applicability of Section 29(2) of the Limitation Act is with regard to different limitations prescribed for any suit, appeal or application when to be filed in a court.

60.2. Section 29(2) cannot be pressed in service with regard to filing of suits, appeals and applications before the statutory authorities and tribunals provided in a special or local law. The Commissioner while hearing of the appeal under Section 69 of the 1959 Act is not entitled to condone

Supreme Court Reports

the delay in filing appeal, since, provision of Section 5 shall not be attracted by strength of Section 29(2) of the Act.”

(Emphasis supplied)

121. **M.P. Steel** (*supra*) had also indicated that which was subsequently laid down in **Ganesan** (*supra*) and stated that the special or local law referred to in Section 29(2) of the Act, 1963 must concern itself with a suit, application or appeal of the nature described in the Schedule to the Act, 1963 i.e., those that are filed before ‘courts’. Therefore, Section 29(2) would not get attracted when the suit, application or appeal referred to in the special law relates to those which are made before quasi-judicial bodies. The relevant observations are thus:

“33. [...] A bare reading of this section would show that the special or local law described therein should prescribe for any suit, appeal or application a period of limitation different from the period prescribed by the Schedule. This would necessarily mean that such special or local law would have to lay down that the suit, appeal or application to be instituted under it should be a suit, appeal or application of the nature described in the Schedule. We have already held that such suits, appeals or applications as are referred to in the Schedule are only to courts and not to quasi-judicial bodies or tribunals. It is clear, therefore, that only when a suit, appeal or application of the description in the Schedule is to be filed in a court under a special or local law that the provision gets attracted.[...]”

(Emphasis supplied)

122. In the example which we had discussed, the provision in the special law i.e., Section 34(3) of the Arbitration and Conciliation Act, 1996, was one which dealt with an application to be made before a ‘court’. It fell within the scope of Section 29(2) of the Act, 1963 and therefore, one could indulge with the aspect of express exclusion with respect to Section 34(3) of the Arbitration and Conciliation Act, 1996.
123. In the present case, we need not undertake any exhaustive examination as to whether Section 58(3) of the Act, 2013 expressly excludes the application of Section 5 of the Act, 1963 because of the non-application of Section 29(2) of the Act, 1963. The non-application

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

of Section 29(2) of the Act, 1963 is in turn owing to Section 58(3) of the Act, 2013 being concerned with an appeal which is to be made before a quasi-judicial body and not before a 'court'.

124. The general rule as regards any appeal or application filed before a 'court' is that the provisions of the Act, 1963 would apply, unless indicated otherwise. This is precisely why one enters into the debate of "express exclusion". However, the reverse is the general rule insofar as quasi-judicial bodies or tribunals are concerned i.e., that the provisions of the Act, 1963 do not apply, unless indicated otherwise. Therefore, the focus would shift to whether there is any "express inclusion" rather than an "express exclusion". An exception to this shift in focus, or in other words, a reason why one would still look at whether sections 4 to 24 of the Act, 1963 is "expressly excluded" is when the argument that the principles underlying certain provisions of the Act, 1963, like Section 6 or 14 must be made applicable to quasi-judicial bodies, succeeds or is being considered. This was the situation in *Parson Tools* (*supra*) and *M.P. Steel* (*supra*). However, we have assigned elaborate reasons as to why we are not inclined to apply the principles underlying Section 5 of the Act, 1963 to quasi-judicial bodies or tribunals. Therefore, there arises no occasion for us to explore this aspect of express exclusion.
125. In light of the aforesaid, we find no merit in the submission put forth by Ms. Arora that even before the coming into force of Section 433 of the Act, 2013, there was no express exclusion of the provisions of the Act, 1963 and therefore, the CLB could be said to have the power under Section 5 of the Act, 1963 to condone the delay in preferring the appeal under Section 58(3) of the Act, 2013. The absence of express exclusion, by itself, cannot be said to have conferred the CLB with the power to condone delay.
126. Having said the above, the next question which arises is regarding how the simpliciter limitation period prescribed under Section 58(3) of the Act, 2013, must be construed? To answer this, we find it apposite to bring forth certain observations made by this Court in *Fairgrowth Investments Ltd v. Custodian* reported in (2004) 11 SCC 472. The relevant observations are thus:

"9. We are of the view that the provision prescribing a time-limit for filing a petition for objection under Section 4(2) of the Act is mandatory in the sense that the period prescribed

Supreme Court Reports

cannot be extended by the court under any inherent jurisdiction of the Special Court. Prescribed periods for initiating or taking steps in legal proceedings are intended to be abided by, subject to any power expressly conferred on the court to condone any delay. Thus the Limitation Act, 1963 provides for different periods of limitation within which suits, appeals and applications may be instituted or filed or made as the case may be. It also provides for exclusion of time from the prescribed periods in certain cases, lays down bases for computing the period of limitation prescribed and expressly provides for extension of time under Section 5 in respect of certain proceedings. If the periods prescribed were not mandatory, it was not necessary to provide for exclusion or extension of time in certain circumstances nor would the method of computation of time have any meaning.

10. Section 4(2) of the Act plainly read simply requires a person objecting to a notification issued under sub-section (2) of Section 3 to file a petition raising such objections within 30 days of the issuance of such notification. The words are unequivocal and unqualified and there is no scope for reading in a power of court to dispense with the time-limit on the basis of any principle of interpretation of statutory provisions. In R. Rudraiah v. State of Karnataka [(1998) 3 SCC 23] it was contended on behalf of the appellants that Section 48-A of the Karnataka Land Reforms Act, 1961 which provided for the making of an application within a particular period should be construed liberally in favour of tenants so that the period was to be read as extendable. The submission was rejected on the ground that the language of Section 48-A was unambiguous and could not be interpreted differently only on the ground of hardship to the tenants.

11. The mere fact that the Special Court may have been imbued with the same status of a High Court would not alter the situation. We are of the view that it was not necessary for Section 4(2) of the Act to use additional peremptory language such as "but not thereafter" or "shall" to mandate that an objection had to be made within 30

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

days. The mere use of the word “may” in Section 4(2) of the Act does not indicate that the period prescribed under the section is merely directory. The word “may” merely enables or empowers the objector to file an objection. The language in Section 4(2) of the Act may be compared with Sections 4 and 6 of the Limitation Act, 1963. Section 4 of the Limitation Act provides:

“4.Expiry of prescribed period when court is closed.—Where the prescribed period for any suit, appeal or application expires on a day when the court is closed, the suit, appeal or application may be instituted, preferred or made on the day when the court reopens.”

Certain sub-sections of Section 6 of the Limitation Act also provide for the period within which a minor or insane or an idiot may institute suits. It cannot be contended that the word “may” in these sections indicates that the prescribed periods were merely directory. This Court in Mangu Ram v. Municipal Corpn. of Delhi [(1976) 1 SCC 392 : 1976 SCC (Cri) 10] described statutory provisions of periods of limitation as “mandatory and compulsive” and also said: (SCC p. 397, para 7)

“It is because a bar against entertainment of an application beyond the period of limitation is created by a special or local law that it becomes necessary to invoke the aid of Section 5 (of the Limitation Act) in order that the application may be entertained despite such bar.”

12.If the power to condone delay were implicit in every statutory provision providing for a period of limitation in respect of proceedings before courts, Section 29(2) of the Limitation Act, 1963 would be rendered redundant. We will discuss the scope and applicability of Section 29(2) in greater detail subsequently.”

(Emphasis supplied)

127. What we understand from the aforesaid observations in **Fairgrowth** (*supra*), is that:

Supreme Court Reports

- i. **First**, the prescribed periods for the initiation or taking of any steps in pursuance of legal proceedings, even insofar as the traditional civil courts are concerned, are generally intended to be abided by. If in case all prescribed periods were not mandatory and only directory, then there would have been no necessity to provide for the exclusion or the extension of time under the Act, 1963 under certain circumstances and the method of computation of time would also not have any meaning.
 - ii. **Secondly**, it is only after considering the mandatory nature of the prescribed periods that the civil court is empowered under Section 5 of the Act, 1963 to condone delay. If the said provision were not present then even civil courts would not have had the power to condone delay. Hence, any quasi-judicial body or tribunal which otherwise does not fall within the ambit of Section 5 of the Act, 1963 and which is also not specifically empowered to condone delay, cannot extend time under the notion that the prescribed period is only directory.
 - iii. **Thirdly**, when the provision, in a plain, unequivocal and unqualified manner, states that something must be done within a said period of time, there would be no scope to read in any ancillary power to dispense with the said time-limit. The existence of any additional pre-emptory language in the form of “*but not thereafter*” or “*shall*” would not be necessary to convey the mandate of the prescribed period.
 - iv. **Lastly**, the mere use of the word “*may*”, in all situations, would not indicate that a period prescribed is merely directory. In a lot of contexts, the word “*may*” has been used to indicate the option available to a certain person to file an application, appeal or objection. To put it simply, it could just signify that someone would be enabled or empowered to do something.
128. Section 58(3) of the Act, 2013 uses the expression “*The transferee may appeal to the Tribunal*”. As elucidated in **Fairgrowth** (*supra*), we are also of the view that the use of this word does not directly give rise to any inference that the limitation period prescribed therein is only directory.
129. Therefore, the respondent herein must have preferred his appeal under Section 58(3) of the Act, 2013 before the CLB, strictly within the time-limit prescribed therein.

The Property Company (P) Ltd. v. Rohinten Daddy Mazda**III. Whether Section 433 of the Act, 2013 must be made retrospectively applicable or the change in law during the pendency of the appeal must be taken into account in the facts and circumstances of the present case?**

130. As indicated previously, Section 433 of the Act, 2013 was brought into force w.e.f 01.06.2016 i.e., from the same date on which the NCLT and the NCLAT respectively came to be constituted. In the phased manner of implementation of the provisions of the Act, 2013, such a decision to time the coming into force of Section 433 in a way that coincides with the creation of the NCLT and NCLAT respectively, was clear and conscious. This, by itself, is a good indication to steer away from the retrospective application of Section 433 in favour of the CLB.
131. Further, in the course of our initial discussion on whether the provisions of the Act, 1963 could, per say, be said to apply to quasi-judicial bodies, we had also indicated that the jurisprudence surrounding the application of the Act, 1963 is body/institution specific. In other words, the first step in approaching all such matters is to see whether the concerned body could be said to be a 'civil court' or not. If answered in the negative, then the endeavour is to figure out whether that body has been specifically empowered to apply the provisions of the Act, 1963. The general rule insofar as quasi-judicial bodies or tribunals are concerned, is that the provisions of the Act, 1963 do not apply unless indicated otherwise. Therefore, "express inclusion" as we had indicated earlier, must be present.
132. It is in this background that we are of the view that Section 433 which empowers the NCLT and the NCLAT respectively to apply the provisions of the Act, 1963, as far as may be, to proceedings and appeals before itself, cannot be borrowed to signify the existence of a similar power with respect to the CLB. Although much of what the CLB was doing earlier is being done by the NCLT presently, both are different bodies, created at different times and endowed with different powers.
133. We had also contemplated on whether the period between 12.09.2013 and 01.06.2016 should be treated differently and whether the powers exercised by the NCLT by virtue of Section 433 of the Act, 2013 must be extended to the CLB during this specific window of time. However, the scheme of the Act, 2013 and the manner in which it was implemented leaves no room for such an interpretation. It was fairly

Supreme Court Reports

clear that it was the CLB which would function as the adjudicating authority in respect of several matters during this period until the NCLT was created and there remained no confusion on whether the CLB's powers had been enhanced in any manner or not.

134. In ***B.K. Educational Services Private Limited v. Parag Gupta and Associates*** reported in (2019) 11 SCC 633, the question admittedly related to the retrospective application of Section 238-A of the IBC, 2016 which provision was *pari materia* to Section 433 of the Act, 2013. However, the background in which it was raised was altogether different.
135. The issue in ***B.K. Educational Services*** (*supra*) was whether Section 238-A of the IBC, 2016 (*pari materia* to Section 433 of the Act, 2013) which was inserted through the Amendment Act of 2018 with effect from 06.06.2018 could be said to have retrospective application from the date of commencement of the IBC, 2016 i.e. from 01.12.2016. In examining the reason behind the introduction of Section 238-A, it was culled out that the legislature had always intended for the Act, 1963 and the rules of limitation to apply to the IBC, 2016, especially with respect to the applications filed under Sections 7 and 9 of the IBC, 2016 respectively. In other words, the issue therein related to the retrospective application of the provision of an amending Act which was clarificatory in nature.
136. It is also of note that in ***B.K. Educational Services*** (*supra*), in the period between 01.12.2016 and 06.06.2018 i.e., the period for which retrospective application was sought, it was still the NCLT that was hearing applications under Sections 7 and 9 of the IBC, 2016 respectively. To put it simply, it was not a case wherein a different body was adjudicating the applications filed under Sections 7 and 9 respectively during 06.06.2018 and 01.12.2016. The issue was simple – when the NCLT was explicitly empowered to apply the provisions of the Act, 1963 on and after 06.06.2018 by way of Section 238-A of the IBC, 2016, could it be said that the NCLT also would have been empowered to apply the Act, 1963 before 06.06.2018?. This was what was answered in the affirmative.
137. Moreover, one another significant aspect in ***B.K. Educational Services*** (*supra*) was that, as on 01.06.2016, the NCLT was already empowered under Section 433 of the Act, 2013 to apply the provisions of the Act, 1963. This power of the NCLT was said to apply even

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

when the NCLT decided applications under Sections 7 and 9 of the IBC, 2016 respectively. The same is evident from the observation in **B.K. Educational Services** (*supra*) that – “Given the fact that the “procedure” that would apply to NCLT would be the procedure contained *inter alia* in the Limitation Act, it is clear that NCLT would have to decide applications made to it under the Code in the same manner as it exercises its other jurisdiction under the Companies Act.”

138. In light of all these differences, any reliance on **B.K. Educational Services** (*supra*) to further the argument that Section 433 of the Act, 2013 must be applied to the CLB, would be unfounded.
139. This issue may be viewed at from one another angle. It is no more *res integra* that limitation being a procedural law, a change in law in that regard applies retrospectively. However, this general principle has certain exceptions – (a) the new law of limitation providing for a longer period cannot revive a dead remedy and, (b) the new law of limitation cannot suddenly extinguish a vested right of action by providing for a shorter period of limitation.
140. Some pertinent observations in this regard was made by the decision of this Court in **Thirumalai Chemicals Limited v. Union of India and Others** reported in (2011) 6 SCC 739 and the same is reproduced as follows:

“Law of limitation

29. Law of limitation is generally regarded as procedural and its object is not to create any right but to prescribe periods within which legal proceedings be instituted for enforcement of rights which exist under substantive law. On expiry of the period of limitation, the right to sue comes to an end and if a particular right of action had become time-barred under the earlier statute of limitation the right is not revived by the provision of the latest statute. Statutes of limitation are thus retrospective insofar as they apply to all legal proceedings brought after their operation for enforcing cause of action accrued earlier, but they are prospective in the sense that they neither have the effect of reviving the right of action which is already barred on the date of their coming into operation, nor do they have the effect of extinguishing a right of action subsisting on

Supreme Court Reports

that date. Bennion on Statutory Interpretation, 5th Edn. (2008), p. 321 while dealing with retrospective operation of procedural provisions has stated that provisions laying down limitation periods fall into a special category and opined that although prima facie procedural, they are capable of effectively depriving persons of accrued rights and therefore they need be approached with caution.

-XXX-

32. Limitation provisions therefore can be procedural in the context of one set of facts but substantive in the context of different set of facts because rights can accrue to both the parties. In such a situation, test is to see whether the statute, if applied retrospectively to a particular type of case, would impair existing rights and obligations. An accrued right to plead a time bar, which is acquired after the lapse of the statutory period, is nevertheless a right, even though it arises under an Act which is procedural and a right which is not to be taken away pleading retrospective operation unless a contrary intention is discernible from the statute. Therefore, unless the language clearly manifests in express terms or by necessary implication, a contrary intention a statute divesting vested rights is to be construed as prospective."

(Emphasis supplied)

141. What is therefore evident is that, if the retrospective application of a procedural law, including that of limitation, affects or divests vested rights, the general rule that procedural law must be given retrospective effect, could be deviated from. In such cases, giving prospective effect may be favoured even if the matter pertains to limitation. However, if no such vested right could be said to exist, then giving retrospective effect is the way to go.
142. In **Thirumalai Chemicals** (*supra*), the cause of action arose when the Foreign Exchange Regulation Act, 1973 (hereinafter, the "**FERA**") was in force, but the impugned orders were issued when the Foreign Exchange Management Act, 1999 (hereinafter, the "**FEMA**") was in force. The difference in the two regimes insofar as the limitation period for filing an appeal was concerned was that, in the former regime, the prescribed period of limitation was 45 days and delay could be

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

condoned upon sufficient cause being shown for an additional period of 90 days. In the latter regime, the prescribed period of limitation was 45 days and delay could be condoned upon sufficient cause being shown without any outer-limit. The appeal therein was admittedly belated. The issue related to whether the power to condone delay under the old regime or the new regime must be looked at.

143. In ***Thirumalai Chemicals*** (*supra*), this Court applied the provisions of the new regime based on the general principle that matters of procedure, including limitation, are to be given retrospective effect. Moreover, since the impugned orders were issued when the new regime was already in force, there was no vested right which accrued to the opposite party to plead any time bar in filing the appeal based on the old regime. In other words, the opposite party did not have any vested right to claim that delay could not be condoned beyond a period of 90 days as laid out in the old regime.
144. The facts and circumstances of the present case are slightly different from that in ***Thirumalai Chemicals*** (*supra*). As aforementioned, the newer law of limitation which is applicable to the matter cannot revive a dead remedy. In the facts of our case, the appellant company issued its notice refusing to register the transmission of shares on 30.04.2013 i.e., during a time when the regime under the Erstwhile Act was in vogue. More specifically, it was Section 111(2) r/w Section 111(3) of the Erstwhile Act which governed the field. According to those provisions, the respondent herein must have preferred an appeal before the CLB within a period of two months from the date of the notice of refusal i.e., before 30.06.2013. It is not in dispute that the respondent failed to file such an appeal before 30.06.2013. There existed no power to condone delay with the CLB during this period. Therefore, the remedy under Section 111(2) r/w Section 111(3) of the Erstwhile Act was already dead, much before the coming into force of Section 58 of the Act, 2013 on 12.09.2013 let alone the coming into force of Section 433 of the Act, 2013 on 01.06.2016.
145. Hence, in such a scenario, it would not be permissible for one to say that the power to condone delay which has been given to the NCLT beginning from 01.06.2016 must enure to the benefit of an appeal which had become time-barred much before the commencement of the Act, 2013. If such an argument is accepted then it would have the consequence of affecting vested rights.

Supreme Court Reports

146. In light of the aforesaid, we do not wish to engage in any further discussion on whether the change in law due to the coming into force of Section 433 of the Act, 2013 had any bearing on the present case.
147. Before we conclude, we deem it appropriate to discuss certain decisions of this Court and of the Calcutta High Court, upon which the impugned decision had placed considerable reliance.
148. *First*, is the decision of a three-judge bench of this Court in **Canara Bank** (*supra*) which dealt with whether the CLB could be considered to be a 'civil court' for the purposes of Section 9-A of the Special Court (Trial of Offences Relating to Transactions in Securities) Act, 1992 (hereinafter, the "**Act, 1992**"). Interestingly, this question was also raised in the background of Section 111(2) r/w Section 111(3) of the Erstwhile Act (now Section 58(3) of the Act, 2013). Therein, if the CLB was to be considered a 'civil court' for the purposes of Section 9-A of the Act, 1992, then its jurisdiction *vis-à-vis* a suit, claim or other legal proceeding that overlapped with those under the purview of the Special Court, would be affected. In other words, those matters could be transferred from the CLB to the Special Court.
149. Keeping in view the object of the Act, 1992, this Court thought it appropriate to attribute a wider meaning to the word 'civil court' used in Section 9-A to encompass not only the traditional courts of civil judicature but all bodies, both courts and tribunals, which act judicially to deal with matters and claims. This interpretation was tailored in light of the mischief which was sought to be curtailed and the remedy sought to be advanced by the Act, 1992.
150. Therefore, the decision in **Canara Bank** (*supra*) was very specific to the Act, 1992 and was given in the context of the peculiar legal issue involved therein i.e., transfer of proceedings from the CLB to the Special Court. This decision cannot come to the aid of the respondents for the proposition that the CLB must also be considered to be a 'court' for the purposes of the Act, 1963 and more specifically, for the purpose of condonation of delay/extension of time.
151. *Secondly*, the impugned decision has also placed considerable reliance on the Division Bench decision of the Calcutta High Court in **Nupur Mitra** (*supra*). Therein, the CLB was faced with an application under Section 111(4) of the Erstwhile Act for the rectification of the register (corresponding to Section 59 of the Act, 2013) and was not

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

- dealing with an appeal against the refusal to register the transfer or transmission of shares under Section 111(2) r/w Section 111(3) of the Erstwhile Act (corresponding to Section 58 of the Act, 2013).
152. This difference is crucial because under Section 111(4) of the Erstwhile Act and Section 59 of the Act, 2013, there is no period of limitation which has been prescribed by the legislature. In other words, the making of an application for the rectification of register under both the Erstwhile Act and the Act, 2013 is not bound by a specific time-limit. On the other hand, under Section 111(2) r/w Section 111(3) of the Erstwhile Act and Section 58(3) of the 2013, Act, there is a specific period within which an appeal against the refusal to register the transfer or transmission of shares has to be filed before the CLB or the NCLT.
153. We are not concerned with an appeal made under Section 59 of the Act, 2013 for the rectification of the register which has no prescribed period of limitation. Rather our focus is on Section 58 of the Act, 2013 under which the legislature has specified a particular time period within which an appeal must be preferred. Therefore, on this aspect alone, we are of the view that the observations of the Calcutta High Court in **Nupur Mitra** (*supra*) as regards limitation are of no relevance to the present matter.
154. Even otherwise, the decision in **Nupur Mitra** (*supra*) did not conclusively hold that the Act, 1963 would apply to an application for the rectification of register under Section 111(4) of the Erstwhile Act. It was stated that – “Assuming that the Limitation Act, 1963 does apply, in the absence of a specific provision covering applications under section 111, the residuary article namely Article 137 would apply. If the cause of action arose in 1996 as claimed by the appellants, the application under section 111 having been filed in 1998 would be within time.” This was also observed in light of the fact that, irrespective of whether the Act, 1963 applied or not, the conclusion was that the application under Section 111(4) therein was not time-barred. Therefore, we are not persuaded by the respondent’s reliance on the observations made in **Nupur Mitra** (*supra*).
155. It was under such circumstances that this Court in **Basubani Private Ltd. and Anr v. Nupur Mitra and Ors.** (Civil Appeal Nos. 5063-5064 of 1999) considered it appropriate to not interfere with the observations made in **Nupur Mitra** (*supra*).

Supreme Court Reports

156. *Lastly*, considerable reliance was also placed on the decision of a Single Judge of the Calcutta High Court in ***Mackintosh*** (*supra*) wherein it was stated that although Section 58(4) of the Act, 2013 prescribes a certain time-limit within which an appeal must be filed, yet nothing could be said to prevent the CLB from receiving the appeal thereunder beyond the stipulated period. The reasoning underlying the said conclusion was two-fold – (a) it is judicially recognised that the principles contained in the Act, 1963 would be applicable to the matters before the CLB and, (b) the provision does not explicitly prohibit the receipt of an appeal thereunder after the expiry of the time-limit indicated therein. Insofar as the aforesaid two-pronged reasoning is concerned, we have already explained as to how the principles underlying Section 5 of the Act, 1963 stand on a different footing and also that the use of any additional pre-emptory language should not always be a requirement to read the prescribed period of limitation as mandatory. Therefore, we are unable to agree with the views expressed in ***Mackintosh*** (*supra*).
157. The decision in ***Mackintosh*** (*supra*) was challenged by way of an SLP before this Court in ***Mackintosh Burn Ltd. v. Sarkar and Chowdhury Enterprises Private Limited*** reported in (2018) 5 SCC 575. However, the main issue canvassed was whether the High Court must have decided the other questions of law which was raised in the statutory appeal, apart from the question of limitation. This Court answering in the affirmative stated that the High Court must have considered all the grounds taken by the appellant justifying their refusal to register the shares in favour of the respondent and not restricted itself to the sole question of whether the CLB could have received the appeal under Section 58(4) beyond the prescribed period therein. By observing so, this Court had answered certain other questions of law and remanded the matter to the NCLT for a decision on merits.
158. While remanding the matter, this Court did not explicitly express any agreement with the position as regards the power of the CLB to condone delay taken in ***Mackintosh*** (*supra*).
159. Ms. Nariman had also made certain submissions on the question whether the proceedings under Section 58(3) of the Act, 2013 are original proceedings in the nature of a suit or not, particularly because neither Section 5 of the Act, 1963 nor its principles could apply to proceedings which are of an original nature. However, having already

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

reached the conclusion that neither Section 5 of the Act, 1963 nor its underlying principles could be said to be applicable to an appeal filed before the CLB under Section 58(3) of the Act, 2013 owing to it being a quasi-judicial body which has not been empowered to extend time or condone delay, there arises no need for us to address this additional submission.

G. CONCLUSION

160. A conspectus of the legal and factual discussion on the power of the CLB to extend time or condone delay under Section 58(3) of the Act, 2013 is as follows:

- i. The appeal under Section 58(3) of the Act, 2013 preferred by the respondent herein was filed during the period between 12.09.2013 and 01.06.2016. Therefore, although the appeal was made under the new provision of the Act, 2013, yet the body/forum before which it was made i.e., the CLB, was one constituted under the provisions of the Erstwhile Act. According to Section 10E(4C) of the Erstwhile Act, the CLB was a court only in the restricted sense. There existed no express provision which empowered the CLB to apply the provisions of the Act, 1963 to the proceedings and appeals before itself.
- ii. In multiple decisions of this Court, notable and significant emphasis has been placed on which institution/body is seeking to employ the provisions of the Act, 1963 or exercise the powers conferred under the Act, 1963.
- iii. The provisions of the Act, 1963 (provisions that lay down a prescribed period of limitation as well as Sections 4 to 24 of the Act, 1963 respectively) would only apply to suits, applications or appeals, as the case may be, which are made under any law to 'courts' and not to those made before quasi-judicial bodies or tribunals, unless such quasi-judicial bodies or tribunals are specifically empowered in that regard.
- iv. In ***Officer on Special Duty*** (*supra*), ***Prakash H. Jain*** (*supra*) and ***Om Prakash*** (*supra*) respectively, this Court has unequivocally held that the power to extend time under Section 5 of the Act, 1963 cannot be resorted to by statutory authorities, quasi-judicial bodies or tribunals, unless expressly indicated. It has been clarified that when such authorities or bodies are deemed to be

Supreme Court Reports

a court for certain limited or specified purposes, such a legal fiction must not be extended beyond the purpose for which the fiction was created so as to confer powers under Section 5 of the Act, 1963 as well.

- v. In ***Parson Tools*** (*supra*) and ***M.P. Steel*** (*supra*) respectively, this Court has developed a body of jurisprudence indicating that the principles underlying Section 14 of the Act, 1963 could be applied to the provisions relating to quasi-judicial bodies, unless there is any express indication to the contrary in the wording and scheme of the said provision. However, there exists a vital distinction between the principles underlying Sections 5 and 14 respectively.
- vi. The differences between the principles underlying Sections 5 and 14 of the Act, 1963 respectively are as follows - *First*, one pertains to the exercise of a discretionary power vested in the courts and the other is a mandatory provision independent of any exercise of discretion; *Secondly*, one refers to “*sufficient cause*” which term by itself is subject to a good amount of elasticity and the other has delineated well-defined conditions which must be met; and *Lastly*, one deals with the extension of time while the other is concerned with the exclusion of time.
- vii. The principles underlying Sections 5 and 14 of the Act, 1963 respectively, cannot be analogously applied to proceedings before quasi-judicial bodies because in the former, the courts exercise their discretion in extending and more specifically, adjusting the prescribed period of limitation itself to create a fresh period of limitation. No entitlement as a matter of right arises *vis-à-vis* extension of time. Whereas, in the latter, the prescribed period of limitation remains intact, no delay is attributed to the litigant and the time during which the abortive proceeding was being prosecuted is expunged in the eyes of the law to place the litigant back or restore his position within the prescribed period of limitation wherein he is entitled to file the appeal or application, as the case may be, as a matter of right.
- viii. The mechanism envisaged under Section 5 is proximally bound and tethered to the discretion with which a civil court is empowered and that under Section 14 is anchored on restoring the right of a litigant to institute an appeal or application, as the

The Property Company (P) Ltd. v. Rohinten Daddy Mazda

case may be, within the prescribed period of limitation. Both provisions work in the interest of the litigant and seek to further the cause of substantive justice, however, the kind and nature of the power exercised under the two provisions, as well as the mechanism envisaged therein, are quite distinct.

- ix. Moreover, the principles underlying Sections 5 and 14 of the Act, 1963 respectively also stand on a different footing for the reason that when the legislature has intended to grant powers of extension of time, the same has been expressly indicated either through the manner in which the concerned provision is phrased (more often than not through a proviso) or by the adoption of the Act, 1963 through a separate provision to the special law as a whole (akin to Section 433 of the 2013, Act).
- x. Therefore, the decision of this Court in **M.P. Steel** (*supra*) would not apply analogously to a situation when the principles underlying Section 5 of the Act, 1963 are sought to be applied by quasi-judicial bodies which aren't empowered in that regard.
- xi. Regulation 44 of the CLB Regulations which saves the inherent power of the CLB would not enable the CLB to extend time for the filing of the appeal or the application itself, as the case may be.
- xii. In **Ganesan** (*supra*), it has been settled that the savings provision in the Act, 1963 i.e., Section 29(2), is of no relevance when the special or local law deals with a suit, appeal or application, as the case may be, which is to be filed before a quasi-judicial body. The question whether a certain provision in a special or a local law expressly excludes the provisions of Sections 4 to 24 of the Act, 1963 respectively arises only in pursuance of the savings provision under Section 29(2) of the Act, 1963. As a natural corollary, if Section 29(2) is, by itself, inapplicable to a particular case then there would be no need to look into or analyse whether there is any express exclusion.
- xiii. An exception to the aforesaid, i.e., a reason why one would still look at whether Sections 4 to 24 of the Act, 1963 respectively are "expressly excluded" irrespective of the application of Section 29(2) of the Act, 1963, is when the argument that the principles underlying those provisions of the Act, 1963, must be applied, is being explored.

Supreme Court Reports

- xiv. Presently, we are dealing with an appeal under Section 58(3) of the Act, 2013 preferred before the CLB – a quasi-judicial body. We have also answered in the negative on the submission that the principles underlying Section 5 of the Act, 1963 must be applied. Section 29(2) of the Act, 1963 is, therefore, of no relevance and there arises no occasion to examine whether Section 58(3) of the Act, 2013 “expressly excludes” the application of Section 5 of the Act, 1963.
 - xv. The simpliciter limitation period prescribed under Section 58(3) of the Act, 2013 must not be read to be merely directory. The presence of any additional pre-emptory language in the form of “*but not thereafter*” or “*shall*” would not always be necessary to convey that the prescribed period is mandatory.
 - xvi. Section 433 of the Act, 2013 which empowers the NCLT and the NCLAT respectively to apply the provisions of the Act, 1963, as far as may be, to the proceedings and appeals before itself, cannot be borrowed to signify the existence of a similar power with respect to the CLB. Moreover, the remedy of the respondent was already time-barred before the coming into force of Section 58(3) of the Act, 2013, let alone the coming into force of Section 433 of the Act, 2013. Hence, the change in law cannot enure to the benefit of the present respondent.
161. In the overall view of the matter, we have reached the conclusion that the High Court could be said to have committed an error in dismissing the statutory appeal filed under Section 10F of the Erstwhile Act and thereby, affirming the order of the CLB condoning the delay of 249 days in filing the appeal under Section 58(3) of the Act, 2013.
162. In the result, this appeal succeeds and is hereby, allowed. The impugned judgement and order of the High Court is set-aside.
163. Pending applications, if any, shall also stand disposed of.

Result of the case: Appeal allowed.

